

POWER OF



POWER OF



With One mission at heart, we at Hemas have journeyed through seven impactful decades, transforming into a stronger, purpose-driven entity whose values have remained resolute even during the most defining moments of our time. As we navigated uncertainty and challenges of the past year, we have remained as One, with our passionate teams working as One to ensure the needs of our nation are met. Backed by a formidable presence in every sector we operate, we continue to pursue One common goal; to give every Sri Lankan an opportunity to live healthfully and create an inclusive world by eliminating inequality.

As our communities demonstrate the power of One and cultivate resilience, we have honed our forward vision to drive rapid innovation supported by a people-centric philosophy. The pages to follow will demonstrate the meaningful investments we have made, strategies we've set forth to brace the future and outline our promise to address our societal and environmental impact.

As we face future challenges with solidarity, we are certain we will continue to win as we harness the power of One.

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ABOUT US

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Established in 1948 Hemas started with a simple intent: to help families live healthfully.

This core belief has informed our growth for over 70 years. Today, we bring healthful living to life through our focus in Consumer Brands, Healthcare and Mobility. Woven into the socio-economic fabric of Sri Lanka, Hemas has also expanded regionally with operations in Bangladesh and West Bengal. In our onward journey, we will continue to invest in diverse and passionate teams, create meaningful offerings, cultivate trusted partnerships, and champion a more inclusive world, to create positive impact for all our stakeholders.

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VALUES

- Passion for customers
- Obsession for performance
- Driven by innovation
- Concern for people



PURPOSE

Make Healthful
Living Happen

ABOUT THIS REPORT



This is the 4th Integrated Annual Report of Hemas Holdings PLC prepared with the aim of providing a balanced, comprehensive and concise assessment of the Group's performance during the financial year ending 31st March 2022. It also seeks to improve on the Group's previous Annual Report for the financial year ending 31st March 2021, continuing the journey to adopt international best practices in corporate reporting.

Scope and Boundary	The financial reporting boundary covers 37 legal entities including the parent company, collectively referred to as "the Group". The sustainability reporting boundary of the report covers 19 legal entities. Geographically, the non-financial information included in this report has been limited to operations of the Group within Sri Lanka.	Please refer pages 236 to 239 for the list of entities comprising the financial and reporting boundary.
Regulatory Frameworks	The report complies with the reporting requirements of the following regulatory frameworks: • Companies Act No.7 of 2007 • Sri Lanka Financial Reporting Standards issued by the Institute of Chartered Accountants of Sri Lanka • Listing rules of the Colombo Stock Exchange	Assurance on financial statements has been provided by Ernst & Young (page 147)
Voluntary Frameworks	The following voluntary frameworks have been adopted in preparing the report: • Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka • IR Framework 2021 issued by the Integrated Reporting Council • Hemas Holdings Annual Report 2021/22 has reported in accordance with the GRI Standards for the period April 1, 2021 to March 31, 2022 • Aligned to United Nations Sustainable Development Goals	Assurance on sustainability information has been provided by Ernst & Young (page 245)

SUSTAINABILITY INFORMATION

The content of this report is determined by the Sustainability Management Framework established at the Group. This Framework provides guidance on the processes for determining materiality, data collection, target setting and monitoring of social and environmental impacts of Group operations, including stated sustainability initiatives, promoting integrated thinking and reporting.

SIGNIFICANT CHANGES DURING THE YEAR

The Group divested its stake of 50% in Spectra Logistics (Private) Limited with effect from October 2021 and exited its operations in Myanmar in the latter part of January 2022. As a result, the financial information relating to these entities is only included up to the point of divestment, and non-financial information for Spectra Logistics up to September 2021. Information related to the impact of the divestment are clearly identified and there are no restatement of information during the reporting period.

FORWARD-LOOKING STATEMENTS

Forward-looking statements have been included in this report, particularly in assessing risk and opportunities and discussion of the future plans of the Group, which are based on perceptions, opinions and views of external and internal information available at present as the Group believe these support the assessment of its future performance. These statements, assessments and estimates have varying degrees of uncertainty associated with them which the Group will know only with the benefit of hindsight as they relate to future events, outcomes and impacts which are

ABOUT THIS REPORT

beyond the control of the Group. This information is provided without recourse or any liability whatsoever to the Board or other preparers of the Annual Report due to the relatively high levels of uncertainty regarding the current economic conditions.

ACKNOWLEDGEMENT

All information contained in this report has been reviewed internally by the Senior Management of the Group, and also verified independently, in accordance to the policies and methodologies carried in the 'Corporate Governance' section of this report.

The Board of Directors acknowledges its responsibility to ensure the integrity of the Integrated Report and is of the opinion that the Integrated Annual Report of Hemas Holdings PLC for the financial year ending 31st March 2022 is presented in line with the reporting principles mentioned above.

PUBLICATION DATE:

May 19, 2022

FEEDBACK AND INQUIRIES

Your feedback is valued and will be used in improving the Annual Report in the year that has commenced.

Please contact the following persons for inquiries regarding the Annual Report:

Hemas Corporate Services (Pvt) Ltd,
Hemas House, No 75, Braybrooke Place,
Colombo 2.

Tel: 114731731 Ext - 1106

REPORTING PRINCIPLES

- Strategic focus and future orientation
- Connectivity of information
- Stakeholder relationships
- Materiality
- Conciseness
- Reliability and completeness
- Consistency and comparability

<IR> Framework

FOCUS AREAS

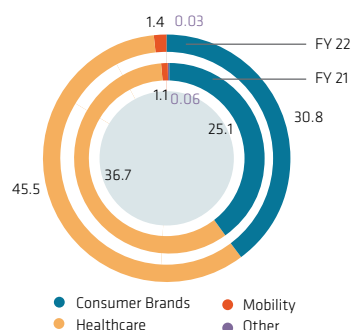


Consumer Brands

- Home and Personal Care
- Learning Products
- Over the counter Consumer Products



► Underlying Revenue
(Rs. billion)

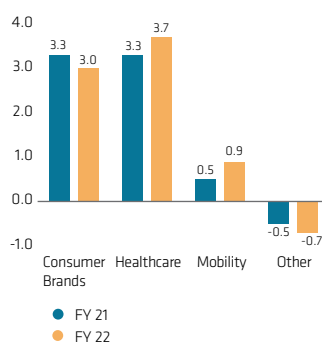


Healthcare

- Hospitals
- Pharmaceutical Distribution
- Pharmaceutical Manufacturing



► Underlying Operating Profit
(Rs. billion)

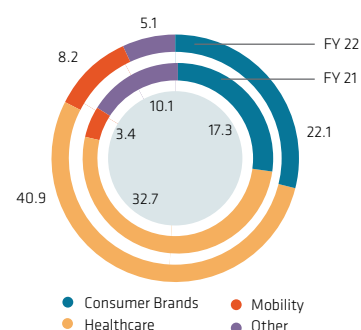


Mobility

- Aviation
- Maritime



► Total Assets
(Rs. billion)



Underlying - Excluding divested entities

* Focus Areas is excluding the Other Sectors which includes corporate office and remaining leisure assets.

PERFORMANCE HIGHLIGHTS

FINANCIAL HIGHLIGHTS

FINANCIAL PERFORMANCE

Rs. 78,831 million

(Rs. 64,501 million)

REVENUE

Rs. 21,850 million

(Rs. 19,417 million)

GROSS PROFIT

Rs. 8,244 million

(Rs. 7,657 million)

EBITDA

Rs. 6,783 million

(Rs. 6,061 million)

EBIT

Rs. 135 million

(Rs. 391 million)

NET FINANCE EXPENSE

Rs. 6,648 million

(Rs. 5,670 million)

PROFIT BEFORE TAX

Rs. 4,834 million

(Rs. 3,342 million)

PROFIT AFTER TAX

Rs. 4,249 million

(Rs. 3,253 million)

EARNINGS

Rs. 2,595 million

(Rs. 238 million)

DIVIDENDS PAID

27.7%

(Rs. 30.1%)

GROSS PROFIT
MARGIN %

8.6%

(Rs. 9.4%)

EBIT MARGIN %

13.9 times

(9.5 times)

INTEREST COVER

17.0 times

(Rs. 12.0 times)

EBITDA/INTEREST
COVER

*All figures in brackets indicate values for the last financial year.

FINANCIAL POSITION

Rs. 76,308 million

(Rs. 63,594 million)

TOTAL ASSETS

Rs. 36,507 million

(Rs. 33,438 million)

TOTAL EQUITY

Rs. 39,800 million

(Rs. 30,156 million)

TOTAL LIABILITIES

Rs. (7,328) million

(Rs. (1,473) million)

NET DEBT

Rs. 0.8 times

(Rs. 0.9 times)

DEBT / EBITDA

Rs. 1.5 times

(Rs. 1.6 times)

CURRENT RATIO

Rs. 1.02 times

(Rs. 0.92 times)

QUICK RATIO

15.2%

(17.3 %)

GEARING %

17.2%

(15.7%)

ROCE

MARKET AND SHAREHOLDER INFORMATION

Rs. 23,802 million

(Rs. 49,752 million)

MARKET CAPITALISATION

Rs. 46.20

(Rs. 83.40)

MARKET PRICE

596,546,025

(596,546,025)

NO OF SHARES IN ISSUE

6.5 Times

(15.2 Times)

PRICE EARNINGS RATIO

Rs. 59.66

(Rs. 53.47)

NET ASSET VALUE PER SHARE

Rs. 7.12

(Rs. 5.46)

BASIC EARNINGS PER SHARE

Rs. 4.35

(Rs. 0.40)

DIVIDEND PER SHARE

1.6 Times

(13.6 Times)

DIVIDEND COVER

9.4%

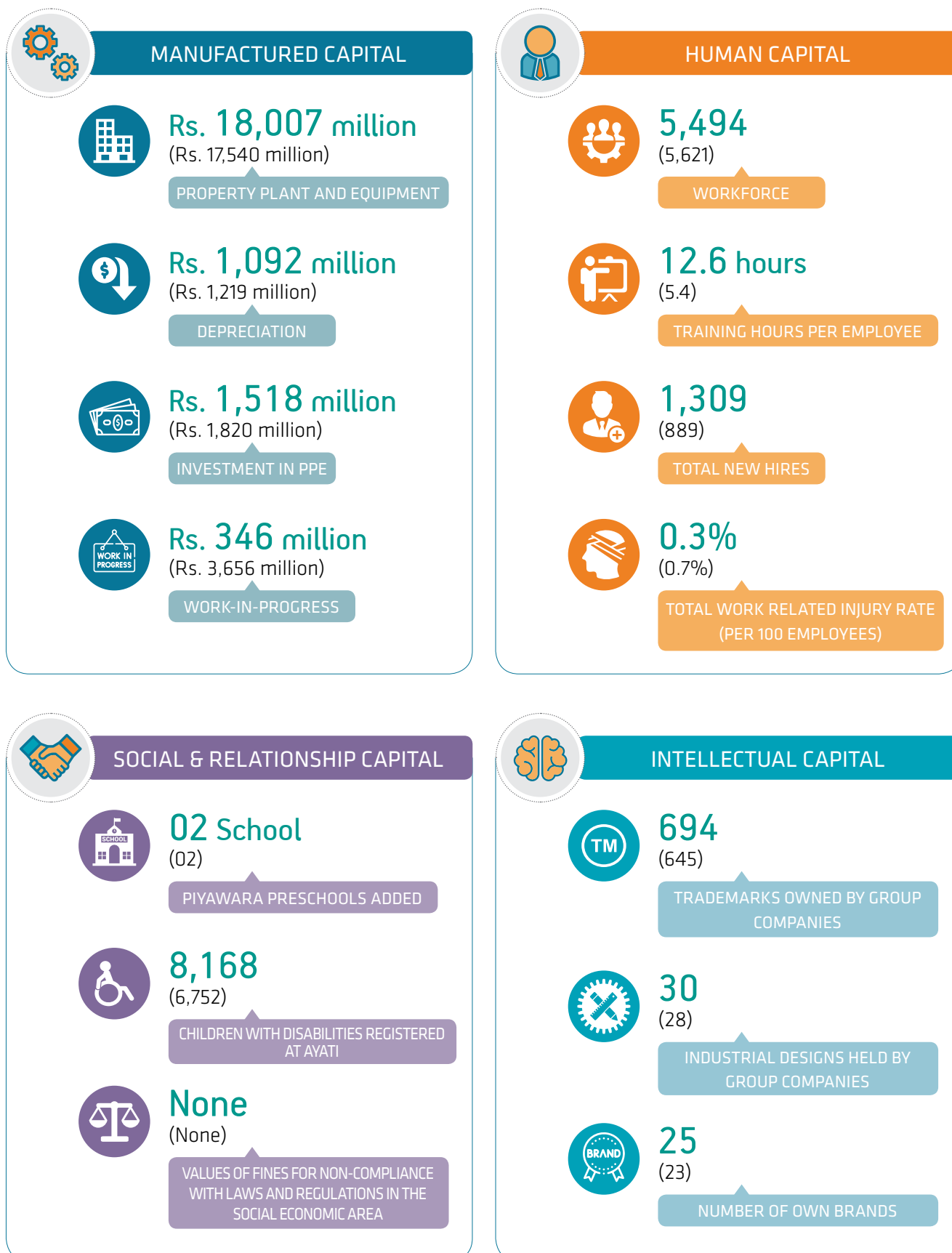
(0.5%)

**DIVIDEND YIELD
RATIO**

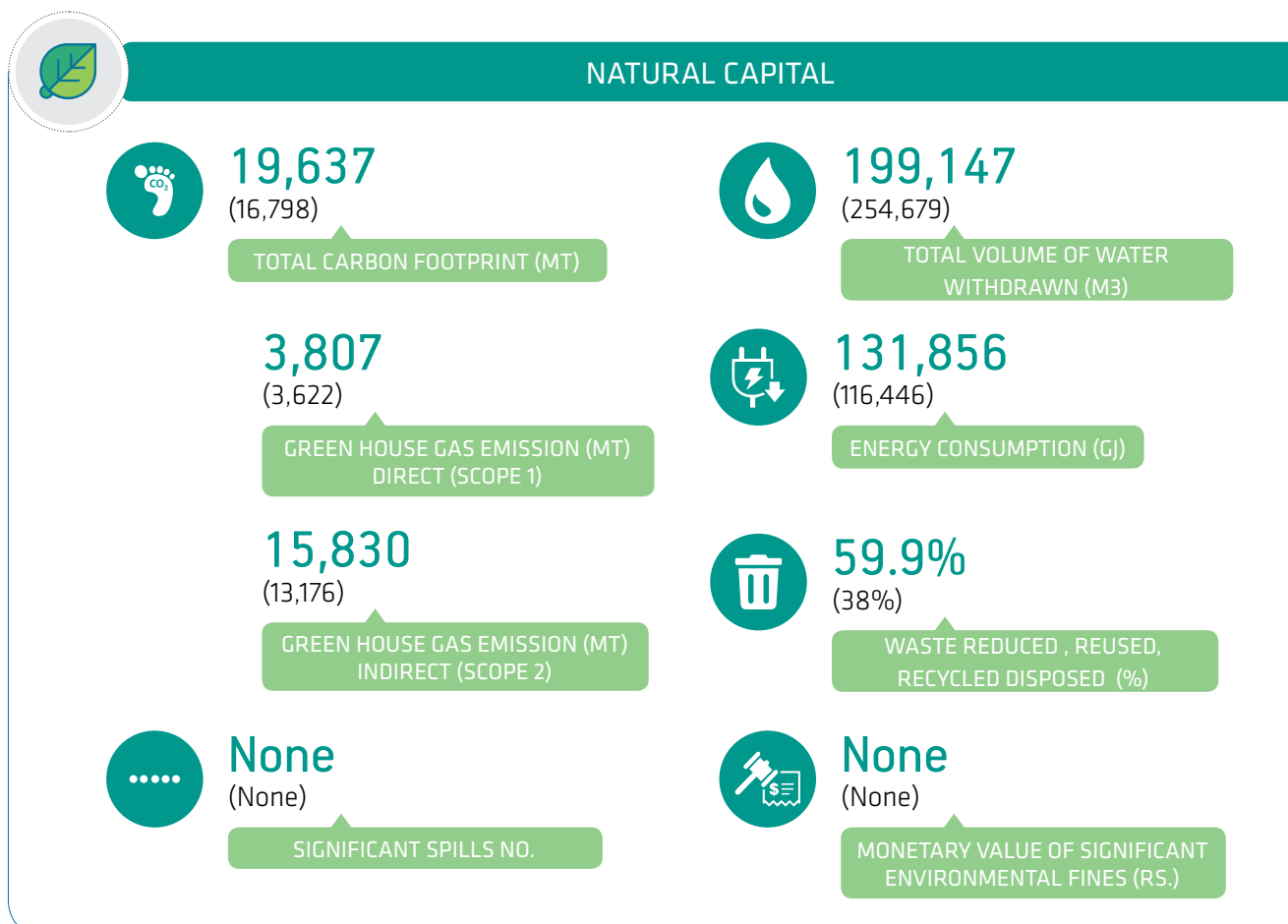
*All figures in brackets indicate values for the last financial year.

PERFORMANCE HIGHLIGHTS

NON-FINANCIAL HIGHLIGHTS



*All figures in brackets indicate values for the last financial year.



*All figures in brackets indicate values for the last financial year.

CHAIRMAN'S MESSAGE



Dear Shareholders,

I am pleased to report that your company delivered strong financial results in what was yet another tough year. Despite facing severe external shocks back-to-back over the past three years, I am deeply proud of how the Hemas Group has navigated its way towards delivering consistent year-on-year growth on all fronts. This I believe is a testament to our dynamic strategy, the resilience and agility of our business, as well as the ability and willingness of our people to push ahead against all odds.

SRI LANKA IN CONTEXT

Just as the country and indeed the whole world appeared to be adjusting to living with COVID-19, the Omicron variant emerged, reminding us that the threat of this pandemic was far from over. With sporadic lockdowns and frequent mobility restrictions continuing in the first half of the year; business activities, the education system and day-to-day civilian life in general continued to be severely affected. The second half of the year brought

renewed hope for a return to normalcy as the success of the government-led vaccine program helped to lower mortality rates and bring the virus spread under control.

This growth momentum, however, was short lived as the full extent of the looming economic crisis became clearer. Reckless and inept economic management led us to the brink of default. Finally, in April 2022, Sri Lanka suspended debt servicing and opened talks with the IMF with a view to obtaining its endorsement on an economic adjustment program. The sum total of the poor decisions taken in the past have had disastrous consequences causing widespread shortage of fuel and other basic necessities, which in turn created significant disruptions for businesses. The situation was further compounded by the unprecedented fall in the value of the Rupee against the US dollar. At the time of writing, the USD is 360 to the LKR, but even at these levels USD remains a scarce resource. Meanwhile, the buildup of inherent policy and structural weaknesses

saw inflation reaching a staggering 18.7%, while interest rates remain on the rise with the T-bill nearing a historical high of 24%.

Naturally this resulted in people taking to the streets, most notably at Galle Face Green, which was the focal point for peaceful protests, until violence erupted on May 9th at the site. The consequences of these actions were catastrophic and caused the public to revolt against the Government, which will no doubt prove to be a watershed moment in Sri Lanka's history. At the time of writing, the Prime Minister has resigned triggering the disbanding of the entire cabinet. Mr Ranil Wickramasinghe has been appointed as the new Prime Minister.

We must hope that this dramatic turn of events will usher in a new political culture which will facilitate competent individuals to take up public office, and in turn pave the way for capable and committed young leaders to take over the stewardship of our Country in the future. For now, however, we hope that the newly appointed Prime

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I am deeply proud of how the Hemas Group has navigated its way
towards delivering consistent year on year growth on all fronts.
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Minister can use his experience and wisdom to navigate us out of this crisis.

PERFORMANCE

The Hemas Group produced strong results notwithstanding the challenges encountered this past year. Group Revenue at Rs. 78.8 billion reflected a 22.2% improvement from the Rs. 64.5 billion recorded in the previous year. Our performance on the Profit front was mixed. While Hospitals delivered strong bottom-line results bolstered by higher footfall and increased occupancy, the Consumer Brands sector came under margin pressure due to the high cost of imported raw materials. This was further aggravated by the rapid depreciation of the Rupee against the USD. Consequently, Group Operating Profit and Earnings amounted to Rs. 6.8 billion and Rs. 4.2 billion respectively, constituting growths of 11.9% and 30.6% over previous year.

I am pleased to report that the Group's National Long-Term Rating of AAA (Ika)' Stable Outlook was reaffirmed by Fitch Ratings for the third consecutive year on account of the resilient performance accompanied with defensive cashflows and low gearing.

A more detailed account of our performance is provided by the Group CEO in her report

SUSTAINABILITY

The Group's Sustainability Management Framework is based on the management of its Environmental, Social and Governance (ESG) impacts. This together with its strong focus on creating 'healthful living' across our nation has enabled the Group to mitigate its ESG risks and

offset its impacts. In the future, we intend to enhance our efforts to include an approach of further Creating Shared Value by identifying pressing social and environmental concerns of our communities and adjusting our business model to meet those concerns.

During the year, the Group continued to serve the communities through our purpose led initiatives and Hemas Outreach Foundation. During the year, Hemas Outreach Foundation added two new Piyawara pre-schools to the national network and to date there are 60 Piyawara pre-schools island-wide. At present, Ayati Sri Lanka's first national center for children with disabilities has over 8,000 students registered, and we continued to fight the stigma associated with Down syndrome through our 'Eka Se Salakamu' initiative.

OUTLOOK

The outlook for Sri Lanka in the short to medium term is likely to remain volatile, whilst long term stability will be predicated on an enabling political environment, and the implementation of a debt restructuring program with the support of the International Monetary Fund.

Nonetheless, I remain cautiously optimistic about the future, as we hope that recent events will usher in a new political culture and sound economic management principles which would augur well for Sri Lanka's long-term prosperity. Whilst the defensive nature of our business portfolio should insulate us to a certain extent, I am confident that our strong balance sheet and organisational capabilities would give us opportunities to gain share through inorganic expansion. Generating hard currency revenues will be given the

highest priority. Whilst we will continue to have a growth mindset, we are clear eyed about the challenges we face and will take proactive measures to ensure we remain competitive.

IN CONCLUSION

In January 2022, Mr. Prabash Subasinghe, an entrepreneur and a business leader, was appointed to the Hemas Holdings PLC board. We look forward to his contribution, especially in assisting the business to enhance our international footprint.

I take this opportunity to thank our CEO and the Leadership team for their individual and collective efforts in pushing the Group forward in the face of multiple challenges. The coming year will offer no respite and I take comfort in the knowledge that the business is in good hands. A special word of appreciation to each and every member of the Hemas family for your commitment and dedication over the year

I thank my colleagues on the Board for your wisdom and guidance, and your support and encouragement at all times. A special word of thanks to our customers for your patronage, to our business partners, and to all our stakeholders. Finally, I thank our shareholders for continuing to walk this journey with us as we navigate the road ahead and continue to grow and add value to all our stakeholders.



Husein Esufally
Chairman

May 19, 2022

CEO'S REVIEW



It is with great pleasure that I present to you the Hemas Holdings PLC Annual Report 2021/22. The year under review has been one of steady performance amidst uncertainty and unparalleled challenges posed by the external environment. However, similar to our previous years Hemas has demonstrated its readiness and ability to rise through difficult conditions.

Whilst the country navigated the pandemic and rolled out a successful vaccination programme, Sri Lanka's economy remained volatile amidst unsustainable debt, rising inflation, currency fluctuations and rapidly depleting foreign exchange (forex) reserves. More recently, Sri Lankans across all social strata have endured unprecedented levels of hardship. As a Group, we continue to stand by the people of our nation and their call for systemic change. We believe that entering into an IMF programme supported by a stable political and policy framework, will steer Sri Lanka into a path of recovery. However, the challenges to the national economy will continue in the short and medium-term.

As a leader in the healthcare, home and personal care and learning business, our dedicated teams stepped up and worked together to ensure that our nation had access to essential medicine, personal care products and tools for learning and education. We did this while providing continuous care for patients and a safe environment for healthcare professionals. We also reinforced our ecosystem by working more closely and cohesively to deepen ties across with our value chain partners. In addition, the Group continued its efforts to support communities by providing emergency relief and addressing disaster response needs of adversely affected families. Recently, the Group also partnered with a few like-minded corporates and committed to provide aid to 100,000 families who are facing hardship as a result of the economic crisis.

A CLEAR STRATEGY

Despite the challenging year, Hemas was able to execute its strategic initiatives effectively whilst continuing to adapt its portfolio to changing market conditions.

Spurred on by our purpose of creating opportunities for healthful living, each business focused on core businesses and new within the core, internationalisation, adjacencies, and efficiency and productivity to unlock growth and value. During the year, the Consumer Brands sector strived to build strong purpose-led brands, while concentrating on our value proposition to increase market share. Healthcare Sector ensured it sustained its market leadership position in its Pharmaceutical Distribution Business and Pharmaceuticals Manufacturing scaled up its operations in an effort to become a leader in the private market branded generics segment. Expansion in specialties was a strategic priority for Hemas Hospitals. The Mobility Sector continued to aim operational excellence and internal value capturing. Prioritising internationalisation saw the Group laying a strong platform to accelerate its international footprint while increasing its focus on exports.

Hemas believes in developing and maintaining healthy ecosystems where we seek to create mutually beneficial

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The extraordinary resilience and outstanding commitment demonstrated by Team Hemas this past year has been an inspiration to me in driving long-term growth despite continuous upheaval at the ground level.
”

collaboration with our strategic partners. Our human resource management strategies revolve around attracting, developing, and retaining a young talent from diversified backgrounds who share similar values with the Group. The extraordinary resilience and outstanding commitment demonstrated by Team Hemas this past year has been an inspiration to me in driving long-term growth despite continuous upheaval at the ground level.

A RESILIENT PERFORMANCE

Results of the Group's bold and strategic focus is evident in the resilient performance delivered over the current financial year. Underpinned by strong volume-led growth across all key businesses, the Group declared a cumulative revenue of Rs. 78.8 billion for the financial year 2021/22, reflecting an increase of 22.2 % over the previous year. Despite margin pressure on several of our businesses, due to cost inflation and challenges surrounding foreign exchange liquidity and steep depreciation, our underlying cumulative operating profits (excluding divested entities) increased by 10.5 % year-on-year to reach Rs. 6.7 billion in financial year 2021/22.

Our balance sheet stands strong, with low gearing and strong operating cash flows being the anchors that assured our ability to withstand unfavourable headwinds over this past year.

The culmination of healthy profits, a resilient balance sheet, and the presence in defensive industries resulted in the Group's national long-term rating of 'AAA (Ika)' Stable Outlook being reaffirmed by Fitch for the third consecutive year.

CONSUMER BRANDS

The Consumer Brands Sector delivered strong results in the financial year 2021/22 with healthy performances across all key metrics. The segment witnessed year-on-year market share gain across almost all product categories. Sector revenue witnessed a 22.8 % growth year-on-year to reach Rs. 30.8 billion, reinforced by strong contributions from all business segments. Cumulative operating profits decreased by 9.0 %, to Rs. 3.0 billion from the previous year due to margin pressure across the sector amidst broad-based cost escalations attributed to the increased prices of imported raw materials combined with challenges surrounding foreign exchange. Commodity prices rose significantly compared to last year due to persistent global supply chain disruptions. This situation was further exacerbated towards the latter part of 2021 with the introduction of import restrictions and rupee depreciation in Sri Lanka. Cognizant of the potential inflationary impact, a range of cost optimisation and efficiency strategies were initiated to safeguard margins.

Home and Personal Care (HPC)

HPC Sri Lanka, with its strong brand presence and innovation pipeline in the personal and home care segments, produced steady volume-led growth across both modern and general trade channels resulting in a volume growth which saw year on year increase of market share in home care, personal care and personal wash categories. Inflationary pressures, caused by the pandemic, resulted in customer spending skewing towards essential consumables.

Ongoing efforts to update our legacy brands also gained momentum with several new product variants and formats being launched throughout the year. Keen to seize potential market opportunities, HPC Sri Lanka accelerated its innovation strategy and launched 'Vivya', an all-natural skincare range made using traditional Sri Lankan Heirloom rice extracts. 'Vivya' was also our entry into the beauty care segment. The cumulative revenue from new product launches during the year accounted for approximately 14% of HPC Sri Lanka's overall top-line and stands as a clear testament to the timeliness and relevance of these innovations.

HPC International's operations in Bangladesh had a strong year with the relaunched 'Kumarika' and our new product 'Eva' gaining traction ending the year with market share increases in the hair oil segment. Overall, the Company's cumulative revenue and profitability increased compared to the previous year. New product launches have continued to gain traction with the share of revenue attributed to recent innovations increasing to 12.9 % in financial year 2021/22, an increase from 3.0 % in the previous year. This was catalysed by the launch of Eva hair oil, an entry point value added coconut hair oil infused with onion and methi to address the needs of the local Bangladeshi market.

Learning Segment

The Learning Segment recorded double digit volume growth in financial year 2021/22 with the resumption of in-person learning activities. The segment gained share across all key categories including books, school and colour products to

CEO'S REVIEW

reinforce its commanding position in the market. Market share within the premium books category also increased following the relaunch of 'Innovate', our range of notebooks catered to the young Sri Lankan teens who thrive on showcasing their individuality.

Accelerating exports remained a key priority for the business. During the year, the business engaged with partners across multiple geographies and a considerable scale up in export sales is foreseen.

HEALTHCARE

The Healthcare Sector had a strong overall performance and recorded a revenue of Rs. 46.1 billion and operating profit of Rs. 3.5 billion. An increase of 21.7 % and 21.7 % respectively over the previous year with all segments providing solid contributions to the overall performance of the sector. Healthcare, similar to Consumer Brands, also faced margin pressure due to the impact of currency devaluation and inflation. Since a sizeable portion of our healthcare inputs have to be imported, in the backdrop of a price-controlled environment, the forex liquidity crisis and the depreciation of the Rupee in early 2022 posed a challenge to our margins.

Pharmaceuticals

Despite solid revenue growth, our Pharmaceutical Distribution operations experienced margin pressure owing to the impact of the macroeconomic factors, while operating without a proper pricing mechanism for the industry. While supply shortages due to the scarcity of foreign exchange reserves in the country had an impact on the overall profitability of the Pharmaceutical Distribution arm, the business maintained its private market share as the leader.

Morison, our Pharmaceutical Manufacturing arm, was adversely affected by lower buy back volumes due to the absence of a transparent equitable process of allocation of buy back orders. Nevertheless, being an agile organisation the team pivoted its strategy toward accelerated development of our own brand. This saw robust demand

from the private sector which helped bolster annual volumes, enabling Morison to record cumulative revenue growth of 21.8 % compared to the previous year (excluding buybacks). Approval for commercial operations at our GMP certified pharmaceutical manufacturing and research facility in Homagama was obtained during the fourth quarter. This will further facilitate Morison's strategy of developing its own brands and expanding its product portfolio. 'Empamor', the first locally manufactured Sodium-Glucose Co-Transporter-2 (SGLT2) inhibitor in Sri Lanka, introduced last year was well received by the market and this year new variants of 10mg and 25mg were relaunched. 'Glucomile', a 100% glucose monohydrate was also successfully launched during the latter part of the year.

In January 2022, the Group discontinued its operations in Myanmar and divested its stake in the enterprise to our joint venture partner at a consideration of Rs. 223.3 million. Since the ease of doing business in Myanmar has been rapidly deteriorating under the rule of the military junta, we felt it was no longer feasible to remain in this market. However, the Group remains committed in its growth strategy of increasing its international footprint.

Hospitals

Following a challenging 2020 at the onset of the COVID-19 pandemic, activities at our hospitals picked up steadily over the current year. Our commitment to increasing access to affordable quality healthcare, resulted in the average footfall improving significantly as non-COVID patients returned. Surgical admissions also increased at both hospitals as patients proceeded with elective surgeries that were postponed due to COVID-19 restrictions. Hemas Thalawathugoda reported an average occupancy of 61.7% while Hemas Wattala registered 54.5% occupancy for the year, an average increase of 8.6% from the previous year. A strong demand for our diagnostics facilities was also evident throughout the year.

Improvements across all revenue streams saw the cumulative revenue of the Hospitals segment increase by double-digit compared to the previous year, and an overall increase in profitability.

During the year, Hemas Hospitals continued to partner with leading hotels to set up Intermediary Care Centres (ICC's) for COVID-19 patients. We also upgraded our diagnostics facilities at both hospitals, with specific enhancement in our capacity to conduct Polymerase Chain Reaction (PCR) tests.

The Group's partnership with the International Finance Corporation accelerated the digitisation of our hospital infrastructure. Through this partnership, Hemas became the first healthcare provider in South Asia to gain access to the DigiHealth platform - the IFC's latest upstream initiative designed to boost access to affordable, quality healthcare through digital technology. Demand for easy access to quality healthcare services has become increasingly prevalent in today's post COVID-19 world, particularly amongst vulnerable communities. DigiHealth will play a pivotal role in scaling up our digital healthcare service offerings and ensures that all Sri Lankans will have access to quality healthcare from the touch of a button.

MOBILITY

The Mobility Sector posted an underlying cumulative revenue of Rs. 1.3 billion and operating profits of Rs. 965.7 million, with a growth of 62.0% and 84.6 % respectively compared to the previous year. Both revenue and operating profits, exclude the contribution of Spectra Logistics (Private) Limited, which the Group divested its 50 % stake for a consideration of Rs 1.3 billion to GAC Logistics Limited in October 2021. The exit was in line with the Group's strategic growth plan to leverage its existing capabilities and grow independently in the logistics space.

“Hemas believes in developing and maintaining healthy ecosystems where we seek to create mutually beneficial collaboration with our strategic partners.”

Within the Mobility sector, both Aviation and Maritime operations performed well to record increased operating profits. The adverse impact on our Maritime arm due to vessels bypassing Sri Lanka to recover their schedules, was partially negated by depreciation in the Rupee, on top of the higher global freight rates.

The Aviation Segment, bolstered by higher worldwide cargo and passenger volumes following the widespread easing of COVID-19 related travel restrictions showed stable growth for the financial year 2021/22.

PRIORITISING OUR PEOPLE

At Hemas, our people and their wellbeing have always been a priority. We invested resources to strengthen safety measures to enable our employees to report to work safely, whilst expanding our wellbeing programme to include the psychological wellbeing of our staff. ICC facilities were provided to all employees who tested positive for COVID-19, along with support during their recovery period. We accelerated our development of young talent, which we believe is a key part of our future success. We also continued with planned training and development activities to ensure the career prospects of our staff were not affected by external challenges and their knowledge and skills remained relevant to compete in the current environment.

COMMITMENT TO ESG

The Group continues to maintain a sustainability management framework based on identified material topics and continues to monitor its key sustainability and risk indicators in adherence to internal sustainability SOP's. During the year, the

Group's carbon footprint per million Rupees of revenue decreased by 3.8 per cent to 0.25 MT. Water withdrawal per million Rupees of revenue decreased by 37.5 per cent to 2.5 cubic meters over the last quarter.

In line with the Group's strategy to reduce its carbon footprint, businesses with significant operations have started the process of moving towards greater utilisation of renewable sources of energy which will see 25% of the Group's energy being obtained through solar.

The Group companies will continue to work towards reducing the environmental impact of its operations through its Environmental Agenda which strives to protect Sri Lankan endemism through a three-prong action plan encompassing the responsible usage and disposal of plastic waste, safeguarding our ecosystem, and protecting our natural resources.

During the year, the Group partnered with the Ministry of Environment to support its 'Not a Rule but a Discipline' initiative that promotes the recycling of plastic waste in Sri Lanka to minimise impact on landfills. The Group facilitated this through the placement of over 2,000 recycling bins at Government institutions and schools to collect disposable plastic pens and toothbrushes. The expected collection from this initiative is approximately 90,000 kilograms of plastic waste per year.

To address marine pollution in Sri Lanka, we partnered with MEPA in the installation of an ocean strainer trash trap in Galle and launched four beach caretaker projects. Through this commitment, the Group

strives to prevent approximately 16,000 kilograms of plastic from being dumped in the ocean, thereby assisting the conservation of Sri Lanka's threatened and degraded marine ecosystem.

REAFFIRMING OUR PURPOSE

Our social commitment to champion inclusivity and eliminate inequality saw our flagship project 'Piyawara' adding two pre-schools to the national network. Atlas, through its 'Sip Udana' initiative, ensured uninterrupted learning during the pandemic by carrying out activity-based programmes focused on primary school children and teachers. This exposure to modern ways of learning along with facilitating grade five scholarship seminars online to over 50,000 student was met with a positive response and proved to be extremely impactful. Our national campaign 'Sonduru Diriyawanthi' commits to donating 6,000 wigs annually to address the increased demand for natural hair wigs for women diagnosed with cancer. Since its launch, the donation of our care packs has been introduced to 10 hospitals across the island. The 'Fems AYA' initiative focusing on improving the menstrual health of Sri Lankan women introduced a high-quality sanitary napkin at an attractive price point of below a hundred rupees to the market. As a part of this initiative, 'Fems' partnered with the Merrill J. Fernando Foundation, the Arka Initiative, Sarvodaya Women's Movement, and Sarvodaya-Fusion to educate Sri Lankan women on menstrual health and dispel long-held myths and misconceptions. During the year, training sessions were held in 18 local communities in rural villages and amongst plantation workers and youth with over 2,500 women directly trained on menstrual health and hygiene.

CEO'S REVIEW

OUTLOOK AND PROSPECTS

The year under review demonstrates the unprecedented resilience and the payoff of a focused strategy which has guided Hemas during its challenging journey presented by the pandemic era.

As we navigate the coming years, we must learn from our experiences and apply these lessons when operationalising our strategies.

The near-term outlook of the country indicates that our operating environment will continue to be under pressure due to unsustainable debt, foreign exchange liquidity, inflation, increasing interest rates and currency devaluation, resulting in extreme challenges for citizens and corporates alike.

Amidst this backdrop, the Hemas Group, guided by our purpose and underpinned by our financial stability, will focus on strengthening our leading positions in all core markets while being agile to respond to the external environment.

In our Consumer Brands Sector, which operates primarily in the mainstream defensive market segments, we will continue to challenge ourselves and prioritise remaining relevant to our customers evolving expectations. We will continue to focus on export destinations and international markets to support the local economy in overcoming its foreign exchange liquidity challenges.

The Healthcare Sector will play an increasingly important role in making world-class healthcare services accessible in Sri Lanka. Having successfully navigated the challenges presented over the past two years, I believe Hemas healthcare is on the cusp of a new era of digitally driven e-services that will transform the way the majority of Sri Lankans manage their everyday healthcare needs. Building depth and scale in our chosen specialties will be a key priority for the sector.

Expanding our footprint in the Mobility Sector will be another key priority in the medium-term. By drawing on our core strengths and driving synergies through our global maritime and aviation networks, we will look to strategically build our logistics capability, which will no doubt, be a leverageable asset in capitalising on emerging opportunities that are bound to materialise as Sri Lanka expands its trade links with the world.

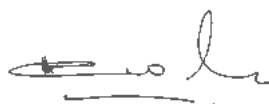
I would also like to express my commitment to enhancing our levels of efficiency and productivity to build a truly sustainable and resilient business model, which can withstand external shocks with minimum fallout whilst supporting Sri Lanka and its people in its return to economic prosperity.

APPRECIATIONS

I acknowledge that our ability to stay resilient this past year is in no small part due to the stewardship and guidance of the Hemas Group Board. I wish to take this opportunity to thank each of them for their guidance and wise counsel.

I'm grateful to the Hemas family, whose courage, ability to think on their feet, innovativeness, and tireless work ethic, ensured that we continue serving our communities across the nation.

I would finally like to extend our deep appreciation to our valued customers, shareholders, and strategic business partners for always supporting the Hemas Group as we strive to bring healthful living to the nation.



Kasturi C. Wilson
Group Chief Executive Officer

May 19, 2022

BOARD OF DIRECTORS

HUSEIN ESUFALLY

Chairman
Non-Independent Non-Executive Director

✔ **Appointed**
October 1997

✔ **Member**
Human Resources and Remuneration Committee

✔ **Skills and Experience**
Husein Esufally commenced his career with the Group's Fast-Moving Consumer Goods (FMCG) business, where he steered the Company for a period of 19 years, during which, the business established a strong consumer franchise. Thereafter, he served for 13 years as the Chief Executive Officer of the Hemas Group until he relinquished his position in March 2014. Husein Esufally holds a Bachelor of Science (Honours) Degree in Electronics from the University of Sussex, UK.

✔ **Other Current Appointments**
Husein Esufally chairs the Boards of many of the Hemas Group subsidiaries.

He serves as a committee member of the Ceylon Chamber of Commerce and on the Boards of several other companies. He is an active supporter of many social projects.

KASTURI C. WILSON

Chief Executive Officer (CEO)
Executive Director

✔ **Appointed**
July 2020

✔ **Member**
Related Party Transactions Review Committee

✔ **Skills and Experience**
Kasturi C. Wilson joined Hemas in 2002, where she held many senior management positions, including Chief Process Officer and Managing Director of the Hemas Transportation Sector. In 2016, she took over as Managing Director of Hemas Pharmaceuticals and, Surgicals and Diagnostics, where she was responsible for driving the company's local and regional expansion. She also functioned as the Managing Director of Hemas Mobility Sector prior to being appointed as Group CEO in October 2020.

Kasturi C. Wilson is a Fellow of the Chartered Institute of Management Accountants and, is an alumni of the Senior Executive Leadership Programme at Harvard Business School.

She was recognised as one of the twelve Top Women Change-Makers in the country in 2019, by the Parliament of Sri Lanka. Kasturi C. Wilson also represented Sri Lanka as a member of the National Netball and Basketball Teams.

✔ **Other Current Appointments**
Kasturi C. Wilson serves on the Board of Capital Alliance Limited as a Non-Executive Director, along with several other subsidiaries of the Hemas Group.

She is an active member of several industry associations. She was the first female President of the Sri Lanka Chamber of the Pharmaceutical Industry, and she also serves on the main committee of the Ceylon Chamber of Commerce.

ANURA EKANAYAKE

Independent Non-Executive Director

✔ **Appointed**
October 2013

✔ **Member**
Human Resources and Remuneration Committee (Chairman)
Nomination and Governance Committee (Chairman)

✔ **Skills and Experience**
Dr. Anura Ekanayake has had an illustrious career in public service, serving as a Senior Economist of the Mahaweli Authority, Director on the Boards of the State Plantations Corporation and JEDB, Director of Planning to the Ministry of Plantation Industries and Director General of the Ministry of Public Administration. He has held directorships in all 23 regional plantation companies and also served on the Tea Research Board, Postgraduate Institute of Agriculture and Plantation Housing and Social Welfare Development Trust.

Dr. Anura Ekanayake is a firm advocate of developing human capital and people transformation. Following his two decade long public service, he joined Unilever Sri Lanka and served as Director – Human Resources and Corporate Relations for eight years.

He holds a B.A. (Hons) and MSc (Agriculture) from the University of Peradeniya and a Ph.D. in Economics from the Australian National University. He is also a Fellow Member of the Institute of Certified Professional Managers.

✔ **Other Current Appointments**
Dr. Anura Ekanayake serves on a number of boards of listed companies and non-listed companies.

✔ **Previous Appointments**
He is a former Chairman of the Ceylon Chamber of Commerce, the Industrial Association of Sri Lanka and The International Natural Rubber Council.

BOARD OF DIRECTORS

ABBAS ESUFALLY

Non-Independent Non-Executive Director

✔ Appointed

May 1991

✔ Member

Nomination and Governance Committee

✔ Skills and Experience

With over 40 years' experience in the tourism industry, Abbas Esufally has played a pivotal role in expanding the Group's Leisure interest.

He has played an active part in the growth and development of the country's tourism industry.

Abbas Esufally is a Fellow Member of both the Institute of Chartered Accountants of England and Wales and the Institute of Chartered Accountants of Sri Lanka.

✔ Other Current Appointments

He serves as the Chairman of Diethelm Travel Sri Lanka (Pvt) Ltd.

He also serves on several other listed and unlisted company boards.

He also acts as the Deputy Chairperson for 'AYATI' Trust, Sri Lanka, a Center of Excellence for children with disabilities.

He is an all Island Justice of Peace and serves as the Honorary Consul of Bhutan in Sri Lanka.

IMTIAZ ESUFALLY

Non-Independent Non-Executive Director

✔ Appointed

May 1991

✔ Member

Audit and Risk Committee
Related Party Transactions Review Committee

✔ Skills and Experience

With over 30 years of management experience, Imtiaz Esufally has been at the forefront of the Transportation industry in Sri Lanka.

He has earned an Honours degree in Accounting and Economics from the University of Kent UK and is an executive education alumnus of the International Institute for Management Development (IMD) in Switzerland.

✔ Other Current Appointments

Imtiaz Esufally holds board positions in the Group's Maritime, and Aviation companies, which include Evergreen Shipping Agency Lanka (Pvt) Ltd, Far Shipping Lanka (Pvt) Ltd, and Forbes Air Services (Pvt) Ltd.

He is a member of the Advisory Council of the Ceylon Association of Ships' Agents.

✔ Previous Appointments

Imtiaz Esufally is a Past President of the IATA Agents Association of Sri Lanka.

SAKTHA AMARATUNGA

Independent Non-Executive Director

✔ Appointed

January 2016

✔ Member

Audit and Risk Committee (Chairman)
Related Party Transaction Review Committee (Chairman)
Human Resources and Remuneration Committee

✔ Skills and Experience

Saktha Amaratunga has many years of experience in Strategy Development, Business Restructuring, Risk and Governance, International Finance and People Development.

He was previously Regional Audit Controller (Asia Pacific) for British American Tobacco (BAT). He has more than 20 years experience with BAT having performed senior finance roles for the Group in Sri Lanka and the United Kingdom, and also being the Finance Director of BAT Operations in the Czech Republic, Sri Lanka, Switzerland, Japan and Malaysia (IT Shared Services Organisation).

Saktha Amaratunga is a Fellow Member of the Chartered Accountants of Sri Lanka, Associate Member of the Chartered Institute of Management Accountants, UK and a Member of CPA Australia.

✔ Other Current Appointments

Independent Non-Executive Director of Carson Cumberbatch PLC and member of MAS Holdings Audit Committee.

MURTAZA ESUFALLY

Non-Independent Non-Executive Director

✔ Appointed

September 1998

✔ Skills and Experience

Murtaza Esufally counts more than 30 years of experience in senior management.

He holds a Master's Degree in Business Administration from the Melbourne Business School of the University of Melbourne. He is a Barrister of the Lincoln's Inn and holds a Bachelor of Law Degree from the University of Essex, UK. Murtaza Esufally is an Attorney-at-Law of the Supreme Court of Sri Lanka.

✔ Other Current Appointments

Murtaza Esufally is the Chairman of Hemas Hospitals (Pvt) Ltd, Hemas Pharmaceuticals (Pvt) Ltd and Morison Limited.

Murtaza Esufally also serves as a Council member of the Sri Lanka Pharmaceutical Manufacturing Association, a member of the Export Development Board Advisory Board on Pharmaceuticals and is the Co-Founder of Learn for Life Lanka.

JYOTINDRA TRIVEDI

Independent Non-Executive Director

✔ Appointed

August 2017

✔ Member

Audit and Risk Committee
Nomination and Governance Committee

✔ Skills and Experience

Jyotindra Trivedi has more than 35 years of experience in Indian financial services industry including 25 years with Indian Venture Capital and Private Equity Industry.

He joined CDC, a UK based development finance institution, in 1997 to set up its Mumbai office. He was one the founding partners when Actis LLP was spun out of CDC in 2004. He took over leadership of Actis South Asia in 2007. He retired from Actis in 2017, by which time Actis had raised more than US\$ 12 billion since it was formed in 2004. As a member of global investment committee of Actis. He had an overview of the investment activity of Actis across its key markets such as China, South Asia, Africa and Latin America and its key sectors such as Consumer, Healthcare, Financial Services and Industrial.

He graduated as a chemical engineer from the Indian Institute of Technology, Bombay and holds a Diploma in Finance from the Institute of Chartered Financial Analysts of India.

✔ Other Current Appointments

Jyotindra Trivedi currently serves on the Board of Sprng Energy Private Limited which is building a clean energy platform with wind and solar assets of more than 1000mw capacity in India and a limited partner of Disha Counsellors LLP.

He also serves on the Board of Trustees of CORO, an NGO working with the marginalised communities in India in the areas of grass root leadership, women empowerment and gender sensitivity.

PRABHASH SUBASINGHE

Independent Non-Executive Director

✔ Appointed

January 2022

✔ Skills and Experience

Prabhash Subasinghe is the founder/ Managing Director of GRI (Global Rubber Industries (Pvt) Ltd) which was established in 2001 to manufacture high-performance specialty tires for markets worldwide, and also GSF (Global Seafoods (Pvt) Ltd) which was established in 1999, to process and supply high-quality fresh, frozen, and raw seafood to Europe, USA and Japan. With 10 offices located around the world, GRI and GSF combined are home to 1200 employees covering sixteen nationalities.

He is also the founder of Ayenka Holdings, an Investment Company that includes a large and diverse portfolio of investments in the Colombo Stock Exchange and a luxury real estate project in the Maldives.

Prabhash Subasinghe holds a Bachelor's Degree in Applied Economics and Business from Cornell University and is an Alumni of Harvard Business School.

✔ Other Current Appointments

Prabhash Subasinghe serves as a member of the advisory committee which assists the National Economic Council of Sri Lanka, and the main committee of the Ceylon Chamber of Commerce, whilst also serving as a Director of the SDB Bank.

He is a principal shareholder of Ceylinco Insurance PLC, the largest listed insurer in Sri Lanka, and is a prominent shareholder of Sampath Bank PLC, one of Sri Lanka's flagship private banks.

✔ Previous Appointments

Prabhash Subasinghe has served as a former Chairman of the Sri Lanka Export Development Board (EDB).

BOARD OF DIRECTORS

SRIYAN DE SILVA WIJEYERATNE

Executive Director

✔ Appointed

October 2020

🎯 Skills and Experience

Sriyan de Silva Wijeyeratne counts for more than 25 years of highly diverse experience in senior management. He was awarded the CIMA Business Manager of the Year and he is also involved in many Chambers and local and global charities.

He holds a First Class Bachelor's Degree in Business Administration from the University of Sri Jayawardenapura, a Master's degree from the University of Sri Jayawardenapura, and received Executive education at many global institutions including INSEAD and CCL.

He is a Fellow member of CIMA, UK, and is also a CGMA.

During his tenure as Managing Director / CEO of Teejay Lanka PLC, which is one of the S&P Top 20 Companies, was recognised as a Winner of Forbes "Asia's 200 Best under a Billion Dollar Company" and won the World Textile Awards "Firm of the Year".

Sriyan de Silva Wijeyeratne was, for several years, on the International Board of Youth Business International, which is one of Prince Charles' Charities based out of UK, and has served on several local Boards.

He is a frequent speaker at leading forums locally and Internationally. He was also listed on the CIMA Top 50 Business Icons in 2021.

🎯 Previous Appointments

- Managing Director / CEO of Teejay Lanka PLC
- Group CEO of Abans
- Country Manager of Microsoft
- Director Marketing and Sales of Suntel
- Brand Manager at Nestle
- Chairman of the Employees Trust Fund Board
- President of the Wildlife and Nature Protection Society

BOARD OF MANAGEMENT

KASTURI C. WILSON

Chief Executive Officer (CEO)

Executive Director

✔ Please refer Board of Directors Profiles on Page 19

SRIYAN DE SILVA WIJEYERATNE

Executive Director

✔ Please refer Board of Directors Profiles on Page 22

LAKITH PEIRIS

Managing Director – Hemas Hospitals (Private) Limited

✔ Dr. Lakith Peiris is the Managing Director of Hemas Hospitals and the Laboratory Chain. He also provides direction to Hemas Group corporate affairs.

Dr. Lakith Peiris is a well-known leader in the healthcare industry. During his tenure as the CEO of Lanka Hospitals (previously known as Apollo) for over seven years, he played a key role in turning around and leading it to become one of the most successful hospitals in the country.

As the Managing Director of the Hemas Hospitals and Laboratory chain, he has transformed Hemas Hospitals from a secondary care hospital chain serving an underserved population living outside Colombo to a tertiary facility to become one of Sri Lanka's fastest growing hospitals and laboratory chain.

He has had more than 25 years of experience in top management as the head of the organisation at a host of healthcare related MNCs and Sri Lankan enterprises including B|Braun Asia Pacific, Lifeserv and ConvaTec A Bristol Myers Squibb Company of USA amongst others. He has introduced many international pharmaceutical, medical devices and surgical agency lines to Sri Lanka during his career in the pharmaceutical industry.

An old boy of St. Thomas' College, Mount Lavinia, he holds a Doctorate in Business and Management from Malaysia

and a Master's Degree in Business Administration from the University of Western Sydney, Australia. A Certified Professional Marketer from the Asia Pacific Marketing Federation and holds a Postgraduate Diploma in Marketing from the Sri Lanka Institute of Marketing. He has memberships in a long list of professional Associations and Federations.

He is the currently the Chair for the Health sector in the Singapore-Sri Lanka Business Council.

Dr. Lakith Peiris is a member of the Private Health Services Regulatory Council and also serves the Regulatory Council in various sub-committees to date.

He was the Chairman of the Advisory Committee on Wellness Tourism of the Export Development Board of Sri Lanka under the Ministry of Development Strategies and International Trade through a special Gazette. He spearheaded the articulation of the national strategy on Wellness Tourism, one of the six sectors identified by the previous government of Sri Lanka under the National Export Strategy of Sri Lanka. He has actively contributed to uplift the Sri Lankan Health Industry as an emerging health hub in the region for medical tourism.

Dr. Lakith Peiris is the immediate past President of the Association of Private Hospitals and Nursing Homes (APHNH). Established in 1972, the APHNNH represents all the country's private hospitals and nursing homes.

Dr. Lakith Peiris was appointed by the Ceylon Chamber of Commerce as the 'Lead' to formulate the 2025 Health Sector strategy in contributing to the Sri Lanka Economic Acceleration Framework 2020-2025 roadmap which was launched at the Economic Summit in September 2019 in a bid to grow the Sri Lanka economy from US\$ 89 billion in 2018 to US\$ 134 billion in 2025. He was also the lead in crafting the post-COVID recovery plan for hospitals, pharma imports and pharma manufacturing that was presented to the Government of Sri Lanka by the chamber.

ASITHA SAMARAWEEERA

Managing Director – Atlas Axillia Company (Private) Limited

✔ Asitha Samaraweera currently is the Managing Director of Atlas Axillia Co. (Private) Limited, a leading company in school and office stationery.

Before his current role he counts over 12 years of experience in leading FMCG businesses both in Sri Lanka and overseas. Asitha was the CEO of CBL Cocos (Pvt) Ltd, and CBL Global Foods, both subsidiaries of Ceylon Biscuits Limited, before joining Atlas Axillia (Pvt) Ltd.

Prior to his role at CBL, Asitha headed IFFCO (Frozen Foods) and GFI – leading Dubai-based FMCG companies for six years.

Prior to his stint in the Middle East, he served as CEO of Keells Food Products and Vice President at John Keells Holdings PLC. Keells Food Products PLC is the leading processed food manufacturer and marketer in Sri Lanka.

Asitha Samaraweera began his career with Nestlé joining as a management training and rising in the ranks in the marketing arena. In his career in marketing he was involved in many successful campaigns which included Nestomalt's defeat of Powermalt, which is now a well-know case study.

He has a background in Marketing with an MSc in International Accounting and Finance, London School of Economics one of the leading universities in the world. He also has a BSc in Business Administration, Washington University, St Louis, MO, USA. His schooling was at St. Thomas' College, Mount Lavinia.

BOARD OF MANAGEMENT

ZALMI FAZEEL

Group Chief Financial Officer

✔ Zalmi Fazeel has served as an Executive Vice President heading the finance, legal and IT operations of Saudi Cable Company, Saudi Arabia between 2013 and 2017. He served at the Savola Group, Saudi Arabia, between 2000 and 2013 in various roles, including that of Executive Director-Group Treasury, Chief Financial Officer of Edible Oil Subsidiaries, Head of Finance and IT at the United Sugar Company, and Head of Finance Shared Services.

He started his career at Pfizer Sri Lanka currently known as Astron Limited, in 1984. He was appointed to the Board of Pfizer Sri Lanka in 1992 and subsequently Astron in 1993, which position he held until he moved to Saudi Arabia in January 2000. He was an independent Board member and Chaired the Audit committee of Hemas Hospitals (Pvt) Limited, from March 2017 to July 2018. At present he serves on the Boards of a number subsidiaries of the Hemas Group, whilst heading the Group Finance and Treasury divisions of HHL. He is a Fellow of the Chartered Institute of Management Accountants (UK).

Mr. Zalmi Fazeel was appointed as the Group Chief Financial Officer of Hemas Holdings PLC with effect from 1st September 2018.

RUWANI HETTIARACHCHI

Chief Growth Officer

✔ Ruwani Hettiarachchi leads Growth and Mergers and Acquisition for Hemas Holdings. Prior to her role in Hemas, Ruwani was the CEO and Founder of Vox and Co. a boutique strategy consultancy firm where she helped local and foreign investors navigate the Sri Lanka for greenfield investments and acquisitions in healthcare, education, agriculture and industrials.

She was also the Head of Research and Consulting at Stax, a U.S. based strategy consulting firm for six years where she worked in commercial due diligence for private equity leveraged buyouts across multiple verticals including healthcare, financial services, industrials and energy and education.

Ruwani Hettiarachchi is on the board of Healthnet (Pvt) Ltd and has a particular interest in universally accessible, affordable healthcare. She previously served on the board of Colombo Academy of Hospitality Management at SLIIT. Ruwani Hettiarachchi has an MA in Economics from the University of Edinburgh.

JUDE FERNANDO

Managing Director- Hemas Pharmaceuticals (Private) Limited

✔ Jude Fernando joined Hemas Pharmaceuticals in August 2020. Prior to re-joining Hemas he served as the Director/ Chief Executive Officer of Janashakthi Insurance PLC since 2014. He brings with him over 26 years of experience in senior positions across the fields of Finance, Supply Chain Management, Sales and Marketing, and International Marketing, including the roles of Director/CEO of Janashakthi insurance PLC, Director/ CEO Kotmale Holdings PLC, and Executive Director – Sales and Distribution for Cargills Manufacturing Brands. He has served on the Boards of Dunamis Capital PLC, Kelsey Homes, and First Capital Holdings PLC. He held the position of Director Supply Chain of Hemas Manufacturing prior taking up the role of Director/ CEO post at Kotmale PLC in 2008.

An Accountant by profession, Jude Fernando holds an MBA from the University of Wales and is a Fellow Member of the Chartered Institute of Management Accountants (UK), a Chartered Global Management Accountant (UK), a Fellow Member of the Association of Certified Chartered Accountants (UK) and a Member of the Chartered Institute of Marketing (UK). He also has completed the Executive Leadership Development programmes at the Stanford Graduate School of Business and at INSEAD.

DINESH ATHAPATHTHU

Managing Director – Morison Limited

✔ Dinesh Athapaththu is the Managing Director of Morison Limited. He is a Fellow member of the Chartered Institute of Management Accountants (UK) and has Bachelor of Science degree from the University of Kelaniya. He also completed his MBA from the same university.

He joined Morison Limited in 2016 as Director Finance and Commercial and appointed as the Chief Operating Officer in 2019.

Dinesh has over 15 years of experience in local and international business. Dinesh Athapaththu started his career at Brandix as a Cost Executive and progressed up to be the Finance Controller at Brandix Textile Ltd. He held positions of Financial Controller and regional Financial Controller for Indonesian-based plantations of Good Hope Asia Holdings from 2010 to 2016.

Dinesh is a member of the Executive Committee of the Sri Lanka Chamber of Pharmaceutical Industry and represents the Engagement Committee of the Sri Lanka Pharmaceutical Manufacturing Association.

RAVI JAYASEKERA

Chief People Officer

✔ Ravi is responsible for all HR and people related matters across the Hemas Group as its Chief People Officer. He joined Hemas Holdings in March 2022.

Ravi was the Vice President HR at Union Bank of Colombo PLC immediately prior to joining Hemas and brings with him over 20 years of senior management experience in Human Resources.

Prior to joining Union Bank, Ravi held multiple senior management roles in Human Resources both in Sri Lanka and overseas with Multinational Banks.

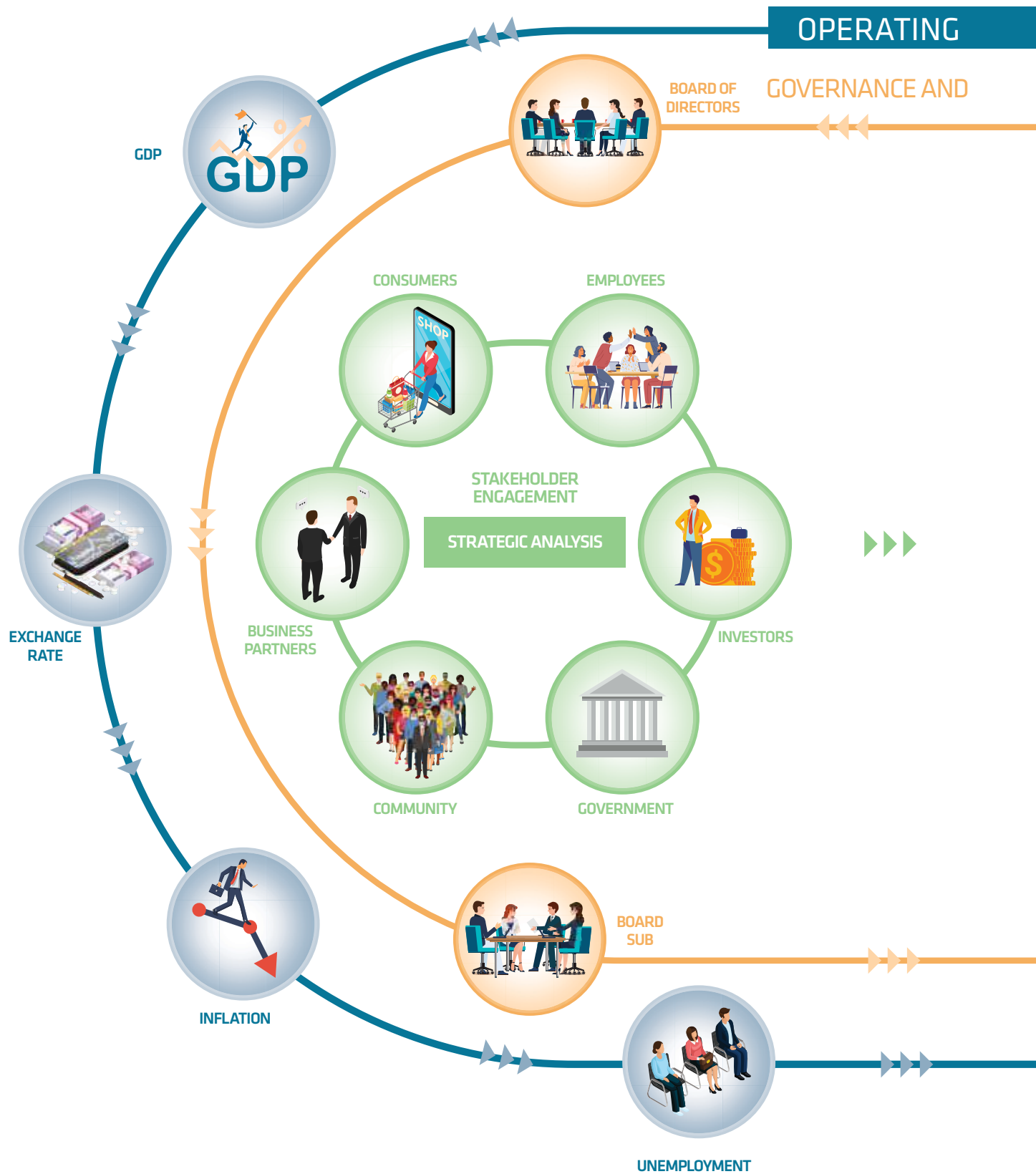
During the period 2004 to 2014, He worked at HSBC as it's Head of HR for Sri Lanka and Maldives, Head of HR for HSBC Australia, Head of HR for Mauritius and Senior Manager Group HR for Retail Banking and Wealth Management based in Hong Kong.

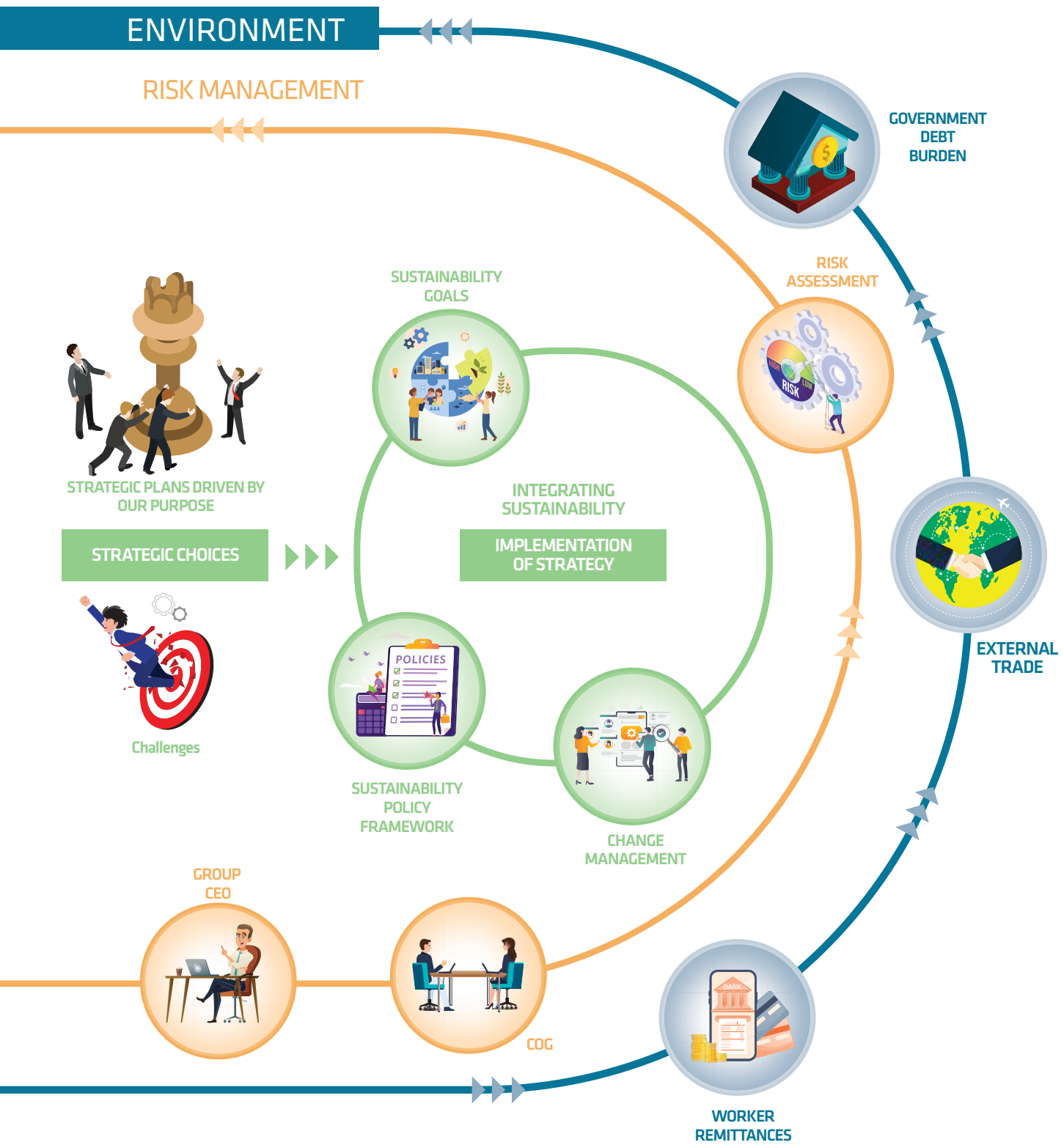
Prior to joining HSBC in 2004, Ravi worked at Standard Chartered Bank and Standard Chartered Grindlays Bank in several HR roles which included HR Operations, Employee Relations, Industrial Relations and Compensation and Benefits. Ravi started his career with ANZ Grindlays Bank in 1995 and worked in Information technology and Credit Cards business prior to moving to a career in Human Resources.

Ravi is a past pupil of Royal College, Colombo and holds a MBA from the University of Western Sydney, Australia.

STRATEGIC REPORT

CREATING VALUE





STRATEGIC REPORT

BUSINESS MODEL

Group Purpose

Making healthful living happen because we believe every family deserves a better tomorrow

STRATEGY

INPUTS



FINANCIAL CAPITAL

- Total Equity - Rs. 36.5 billion (FY 2020/21 - Rs. 33.4 billion)
- Total Debt - Rs. 6.6 billion (FY 2020/21 - Rs. 7.0 billion)
- Total Debt - USD 22.0 million (FY 2020/21 - USD 35.1 million)
- Centralised Treasury Function
- Disciplined Financial Planning
- Group Investment Planning and Asset Management Strategy
- Group Liquidity Management Strategy
- Group Risk Management Framework
- Clean Energy Investments



MANUFACTURED CAPITAL

- High-tech manufacturing infrastructure producing a range of personal care products
- Sri Lanka's largest stationery manufacturing facility
- Internationally accredited hospital chain
- Internationally accredited diagnostics facility
- Sri Lanka's largest private pharmaceutical manufacturing plant
- Best in-class distribution networks



INTELLECTUAL CAPITAL

- Hemas Brand Equity
- Brand Portfolio of FMCG and Learning Products
- Registered Trademarks Certificates and Licenses
- ERP Systems
- e-learning platform
- Accounting and Administrative Systems
- Knowledge and expertise of employees
- Research and Development capabilities
- Strategic partnerships



HUMAN CAPITAL

- 5,494 employees
- HR Governance and Compliance
- Talent Management Framework
- Occupational Health and Safety Management Standard
- Employee Wellness initiative
- Parental leave policy
- Regular performance and career development reviews



NATURAL CAPITAL

- Environmental Policy
- Group Environmental Agenda 2030
- Environmental Compliance
- Environmental best practices including ISO 14001 Environmental Management System
- Emission Measurement Process
- Investment in Renewable Energy



SOCIAL AND RELATIONSHIP CAPITAL

- Product Responsibility Framework
- Customer Experience Management
- Long standing relationships with leading global principals
- Extensive supplier networks (Local and Overseas)
- Distributor networks with island-wide coverage
- Local community engagement, impact assessment and development programmes

CORPORATE GOVERNANCE FRAMEWORK

Core Business Activities



Consumer Brands



Healthcare



Mobility



Information Technology



Legal and Governance



Sustainability and Corporate Communications



Risk Management



Strategy



Financial Management



Human Resource Management



Investor Relations

Support Services

External Environment

Opportunities and Challenges

OUTPUTS FOR THE GROUP

- Higher captive market share in established markets
- Leadership in new and emerging markets through the release of first-to-market products
- Consistent financial performance
 - PAT - Rs. 4.8 billion (FY 2020/21 - Rs. 4.1 billion)
 - PBT - Rs. 6.6 billion (FY 2020/21 - Rs. 5.7 billion)
 - Earnings Margin - 6.1% (FY 2020/21 - 6.4%)
 - Interest Cover - 13.9 times (FY 2020/21 - 9.5 times)
 - ROCE - 17.2% (FY 2020/21 - 15.7%)
 - ROA - 6.9% (FY 2020/21 - 6.5%)
 - Working Capital Cycle - 36.03 days (FY 2020/21 - 57.69 days)
- Issuer rating of AAA independently reaffirmed by Fitch (third consecutive year)
- Top-of-mind brand recall
- Lower employee attrition
- Highly engaged and motivated employees leading to improved productivity
- Group profile as an employer of choice
- Ability to attract and retain best-in-class talent to assure a reliable and sustainable talent pipeline
- Sustainable supplier and distributor networks to support continuity of the operations
- Strong compliance record with regulators
- Respect of the community

STAKEHOLDER OUTCOMES



Shareholders

- ROE - 12.3% (FY 2020/21 - 10.9%)
- Dividend Per Share - Rs. 4.35 (FY 2020/21 - Rs. 0.40)
- Net Asset Per Share - Rs. 59.23 (FY 2020/21 - Rs. 53.47)



Customers

- Comprehensive and market leading range of Consumer and Healthcare products
- New product innovations
- Island-wide product availability
- Uninterrupted access to leading global pharmaceutical products
- Access to world class healthcare and diagnostic services
- Freight solutions to facilitate better trade links



Employees

- Contribution to ETF - Rs. 98.4 million (FY 2020/21 - Rs. 93.2 million)
- Contribution to MSPS/EPF - Rs. 404.7 million (FY 2020/21 - Rs. 377.6 million)
- Gratuity and total benefit provision - Rs. 991.7 million (FY 2020/21 - Rs. 1.0 billion)
- Gender Balance - 30.2% (27.9% -2020/21)
- An inclusive work culture
- Equal access to training and career development opportunities throughout the employment lifecycle
- Flexible work practices for better work-life balance



Business Partners

- Long standing relationships for mutual benefit
- Opportunities to benefit from shared growth
- Fair business terms
- Benefits through knowledge sharing



Regulators

- Taxes Paid - Rs. 1.8 billion (FY 2020/21 - Rs. 1.4 billion)
- Participation in industry development initiatives
- Contribution towards formulation of national policy



Community and Environment

- Reduced socioeconomic inequalities
- Equal access to education
- Support for differently abled communities
- Support for small businesses through local sourcing
- Emissions of 19,637 MT CO₂ equivalents (FY 2020/21 - 16,798 MT CO₂)
- Waste Recycled, Reused, Recovered - 59% (FY 2020/21 - 38%)

STRATEGIC REPORT

OPERATING ENVIRONMENT

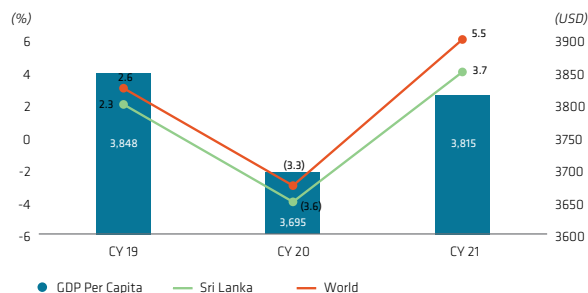
GLOBAL ECONOMY

In 2021, the global economy gathered momentum, reporting a growth of over 5% as nations across the world witnessed an ease of pandemic-related lockdowns and resumption of trade activities.

Advanced economies staged a stronger recovery supported by pre-COVID-19 strengths and the cautious policy approaches adopted during the pandemic. As economies recovered from COVID-19, demand for key commodities such as oil, metal and food increased, resulting in price hikes. Sharp increases in shipping costs and disruption to supply chains caused by the pandemic added to the cost pressures. Recovery in emerging economies was seemingly more subdued owing to slower progress in vaccination, limited policy response, rise in global prices of key commodities accompanied by supply chain constraints and the long-term spillover effects of the pandemic.

The gradual recovery in global tourism was a welcome sign indicating improved prospects for the global economy and for tourism-reliant emerging market economies.

► GDP Growth Rate World vs Sri Lanka



SRI LANKAN ECONOMY

Recovering from the pandemic-induced downturn in 2020, the Sri Lankan economy rebounded in the early part of 2021. The gradual easing of COVID-19 restrictions, aided by the vaccination programme roll out contributed to the broad-based recovery of economic activity, enabling the country to achieve a Gross Domestic Product (GDP) growth of 3.7% in contrast to the 3.6% contraction reported in 2020.

The sharp decline in foreign remittances and receipts from tourism industry post COVID-19 accompanied by the escalating foreign debt payments and policy changes resulted in the

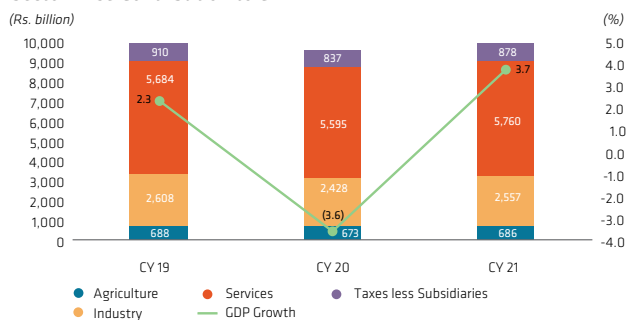
country being faced with new challenges in the form of debt sustainability, foreign exchange liquidity, currency volatility and high inflation in the latter part of 2021. The credit rating of the country was downgraded in multiple occasions by global rating agencies and by March 2022 the country was in a precarious position that raised doubt on the economic stability.

At present, Sri Lanka is in the process of restructuring the foreign debt and pursuing a formal programme with the International Monetary Fund (IMF) to seek solutions to the socio-economic problems faced.

Gross Domestic Product

The Sri Lankan economy grew by 3.7% in real terms in 2021, supported by robust growth across all key sectors. The Agriculture Sector reported 2.0% growth, while the Industry Sector grew by 5.3%. The Services Sector rebounded strongly to record 3.0% growth in 2021, compared to the muted 1.6% in 2020.

► Sector Wise Contribution to GDP



In nominal terms, the Sri Lankan economy recorded a growth of 11.9% in 2021, compared to the sluggish expansion of 0.2% in 2020. Accordingly, the overall size of the economy expanded to USD 84.5 billion in 2021 from USD 81.0 billion in the previous year while the per capita GDP edged up to USD 3,815 in 2021 from USD 3,695 in 2020.

IMPACT ON HEMAS

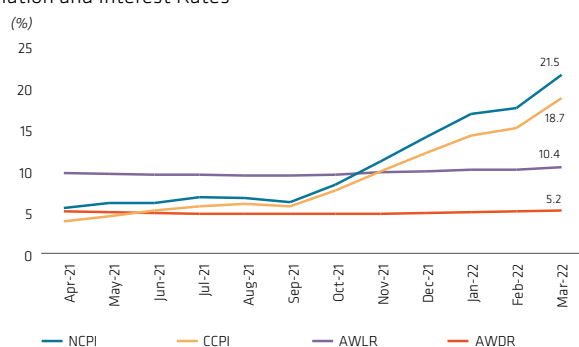
Strong positions in defensive sectors such as consumer essentials and healthcare services enabled the Group to capitalise on the revival of economic activity.

Inflation and Interest Rates

Inflation increased in 2021, influenced by month-on-month acceleration in the second half of the year. Headline inflation, measured by the National Consumer Price Index (NCPI, 2013=100) and the Colombo Consumer Price Index (CCPI, 2013=100) denoted a sharp increase over 2020 primarily driven by global and domestic supply side pressure, the surge in global commodity prices and upward revisions to administered prices of essential items.

Core inflation also reported an increase, largely due to the lingering effect of the accommodative monetary policy framework in the country.

► Inflation and Interest Rates



Meanwhile, in a bid to arrest inflationary pressures key policy interest rates were increased in mid-August 2021. After historical lows in 2020, the Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR) were increased by 50 basis points each, the most significant hike in over eighteen months. Consequently, the SDFR increased to 5% and the SLFR reached 6%. The upward trend in interest rates has since continued into 2022, reaching a ten-year record high in March 2022.

IMPACT ON HEMAS

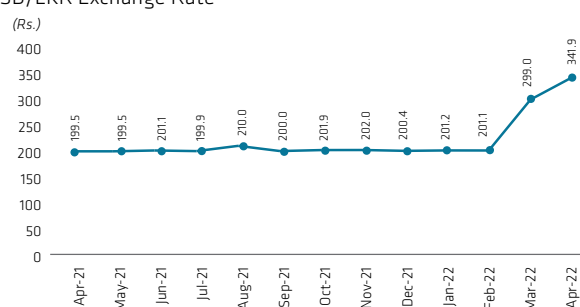
The decline in consumer purchasing power had a minimal effect on the product portfolio as it consists primarily of essential and near essential products and services. Strict cost optimisation measures coupled with digital and efficiency improvement initiatives enabled the management of inflationary pressure. The Pharmaceutical Distribution and Manufacturing Segments however continued to be affected by the price control regime.

Impact of high interest was minimal due to the Group's strong liquidity and low gearing position.

Exchange Rate

The Sri Lankan Rupee remained broadly stable throughout 2021 and in the early part of 2022, supported by CBSL intervention to stabilise the USD/LKR in the range of 200-203. However, a culmination of a series of economic shocks prompted the Central Bank in March 2022 to allow greater flexibility in the determination of the exchange rate and relieve the pressure on the external sector. Consequently, the Sri Lankan Rupee, which depreciated by a mere 7% in 2021, plummeted 33% to hit a record low of Rs. 299 against the USD by end-March 2022.

► USD/LKR Exchange Rate



IMPACT ON HEMAS

The Consumer Brands and Healthcare Sectors were impacted by the high cost of imported raw materials and year end marked-to-market revaluation of foreign assets and liabilities.

STRATEGIC REPORT

OPERATING ENVIRONMENT

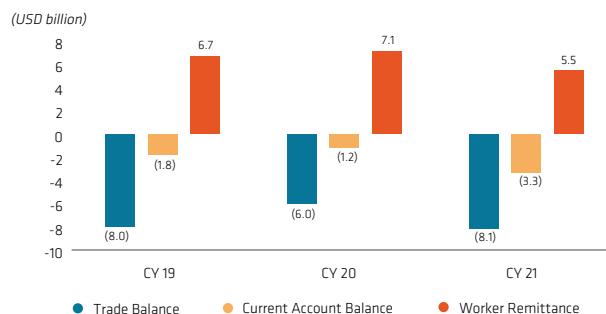
External Trade

In 2021, Sri Lanka's external sector weakened considerably amidst the unprecedented depreciation in the Rupee and limited inflows to the financial account along with depleting Gross Official Reserves (GOR) due to the mounting debt servicing commitments.

The current account deficit further worsened on the back of higher import expenditure. Increased import expenditure is attributed to a combination of factors consisting of the resumption of economic activity on top of a sharp escalation in global commodity prices, including prices of fuel, and the relaxation of some of the restrictions on importation of non-essential goods.

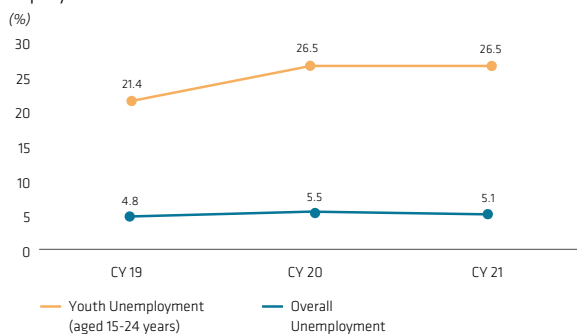
With these developments, the deficit in the external current account expanded significantly to USD 3.3 billion in 2021 (4.0% of GDP), compared to USD 1.2 billion in 2020 (1.5% of GDP).

External Trade



Unemployment

Unemployment as a % of Labour Force



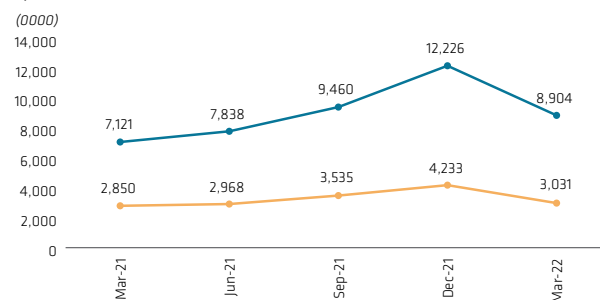
Sri Lanka's unemployment rate declined to 5.1% in 2021 from the 5.5% in the previous year. However, the overall unemployment rate remains above the pre-pandemic levels. The Agriculture and Industry Sectors contributed 27.3% and 26.0% respectively to the country's employment mix, while the Services Sector accounted for the largest share of 46.7%.

Capital Markets

Driven by domestic investments the equity market reported exceptional performance for the year 2021 despite multiple challenges faced by the economy. Average daily turnover for the year 2021 increased by 157.4% to reach Rs. 4.9 billion year-on-year, from Rs. 1.9 billion recorded in 2020. Towards the latter part of 2021, the market witnessed high volatility with multiple global foreign funds and individual investors exiting the country on the back of economic and political instability. CBSL laws on repatriation coupled with general market sentiment on lower real returns adversely impacted the capital markets. Year 2022 saw high volatility specially since February 2022, with investors losing confidence due to multiple trading halts, steep Rupee depreciation, challenges surrounding Government debt sustainability and mixed sentiments of opting for an IMF

programme. Consequently, by the end of March 2022, the All-Share Price Index (ASPI) and Standard and Poor's Sri Lanka 20 (S&P SL 20) index recorded a quarter-on-quarter degrowth of 27.2% and 28.4% respectively.

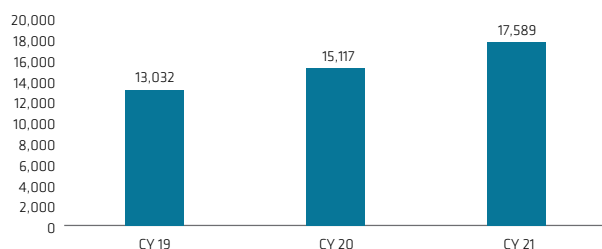
Capital Market Performance



Government Debt

Central Government Debt

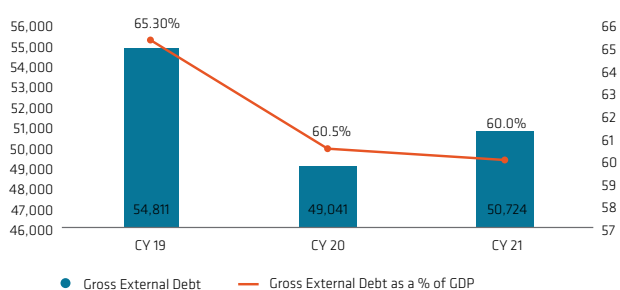
(Rs. billion)



Sri Lanka's public debt has risen from Rs. 13.0 billion in 2019 to Rs. 17.6 billion, exceeding 100% of country's GDP in 2021. Continuously rising debt burden has continued amidst declining foreign inflow and had serious repercussions on the Country's foreign reserves. As of March 2022, Sri Lanka's foreign reserves were at USD 1.9 billion covering approximately 0.8 months of exports. Fueled by heightened concerns regarding the ability to service debt commitments amidst depleting foreign reserves, the Government announced its intentions to not service the external public debt with effect from April 12, 2022.

External Debt Position

(USD million)



Consequently, International Rating Agencies downgraded Sri Lanka's long-term credit rating in multiple instances over the past few months.

Sources: CBSL AR 2021, Colombo Stock Exchange and World Economic Prospects

2021 (World Bank Report)

*CY - Current Year

STRATEGIC REPORT

SRI LANKAN ECONOMIC ROAD MAP

(January 2021 to April 2022)



International Reserves \$ 4.8 Billion
Official USD/LKR 194.4

- Central Bank's Road Map was announced
- COVID-19 vaccines were administered to front-line workers
- Heightened pressure on exchange despite import restrictions

January 2021



International Reserves \$ 4.0 Billion
Official USD/LKR 199.5

- Economy continued to face challenges with COVID-19
- Island-wide successful rollout of the vaccination programme
- USD 200 million SWAP secured from Bangladesh

May 2021

Multiple economic challenges including,

- Easter Sunday attacks in 2019
- COVID-19 since 2020
- Government debt surpassing 100% of GDP
- CBSL maintaining policy rates in the lower levels
- High Government intervention to exchange rates
- High pressure on Government debt servicing
- CBSL opting for continuous money printing

March 2021

International Reserves \$ 4.1 Billion
Official USD/LKR 199.0

- USD 1.5 billion SWAP secured from China
- Imposed a ban on edible palm oil imports



July 2021

International Reserves \$ 2.8 Billion
Official USD/LKR 199.9

- Fuel prices increased for the first time in nearly two years
- Maha season impacted by the chemical fertiliser ban
- Supply side driven inflation (year-on-year NCPI 6.8%)
- ISB payment of USD 1 billion met

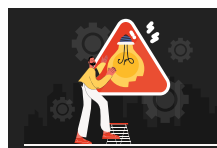




International Reserves \$ 2.6 Billion Official USD/LKR 200.0

- Low dollar liquidity in the market, CBSL continues to manage the exchange rate
- Inflation reaches CBSL upper band of 6%
- Banking system exchange reaching over USD/LKR 225

August to September 2021



International Reserves \$ 2.4 Billion Official USD/LKR 201.2

- CCPI Food Inflation over 20%
- Lower remittances via official channels given high parallel market rates
- Discussions with WB and ADB for potential restructuring of upcoming payments
- Fitch downgrades Sri Lanka's Long-Term Foreign-Currency Issuer Default Rating (IDR) to 'CC', from 'CCC'
- Fuel prices saw multiple adjustments amidst increasing global prices
- Challenges in meeting the electricity and fuel demand

December 2021 to January 2022



International Reserves \$ 1.8 Billion Official USD/LKR 341.9

- Multiple political reforms amidst rising pressure from the civilians
- Sri Lanka announces that it will not service external public debt with effect from 12th April, 2022
- Discussions with IMF continues
- Key policy rates increased by 700 basis points to manage inflation
- Inflationary pressure continues
- Fiscal deficit reached over 12% of GDP
- Fitch downgrades Sri Lanka's Long-Term Foreign-Currency Issuer Default Rating (IDR) to 'C', from 'CC'

April 2022

October to November 2021

International Reserves \$ 1.6 Billion Official USD/LKR 202.0

- Moody's downgrades Sri Lanka's sovereign rating to Caa2 from Caa1
- Introduced the Government Budget for 2022
- New rule gazetted for the repatriation of export proceeds in Sri Lanka
- Chemical fertiliser ban revised
- Inflationary pressure continues



March 2022

International Reserves \$ 1.9 Billion Official USD/LKR 299.0

- Currency controlled at USD/LKR 230 subsequently free floated
- Scheduled power cuts continued to increase with shortage of fuel
- Public queues in fuel stations amidst the fuel shortage
- IMF support confirmed
- Key policy rates increased by 100 basis points



Way forward

- Discussions for a holistic long-term IMF programme
- High emphasis on fiscal discipline
- Funding lines from bi-lateral and multi-lateral partners
- Greater focus on maintaining political stability
- Credit lines and SWAP funding in 2022 to ensure continuous supply of essentials
- Multiple reforms to improve balance of payment and build foreign reserves
- Reforms to bridge the fiscal deficit

STRATEGIC REPORT

BUILDING A RESILIENT STRATEGY

The Group's strategic direction is driven by its purpose and vision. The purpose of the Group is to 'Make healthful living happen' as we believe every family deserves a better tomorrow, while we envision to be 'A truly Sri Lankan Consumer and Healthcare Group, that enriches lives'. Hemas aims to achieve its vision by building strong consumer brands and innovative healthcare solutions while taking the best of Sri Lanka to international markets.

The Group constantly strives to align the growth spaces in the economy, both current and future, with its natural 'right-to-play'. To unlock growth and value in the medium term, each business will focus on four pillars: 'core businesses', 'new businesses within the core', 'adjacencies' and 'productivity and efficiency'. Capital and resource allocations are prioritised and deployed based on the identified role of each business within the portfolio.



Consumer Brands

Consumer Brands Sector



Home and Personal Care

Driving market share growth across categories would be a key strategic priority for the Home and Personal Care Business. Creating strong purpose-led brands that are closer to consumer hearts would be a key focus area. The Business will ensure heightened focus on productivity and efficiency to drive margins.

Learning Segment

As the market leader, the Learning Segment would strive to strengthen the market position through driving customer loyalty, innovation and premiumisation strategies.



Healthcare

Healthcare Sector



Pharmaceutical Distribution

Maintaining the market leadership position by scaling up route-to-market, channel excellence and introducing pioneering drugs would be key strategic priorities for the Pharmaceutical Distribution Business. The use of digital has been identified as a key enabler.

Pharmaceutical Manufacturing

Driving capacity utilisation and enhancing manufacturing capabilities would be key priorities for the state-of-the-art plant in Homagama. Building a private generic brand, introducing new products and establishing contract manufacturing partnerships have been identified as key strategic imperatives.

Hospitals

A key strategic priority for the Hospitals Business is to increase capacity utilisation by driving higher footfalls and conversions. Moreover, building depth and scale of identified anchor and super specialties, coupled with geography expansion are envisaged.



Mobility Sector



Mobility Sector

Invest into the logistics space is a key priority in the Mobility Segment. Digitalisation would be used as an enabler to develop and optimise an integrated, digital platform to provide end-to-end supply chain solutions, driving value added services.

In addition to the portfolio priorities identified above, following are some of the key strategic initiatives being pursued by the Group to achieve its short, medium and long-term objectives.



Accelerating the international business growth has been identified as a key strategic priority for the Group. Portfolio expansion in Bangladesh will be pursued to capture the immense growth potential. The Home and Personal Care and Learning Segments will continue to grow their export footprint through product and geography expansion.



Expanding into new business verticals is seen as a key strategic growth pillar. The Group constantly scans the external environment for emerging trends in spaces where there is a natural 'right-to-play'. Strategic investments into attractive spaces in the Consumer Brands and Learning Segments will be actively pursued.



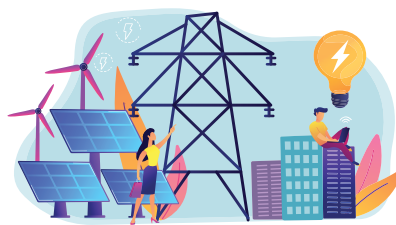
The Group firmly believes that digital transformation will be a key part of value creation and would play a vital role across businesses. Remodeling healthcare to create value for patients, driving efficiencies, using data across all healthcare businesses to understand trends and facilitate decision making would be key objectives of the digital transformation in healthcare. In the Consumer Brands Sector and Pharmaceutical Distribution, we believe digital transformation would unlock value in our sales teams, understand consumption patterns and drive supply chain efficiencies.

STRATEGIC REPORT

BUILDING A RESILIENT STRATEGY



To achieve its vision, the Group has embarked on building talent and capabilities, and driving an enabling culture for employees to perform. Key capabilities and enablers would be to build teams that are willing to experiment, who are collaborative and teams that understand consumers better than competition. Young leadership development would be a critical success factor for sustained growth of the Group.



The Group would strive to strengthen its Environment, Social and Governance agenda. On environment, the Group will focus on the responsible plastic manufacture and disposable practice, safeguarding our environment and protecting our natural resources. On the social front, the focus would continue to be on creating an inclusive world and eliminating inequality in our communities. The Governance framework would continue to be strengthened.

SUSTAINABILITY INTEGRATION

Placing great importance on sustainable development, the Group firmly believes that its financial performance and brand image are closely linked with sound corporate governance, product and service excellence, environmental stewardship, and social responsibility.

As a result, the Group strives to minimise its operational impacts through the entrenchment of responsible business practices and the monitoring of key sustainability performance indicators. The following section of this Annual Report details the steps taken and methodologies adopted by the Group in embedding sustainability within its operations.

SUSTAINABILITY AT HEMAS

The Group's Sustainability Policy is based on the overall impact of the organisation's operations on the three components of sustainability: Environment, Society, and Economic, with the Corporate Governance framework and Enterprise Risk Management function as the foundation of these three components. At Hemas, sustainability is brought to life through a working culture that embraces sustainability as a natural choice. The Group inculcates sustainability into its day-to-day operations through learning, sharing, collaborating and reinforcing. The Group believes sustainability should be a way of life that permeates into every single business process and strategic decision.

The Group's overarching Sustainability Policy and management framework has been developed after taking into consideration the results of an annual internal materiality assessment and external independent stakeholder engagement exercise undertaken by the Group in 2018.

The Group Sustainability Policy, consisting of policies on environment, society and economy, embeds the Precautionary Principle wherein the Group commits to take preventative action in the face of uncertainty to prevent potential risk and associated impact to its stakeholders and

environment. Being a predominantly manufacturing organisation, the Group focuses significantly on the human rights of its workforce and as a result, the Group Human Resources policies, processes, and practices are fully in adherence to Sri Lanka labour regulations which are aligned to the International Labour Organisation (ILO), guaranteeing the respect of human rights of its workforce.

Third party contract manufacturing operations undertaking dedicated production for the Group are audited by the respective businesses on the adherence to Sri Lanka labour regulations, environmental compliance and health and safety practices in their factories. The Group's Supplier Code of Conduct and its policy on supplier assessments on their environmental and social compliances also form part of the Group's efforts to encourage third parties with business relationships to align to the Group's sustainability and other related policies.

All Group policies including the Sustainability Policy, Environmental Policies, Economic Policies, Labour Policies, Product related policies and Health and Safety Policies are approved and ratified by Group CEO and the Board of Management. Commitment to these policies, the manner of implementation and handling any grievances are implemented as part of the business specific management process and is contained in the Disclosures of Management Approach which is hosted on the Group website www.hemas.com. However, certain policy commitments relating to Group Human Resources policies are confidential in nature, and are not considered a public disclosure by the Group. These policies are available to employees through the Group Intranet or by contacting their respective HR divisions. All employees of significant sectors at the time of induction signs the 'Hemas Way' document, the Group's code of conduct which provides guidance on Hemas' ethical standards and culture. The Group's sustainability, community and Hemas Outreach Foundation initiatives are aligned to the United Nations Sustainable

Development Goals and have been ratified by the Board of Management of the Group.

The Group has in place processes to identify and remediate any negative impacts of its operations has on the environment, society, and employees. During the year, the Group formulated an environmental agenda which focuses on initiatives that promote the responsible plastic consumption, safeguarding our eco system and protecting our natural resources. A grievance handling mechanism is in place for all employees which includes suggestion boxes, joint consultative committees and employee surveys. In addition, each business has dedicated senior team members/ members who focus on formal and informal stakeholder engagement to understand and if needed rectify any grievances of the communities in and around its operation areas. Each grievance is reported to the relevant division within the Group for necessary action, and senior leadership teams are informed of the same. Thereafter, the relevant team members engage with the grievance party to ensure that their concerns have been addressed in a satisfactory manner and where practically possible confirmation is sought from the stakeholder.

As a policy, each year the Group obtains external assurance on its financial and non-financial disclosures that are included in the Group Annual Report through a reputed accounting body. The sustainability assurance statement for the Group Annual Report 2021/22 is included on page 245 and the statement stipulates how the assurance was undertaken, the assurance standard used and the level of assurance obtained by the Group.

The Group has in place management approaches supported by Key Sustainability Performance Indicators (KSPIs) to support the implementation of its sustainability policies. This enables the Group to identify, measure, track and report, and as a result mitigate the environmental, social and governance (ESG) risks arising from the identified

SUSTAINABILITY INTEGRATION

material sustainability topics. The performance of each of the Group's material topics and the manner in which they contribute to value creation to each of the six capitals of; Financial Capital, Manufacturing Capital, Intellectual Capital, Natural Capital, Human Capital and Social/ Relationship Capital, are contained in the Integrated Group Review sections of this report. While the Management Approach Disclosures are summarised within the relevant capital reports, the full text of the management approach is hosted online on the Group website.

The Group has also developed Standard Operating Procedures (SOP) for each material sustainability topic to ensure consistency, accuracy and completeness of data and conducts regular training to familiarise the Sustainability Champions and users of the Policies, Management Approaches and SOPs.

The Hemas sustainability management framework enables the translation of general principles of sustainability into corporate practice by providing a systematic, step-by-step guidance towards achieving a more sustainable business. The framework consists of a sustainability organisational structure supported by senior management, a team of Sustainability Champions representing each subsidiary, spreadsheet platform developed through an external consultant for data gathering, a quarterly reporting process of the Group's sustainability performance, sustainability awareness creation, and internal and external sustainability assurance.

The Sustainability Management Framework further includes the establishment of benchmarks and targets for identified sustainability indicators, through which the Group strives to ensure

that it selects the most relevant and triple-bottom line feasible sustainability initiatives. The Group believes that the information derived from its sustainability management framework can then be used to assess the sustainability performance of the Group and its business units, and further, identify potential ESG risk areas and manage them through corrective action.

The framework is further complemented by quality, environmental, health and safety management systems currently utilised by the Group, and the Group's risk management, internal audit, compliance, and social responsibility processes. Most Group entities with significant operations are certified under ISO 14001 (Environmental Management System), ISO 45001 (Occupational Health and Safety Management System), and ISO 9001 (Quality Management System), while the remaining entities have adopted the Group policies on quality, environment and health and safety.

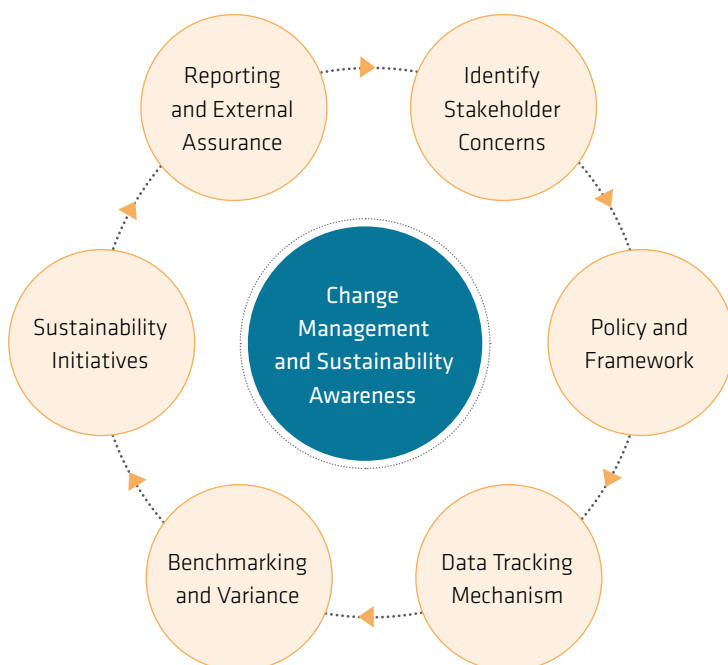
This Sustainability Management Framework is periodically reviewed and updated to meet the operational requirements of the business units within the Group.

Sustainability Governance

The Board of Directors are responsible for, and drives the integration of sustainability within the Group, through the delegation of various aspects of the Group's Sustainability Management Framework, through the Board of Management, which is led by the Group CEO.

The Board of Management, which also includes Managing Directors of each of the Group businesses reviews and approves the Group's Sustainability Policy and other related policies such as the Group's Environmental Policies, Human Resources Policies, its Policies on Product Quality and Health and Safety etc, which are developed, owned, reviewed and updated by the respective divisions within the Group and its businesses.

Sustainability Management Framework



The Board of Directors have also delegated to the Group CEO and the Managing Directors (MD) of each of the business units to work with the Group Sustainability and Corporate Communications (GSCC) to carry out internal materiality assessment to identify the material sustainability topics, the implementation of the overarching Group policies in their respective sectors to manage the identified material topics, the responsibility for implementation of Management Approach and SOPs within their sectors, improving the performance of the sustainability KPIs which are aligned to the Group's material sustainability topics, undertaking internal and external assurances of the sustainability processes and review of external stakeholder engagement studies.

The Sustainability Champions of each sector, who have been appointed by the respective MD's are delegated the authority to provide sustainability performance data for the Group's Key Sustainability Performance Indicators on a quarterly basis, communicate ESG level risks, champion sustainability initiatives and assist in the implementation of the Management Approaches and SOPs.

The Board of Directors, the CEO and the Board of Management review the Group's performance of its KSPIs on a quarterly basis and appraises itself with regard to the changes in such KSPIs, the reason for such changes, any frontier ESG risks that need attention and provide direction to the Group CEO and Board of Management, who in turn provides direction to the Sustainability Champions and operational staff of the Businesses to take remedial action or to further improve performance of such KSPIs.

The Board of Directors are also responsible for capital budgeting, allocation of resources for sustainability, providing approvals and budgets for capacity building and training, purpose initiatives and programmes carried out by the Hemas Outreach Foundation and the overall responsibility in providing an annual third party assured communication of progress with its stakeholders which is aligned to identified global reporting frameworks.

The GSCC team, together with its external consultants, undertakes periodic assessments of the Group's material sustainability topics, updates the sustainability standard operating procedures in line with changes in operating environment and undertakes quarterly data capture and analysis of sustainability performance based on established Key Sustainability Performance Indicators (KSPI) via an automated performance monitoring system for reporting of such information to the Board of Directors, Group CEO and Board of Management.

In addition, the GSCC team together with the Sustainability Champions of each sector, tracks the performance and progress of the Group's sustainability KSPIs, the contribution towards achieving Group-level goals and facilitates internal audits of the Group's key operational facilities on a random basis. These processes form the basis of communicating frontier risks and emerging areas of concern to the various decision-making bodies. The sustainability performance analysis and outstanding critical area in relation the Group's material topics are communicated to the Board of Management and Group CEO on a quarterly basis.

The GSCC provides updates to the Board of Directors of its function, its challenges and deliverables, and any improvements to the organisation's sustainability integration process is discussed and implemented.

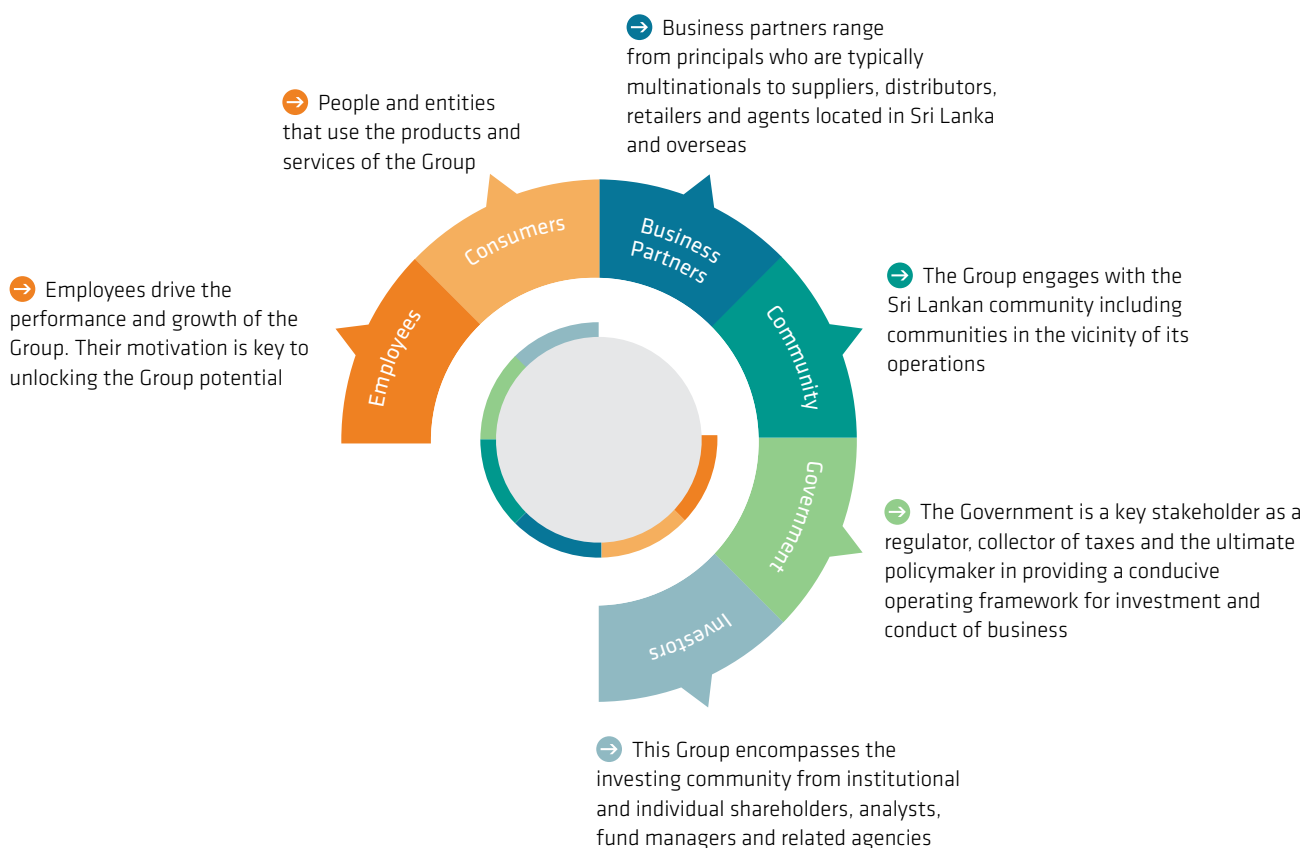
In addition, GSCC is also responsible for formulating Group-level environmental initiatives, while sector-specific initiatives are undertaken by the sustainability and brand champions of the particular business. The Sustainability Champions meet regularly to share best practices and knowledge, facilitating a common understanding of sustainability across the Group. In addition, the Environment Committee comprising Chief Engineers of the businesses meet with the GSCC bi-monthly to discuss progress on agreed initiatives and share knowledge.

SUSTAINABILITY INTEGRATION

Engaging with Stakeholders

Businesses need the goodwill of their stakeholders throughout their supply chain to drive sustainable growth. The Hemas Group takes a structured approach to stakeholder engagement to identify their motivations, concerns of the operations of the Group, create awareness on Group policy and best practices on responsible business conduct, and views on the implementation of such policies. The stakeholders are also able to use the Group hotline or e-mail that is available on its products, relevant stakeholder communications and websites to highlight any concerns regarding the operations and business conduct of the Group. When a concern is raised the relevant division or party is informed of such concern and an investigation is carried out in line with the SOPs in place.

The segments provides a description of our key stakeholders and their concerns identified through this process. Key stakeholders are stakeholders who have a significant influence over the Group, or who would be significantly impacted by Group operations.



	Consumers	Employees	Business Partners
Key Concerns	- Quality of products, and efficient and effective services - Affordability and accessibility - Environmental and social responsibility	- Fair remuneration - Opportunities for growth - Concern for employees - Safety and dignity/respect - Engagement, feedback and grievance mechanisms	- Shared growth - Technical assistance and knowledge transfer - Domain knowledge, skills and expertise - Long-term partnerships
Group Response	- Growing portfolio of affordable products and services to enrich the lives of the communities - Efficient distribution networks to reach consumers	- Strategic management of HR processes with Board oversight - Healthy workforce initiatives	- Timely payments - Fair play and transparent processes - Initiatives to share knowledge and build capacity
	Across all Stakeholders - Meetings - Press releases - Websites - Social media - Correspondence - Industry exhibitions and roadshows	Specialised Mechanisms <i>Consumers:</i> - Satisfaction Survey (ongoing) - Annual Engagement Survey - Hotlines <i>Employees:</i> - Annual Engagement Survey - Performance Reviews - Joint Consultative Committees	Specialised Mechanisms <i>Business Partners:</i> - Annual Supplier Registration <i>Investors:</i> - Annual and Quarterly Reports - Notices to CSE (needs basis) <i>Government:</i> - Regulatory Reports (as specified)
	Investors	Government	Community
Key Concerns	- Sustainable growth and returns - Good governance and transparency - Risk management - Timely communications	- Compliance with regulatory requirements - Partner socioeconomic development in country	- Environmental and social responsibility - Opportunities for shared growth - Support for community needs
Group Response	- Regular dividends - Continuous enhancement of earning capacity - Maintaining strong governance and risk management processes - Continuous transparent communication	- Established processes to ensure compliance with regulatory requirements - Investments in growth sectors of the economy - Timely payment of regulatory dues	- Established two trusts for engaging in projects at national level - Engagement with local communities by businesses - Maximise inputs from SMEs where possible

SUSTAINABILITY INTEGRATION

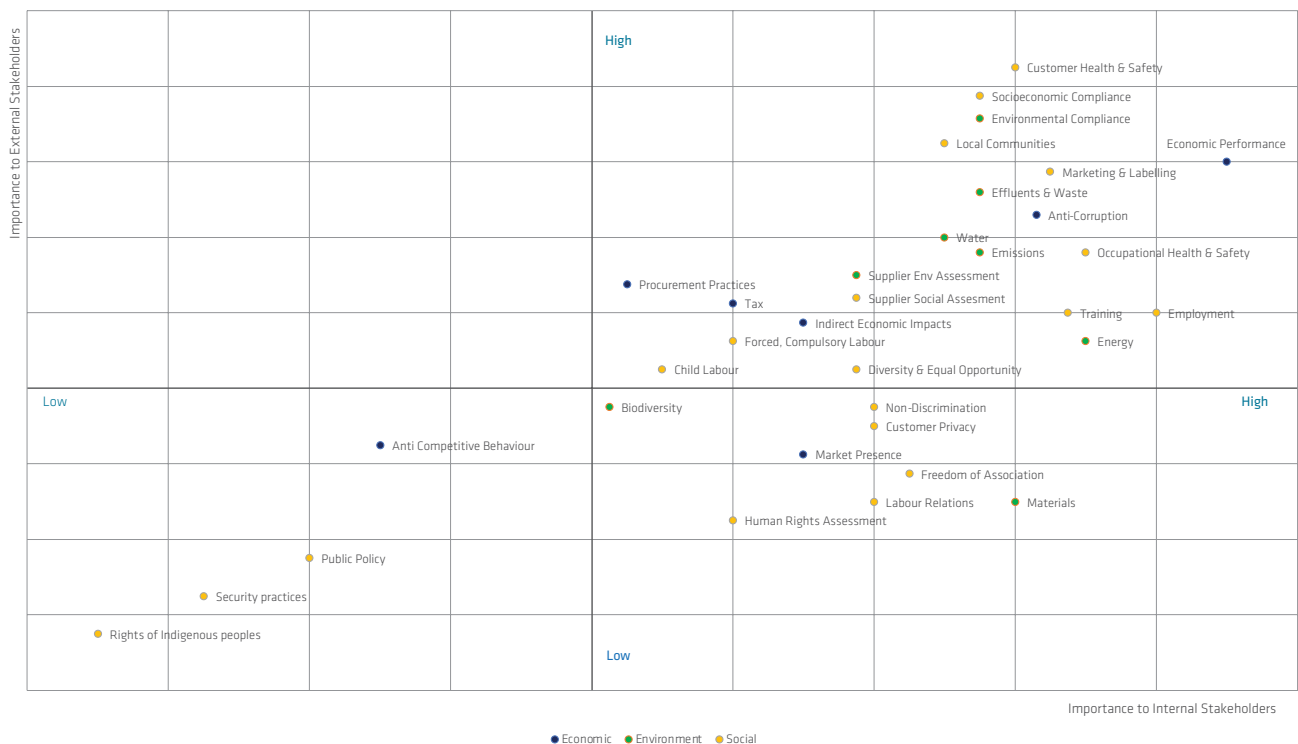
IDENTIFICATION OF SUSTAINABILITY TOPICS

The Group aligns its identified key sustainability concerns of significant stakeholders to the relevant sustainability topics of the GRI framework.

During the year, the Group in an effort to further entrench ESG practices across its operations, revisited its sustainability topics. The Group prioritised its material topics through a process based on ESG risk identification, ESG risk valuation process in tandem with the six-part materiality assessment done in accordance to AA1000 Assurance Standard on each of the Group businesses. The identified topics were reviewed by the Managing Directors of each business and Group CEO, and once approved was consolidated at Group level.

In defining report content, the Group prioritises material topics according to their impacts and importance to significant internal and external stakeholder groups.

MAPPING OF MATERIAL TOPICS



Prioritised material topics are categorised according to the Group's management approaches accordingly.

Material Topics	Disclosure of Management Approach	Management of Capitals
Economic Performance GRI 201-1: Direct Economic Value Generated GRI 201-3: Defined Benefit Plan Obligation and Other Retirement Plans and Distributed	Economic Performance	Management of Financial and Manufactured Capitals
Anti - Corruption GRI 205-1 : Operations Assessed for Risk Related to Corruption		

Material Topics	Disclosure of Management Approach	Management of Capitals
Energy and Emissions GRI 302-1: Energy Consumption within the Organisation GRI 305-1: Direct (Scope 1) GHG Emissions GRI 305 -2: Energy Indirect (Scope 2) GHG Emissions	Environment	Management of Natural Capital
Water and Effluent GRI 303-3: Water Withdrawal GRI 303-4: Water Discharge		
Environmental Compliance GRI 307-1: Non-Compliance with Environmental Laws and Regulations		
Waste GRI 306-1 Waste Generation and significant waste related impacts GRI 306-2: Management of significant waste related impacts. GRI 306 -3 Waste generated		
Employment GRI 401-1 : New Employee Hire and Employee Turnover	Labour Practices and Decent Work	Management of Intellectual and Human Capitals
Training GRI 404-1: Average hours of training per year per employee GRI 404 - 3: Percentage of employees receiving regular performance and career development reviews		
Occupational Health and Safety 403-1 Occupational health and safety management system 403-2 Hazard identification, risk assessment, and incident investigation 403-3 Occupational health services 403-4 Worker participation, consultation, and communication on occupational health and safety 403-5 Worker training on occupational health and safety 403-6 Promotion of worker health 403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships GRI 403-9 : Work related injuries		

SUSTAINABILITY INTEGRATION

Material Topics	Disclosure of Management Approach	Management of Capitals
Freedom of Association and Collective Bargaining GRI 407-1: Operations and suppliers in which the right to freedom of association and collective bargaining might be at risk		
Prevention of Child Labour, Prevention of Forced and Compulsory Labour GRI 408-1: Operations and suppliers at significant risk for incidence of Child Labour GRI 409-1: Operations and Suppliers at Significant Risks for Incidents of Forced or Compulsory Labour		
Local Communities GRI 413-1: Operations with Local Community Engagement, Impact Assessments, and Development Programmes	Society	Management of Social and Relationship Capital
Socio – Economic Compliance GRI 419-1: Non Compliance with laws and regulations in the social and economic area		
Customer Health and Safety GRI 416-2: Incidents of non compliance concerning the health and safety impacts of products and services		
Marketing and Labelling GRI 417-2: Incidents of non compliance concerning product and service information and labelling		
Customer Privacy 418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data		
Social Economic Compliance 419-1 Non-compliance with laws and regulations in the social and economic area		

THE CAPITALS REPORT

Financial Capital



FINANCIAL CAPITAL

“Earnings for the year increased by 30.6% to Rs. 4.2 billion during the year, the highest ever for the Group.”

FINANCIAL PERFORMANCE

Revenue

In terms of the backdrop in which the Group operated, a sudden surge in COVID-19 in the first half of 2021/22 impacted the core businesses during the period under review. Moreover, the business also encountered repercussions of macro-economic headwinds, increased fuel prices, fuel shortages, high inflation and currency volatility in the second half.

The Group reported a consolidated revenue of Rs. 78.8 billion during the period under review, registering a year-on-year growth of 22.2% amidst a challenging operating environment. The growth was led by Healthcare and Consumer Brands which in cumulation contributed by a 22.8% growth over the last year. The underlying revenue witnessed a growth of 23.4% over last year with divestment of Spectra Logistics and operations in Myanmar. Five-year revenue Compound Annual Growth Rate (CAGR) stood at 12.7%.

Consumers slowed down their spending on discretionary products owing to adverse macro-economic conditions, lockdowns and strict travel restrictions imposed by the government during the year to curb the spread of two highly-transmissible COVID-19 variants, Delta and Omicron. This led to lower mobility in general trade and modern trade stores which in turn had an impact on Consumer Sector volumes. Trade union action of teachers and principals affected online teaching at government schools in the second quarter of the financial year which added further pressure on the performance of our Learning Segment. The Healthcare Sector was impacted by declined footfall at hospitals and distribution disruptions (i.e. pharmaceuticals).

Key Events

- Group divested 'Spectra Logistics' in October for a total consideration of Rs. 1.3 billion.
- HHL's stake in its Myanmar operations was disposed to the joint venture partner in the fourth quarter for a consideration of Rs. 223.3 million.
- Morison's Homagama Plant received GMP approval for commercial manufacturing from NMRA.

Despite conducting operations in a backdrop of volatility, our HPC Sri Lanka Segment delivered a steady double-digit growth contributing to 59.0% of the Consumer Brands revenue. Our Learning Segment, continued to gain market share across all key categories and contributed 31.2% to total Consumer Brands revenue. Import restrictions and prolonged back to school season has positively impacted the performance of the Learning Segment. Our Home and Personal Care International Segment witnessed a double-digit cumulative revenue growth although performance was hindered by floods and a spike in COVID-19 cases in the first quarter of the financial year. As a result the Consumer Brand Sector's revenue grew by 22.8% to Rs. 30.8 billion.

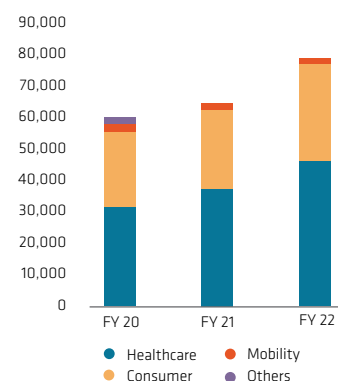
In terms of the Healthcare Sector, the revenue reported a growth of 23.8% to Rs. 46.1 billion. Hospitals' contribution to the sector has improved by 28.7% to 14.7% year-on-year with patients being accustomed to a pandemic environment. Pharmaceutical Distribution Segment has delivered a stable revenue growth year-on-year. However, price controls coupled with scarcity in foreign exchange reserves of

the country have hampered the medicine imports in to the country. Despite experiencing a continuous decline in government buy back volumes compared to assigned quantities, Morison continued to increase efforts to drive private market revenues.

The Mobility Sector reported a cumulative revenue of Rs. 2.0 billion a de-growth of 9.1% from last year, largely owing to the divestment of the Logistics Sector. Additionally, the Maritime Segment's volumes were adversely impacted owing to vessels continuing to bypass the Port of Colombo to recover schedules. This was partially negated by an escalation of freight rates witnessed globally. The Cargo operation of the Aviation Segment continued its robust performance while the Passenger operation witnessed significant growth in the third quarter.

The revenue breakdown across the different sectors of the Group is shown below;

► Revenue
(Rs. million)

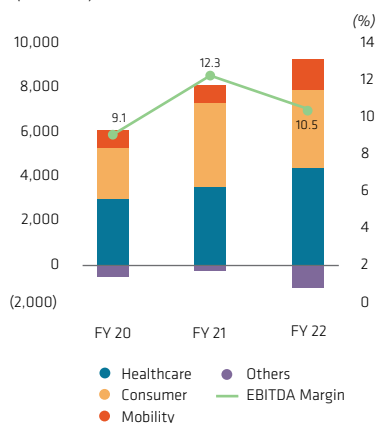


THE CAPITALS REPORT

Financial Capital

The Group reported a EBITDA growth of 3.1% from Rs. 7.9 billion to Rs. 8.2 billion during the year. EBITDA recorded a growth of 21.1% growth over last year. Hospitals and the Learning Segment were key contributors to the growth. A surge in diagnostics volumes, high NCDs and increased surgical admissions due to pent up demand created for elective surgeries which were successively postponed improved the total admission numbers year-on-year which brought forth higher EBITDA margins. Additionally, new revenue streams introduced due to the pandemic (ICCs, PCR testing and Rapid Antigen Testing) also boosted the EBITDA. The underlying EBITDA of Rs. 8.1 billion excluding the impact of the disposal increased by 14.2% during the period under review. Three-year CAGR of EBITDA was 4.8%. Group EBIT of Rs. 6.8 billion recorded an increase of 11.9% from the previous year. Underlying EBIT growth stood at 2.8% compared to the prior year.

► EBITDA and EBITDA Margins
(Rs. million)



EBITDA margin for the Group remained flat at 10.5% whilst EBIT margin was at 8.6% against 9.4% reported last year. Exchange rate depreciation remained between the range of 2.2% - 9.2% up until Q2 and experienced a sharp drop to 29.9% in the month of March alone. This averaged the depreciation to 13.2% in Q4 of the financial year 2021/22, which had a significant impact on the profit margins during the year. Steep increases in commodity prices with global supply chain disruptions which were induced by the

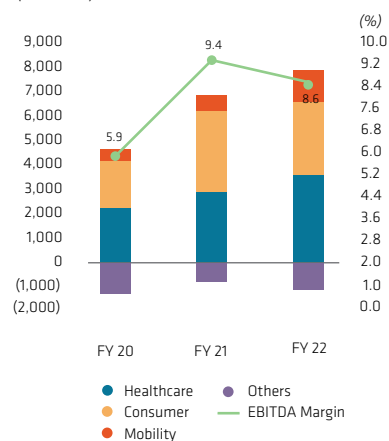
Extract from Consolidated Income Statement

Year Ended 31 March	FY 22 Rs. Mn	FY21 Rs. Mn
Continuing Operations		
Revenue	78,831	64,501
Gross Profit	21,850	19,417
Other Operating Income	1,099	681
Share of Results of Equity Accounted Investees (net of tax)	(525)	(333)
Operating Profit	6,783	6,061
Finance Cost	(486)	(639)
Finance Income	352	249
Profit Before Tax	6,648	5,670
Income Tax Expenses	(1,814)	(1,523)
Profit from Continuing Operations	4,834	4,147
Discontinued Operations	-	(805)
Profit for the Year	4,834	3,342
Attributable to:		
Equity Holders of the Parent	4,249	3,253
Non-Controlling Interests	586	89
Earnings Per Share (Rs.)		
Basic Earnings Per Share	7.12	5.46
Diluted Earnings Per Share	7.12	5.46
Dividend Per Share (Rs.)	4.35	0.40

pandemic exerted pressure on profitability margins of Consumer Brands, which was exacerbated with import restrictions and foreign exchange liquidity challenges in the country. A notable decline in government buy back volumes experienced by Morison cascaded to decreased EBIT and EBITDA values compared to last year. Capitalisation of Morison's manufacturing plant at Homagama commenced in the third quarter of the current financial year, which further depleted its EBIT value. However, Morison continues to implement cost optimisation measures and engaged in margin improvement initiatives. The Group's overhead costs increased by 14.1% from Rs. 13.7 billion to Rs. 15.6 billion during the year. Administrative expenses, which is a significant portion of overheads increased by 14.6% to Rs. 9.2% billion, while sales and distribution expenses rose by 13.4% to Rs. 6.4 billion during the year. The majority of these expenses were

employee related expenses and additional costs were incurred to conduct operations in adherence to COVID-19 related protocols to ensure the highest levels of safety and care of the employees.

► EBIT and EBIT Margins
(Rs. million)



The Group has made investments in Human Capital and despite challenges the Group has performed well, hence made bonus payments of Rs 452 million to the staff during the year. Further, Rs. 186.1 million was paid as the gratuity to employees. Employee Provident Fund (EPF)/ Mercantile Service Provident Society (MSPS) and Employee Trust Fund (ETF) contributions have been made for all employees in a timely manner complying with the statutory requirements.

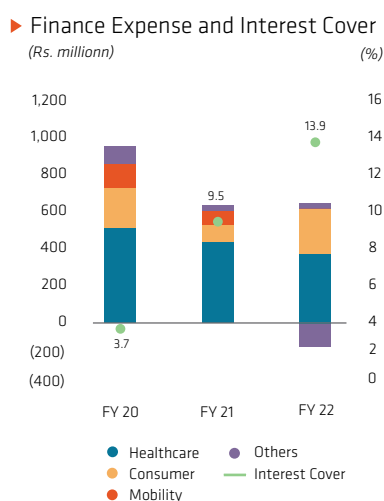
 Details on Employee Benefits have been mentioned in the EVA statement.

The Group has engaged in multiple CSR initiatives enhancing its Social Capital. As a part of our partnership with the Ministry of Environment's initiative "Not a Rule but a Discipline", Group facilitated the placement of over 2,000 recycling bins at government institutions and schools to collect disposable plastic pens and toothbrushes. This complemented the Group's efforts of protecting the eco-system and operating in an environmentally sustainable manner. Hemas Hospitals launched 'Deewara Diri Sevana' to support and empower the fishing community whose livelihood were impacted by the marine destruction caused by the X-Press Pearl ship disaster. 'Sonduru Diriyawanthi', an initiative aimed at empowering women undergoing chemotherapy provided natural hair wigs. Atlas also hosted the Atlas 'Sip Savi' Virtual Panel discussion to raise awareness of over 22,000 children who are abruptly discontinuing their school education every year due to financial difficulties. Atlas also hosted Sri Lanka's largest free online seminar to support Grade 5 scholarship students. Apart from these initiatives, the Group also supported those affected by the COVID-19 outbreak by offering donations to Government organisations such as the National Hospital's COVID-19 Intermediary Care Center, the COVID-19 ward of Homagama Hospital, the COVID Patient Management Facility at the Intensive Care Unit at the National Hospital of Sri Lanka and the Department of Ayurveda.

Finance Expense

Finance expense of Rs. 486.3 million reported a decline of 24.0% during the year against Rs. 639.5 million reported last year. Key reasons for the decline are;

- Disposal of Spectra contributed significantly to the reduction in finance cost.
- Repayment of Group debt through cash generated from improved operating results and better working capital management. This reduced borrowings during the year resulting in Group Debt position declining from Rs. 7.0 billion to Rs. 6.6 billion.
- Lower interest rate regime which was observed throughout the year, 9%-11% in financial year 2021/22 in comparison to 9%-13% in financial year 2020/21.



The finance income during the year was Rs. 351.8 million, an increase of 41.5% against the previous year. Although a decline in deposit rates was observed from 6%-10% in financial year 2020/21 to 5%-7% in financial year 2021/22 the Group engaged in repositioning the deposit portfolio to capitalise on much beneficial rates offered, which was noted to be the key reason for the increase.

 For further details on finance income refer page 117 of the Notes to the Financial Statements in this report

Taxation

The Group recorded a tax expense of Rs. 1.8 billion, an increase of 19.1% compared to last year. This is an increase of Rs. 290.7 million against last year's tax expense on account of the overall Profit Before Tax increase of 17.3% from Rs. 5.7 billion to Rs. 6.6 billion in financial year 2021/22. Further, tax charged on dividend payments also contributed to the increment.

Profit After Tax Attributable to Equity Holders of the Parent (Earnings)

Earnings for the year increased by 30.6% to Rs. 4.2 billion during the year, the highest ever for the Group. Underlying net profit attributable to equity holders increased by 4.9% from Rs. 3.8 billion to Rs. 3.9 billion during the period under review. Similarly, the net profit margin of the Group increased from 6.1% recorded last year to 6.4% after accounting for all disposals.

 For further details on taxation refer page 172 of the Notes to the Financial Statements in this report

Non-Controlling Interest (NCI)

The allocation of Profit After Tax (PAT) attributable to NCI increased from Rs. 88.7 million to Rs. 585.9 million, by 560.7%. This was primarily stemming from the improved year on year performance of Atlas, Hospitals and Evergreen.

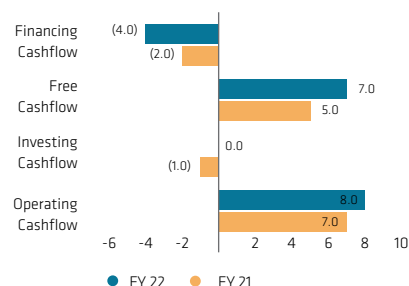
THE CAPITALS REPORT

Financial Capital

CASHFLOW

► Cashflow Analysis

(Rs. billion)



Cash and cash equivalents increased by Rs. 5.4 billion during the year to Rs. 13.9 billion in FY21/22. Cashflows comprises of cash and short-term investments in the form of fixed deposits, commercial papers, and treasury bills net of bank overdrafts.

The Group's cash inflow from operating activities increased from Rs. 6.5 billion in financial year 2020/21 to Rs. 8.1 billion during the year. Profit Before Tax witnessed a growth of 17.3% against last year reporting a value of Rs. 6.6 billion for the year.

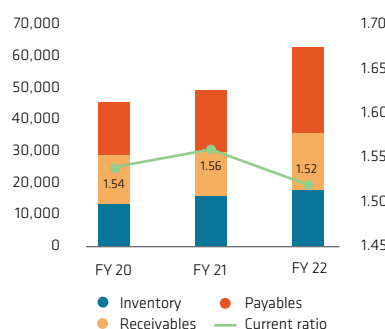
Net working capital reported for the year was Rs. 9.4 billion against Rs. 11.2 billion last year. The contraction was primarily on account of the adverse economic conditions prevailing in the country. A cash outflow of Rs. 6.7 billion was recorded on trade receivables as opposed to the inflow of Rs. 1.9 billion in financial year 2020/21. The Learning Segment contributed to a larger portion of the sharp rise owing to the shift in the back-to-school season. Moreover, the Healthcare Sector continued to experience delays in collection of Government debtors.

Inventory recorded a cash outflow of Rs. 1.5 billion in comparison to Rs. 2.1 billion in financial year 2020/21. Learning Segment engaged in building stocks to be equipped for the seasonal shift. Healthcare Sector focused upon building buffer stocks to ensure an undisrupted supply of essential medicines. Further, commencement of operations at Morison's new plant resulted in a rise of raw material stocks.

Trade and other payables reported a cash inflow of Rs. 9.6 billion in comparison to Rs. 504.9 million in the prior year. Depreciation of the rupee coupled with low dollar liquidity added pressure on businesses in terms of settling foreign suppliers. However, the Group deployed adequate measures including that of centralised treasury management and strengthening of supply chain management to ensure supplier relationships are preserved at all times.

► Working Capital

(Rs. million)



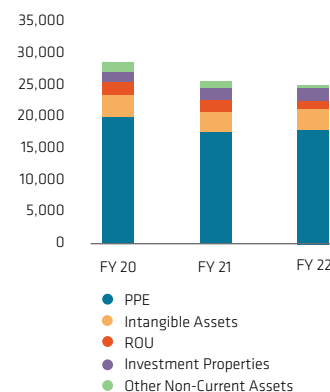
Net cashflow from investing activities stood at Rs. 267.9 million in the financial year 2021/22. Sales proceeds received from the two disposals amounting to Rs. 1.6 billion significantly contributed to the cash inflow in the year, as opposed to the net cashflow used in investing activities of Rs. 1.1 billion in the prior year. Capital expenditure (CAPEX) during the year accounted to Rs. 1.5 billion, against Rs. 1.8 billion recorded last year. Net cash outflow in financing activities was Rs. 3.5 billion compared to cash outflow of Rs. 1.8 billion in the previous year. Dividend payment of Rs. 2.6 billion (Dividends Paid to Equity Holders of the Parent) during the year accounted for 73.4% of the total cash outflow in the financial year 2021/22.

FINANCIAL POSITION

Group Assets

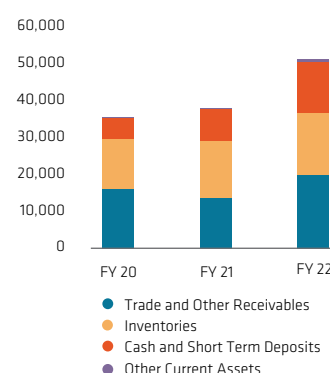
► Non-Current Assets

(Rs. million)



► Current Assets

(Rs. million)



Total Group Assets rose by Rs. 12.7 billion to Rs. 76.3 billion as at 31 March 2022 in comparison to Rs. 63.6 billion in the prior year. Increase in total assets is predominantly owing to the rise in trade and other receivables and cash and short-term deposits by Rs. 6.1 billion and Rs. 5.4 billion respectively. The reasons for which have been outlined in the Cashflow section above.

Group invested Rs. 1.5 billion as CAPEX during financial year 2021/22, above 45.0% of which was attributable for the completion of the construction of Morison's Pharmaceutical Manufacturing plant, which includes an installation of a third manufacturing line to the plant as well. No other major CAPEX investments were made apart from recurring CAPEX.

Extract from Consolidated Income Statement

Year Ended 31 March	FY 22 Rs. Mn	FY 21 Rs. Mn
TOTAL ASSETS		
Non-Current Assets	25,086	25,699
Property, Plant and Equipment (PPE)	18,007	17,540
Investment Properties	2,100	1,942
Right of Use Assets	1,178	1,879
Intangible Assets	3,296	3,290
Investment in Equity Accounted Investees	85	557
Lease Receivables	125	140
Other Non-Current Financial Assets	210	209
Deferred Tax Assets	86	144
Current Assets	21,221	37,895
Inventories	16,807	15,451
Trade and Other Receivables	19,772	13,655
Cash and Short-term deposits	13,895	8,458
Equity And Liabilities		
TOTAL EQUITY and LIABILITIES		
Equity Attributable to Equity Holders of the Parent	35,588	31,895
Non-Controlling Interests	920	1,543
Total Equity	36,507	33,438
Stated Capital	7,776	7,776
Other Components of Equity	4,446	2,161
Retained Earnings	23,206	21,778
Non-Current Liabilities	6,085	5,869
Interest-Bearing Loans and Borrowings	3,093	3,196
Other Financial Liabilities	277	278
Current Liabilities	33,716	24,287
Trade and Other Payables	27,165	17,922
Interest-Bearing Loans and Borrowings	2,678	3,285
Bank Overdraft	796	504

Group Debt and Capital Structure

		FY 22 Rs. Mn	FY 21 Rs. Mn
Short term debt	(Rs.million)	3,474	3,764
Long term debt	(Rs.million)	3,093	3,196
Gross debt	(Rs.million)	6,567	6,985
Net debt	(Rs.million)	(7,328)	(1,473)
Net debt / EBITDA	(times)	(0.9)	(0.2)
Debt / EBITDA	(times)	0.8	0.9
Gearing ratio	(%)	15.2%	17.3%
EBITDA / Interest cover	(times)	16.95	11.97

Group debt decreased marginally by 6.0% to Rs. 6.6 billion in financial year 2021/22. Repayments of existing loans primarily by the Healthcare Sector gave rise to the decline. 47.1% of the Group debt comprises of long-term debt obligations. Short-term debt amounted to Rs. 3.4 billion at the end of the year. Over 50.0% of the short-term loans had been obtained by the Learning Segment to fund working capital. Majority of the long-term debt is stemming from the Healthcare Sector of which Rs. 2.0 billion is made on account of the Morison Pharmaceutical Manufacturing plant.

Key Highlights

- Fitch Ratings reaffirmed HHL at **AAA(Ika)**; outlook stable for the third consecutive time.
- The reaffirmation of the stable outlook reflects "Fitch Ratings view that HHL will be able to navigate Sri Lanka's weak economy, in the next 12-18 months supported by an exceptionally strong balance sheet and defensive cashflow".
- The '*defensive core business*' accompanied by a strong balance sheet with low gearing was identified to be a key rating driver.

Fitch Rating's reaffirmation of the AAA(Ika), stable outlook rating for the Group would further strengthen the Group's capacity to borrow at favorable rates. The Group continued to maintain a lower Net Debt to EBITDA ratio in the current financial year reporting a ratio of (0.9) times in financial year 2021/22. This reflecting a favourable gearing position of the Group.

 For further details on Interest Bearing Borrowing Loans refer page 215 of the Notes to the Financial Statements in this report

THE CAPITALS REPORT

Financial Capital

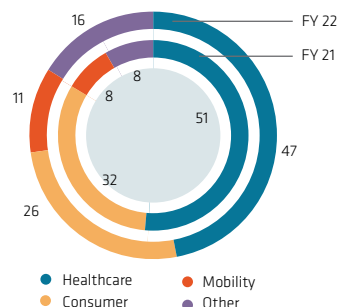
Cash and Cash Equivalents

Cash and cash equivalents as at 31 March 2022 stood at Rs. 13.9 billion against Rs. 8.5 billion recorded as at 31 March 2021. The raise is due to the reasons outlined in the Cashflow and total Assets sections above. Cash and cash equivalents comprises of Rs. 9.2 billion of cash in hand and bank, Rs. 4.7 billion is categorised under short-term investments.

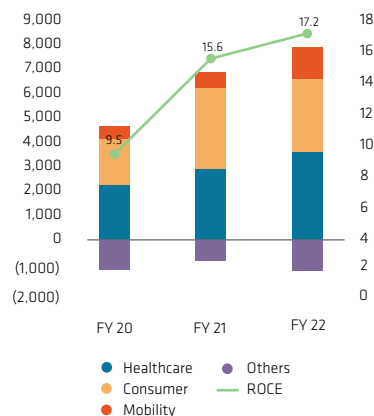
Efficiency

Group's Return on Capital Employed (ROCE) increased from 15.7% to 17.2% in financial year 2021/22. Reasons for the rise in ROCE was predominantly owing to the disposal of Spectra and the increase in EBIT during the year. Additionally, increased asset turnover recorded during the year also contributed to the rise. The Consumer and Healthcare Sectors recorded increases in capital employed of 24.2% and 6.2% respectively in financial year 2021/22 compared to financial year 2020/21.

Capital Employed (%)



Operating Profit and ROCE (Rs. million) (%)



Return On Equity (ROE)

	Reported ROE (%)	=	Net Profit Margin (%)	X	Asset Turnover (Times)	X	Equity Multiplier (Times)
FY22	13.8%		6.13%		1.1		2.00
FY21	10.3%		5.18%		1.0		1.97
FY20	4.3%		2.27%		0.9		2.01

Group's return on equity (ROE) increased from 10.3% to 13.5% during the period under consideration.



ECONOMIC VALUE ADDED STATEMENT

Economic Value Added Statement			
Rs.million	FY22	FY21	%
Value Generated			
Revenue	78,831	64,501	22.2%
Share of Result of JVs/ Associates	(525)	(333)	57.7%
Loss from Discontinuing Operations	-	(805)	(100.0%)
Other Investment Income	352	249	41.3%
Profit on Sale of Assets and Other Income	941	618	52.2%
Valuation Gain on Investment Properties	158	63	150.9%
	79,756	64,293	24.1%
Value Distributed			
Operating Overheads	58,603	45,845	27.8%
Employee Wages and Benefits	8,146	7,493	8.7%
Payments to providers of Funds	3,495	1,038	236.7%
Payments to Government	6,206	5,495	12.9%
Community Investments	19	34	(42.7%)
	76,469	59,905	27.6%
Value Retained for Expansion and Growth			
Depreciation	1,092	1,219	(10.4%)
Amortisation	369	378	(2.3%)
Profit After Dividends	1,826	2,791	(34.6%)
	3,288	4,388	(25.1%)

THE CAPITALS REPORT

Manufactured Capital



“The Group's Manufactured Capital comprises of property, plant and equipment as well as the Right-of-Use (ROU) assets and other investment properties, collectively amounting to Rs. 21.3 billion as at 31st March 2022 and represents 28.1% of the Group's total assets base.”

The Group's approach to developing Manufactured Capital is anchored to the growth objectives of the businesses and their role in fulfilling the strategic intent of the broader Group. All investments are systematically planned through CAPEX planning activities undertaken by Strategic Business Units (SBUs) in tandem with their annual strategic planning and budgeting cycle. The planning process involves an evaluation of the proposed course of action - i.e asset acquisition vs. right to use. Budgets are prepared accordingly and presented to the respective business head, for review and approval. Meanwhile, CAPEX above a predefined threshold are submitted to the Board and commitments relating to strategic initiatives such as new ventures or business upscaling projects are further scrutinised by the Board with due consideration of the medium to long term risk factors.

Procurement plays a key role in executing the CAPEX plans of the Group. SBU-level policies provide guidance to ensure all new equipment and upgrades are sourced from reputed suppliers, while a stringent supplier screening framework is in place to support procurement activities. All assets are insured to withstand any damages that might occur due to unforeseeable circumstances including business interruptions and natural disasters.

The Group focuses on ensuring all machinery and equipment continue to function at optimal levels. SBU's dedicate substantial resources each year towards ongoing maintenance, upkeep and process improvements that enhance the quality and efficacy of their respective machinery and equipment. In recent years businesses have begun leveraging technology,

specifically automation and digitisation to further augment the performance of their Manufactured Capital.

The Group considers asset rationalisation to be an important factor in improving the resilience of its Manufactured Capital. All major asset classes above a certain threshold are reviewed as part of the Group's routine risk management programme. Hemas is keen on maintaining a portfolio of investments that are of strategic fit to the core values of the Group. Divestment decisions are made at Board level with deliberate consideration.

How developing Manufactured Capital benefits the Group's other Capitals

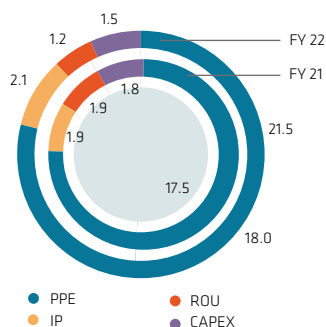
A strong asset base demonstrates the Group's financial stability and capacity to deliver sustainable returns over time to make a positive contribution to **FINANCIAL CAPITAL**

A resilient and high performing asset base enhances the Group's competitive position and brand equity which together boost **INTELLECTUAL CAPITAL**

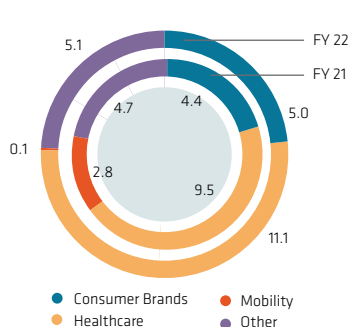
The collective strength of the Group's asset base builds trust and confidence among key stakeholders and strengthens **SOCIAL AND RELATIONSHIP CAPITAL**

Opportunities to work with the latest machinery and equipment boost employee competencies in turn leading to improved motivation leading to a positive impact on **HUMAN CAPITAL**

► Manufactured Capital by Category
(Rs. billion)

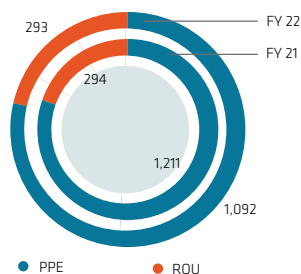


► Manufactured Capital by Sector
(Rs. billion)



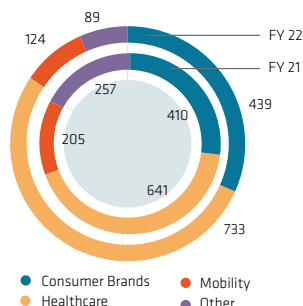
► Depreciation and Amortisation by Category

(Rs. million)



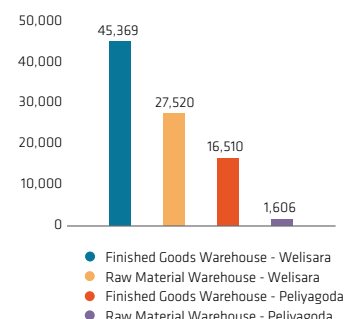
► Depreciation and Amortization by Sector

(Rs. million)



► Atlas Warehouse Network

(Square feet)



MANUFACTURED CAPITAL - CONSUMER BRANDS

HPC PRODUCTION FACILITY Dankotuwa



Land Extent - 16 acres

Factory Footprint - 150,000 square feet

Production Range : Soap, sanitary napkins, toothpaste, shampoo, adult perfume, cologne, skin care (cream, body wash, lotion), hand wash, sanitizer

Capacity - 1,700 MT per month

LEARNING SEGMENT PRODUCTION FACILITY Welisara/ Peliyagoda/Kandy



Land Extent - 10 acres

Factory Footprint - 115,000 square feet

Production Range - Books, pens, colour products, water bottles, lunch boxes and tissue items

Capacity - 16,000 MT per year

HPC WAREHOUSE Welisara



Land Extent - 4 acres

Warehouse Footprint - 122,394 square feet

LEARNING SEGMENT WAREHOUSE NETWORK Welisara/Peliyagoda



Land Extent - 3 acres

Warehouse Footprint - 91,004 square feet

THE CAPITALS REPORT

Manufactured Capital

MANUFACTURED CAPITAL - HEALTHCARE SECTOR

HEMAS HOSPITAL Thalawathugoda



Total Beds - 72

Theaters - 3 Units (Major 2, Minor 1)

Centres of Excellence - Cosmetic, Nephrology, Urology

HEMAS HOSPITAL Wattala



Total Beds - 121

Theaters - 5 Units (Major 3, Minor 2)

Centres of Excellence - In Vitro Fertilisation (IVF),
Gastroenterology, Urology, Nephrology and General Surgery

HEMAS LAB NETWORK



Labs - 16

Collection Centres - 21

B2B Labs - 13

Test Capacity - 6,540,000
per annum

PHARMACEUTICAL MANUFACTURING (MORISON)

Homagama



Land Extent -
5 acres

Factory Footprint -
62,689 square feet

Tablet Capacity -
5 billion per annum

Mutwal



Land Extent -
0.5 acres

Factory Footprint -
43,831 square feet

Tablet Capacity -
2 billion per annum

MANUFACTURED CAPITAL - OTHER GROUP ASSETS

GROUP HEAD OFFICE BUILDING - COLOMBO 02



Building Profile - 99,327 square feet spanning 10 floors

LEISURE ASSETS

Mowbray Kandy

Asset Profile - Undeveloped land
Land Extent - 32 acres

Sanctuary Wilpattu

Asset Profile - Undeveloped land
Land Extent - 43 acres

Peace Haven Resort Tangalle

Asset Profile - Beachfront Resort Hotel
Land Extent - 19 acres

VALUE CREATING ACTIVITIES FOR FY 2021/22

The final phase of the Morison Pharmaceutical Manufacturing plant received NMRA approval for commercial manufacturing, thus marking Sri Lanka's largest oral solid and liquid dosage manufacturing plant with an annual average capacity of 5 billion tablets. Located at the Sri Lanka Institute of Nanotechnology (SLINTEC) Park, Pitipana, Homagama, this 100,000 square feet state-of-the-art pharmaceutical manufacturing and research facility is also the first local manufacturing plant to comply with EU-GMP standards.

Digitisation and Automation Initiatives

As a key strategic initiative, digitalisation has always been a key area of concern for Hemas. During the year, multiple initiatives were carried out with a view of enhancing and reforming the digital foot print of the Group.

Sector	Initiative
Consumer Brands (Learning Segment)	- Automation of the book sewing line. - Lean Artificial Intelligence platform to create digital solutions through Kaizen using Power Apps. - Initiatives towards creating a digitised factory with real time data monitoring and dashboarding. - Migrated to Microsoft Office 365 to enhance productivity and security.
Hemas Hospital - Wattala and Thalawathugoda	- Patient Services - Home Care system, Telemedicine system, ICC operations system, Electronic Health Records system. - Patient Safety - Incident review system. - Laboratory Services - Mobile Sample system, Quick Response (QR) based PCR lab report system.
Pharmaceuticals	Strengthened data and analytics capability to gain more insights on market and supply chain.
Group	- Investments to uplift Systems Applications and Products (SAP) infrastructure to strengthen its core Enterprise Resource Planning (ERP) platform. - Strengthened the Group's IT and cyber-security infrastructure.

ASSET RATIONALISATION INITIATIVES

Hemas Transportation (Private) Limited, a subsidiary of Hemas Holdings PLC, divested its entire shareholding in Spectra Logistics (Private) Limited at a total consideration of Rs. 1,275 million on October 13, 2021.

THE CAPITALS REPORT

Intellectual Capital



INTELLECTUAL CAPITAL

“Underpinned by Hemas Values, the Group follows multi-dimensional approaches at all levels to ensure cohesive action towards augmenting the Group's brand equity”

”

The Hemas values are central to the Group's Intellectual Capital development strategy. Underpinned by these principles, the Group follows multi-dimensional approaches combined with strong oversight from leaders at all levels accompanied by the contribution and commitment of employees to ensure cohesive action towards augmenting the Group's brand equity

Effective governance, risk and internal control systems also play a vital role in achieving the Group's Intellectual Capital development objectives. A framework of Board approved policies encompassing, risk, compliance, finance, information technology, human resources, conduct, ethics and sustainability serve as the basis of effective management, greater accountability and reporting transparency. The Corporate Governance Report on Page Pages 102 to 119 provides a comprehensive coverage regarding the Group's governance framework.

Innovation is another key pillar in the Group's efforts to build and strengthen its Intellectual Capital. Keen to be perceived as a leading innovator, the Group continuously dedicates resources each year towards research and development (R&D). Consistent investments made over the years have enabled the core sectors to build their R&D capabilities, resulting in the growth of the Group's portfolio of patented products.

The tacit knowledge and expertise of employees also contribute towards fuelling innovation. Each year the Group invests in training and targeted capacity building initiatives to enable teams to upgrade their knowledge and sharpen their skills in line with industry and global trends. Beyond this, the certifications and licenses obtained by the various businesses contribute towards further enhancing the Group's knowledge base. Such certifications and licenses obtained from recognised global and local bodies provide the assurance that the products and services offered conform to global best practices.

In recent years, digital technology has become a dominant feature in strengthening the Group's intangible assets. Technology migration efforts that have aided in automating the Group's internal process architecture and strengthened monitoring and due diligence, which in turn have all contributed towards improving operational efficiency and overall service levels. Strategic partnerships that bring upstream and downstream advantages contribute to reinforce the Group's intangible assets. Long-standing partnerships with local and global suppliers and distributors have proven to be an immense strength in maintaining business continuity, especially in turbulent times.

How developing Intellectual Capital benefits the Group's other Capitals



Strong brand positioning enables the Group to grow market share and pursue diversification strategies to improve financial viability over time in order to bolster **FINANCIAL CAPITAL**

Improved knowledge and advanced digital technology enables more efficient use of **MANUFACTURED CAPITAL**

The collective strength of intangible assets creates an ecosystem to build relationships with key stakeholders and enhance **SOCIAL AND RELATIONSHIP CAPITAL**

Opportunity to continuously improve knowledge increases motivation among employees and reduced attrition, thus enhancing the Group's **HUMAN CAPITAL**



79.5

(FY 2020/21: 59.5)

32.9%

Capital Investments in Hardware

(Rs. million)



102

(FY 2020/21: 73.5)

38.8%

Capital Investments in Software

(Rs. million)

INTELLECTUAL CAPITAL - CONSUMER BRANDS

HOME AND PERSONAL CARE



Brand Footprint



Certifications and Licenses

1. ISO 14000 EMS (Environment Management System) - Dankotuwa Manufacturing Facility
2. OHSAS 18001 SLS Certification - Kumarika Hair Oil

LEARNING SEGMENT



Brand Footprint



Certifications and Licenses

1. ISO 9001:2015
2. ISO 14001:2015
3. ISO 18001:2007

THE CAPITALS REPORT

Intellectual Capital

INTELLECTUAL CAPITAL - HEALTHCARE SECTOR

PHARMACEUTICAL MANUFACTURING



Brand Footprint



Certifications and Licenses

1. GMP (Good Manufacturing Practices) certification - Morison Homagama facility

HEMAS HOSPITALS



Certifications and Licenses

1. Australian Council on Healthcare Standards International Accreditation
2. Integrated Management Systems (IMS) accreditation with ISO 9001, ISO 45001 and ISO 14001
3. OHSAS 18001 Certificate for Occupational Health and Safety
4. ISO 15189:2012 Accreditation for Clinical Laboratories – Wattala and Thalawathugoda
5. COVID-19 Safety Management System Certification by Sri Lanka Standards Institution (The only COVID-19 Certified hospital in Sri Lanka)

INTELLECTUAL CAPITAL - MOBILITY SECTOR

MARITIME AND AVIATION



Certifications and Licenses

1. ISO 9001:2015 – Hemas Maritime (Private) Limited
2. ISO 9001:2015 – Evergreen Shipping Agency Lanka (Private) Limited
3. ISO 9001:2015 – Far Shipping Agency Lanka (Private) Limited

VALUE CREATING ACTIVITIES FOR FY 2021/22

New, innovative products launched

Consumer Brands - Home and Personal Care

 "Diva" Araliya Washing powder with long-lasting floral fragrance	 "Fems" Aya High-quality sanitary napkin launched at an attractive price point with a view of improving menstrual health of Sri Lankan women	 "Fems" Sanitary Napkins With a novel 'fit to body technology' to increase the comfort parameters, high absorbency, and leak prevention	 "Velvet" Soap Enriched with Moisture Boost + plant based Vitamin Complex for long lasting hydration
 "Baby Cheramy" Head to Toe Baby Wash Full Body Baby Wash with oats and milk	 "Baby Cheramy" Cotton Buds With an easily biodegradable bamboo stem	 "Baby Cheramy" Kohomba and Sandun Herbal Cologne Manufactured using neem and sandalwood extracts to refresh and soothe skin	 "Baby Cheramy" floral laundry detergent Mild formula with anti-bacterial properties for superior cleaning
 Eva by Kumarika Non-sticky coconut hair oil combining three all natural base products - coconut oil, onion, and fenugreek	 "Actiseif" Nourish Soap Combining active germ-killing agents to kill 99.99% disease causing germs with enriched milk proteins to keep the skin soft and smooth	 "Vivya" face care range The first and only product in the country to be manufactured using extracts from Sri Lankan heirloom rice	 "SWA" Range Salon channel focused facial pack induced with Sri Lankan natural ingredients
 "Baby Cheramy" Nil Manel Soap and Milk Floral Cream Extra moisturising properties and infused with nil manel fragrance	 "Baby Cheramy" Diapers for newborns Ultra-thin diapers that avoid contact with the belly button	 "Baby Cheramy" Shampoo Range Extensive range of shampoo with variants such as honey and milk protein, nelli and jasmine	 "Baby Cheramy" Lavender Gift Box Lavender-based product range that is marketed with a view of promoting bed-time rituals
 "Baby Cheramy" Herbal Baby Lotion Range Combining ancient Sri Lankan medicinal herbs such as pokuruwada and sandun/pichcha and kasturi kaha	 "Baby Cheramy" Teens Introducing fruity and cool splash cologne sprays for teens	 "Goya" Soap Specially designed for young women	 "Gold" face care range Three-in-one range exclusively for men

THE CAPITALS REPORT

Intellectual Capital

Consumer Brands - Learning Segment (ATLAS)



Healthcare Sector - Pharmaceutical Manufacturing





AWARDS AND ACCOLADES

► Most Loved Brand in the Baby Care Sector (*Baby Cheramy*)

Brands Annual 2021 rankings released by the leading brand valuation and strategy firm, Brand Finance Lanka.

► Best New Entrant (*Clogard Chooty*)

Brand of the year 2021 - Sri Lanka Institute of Marketing (SLIM) Brand Excellence 2021

► 2nd Most Loved Brand in Hair Oil Category (*Kumarika*)

Bangladesh Brand Forum 2021 Awards in Partnership with Nielsen

► School Supply Brand of The Year (*Atlas*)

SLIM People's Awards 2021

► CSR Brand of the Year 2021 - Bronze Award (*Atlas*)

SLIM Brand Excellence Award 2021

► National Cleaner Production Award - Bronze Award (*Atlas Production Facility Welisara*)

National Cleaner Production Centre of Sri Lanka

► National Logistics Awards 2021 - Silver Awards (*Evergreen Shipping and Emirates SkyCargo*)

► Overall "A" grading achieved for 2021 full year agency evaluation (*Evergreen*)

Key Initiatives to Strengthen Brand Visibility by Hemas Hospitals

Commissioned ICCs to provide COVID-19 care for approximately 3,000 patients at any given time.	Conducted training and awareness to improve efficiency levels at ICCs.
Launch of PCR molecule laboratory for COVID-19 testing along with a RAT and PCR collection area.	Implemented lean management principles to streamline the patient discharge process and rationalise the kitchen process at the Thalawathugoda Hospital.
Improvements to the radiology process at the Wattala Hospital.	Launch of video consultations to enable patients to attend to their healthcare needs during lockdown periods.
Invested technology to expedite digital migration of existing processes to facilitate remote care services such as Home Care, Mobile Sample and Telemedicine.	Launch of mini call centre for the mobile sampling for faster turnaround.
Revamp of the marketing communication of Hemas Fertility Centre and <i>Adora</i> to create awareness.	

THE CAPITALS REPORT

Human Capital



“The Group’s 5,494 passionate and dedicated work-force is one of its key strengths and plays a vital role in its growth strategy.”

HR GOVERNANCE

The Group has in place a strong governance structure, comprehensive HR policy frameworks, and robust systems and processes to nurture its Human Capital. Each of the Group subsidiaries has its own HR department responsible for formulating and implementing HR procedures to suit the requirements of each business line. Group HR ensures consistency in policies and procedures at the Group level, is responsible for senior talent across subsidiaries, and sets the tone for Group culture and values.

HEMAS HR POLICY FRAMEWORK

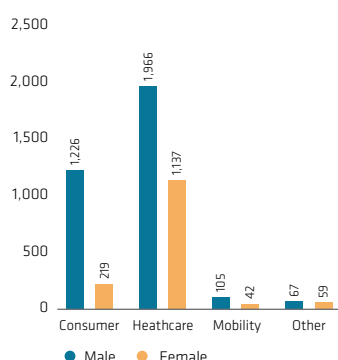
 Employment	 Remuneration	 Training and Education	 Diversity and Equal Opportunity	 Non-Discrimination	 Security Practices	 Anti-Corruption
• General Guidelines and Working Conditions for Employees • Hemas Workplace Policy • Flexible Working Policy	• Bonus Policy • Policies on Short and Long-Term Incentive Schemes	• Group Training Policy	• Guidelines for KidZone, MumZone and MedZone • Maternity, Paternity and Adoption leave Policy • Medical Leave Policy	• Human Rights Policy • Policy to Prevent Sexual Harassment at the Workplace	• HEMAS HOUSE - Guidelines on Crisis Management	• Whistle Blowing Policy

WORKFORCE PROFILE

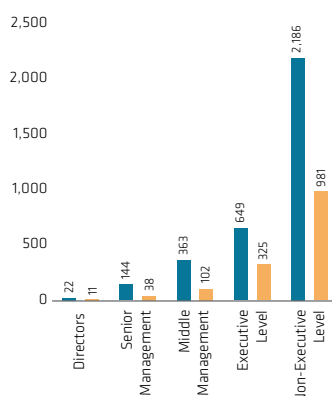


	Permanent	Temporary (Contract)	Non – Guaranteed Hours	Out-Sourced
Male	3,241	123	3	521
Female	1,332	125	0	152

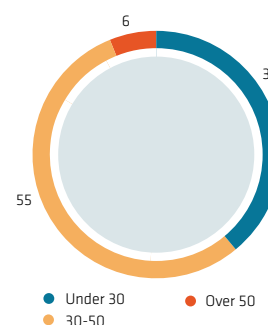
► Employees by Sector



► Employees by Grade



► Employees by Age (%)



The Group's full-time employees consist of 3,296 male employees and 1,411 part-time employees, while part time employees consist of 68 male employees and 46 female employees. The Group has 1 male employee working outside Sri Lanka in relation to the reporting boundary of this report. The Group predominately employs full time employees who engage in operations that are core functions of the Group. The outsourced workers of the Group includes janitorial staff, security personnel and individuals who are engaged in work that are not core operations of the Group.

The Group tracks its data related to its workforce which includes its employees and outsourced staff on a quarterly basis and the required information is provided by the relevant HR departments in line with the records maintained. The information in the Annual Report is data as at the end of the reporting period. During the year, there were no significant fluctuations in the number of employees or the outsourced staff across the Group.

As a responsible corporate entity, the Group ensures that all local and international laws and regulations

pertaining to child labour and forced/ compulsory labour are strictly adhered to. No cases of child labour or forced labour were reported during the year.

RECRUITMENT AND RETENTION

The Group employment policies focus on recruiting the best people, providing them training to enhance their skills, recognition of innate skills and competencies of each individual while offering equal career opportunities regardless of gender, race, or religion.

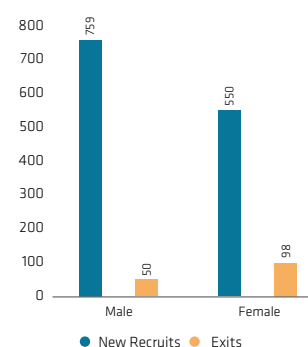
The Group provided employment opportunities to 1,309 new employees contributing to the gradual recovery of the economy affected by the COVID-19 pandemic.

All employees of significant sectors at the time of induction sign the 'Hemas Way' (Group Code of Conduct) document, which provides guidelines and relevant information on bribery and corruption. The Group Whistle Blowing Policy allows employees or a third party to report on any suspected misconduct, illegal acts or failure to act according to the Group Code of Conduct by e-mail or post to the appointed Board members. During the

year, no significant risks were identified relating to corruption within internal business processes.

During the year, 1,085 employees left the Group, resulting in a turnover rate of 22.5% [FY 2020/21: 21.4%]. From the total employees who left during the year, 56% were male employees and 57% were below 30 years, 37% were between 30 to 50 years, and 6% were above 50 years. The attrition rate among new hires amounted to 11.3% [FY 2020/21: 8.1%].

► New Recruits and Exits by Gender



THE CAPITALS REPORT

Human Capital

DIVERSITY, EQUAL OPPORTUNITY AND INCLUSION

Hemas is committed to creating a work place that is diverse, provides equal opportunity and is inclusive. The Group has in place policies and initiatives that support this commitment, and ensures all employees are treated fairly with no form of discrimination tolerated.

The 'Hemas Way' document, which is signed by employees at the time of induction states that employees should not discriminate their teams based on race, colour, religion, national origin, sex, age, disability, marital status or similar grounds.

Paid Maternity and Paternity and Adoption Leave

The Group Maternity, Paternity and Adoption Leave Policy goes well beyond statutory requirements.

Female employees are granted 100 days of maternity leave, while male employees are granted 10 days of paternity leave. The Group Adoption Leave Policy provides the same maternity and paternity leave for a child under one year, and half the benefit for a child between one and five years.

	Male	Female
Employees entitled to parental leave	803	561
Employees that took parental leave	32	155
Total number of employees that returned to work after parental leave	32	148

Voice of Women

Hemas Voice of Women (VOW) women's network was launched in 2017 as a forum for female employees across all business units and grades, to identify key challenges and constraints faced, and find workable solutions for these issues.

The key objective of VOW is to create a more inclusive environment that attracts and retains more women into the workplace. During the year, the network conducted the following programmes:

- The Circle: Session on Mental and Physical Wellbeing
- Finance Literacy for Financial Wellbeing

Fems Aya

Fems joined forces with the ARKA initiative, Dilmah's Merrill J. Fernando Charitable Foundation, Sarvodaya Women's Movement and Sarvodaya-Fusion to break the stigma on menstrual health.

During the year, Hemas Consumer Brands launched a Groupwide initiative to distribute free sanitary napkins to both its male and female employees, a first by a Sri Lankan corporate. This initiative opened a conversation among both genders within and outside the company about the issues faced by women due to period poverty.

Supporting Employment of Individuals with Disabilities

The Group encourages the employment of differently-abled individuals (e.g. visually-impaired individuals, hearing-impaired individuals, individuals with physical and mental impairments and rehabilitated combatants, who are employable) and is actively working towards achieving the goal of ensuring that 0.5% of our employees belong to these groups.

The Group currently employs five individuals with disabilities, which is 0.1% of total employees.

Sexual Harassment Committee

The Group believes that any form of sexual harassment can adversely impact both the individual and the organisation and does not tolerate any form of harassment to its employees.

Awareness of the Group Sexual Harassment Policy is created regularly through internal communication tools to all employees. The employees are able to report an incident confidentially to a committee member, and if warranted an investigation will be carried out on the matter.

Increasing Female Participation

Hemas is committed to increasing female participation in the workforce and strives to attract and retain female employees by creating a female friendly work environment

The Group has in place policies and initiatives, such as flexible work solutions, backup childcare arrangement and a Mumzone for lactating mothers, providing a support system where women can fulfill their multiple roles to their maximum capacity.

EMPLOYEE ENGAGEMENT

The Group believes that a culture of open communication is key to maintaining high levels of engagement and has in place multiple forums for employees to ask questions, voice their views, and share suggestions. Employee satisfaction surveys are also conducted periodically to get a pulse of employee sentiments. A strong grievance mechanism which includes documented escalation procedures ensures that employees are able to voice their concerns without fear of reprisal. Meanwhile the Group's Whistle Blowing Policy enables employees to communicate directly with Directors in the event of a perceived transgression.

All significant sectors have in place Joint Consultative Committees with employees and maintain constant dialogue between management and employees through periodic direct management worker meeting. All employees of the Group can freely associate and Morison has in place a formal collective bargaining agreement and 3.2% of Group employees are covered in formal collective bargaining agreement. All employees are treated fairly, and each of the employees have the freedom to engage with the senior leadership teams, direct line reports, and relevant HR representatives.

During the year, multiple activities were carried out across the Group operations to engage and support each employee. Group level engagement activities included:

Celebrating special days,
religious festivals and holidays

Engaging with managing
directors and leadership teams

Providing a platform for employees
to showcase their creativity

Employee forums

HEMAS AWARDS 2021



First ever Digital Hemas Awards was conducted in September which recognised and celebrated teams across the Group. Hemas Hospitals team was recognised as the Champions of the Arena, the pinnacle award for the night.

“While we each worked together fulfilling our purpose, there was one team which really had to go the extra mile. They put their lives at risk and sacrificed their time with their families and loved ones to ensure that our communities were able to fight the COVID-19 pandemic. Their compassion and dedication for others have helped save the lives of many, and for this we are truly in their debt.”

Kasturi C. Wilson, Group CEO, presenting the Champions of the Arena Award to the Hemas Hospitals Team.

HEMAS CYBER STAGE



An online talent programme was conducted to showcase the talent of the employees and their families, and build engagement amongst them.

THE CAPITALS REPORT

Human Capital

EMPLOYEE HEALTH AND SAFETY

The Group is committed to ensuring the highest health and safety standards across its operations and has in place a Groupwide Health and Safety Policy and specific management approaches for each of its locations to ensure adherence to the policy. The Health and Management System of the Group applies comprehensively to all manufacturing locations, and all locations are ISO 45001 certified. Identification of Health and Safety risks and periodic audits are conducted to ensure compliance. The Group continues to track and monitor workplace injuries as part of its efforts to identify hazardous areas and continuously improve working conditions.

All manufacturing locations prepare and maintain a Hazard Identification Risk Assessment (HIRA) document, which is reviewed periodically. When an incident occurs, officers responsible for ensuring health and safety carry out root cause analysis for all injuries and suggest process improvements to management. A report on health and safety is submitted to the Human Resources and Remuneration Committee on a quarterly basis.

Business units have health and safety committees who meet regularly. All health and safety matters are discussed in the meeting and the suggestions of the committee members are obtained before implementation. The committee members include representatives from relevant departments. Health and safety trainings are also conducted for employees and contract personal by Health and Safety officers.

In addition, relevant business units advise its contract manufacturers of processes, systems and protocol related to health and safety. During the upcoming financial year Home and Personal Care will undertake periodic audits of its dedicated contract manufacturer's site.

	Employees	Contract Personnel
High Consequence Injuries (No.)	-	-
Recovery time more than 6 months		
High Consequence Injury Rate (per 100 workers)	-	-
Recordable Injuries (No.) Recovery time between 3 days and 6 months	15	4
Recordable Injury rate (per 100 workers)	0.31%	0.37%
Total Work Related Injury Rate	0.59%	0.59%

During the year, the Group and the SBUs carried out multiple initiatives across its operations promoting the health and safety of the teams, including awareness session and campaign on COVID-19 safety protocols and importance of vaccination

HEMAS WELLNESS

Hemas Wellness, the Group's dedicated wellness programme for employees, continued to conduct wellness initiatives across the Group. Funded by an independent trust, Hemas Wellness is a dedicated team, tasked with the mission of nurturing the healthiest possible workforce through awareness campaigns and access to mental and physical healthcare.

Key programmes conducted during the year include;



14 million+

steps walked by 550 employees



15 stopped smoking

100 sales reps participated in the Tobacco Cessation Programme



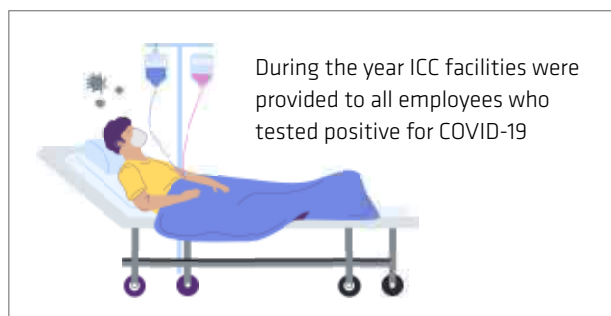
250 employees

Mental Health Psychoeducation Programme



1,000+ employees

COVID-19 Management Webinars

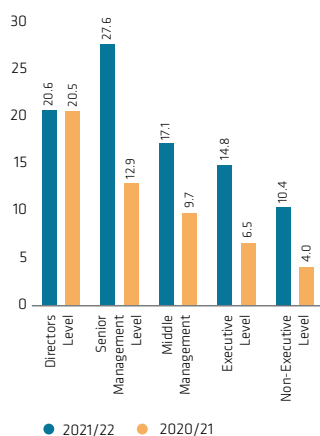


TRAINING AND DEVELOPMENT

During the year, the Group continued to invest in the training and development of its employees as it believes uplifting employee skills and knowledge plays a vital role in the Group growth strategy. Instilling a culture of learning across its Group operations positively impacts productivity, drives innovation, and allows for teams to be able to serve the customers in a more meaningful manner. Training needs are identified at each business unit through a process that involves assessment centers, talent discussions and performance feedback. This ensures that there is alignment between the strategic requirements of the company and individual goals.

► Average Training Hours (By Employment Category)

(Average Hours)



LEADERSHIP DEVELOPMENT

Structured mechanisms are in place to identify and develop key talent across the Group. Talent management sessions are conducted annually at business level to identify employees with leadership potential and then directed to specific leadership development programs. Meanwhile Human Resources and Remuneration Committee reviews the talent pool at Group Level to identify high potential successors for critical roles.



60,890

Total Training Hours
FY 2020/21: 26,120

12.6

Average Training Hours
(Per Employee)
FY 2020/21: 5.4



PERFORMANCE MANAGEMENT

Performance management is a part of the training and development process at Hemas and is closely linked to career progression, incentives, remuneration and training needs identification. Goal setting is carried out at the beginning of each financial year and communicated to all executive and above level employees. Performance reviews based on set goals are conducted biannually for all executives and annually for all non-executives. The review process is a two-step process where the initial review is conducted by respective supervisors with opportunities for employees to discuss performance, understand areas of improvement and establish future goals. A bell curve of employee performance evaluations is then evaluated by a panel.

REMUNERATION AND BENEFITS

Remuneration comprises a fixed pay component and an annual bonus which would either be a fixed amount or performance based variable amount depending on employee grade and

business. All employees of the Group based in Sri Lanka are also eligible for the Mercantile Service Provident Society (MSPS)/ Employees' Provident Fund (EPF) and the Employees' Trust Fund (ETF) contributions stipulated by law. The total contribution made by the Group to ETF for the reporting year was Rs. 98.4 million, while the contribution made to MSPS/EPF was Rs. 404.7 million. Employees are also entitled to gratuity and the total benefit liability as at 31st March 2022 was Rs. 991.7 million. In addition to these statutory benefits, full time employees are also entitled to a range of benefits including medical insurance, staff loans, meals in certain businesses, transport facilities, travel allowances and other benefits.

All wages and remuneration are commensurate to the work undertaken, and in all cases higher than a minimum wage requirement and aligned to market remunerations. The Group considers the annual total compensation ratio confidential.

THE CAPITALS REPORT



NATURAL CAPITAL

“

The Hemas Group is committed to utilising its environmental resources efficiently and minimising environmental impacts which occur through its operations.

”

THE GROUP ENVIRONMENTAL AGENDA 2030



Responsible Plastic Manufacture and Disposal Practices

From design to disposal, the Group will strive to reduce use of plastic that are harmful to the environment



Safeguard our Eco System

The Group will embrace and champion initiatives that protect and nurture our unique eco system



Protect our Natural Resources

Actively pursue the use of natural resources in a responsible manner limiting the impact Group operations have on the environment

ENVIRONMENTAL GOVERNANCE

The Group has in place an overarching Sustainability Policy which is complemented by the Group Environmental Policy, which has policies for its relevant material topics. Each Environmental Policy is complemented by a management approach which focuses on prevention, mitigation and where applicable establishment of goals and targets.

The Group Sustainability and Corporate Communications Division (GSCC) drives the Group's efforts to mitigate its environmental impact by monitoring relevant material topics on a quarterly basis to identify, manage and rectify any risks. In addition, the Division leads the Group Environmental Agenda and advises the business units on relevant initiatives.

Operationalisation of the initiatives carried out within the business to achieve environmental targets under the Environmental Agenda is driven by the Group's Environment Committee (GEC). The committee, comprising of Chief

Internal Sustainability Assurance Audits FY 2021/22

Morison Factory - Homagama
Atlas Factory - Peliyagoda and Welisara
Hemas Pharmaceutical Warehouse Complex - Welisara
Hemas Manufacturing Factory - Dankotuwa

Engineers from each business unit and members of the GSCC, meet monthly to discuss progress and address, with quarterly field visits being conducted to share knowledge.

Standard Operating Procedures (SOPs) are in place to streamline processes and ensure accuracy of ESG data gathered on site, while regular internal sustainability audits are carried out by the GSCC to ensure highest sustainability standards are met. The Group strives to be in compliance with all environmental laws and regulations of the country at all

times and tracks and monitors any environmental fines paid by its businesses for spillages or any other non-compliance to Sri Lankan legislation. No significant fines worth over Rs. 1 million on environmental non-compliance or spillages were reported in the year under review.

PROTECTING OUR NATURAL RESOURCES

In an effort to ensure the use of natural resources in a responsible manner the Group has in place three goals focused on its usage of energy and water. The GSCC together with the GEC works towards these targets and implements energy reduction, energy efficiency and renewable energy initiatives.



25%

Reduction of Energy Usage



50%

Reduction of Water Usage



25%

Energy through Renewable Sources

ENERGY MANAGEMENT

Carbon footprint management is considered an important aspect of the overall Environmental Governance of the Group, and the Board of Management along with the GSCC, are responsible for the monitoring, review and corrective decision making with regards to the Group's Carbon Footprint and overall energy management.

The Group focuses on strategies of renewable energy, energy efficiency, and carbon offsetting activities and reforestation as the primary tools in driving a low carbon strategy. Risks resulting from climate change is addressed through the Group's Enterprise Risk Management Division, and through its risk registers and periodic reviews identifies any locations prone to natural disasters caused by climate change, as well as reviews the processes and measures deployed to mitigate such impacts. The Group recognises climate change impacts as a moderate risk of business stemming from changing rainfall patterns and prolonged period of drought which could impact manufacturing capabilities in the future.

The Group Environmental Committee along with the engineers at each business assesses the risk of energy security, risks of delays in switching over to renewable energy, and the risk of continuation of operations especially under a regime of low fossil fuel availability on an ongoing basis.

The above Environmental Governance Framework, together with the Group's carbon reduction strategies and risk management functions, have led to the development of carbon footprint KPIs as part of the Group's Key Sustainability Performance Indicators, which include the total carbon footprint, scope 1, scope 2 footprints, carbon footprint by sector, carbon intensity and review of progress of initiatives to minimise carbon emissions and energy usage. These are compiled by the GSCC and presented to Board of Management on a quarterly basis for monitoring and review.

The Group tracks and measures its carbon footprint based on the GRI Standards using internationally-accepted emission factors. The greenhouse gas protocol of the World Resources Institute (WRI) and the World Business Council for Sustainable Development (WBCSD) is used to measure the Group's carbon emissions, while carbon emission factors found in the IPCC guidelines for national greenhouse gas inventories published by the Institute of Global Environmental Strategies (IGES) are also used for calculating our carbon footprint. Currently, the carbon intensity of the Group is calculated using the total Group revenue, and internal Carbon Footprint reduction targets have also been established. The initiatives and the implementation of the Group's carbon footprint strategy and the Group's journey towards achieving its targets are mentioned in the next few pages of the report.

THE CAPITALS REPORT

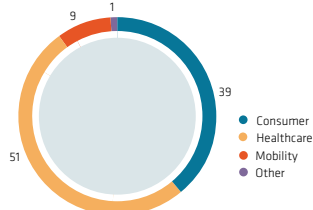
Natural Capital



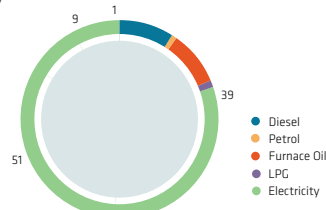
GROUP CARBON FOOTPRINT

19,637 (FY 2020/21: 16,758) Total Carbon Footprint (MT)	3,807 (FY 2020/21: 3,622) Scope 1 (MT)	15,830 (FY 2020/21: 13,176) Scope 2 (MT)	0.25 (FY 2020/21: 0.26) Carbon Intensity (MT per Rs. Million Revenue)
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Carbon Footprint by Sector (%)



Source of Carbon Footprint (%)



ENERGY CONSUMPTION

The reduction of energy consumption plays a vital role in the Group's response to its environmental impact. The Group continues to work towards ensuring the efficient use of fossil fuel and electricity in its effort to reduce its carbon footprint.

The increase in the carbon footprint of the Group is mainly due to the commencing of operations of the Morison pharmaceutical manufacturing plant in Homagama. In addition, the Group is committed to reducing its dependency on fossil fuel and has started the process of moving towards greater utilisation of renewable sources. At present, Hemas Hospitals utilises solar energy which amounts to 2% of the energy used at the business and 0.44% of the Group energy used.

During the year, the Group commenced the process of installing roof mounted solar PV power plants at businesses with significant operations. Once fully functional, the usage of solar energy will increase to 25% of the total energy used by the Group, which is in line to the Group Environmental Agenda.

Energy Consumption of the Group

GJ	2021/22	2020/21
Direct Energy	50,920	49,080
Fossil Fuel	50,568	48,670
Diesel	24,296	31,670
Petrol	2,404	2,401
Furnace Oil	22,437	12,625
LPG	1,431	12,625
Renewable Energy	352	410
Solar Power	352	410
Indirect Energy	80,936	67,366
Hydro and Renewable	39,659	33,009
Thermal	41,277	34,357
Total Energy *	131,856	116,446

*The energy consumption data includes two quarters of data from the logistics business which was divested by the Group



NEW ENERGY EFFICIENCY INITIATIVES

Hemas Pharmaceutical	Morison Homagama
Improve capacitor level to reduce electricity demand.	Installation of low energy consuming air compressor for 24/7 operation utility saving 31,236 kWh a month.
Fluorescent lamp converted to LED.	Internal process for switching on the main utilities resulting in 75 kVA demand reduction.
	Planned shutdowns of chilled water and hot water control system in air handling units during non-working days.

WATER MANAGEMENT

Water Consumption and Effluent

The Group recognises that water is an increasingly scarce and critical global resource and has ensured that all Group companies are committed to be responsible custodians of water resources by measuring, monitoring, and managing its water use as standard business practice.

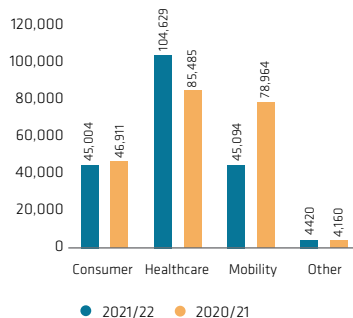
The Group ensures that the discharge quality levels of discharged waste-water is in line with the relevant country laws. Water withdrawals and discharge is tracked and monitored with the use of water meters and where meters are unavailable, through estimated based on pump functional time.

Water is extensive used in many of the production processes in the Consumer Brands and Healthcare Sectors and for sanitation purposes in all three sectors.

During the year, the total water withdrawal amounted to 199,147 m³ [FY 2020/21: 253,675 m³], which is a 22% reduction from the previous year. This includes water withdrawal by the recently divested Logistics businesses for the first two quarters of the financial year, which amounts to 8,067 m³, while 92% of water requirement is met through third party water sources (municipal water suppliers) and the rest through well water. 92% of

the Group's water withdrawal is from non-water stressed areas where annual rainfall is over 1,500 mm per year. All water used was fresh water.

Water Withdrawal by Sector



During the year the Group discharged 145,029 m³ of waste water. Water discharged was through effluent treatment plants at sectors and all water discharged was as per the standards stipulated in respective EPLs. The Group discharged 95% of its water to areas that are considered as not water-stressed.

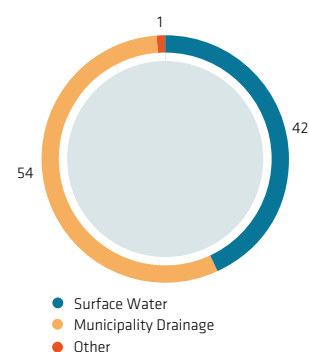
All production facilities have onsite effluent treatment plants to ensure that wastewater released into the environment is treated and meets the stipulated standards mandated in the EPLs of the sectors. In accordance with respective EPLs, effluent quality in terms of BOD, COD, TSS, pH and oil and grease

is monitored multiple times during the year. There were no recorded significant spills during the year and there were no instances of non-compliance with EPL terms during the year.



Rainwater harvesting at the pharmaceutical manufacturing facility where the collected water is used for gardening

Water Discharge by Destination (%)



NEW WATER CONSERVING INITIATIVES

Morison Homagama

Zero-discharge facility where all treated waste water is re-used for secondary operations such as in cooling towers, flushing mechanisms and gardening.

Installation of water sub-metering to identify areas of highwater usage.

Consumer Brands Dankotuwa

Reverse osmosis plant for reuse of effluent, saving 25m³ a day.

THE CAPITALS REPORT

Natural Capital

WASTE MANAGEMENT

Solid waste management is a material concern given that all the Group's key sectors generate significant amounts of solid waste as part of its production process or operations. Healthcare and Consumer Brands Sectors are the largest contributors to the waste generated by the Group.

Given the Group's manufacturing operations, waste streams are generated from its sourcing, manufacturing as well as at the point of end user consumption. These waste streams are mainly waste generated from packaging material, both sourcing and end user consumption points as well as solid waste and scheduled waste during the manufacturing process. The impacts of these waste streams are

managed holistically, by adopting waste management, where global best practices in waste management is incorporated through-out the product lifecycle.

Production technology and processes are continuously upgraded to ensure minimal wastage during production, stringent processes are in place to dispose of waste responsibility in line with conditions stipulated in respective EPLs and ongoing research is carried out to reduce waste in packaging materials, being cognisant of our target segment as well. Meanwhile, R&D teams within Consumer Segments are also actively working with the Central Environmental Authority (CEA) to analyse consumption patterns and develop future action plans to reduce and better manage end user waste disposal.



Waste-water treatment plant at pharmaceutical manufacturing facility where the water is re-used for secondary operations



Waste segregation at Atlas Axillia factory in Peliyagoda

Waste Management Processes of the Group	
Healthcare	Consumer Brands
- Clinical waste generated at Hemas Hospitals is subject to stringent procedures pertaining to waste storage, management, handling, and disposal stipulated the Environmental Protection License and/or the Scheduled Waste Management License issued by the CEA. - Waste segregation is practiced at Hemas Pharmaceuticals and Morison, and is recycled by third parties.	- Atlas continues to introduce new technology and process improvements to reduce paper and plastic wastage in its production process. - Atlas follows the 4R concept to ensure responsible disposal of waste and does not send any waste to landfill. - Chemical sludge is disposed via the Holcim cement kiln. - HPC has in place specific KPIs to reduce the percentage of operational waste.

The Group closely monitors waste generated and reports on disposal methods of operational waste generated.

Hazardous Waste		Disposal Method	Non-Hazardous Waste	
2020/21	2021/22		2020/21	2021/22
990	7,504	Reuse	55,407	35,601
200	259	Recycling	1,091,465	192,699
		Composting	2,215	13,822
		Recovery	18,557	15,593
158,617	326,322	Incineration	196,679	87,130
		Deep Well Injection		
		Landfill	243,988	202,533
2,402	15,033	On-Site Storage	1,022	380
162,209	349,177	Total	1,609,333	562,817

During the year, the highest quantity of waste was generated by Atlas Axillia, which accounted for 55% of waste generated by the Group. The increase in waste is a result of the implementation of a new waste management process and tracking system at Atlas Axillia, allowing the tracking and measurement of all waste segments.

RESPONSIBLE PLASTIC MANUFACTURE AND DISPOSABLE PRACTICES

During the year, the Group increased its focus in responsible plastic manufacturing and disposal practices which resulted in several key initiatives being launched.



Addressing Marine Pollution in Sri Lanka

Partnership with the Marine Environment Protection Authority (MEPA) to address the marine pollution in Sri Lanka by installing an 'Ocean Strainer' floating trash trap at the Samanala Canal, Galle, and committing to four 'Beach Caretaker Projects' in Habaraduwa, Rathgama, Bentota and Balapitiya.



05
Locations



20+ Tonnes
Expected Annual Collection



Reclaiming Used Pens and Toothbrushes to Minimise Impact on Landfill

Partnered with the Ministry of Environment's initiative "Not a Rule but a Discipline" and facilitated the placement of recycling bins at Government institutions and schools to collect disposable plastic pens and toothbrushes.



2,000+
Bins Placed



50+ Tonnes
Expected Annual Collection



Encouraging Responsible Disposal of Plastic Waste

Partnered with John Keells Holdings for its social entrepreneurship project Plasticcycle which is targeted towards responsible disposal and responsible management of post consumption plastic products among the general public.



30
Bins Placed



23
Locations



5+ Tonnes
Plastic Collected Since Inception



Reduction of Plastic Used in Products

Baby Cheramy introduced 100% eco-friendly biodegradable cotton buds made from paper, further strengthening its commitment to help mitigate environmental pollution. Baby Cheramy is the first local baby care brand to introduce an eco-friendly bamboo cotton bud to the market.



100+ Tonnes
Reduction of Plastic Used Per Year

THE CAPITALS REPORT

Natural Capital

SAFEGUARDING OUR ECO SYSTEM AND OFFSETTING GROUP CARBON FOOTPRINT

The Group remains committed to promoting sustainable forest management practices within Sri Lanka and is actively involved in several biodiversity conservation projects around the country.



Restoring the Mangrove Ecosystem at the Anawilundawa Ramsar Wetlands

Hemas Consumer is implementing necessary measures to restore mangroves in selected blocks of land which are in close proximity to the Hemas Manufacturing plant in Dankotuwa.

Anawilundawa wetlands stretches across 1,397 hectares and is one of Sri Lanka's six designated wetlands by Ramsar Convention. Whilst being a sanctuary for hundreds of bird species, fish species and animals, Anawilundawa ecosystem has largely benefited the villagers to earn a living.



Partner



**Anawilundawa
Ramsar
Wetland**
Location



9.8 Acres
Area



Reforestation of Land in Balangoda for a Greener Sri Lanka

Hemas Consumer partnered with Rainforest Protectors to plant 15,000 trees with the aim to embed sustainable forest management practices within Sri Lanka, and extend its support towards social initiatives to conserve the forest cover.



Partner



**Rajawaka
Forest Reserve**
Location



15 Acres
Area



Endemic Species Conservation Project

Hemas Consumer has initiated a series of mini projects that strives to protect the endemic species of Sri Lanka.



Partner



**Across the
Island**
Location



**25 Mini
Projects**
Projects



SOCIAL AND RELATIONSHIP CAPITAL

“The Group believes strong relationships with its customers, business partners, and the community helps unlock sustainable value creations and plays a vital role in the growth strategy of the Group.”

The Group ensures that the operations are carried out in an open and ethical manner, engaging with stakeholders at various stages to ensure the alignment of mutual interests. During the year, the Group focused on building customer loyalty, stronger and more efficient supply chain, greater industry engagement and creating more equitable communities.

CUSTOMER RELATIONSHIPS

The expanding product and service portfolio of the Group caters to an increasingly diverse customer base across a wide socio-economic and geographical spectrum, and includes customers ranging from individuals, micro entrepreneurs, SMEs and corporates.

Ongoing customer engagement enables the Group to create a deeper connection with its customers while gaining a better understanding of what the customer needs. The Group engages with its customers through multiple channels including surveys, complaint management systems and customer awareness programs, focus group meetings, social media, retailer, and distributor conventions among others.

Customer health and safety is a critical aspect of the Group's products, services, and customer solutions. In representing leading global brands, the Group customer solutions are backed by warranties, guarantees and product responsibility, as well as design features that uphold high product safety.

Relevant businesses in the Healthcare sector have in place an adverse drug reaction notification and product complain form in its webpage. Any patient who

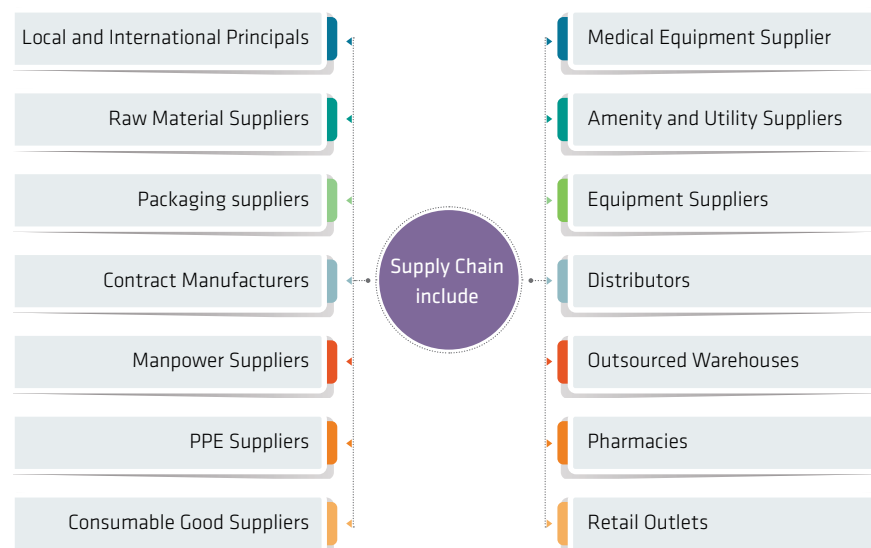
experiences a reaction or has a complaint can directly communication through that channel. Field staff are also encouraged to report such information to ensure patient concerns are addressed in a timely manner.

The Group businesses has in place robust mechanisms to obtain customer feedback on product and service quality which includes Consumer careline and email mentioned in all Consumer Brands products, complaint forms on company websites and regular engagement with consumers. In addition, conveying accurate information about its products and services enables the Group to create awareness and confidence about its product and service offering in a responsible manner. The Group is committed to ensuring that all products sold have the certification, labelling,

product and service information required by law. This is especially material to the pharmaceuticals sector, which adheres to all requirements of the National Medicines Regulatory Authority (NMRA), which provides instructions on product and service labelling as well as information dissemination to customers. Meanwhile a groupwide “Advertising Checklist” is in place in order to ensure that all internal and external communications adhere to the core principles of honesty, cultural sensitivity and non-discrimination.

There were no instances of significant fines over Rs. 1 million or incidents of non-compliance relating to health and safety of products and services, product and service information and labeling, marketing communications or breaches in customer privacy during the year.

Business Partner Relationships



THE CAPITALS REPORT

Social and Relationship Capital

As a result of the supply chain being large and multi-tiered, the Group has established a systematic approach to managing the relationships with its suppliers. This includes mapping out supply chain risks to address any social concerns that may occur, whilst also realising the opportunity to improve efficiencies and sustainability throughout procurement, production, and supply chain partners. The strong partnerships built over the years proved invaluable during the pandemic, enabling business lines to maintain efficient and reliable supply chains with minimal disruptions despite challenging operating conditions. The Group's supply chain has 953 local suppliers, with its raw material suppliers and principals located overseas.

The Group has several contract manufacturers located in Sri Lanka, and in the region which carry out dedicated manufacturing operations for the Group. As the scope of this report only includes Sri Lanka, this section reports information related contract manufacturers in the country. The relevant businesses engages with its contract manufacturers periodically to ensure product quality, health and safety of their staff, and other local laws and regulations.

Building stronger and more efficient supply chains remains a strategic priority particularly in the context of an increasingly complex and uncertain operating environment. A comprehensive Supplier Code of Conduct ensures that all suppliers and business partners adhere to the prescribed code of ethics. Meanwhile an internal policy of Significant Supplier Engagement methodology is in place to further strengthen supplier engagement by prescribing a 5-point process of engagement. Currently all SBU's with significant operations are in the process of implementing the new Supplier Engagement Policy while the existing Supplier Code of Conduct and contractual terms and conditions are being

strengthened as part of the Group's efforts to foster a sustainable supply chain for the future. During the year there were no significant change in the supply chain as its type of operations remained the same.

INDUSTRY RELATIONSHIPS

The Group's involvement in a wide range of industry and business associations has enabled it to be a thought-leader and change-maker in the industries it operates in. Key associations the Group is a part of are listed below:

General Business /Trade	Ceylon Chamber of Commerce Ceylon National Chamber of Industries Sri Lanka-Pakistan Business Council The Industrial Association of Sri Lanka Cosmetic Manufacturers Association in Sri Lanka Employers' Federation of Ceylon
Pharmaceutical Manufacturing and Distribution	Sri Lanka Chamber of the Pharmaceutical Industry Sri Lanka Chamber of Pharmaceutical Importers Sri Lanka Chamber of Medical Devices Industry All-Island Private Pharmacy Owners' Association Pharmaceutical Society of Sri Lanka
Hospitals and Laboratories	The Association of Private Hospitals and Nursing Homes (APHNH) Private Medical Laboratories Society Limited
Shipping Aviation and Logistics	Sri Lanka Association of NVOCC Agents (SLANA) Ceylon Association of Ship Agents (CASA) Sri Lanka Association of Vessel Operators (SLAVO) Sri Lanka Association of Airline Representatives The Board of Airlines Representatives (BAR)
Other	National Committee on Early Childhood Care and Development at Ministry of Women and Child Affairs Biodiversity Sri Lanka

COMMUNITY RELATIONSHIPS

The Group is committed to creating equitable communities with focus on its purpose of making healthful living happen across the nation because it believes that every family deserves a better tomorrow.

The Group businesses continues to engage with community leaders in and around its locations of operations to understand any potential issues that might arise or any impacts its operations will have in the community. The businesses through these engagements identify initiatives and community service programmes that would support local livelihoods. In addition, the Group continued its efforts to support communities by providing emergency relief and addressing disaster response needs of adversely affected families. Through these engagement activities the Group strives to ensure equitable communities and healthful living amongst communities, and create a strong brand image and social license to operate.

The Group also has in place a community grievance handling mechanism and continuously engages with the community and its stakeholders to understand any concerns. During the year all community grievances that were brought forward were resolved by the Group. Further, there were no instances of significant non-compliance with laws and regulations in the social and economic area. The Group defines significance as fines exceeding Rs. 1 million.

Purpose-Led and Hemas Outreach Foundation Initiatives

The Group's purpose-led and Hemas Outreach Foundation initiatives focus on tackling inequality that exists in today's communities and creating an inclusive world where no child is left behind.



A private-public partnership between the Hemas Outreach Foundation and the State Ministry of Women and Child Development, Pre-Schools and Primary Education, School Infrastructure and Education Services since 2002.



FOCUS

Early childhood care and development of underprivileged children across the country.



MISSION

To nurture young children with good care in order to provide a solid foundation for a life-long journey.

IMPACT CREATED



60
Pre-schools
02
New Schools Added



4,000+
Children Impacted



200
Piyawara Teachers

Annual Teacher Training and Parental Awareness Programmes are conducted annually.

Once build the pre-schools are handed over to the local authorities for management. The monitoring of the pre-schools are done by the Hemas Outreach Foundation together with the relevant ministry.

THE CAPITALS REPORT

Social and Relationship Capital



A long-term sustainable initiative with the University of Kelaniya, Faculty of Medicine and other Corporates. Sri Lanka's first national center for children with disabilities is operational since January 2020.

IMPACT CREATED



8,168
Children



Provide
telehealth
services



200+
Undergraduates
trained at the
disability study unit*



Trains postgraduates,
pediatricians,
teachers and
caregivers

*Ayati is the disability study unit of the Faculty of Medicine of the University of Kelaniya

AYATI AIMS TO

Change the mindset of the public to eliminate any stigma and promote integration into society as productive citizens.

Extend the services to the rural areas of Sri Lanka in time to come.



Creating a social movement to empower children and families with Downs Syndrome to live a dignified life

IMPACT CREATED



Launch of Ideation
Zone



Launch of AYATI
song dedicated
to children with
disabilities



05
Awareness video to fight stigma
against children with down
syndrome. Approximately 1.5
million reach for each video

EKA SE SALAKAMU AIMS TO

- Create a platform for families and children with Down Syndrome to express their views, share their experiences and showcase their talents in order to eradicate the stigma attached to Down Syndrome.
- An effort to create a more inclusive society that leaves no child behind and promote inclusive education.



FOCUS

Create awareness and support the early management of diabetes in our communities.

IMPACT CREATED



Launch of Say Yes to Life Website



Healthy Corners at Government Ministries



Multiple initiatives by businesses

SAY YES TO LIFE AIMS TO

- Educating people about diabetes prevention, nutrition, self-care and management.
- Encourage and inspire individuals and families to make healthier choices in how they live, in short challenging them to take charge as they can and should have better lives, to keep NCD's at bay.



FOCUS

Providing natural hair wigs, hair products, and counselling sessions to patients undergoing chemotherapy and advocate that women are strong and beautiful with or without hair

KEY IMPACTS/ACHIEVEMENTS



Giving new hope to the patients and providing them the necessary support through their cancer journey.



Providing an opportunity for interested parties to be involved in the project by donating hair.



6,000
Patients annually
(50% of the requirement)

PLANS

Providing wigs to **25 cancer hospitals** situated island wide

Raising awareness on the stigma and misconceptions regarding cancer in an effort to create an inclusive world

THE CAPITALS REPORT

Social and Relationship Capital



FOCUS

Tackling period poverty in Sri Lanka



OBJECTIVES

- Educate Sri Lankan women on menstrual health and dispel long-held myths and misconceptions.
- Providing high-quality affordable sanitary napkins at an attractive price point of below Rs. 100.
- Empowering women to take charge of their own health and wellbeing.

IMPACT CREATED



15,000
Reached on issues
around menstruation



4,000+ women
Encouraged and
exposed to use of
sanitary napkins for
the first time



2,500 women
Directly trained on
menstrual health and
hygiene



18 localities
Training Sessions



6,700
Employees of both genders sensitised to menstrual
health and hygiene and received free sanitary napkins;
the first in a corporate in Sri Lanka



FOCUS

Create equal learning opportunities for children from underprivileged and underserved backgrounds to continue their education

Children who are at risk of dropping out of schools due to financial difficulties are provided with means to continue and complete their education. Educational equipment is also provided for children from low-income families

IMPACT CREATED



15,000+
Families



FOCUS

Facilitating learning by creating quality educational experiences for every child

IMPACT CREATED



8500+
Teachers
Teacher Engagements



60,000+
Students
Student Engagement
programmes



50,000+
Students
Free Study Video Lessons
and Live Seminars for
grade 5 Students



20,000+
Parents
Parental programs

THE CAPITALS REPORT

Social and Relationship Capital



Launched in 2014, Hemas Abhimana is a group wide initiative aimed at creating awareness on social issues and inspiring employees and other stakeholders to drive positive change in their communities through their own actions. Initiatives under Abhimana are spearheaded by Abhimana Champions; representatives appointed at each business together with the support of their respective teams and the management.

Each year efforts made by SBU's to champion socially responsible businesses are recognised with the Annual Abhimana Award. This year's winner was 'Atlas Sip Udana' a program aimed at facilitating learning by creating quality educational experiences for every child

In addition, businesses across the Group continued to engage at community level with specific customer groups.

Key activities carried out during the year include:

 Distribution and Donation of Dry Rations and Personal Care items

 Book donations

 Distribution of Surgical Masks, PPE Kits and Sanitary packs

 Donation of Medical Supplies to Hospitals

 Donation of First aid and essential medicines to schools

 Medical Assistance and Free Diagnostics

 Infrastructure Development of Schools, Hospitals and Police Stations

 Infrastructure Development of Hospitals

 Training and Education: Menstrual Health and Hygiene and Inclusive Parenting

BE AN ANGEL INITIATIVE



For the 10th consecutive year, Hemas held its 'Be an Angel' initiative which strives to make a difference in the lives of extremely poverty stricken children of our country.

Each year with the assistance of the Sri Lanka Army, the program identifies a deserving area in the country and the gifts donated by Hemas employees and other well-wishers are distributed. This year the gifts were distributed in the remote villages of Kanakarayankulan and Kulukunawa Batticaloa.

The 'Be an Angel' initiative is a Christmas tradition at Hemas and we are honoured to play a part in creating moments of joy for the families of our nation.



SECTOR INTEGRATED REVIEW



CONSUMER BRANDS SECTOR

- HOME AND PERSONAL CARE (HPC) SRI LANKA
- HOME AND PERSONAL CARE (HPC) INTERNATIONAL
- LEARNING SEGMENT



CONTRIBUTION TO GROUP



39.0%
Revenue



42.7%
EBITDA



34.1%
Workforce



32.5%
Capital Employed



38.9%
Carbon Footprint

OVERVIEW

Hemas Consumer Brands Sector delivered strong results in financial year 2021/22, in the backdrop of a challenging external environment. Bolstered by healthy performances by all three business verticals, the overall revenue recorded a significant improvement of 22.8% over the previous year. However, Sector profits declined by 9.9% due to input cost inflation experienced by all Businesses across the Sector.

Adverse impact was partially negated by the strategic initiatives driven by greater focus on strengthening the core portfolio, coupled with investments in expanding innovation pipeline, enhancing the go-to-market approach and margin recovery efforts revolving around efficiency and productivity.

HPC Sri Lanka delivered a 8.3% overall volume increase over the last year. Backed by growth across all major product categories, the Company's market share also increased notably, compared to the previous year.

The ability to grow despite the negative headwinds in the operating environment, stands testament to the versatility of HPC Sri Lanka's product portfolio and effectiveness of its strategies in satisfying the customers' desire for quality and affordability.

HPC International also recorded improved results compared to the previous year. Despite facing operational challenges due to severity of intermittent rains combined with the surge of COVID-19 cases

experienced during the year. Driven by the launch of new products the Company surpassed its revenue and volume targets for the year. Approximately 12.9% of the annual revenue was attributed to these new products.

Post the challenges faced due to the prolonged closure of schools in 2021 due to COVID-19 pandemic and the teachers' strike, the resumption of academic activities in the second half enabled Atlas to benefit from the increased demand for stationery products. Leveraging on its portfolio of innovative products, continued strategic interventions in strengthening supply chain efficiencies and expending its distribution network led the Learning Segment to record steady volumes across all key products, reinforcing its leadership status in the local stationery market.

SECTOR INTEGRATED REVIEW

Consumer Brands

PERFORMANCE HIGHLIGHTS

Financial Highlights



Profitability

30.8

(FY 2020/21: 25.1)

↑ 22.8%

Revenue

(Rs. billion)

3.5

(FY 2020/21: 3.8)

↓ 8.0%

EBITDA

(Rs. billion)



Efficiency

24.9

(FY 2020/21: 20.0)

↑ 4.9%

ROCE

(%)

9.6

(FY 2020/21: 13.9)

↓ 4.3%

ROA

(%)



Balance Sheet

25.4

(FY 2020/21: 20.5)

↑ 33.6%

Total Assets

(Rs. billion)

10.9

(FY 2020/21: 6.4)

↑ 69.7%

Total Liabilities

(Rs. billion)

Non-Financial Highlights



Carbon Footprint

7,644

(FY 2020/21: 7,231)

↑ 6%

Total Carbon Footprint

(MT)

0.2

(FY 2020/21: 0.3)

↓ 14%

Carbon Intensity

(MT per Rs. million revenue)



Water Usage

45,004

(FY 2020/21: 47,915)

↓ 6%

Total Water Usage

(m³)

1.5

(FY 2020/21: 1.9)

↓ 23%

Water Intensity

(m³)



Training and Development

20,371

(FY 2020/21: 12,732)

↑ 60%

Total Training Hours

14.1

(FY 2020/21: 8.9)

↑ 58%

Average Training Hours

(Per Employee)

HOME AND PERSONAL CARE (HPC) SRI LANKA

KEY STRENGTHS

HPC Sri Lanka has an established presence in the personal care segment where its diverse portfolio of products provides a competitive edge over its peers. HPC's portfolio of products include some of the most iconic and well-loved brands in the country of which 'Baby Cheramy' and 'Clogard' are among the top 50 Most Loved Brands. HPC Sri Lanka has also expanded overseas with a presence in over 15 international markets.

Wide range of high-quality products catering to the home and personal care needs of the consumer

Manufacturing capability on par with international standards for guaranteed quality

Brands with strong market penetration in the local market space, many of which have now evolved into global power brands with a sizeable international presence

KEY STRENGTHS

One of Sri Lanka's strongest island-wide distribution networks

Reliable local and global sourcing partners

Knowledge and expertise of highly skilled employees from diverse backgrounds to support innovation, performance and economies of scale

REVIEW OF OPERATIONS



Demonstrating greater resilience, HPC Sri Lanka achieved steady progress in the delivery of its value proposition to the market. Cautious planning coupled with proactive measures to assure the health and safety of employees enabled the Company's manufacturing plants to remain fully operational with minimal interruptions during COVID-19 related lockdowns. Efficiency and productivity improvements were prioritised with greater focus on digitisation.

Meanwhile, preemptive measures taken throughout the year to strengthen procurement helped avoid any significant raw material shortages that could have arisen due to import restrictions stemming from the foreign currency crisis in the country, that emerged in the latter part of 2021. These

efforts also ensured that cost escalations were kept to a minimum. However, the Company faced some margin pressure owing to severe currency volatility experienced throughout the financial year.

As part of on-going efforts to expand the Group's presence in the beauty and personal care category, HPC Sri Lanka launched a new all-natural face care range under the 'Vivya' brand label with the aim of tapping into the emerging market for niche high-end skin care products. Continuing with its brand augmentation strategy, the Company's existing product portfolio was also further expanded. Several new product variants and formats were released to increase the reach and coverage of legacy brands, a strategy that has proven to be a key catalyst in driving revenue and volume growth for the year.

SECTOR INTEGRATED REVIEW

Consumer Brands

HOME AND PERSONAL CARE (HPC) INTERNATIONAL

KEY STRENGTHS

HPC International represents the Group's regional operations in Bangladesh and West Bengal. The business predominately focuses on hair oil products and has an established presence in the Value Added Hair Oil (VAHO) segment under the brand 'Kumarika'. In line with the growing demand, HPC Bangladesh successfully launched 'Actisef' a personal wash brand that consists of soaps, hand sanitizers, hand wash etc. in the financial year 2020/21.

Strong product differentiation that promotes brand loyalty

Focused segmentation and target-driven market positioning strategy resulting in a competitive edge

Strong R&D and marketing capability which assists to cater to growing customer needs

KEY STRENGTHS

Strong and competent local leadership team that understand the evolving needs of the locals

Continuously expanding distribution network across all key channels

High brand equity specially in the Value Added Hair Oil (VAHO) segment

REVIEW OF OPERATIONS



Operating amidst a competitive environment, HPC International intensified its efforts to expand the product portfolio in the current financial year, which led to the launch of multiple unique formulations, most notable among them was 'Eva by Kumarika', a non-sticky coconut hair oil combining three all natural base products - coconut oil, onion and fenugreek.

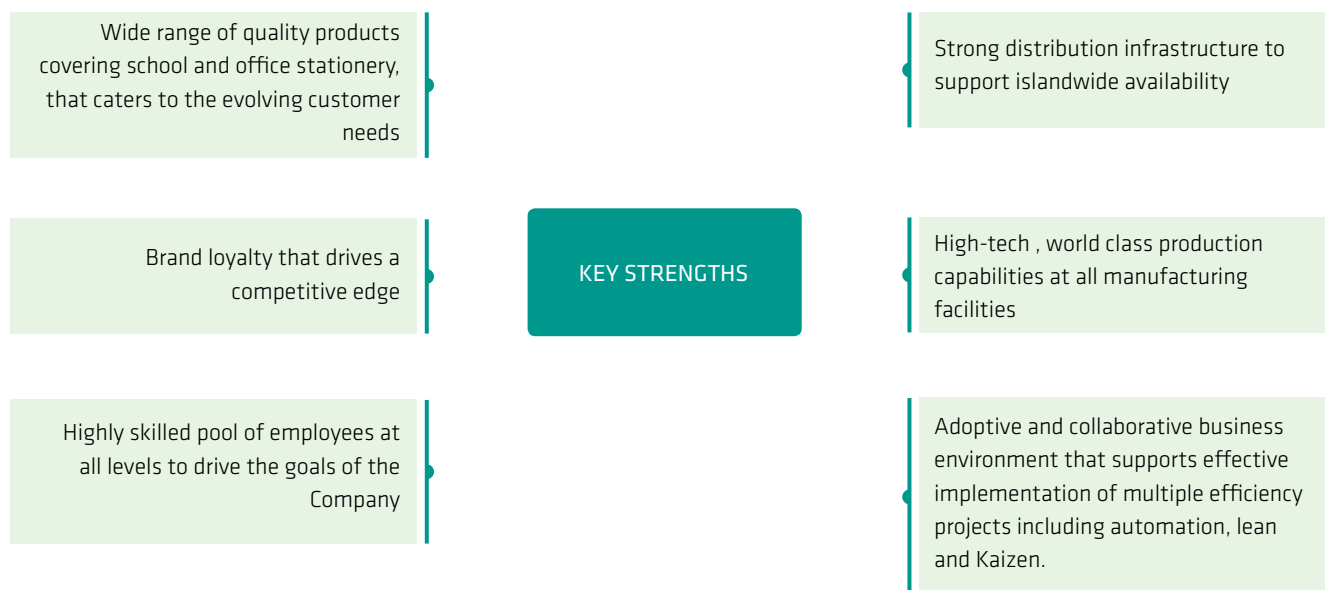
Over 12% contribution to revenue was reported from new launches while the newly-launched brand 'Actisef' continued to gain traction with the latest variant of 'Actisef Nourish', a soap enriched with milk protein to keep the skin soft and smooth being introduced in the latter part of 2021. Despite stiff competitive pressure, a strong uptake was observed with revenue recording a 17.7% growth over last year and the underlying volume growth of over 20%, testimonial that all products have the capacity to make a distinct impact in their respective spaces

LEARNING SEGMENT

KEY STRENGTHS

The Learning Segment of the Sector is represented by 'Atlas' - one of the most loved and leading stationery brands with a dominant share of the market. Apart from the brand 'Atlas', the Learning Segment manages multiple brands under its portfolio including 'innovate', 'Nimex' and 'Homerun'.

Over the years, the Business has successfully realigned its market position as an innovative "Learning Brand" that caters to a wider range of educational needs of customers of all ages.



REVIEW OF OPERATIONS



Atlas witnessed a year-on-year growth with improved sales across all key categories including books and pens despite the challenging market conditions faced with raw material sourcing constraints and high paper prices, supply chain networks were further expanded. Steps were also taken to strengthen island-wide distribution networks to ensure distribution activities were not disrupted by COVID-19 related mobility restrictions. The focus on internal efficiency improvement resulted in the Kaizen learning model being exemplified across all production activities, resulting in a boost in productivity. R&D efforts also gathered momentum with some notable strides being made to enhance the Company's product design and branding capabilities.

In an effort to enhance the value added services offered through the e-commerce space, Atlas unveiled Sri Lanka's first ever stationery e-Voucher in July 2021. Another notable milestone was the relaunch of 'Innovate' as a premium lifestyle stationery brand. The updated range of designer notebooks also include a signature collection and a limited edition series, the result of sophisticated print technologies and dynamic design collaboration. Several mainstream products were also relaunched encapsulating newer and more versatile features.

SECTOR INTEGRATED REVIEW

Consumer Brands



Risks

- Low forex availability, exchange rate volatility and unfavourable country risk profile driving up cost of imported raw material.
- Global supply chain disruptions and high freight rates caused by fuel price hikes and other geopolitical factors.
- Pressure in consumer purchasing power in a high inflationary environment and purchasing patterns to prioritise shift towards essential food items.
- Uncertainty evolving around the availability of essential inputs such as electricity, diesel etc. to support smooth flow of production activities.
- High competitive pressure from low-priced products in an inflationary environment.



Opportunities

- Build on the core portfolio, adjacencies and route-to-market to win greater competitive landscape.
- Explore untapped and emerging markets with stronger internationalisation and export orientation.
- High focus on investing more and expanding the portfolio to cater to unique customer needs.
- Deepen the penetration into the e-commerce space in collaboration with specialised and institutional channels.
- Embed purpose into our brand strategy to drive towards sustainability and circular economy.
- Capitalise on growing momentum for diverse learning mediums.

OUTLOOK

Having delivered strong results despite macro challenges, the Consumer Brands Sector will look to further build on this performance while prioritising efforts on enhancing the core portfolio, investing in expanding innovation pipeline and improving margins. Portfolio diversification will be a key imperative in this journey. In the local market, the focus would be to create 'purpose-led brands' that produce first-mover advantage. At the same time, efforts to deepen the penetration into selected overseas markets will be supported by unique and distinctive product innovations that present as niche offerings in these markets. While it is evident that the operating environment will be challenging in the coming months, all three verticals will leverage their on the strong market presence and competitive advantages to drive future growth.



Healthcare

HEALTHCARE SECTOR

- PHARMACEUTICAL DISTRIBUTION
- PHARMACEUTICAL MANUFACTURE (MORISON)
- HEMAS HOSPITALS



CONTRIBUTION TO GROUP



58.5%
Revenue



53.5%
EBITDA



60.4%
Workforce



51.2%
Capital Employed



51.1%
Carbon Footprint

OVERVIEW

Despite the impact of frequent COVID-19 lockdowns in the first half of the year the Healthcare Sector delivered strong results with revenue increasing by 23.8% year-on-year. Higher topline results for the FY 2021/22 translated into a 24.6% increase in overall sector profits compared to the previous year.

The Pharmaceutical Distribution Business produced consistent topline results, supported by the increased demand for pharmaceuticals. However, margin pressure remained a concern as a result of exchange rate depreciation and the foreign exchange availability. This condition was further exacerbated owing to global supply chain bottlenecks and rising transportation costs. While authorised price revisions partially negated such impact, they were insufficient to absorb the overall cost increase leading to margin pressure.

The Pharmaceutical Manufacturing Segment's revenue for the period

remained flat, in line with last year. This was despite lower buyback volumes in relation to assigned quantities under the guaranteed buyback agreement with the Ministry of Health Sri Lanka. Excluding buyback agreements, Morison reported a steady 22% revenue growth which was driven by robust private sector sales. Strong growth was observed in the consumer health segment, in particular for the Lacto Hydra Intense facial care product launched last year. Overall, the lower buyback volumes and capitalisation of the new plant in Homagma had an impact on the Company's bottom line.

Hemas Hospitals reported a strong performance with revenue increasing by 58% over the previous financial year as occupancy rates picked up from mid-2021, following the easing of COVID-19 restrictions. In addition, surgical admission rates reached pre-pandemic levels as the gradual return to normalcy encouraged patients to proceed with elective procedures, which had been postponed in

2020. This accompanied by greater focus in strengthening the surgical core resulted in a 21.8% year-on-year increase in surgical admissions. With more people opting for elective surgeries, average annual occupancy at both Hemas Hospitals improved to over 55%, compared to the previous year.

The Hemas Laboratory network witnessed double-digit growth in the year under review driven primarily by higher revenue from RAT and PCR tests.

In August 2021 Hemas tied up with IFC in a historic partnership that would enable the Group's Healthcare Sector to access the IFC's new upstream initiative, the Global Digital Health Platform (DigiHealth). This initiative supports the Group's Healthcare Business verticals in their efforts to scale up services to offer medical care, health education and health information services via telehealth along with specialist healthcare through telemedicine. DigiHealth will also create a framework for

SECTOR INTEGRATED REVIEW

Healthcare

the Group's Healthcare Businesses to boost internal efficiencies through digitisation, process automation and advanced analytics. The tie up marks a significant milestone for Sri Lanka, as it became the first country in the region to benefit from the IFC's global initiative designed to boost access to affordable and quality healthcare through digital technology.

PERFORMANCE HIGHLIGHTS

Financial Highlights



Profitability

46.1

(FY 2020/21: 27.2)

↑ 23.8%

Revenue

(Rs. million)

4.4

(FY 2020/21: 3.6)

↑ 22.8%

EBITDA

(Rs. million)



Efficiency

13.3

(FY 2020/21: 12.7)

↑ 0.6%

ROCE

(%)

5.4

(FY 2020/21: 5.7)

↓ 0.3%

ROA

(%)



Balance Sheet

42.3

(FY 2020/21: 33.8)

↑ 25.2%

Total Assets

(Rs. billion)

25.8

(FY 2020/21: 20.1)

↑ 28.5%

Total Liabilities

(Rs. billion)

Non-Financial Highlights



Carbon Footprint

10,039

(FY 2020/21: 4,625)

↑ 117%

Total Carbon Footprint

(MT)

0.2

(FY 2020/21: 0.1)

↑ 75%

Carbon Intensity

(MT per Rs. million revenue)



Water Usage

104,629

(FY 2020/21: 85,485)

↑ 22%

Total Water Usage

(m³)

2.2

(FY 2020/21: 2.3)

↓ 1%

Water Intensity

(m³)



Training and Development

39,606

(FY 2020/21: 10,904)

↑ 263%

Total Training Hours

12.7

(FY 2020/21: 3.9)

↑ 225%

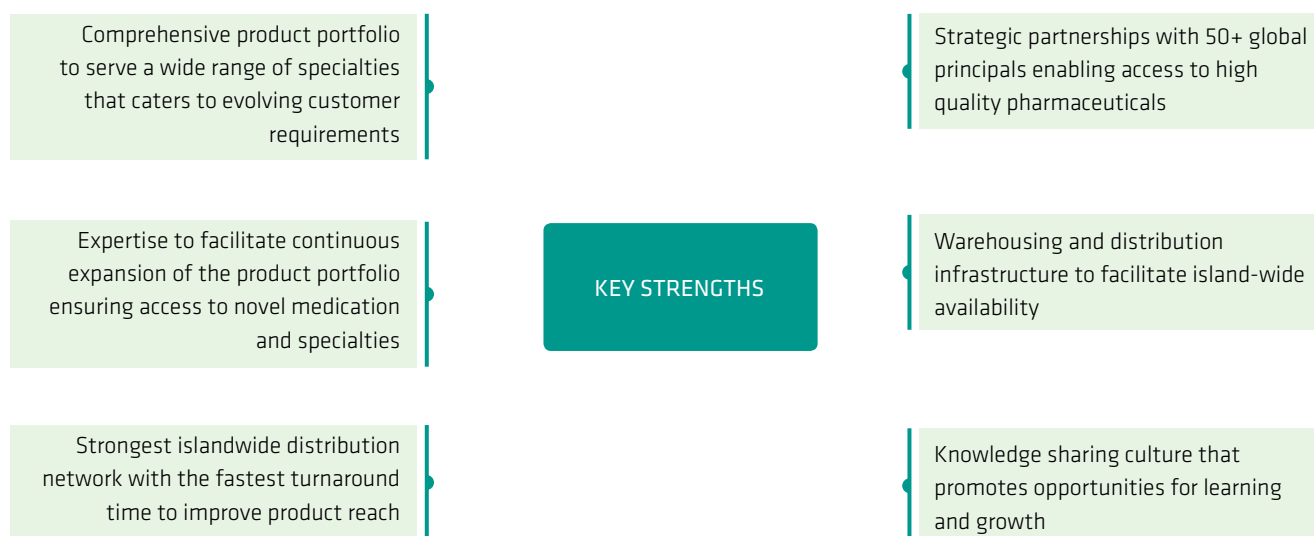
Average Training Hours

(Per Employee)

PHARMACEUTICAL DISTRIBUTION

KEY STRENGTHS

The Hemas Pharmaceutical Distribution arm is the largest pharmaceutical import and distribution operation in Sri Lanka representing over 50 global brands through its island-wide distribution network. Being the market leader, the Business is committed to ensuring continuous availability of high quality medicines at affordable prices to meet the needs of the nation. In achieving this, the Pharmaceutical Distribution Business is focused on leveraging on digital capabilities to improve connectivity and efficiency as the world moves into a digital era.



REVIEW OF OPERATIONS



Amidst the challenges faced due to lack of foreign exchange liquidity, currency volatility, higher freight and transport costs, The Pharmaceutical Distribution Segment ensured a consistent supply of medication across all channels and therapeutic categories. The Company leveraged its strong networks with global principals to secure year-round availability of essential pharmaceutical products while collaborating closely with logistic partners and government authorities to facilitate distribution channels to operate with minimum disruptions, even during lockdowns.

To further complement downstream efficiency, the Company proceeded with scheduled digitisation initiatives including the sales force automation with enhanced features and key process automation programmes. In

addition, the Company invested in new advanced technology to improve the connectivity and coverage of the “Beheth” portal that was rolled out during the last financial year.

The continued political and economic unrest in Myanmar resulted in the Group making a strategic decision to exit from its operations in Myanmar during the fourth quarter of the year. The divestment was for a consideration of Rs. 223.3 million.

SECTOR INTEGRATED REVIEW

Healthcare

PHARMACEUTICAL MANUFACTURING (MORISON)

KEY STRENGTHS

Morison commenced operations in 1955 and has since expanded its business to become Sri Lanka's largest private pharmaceutical manufacturer, offering high quality local alternatives in a wide range of therapeutic segments. In line with this, the Business successfully entered in to the branded generics market with the introduction of its own brand 'Morison' in the financial year 2020/21. The Morison manufacturing plant established in Homagama is the largest private pharmaceutical manufacturing plant in Sri Lanka, build as per the European Union-Good Manufacturing Practice (EU-GMP) compliance levels.

Modern manufacturing plants with a combined annual capacity for 6 billion tablets and 2.0 million litres of liquid pharmaceuticals

Strong ties with supplier networks to safeguard against unforeseen supply chain disruptions

Continuous improvement in manufacturing efficiency to drive economies of scale

KEY STRENGTHS

Strategic partnerships to develop new formulations that enables continuous introduction of novel products to the market

Strong corporate culture that promotes sound Human Resource Policies to attract and retain high skilled employees

REVIEW OF OPERATIONS



During the year, Morison expanded its portfolio by investing in new medications, nutritional products and medical devices to cater to the growing needs of the customers. Several novel products were launched relating to the Meta Care division. The business also invested more in branded generics under the brand name 'Morison' with high focus on the private market sales.

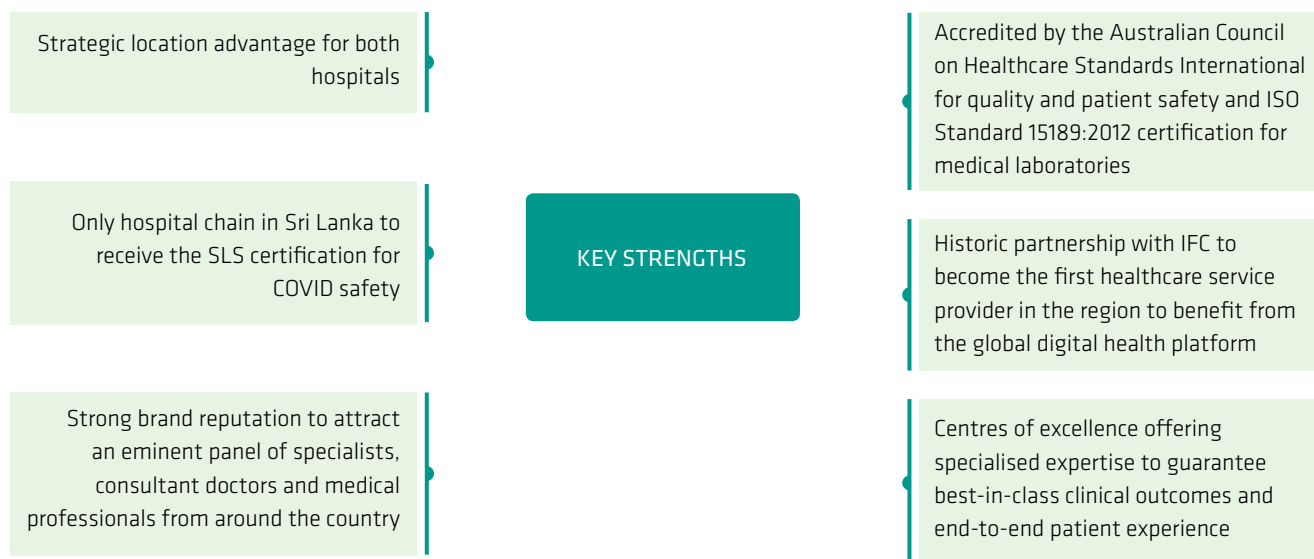
The completion of its second manufacturing plant along with a fully-fledged research facility at Homagama in October 2020 was an important milestone for the Pharmaceutical Manufacturing Business. In 2021, the plant successfully completed the process validation of a few products with NMRA granting approval for commercial production during the

fourth quarter of the year. The new pharmaceutical manufacturing plant will boost its capacity five-fold by 2025 reflecting the Group's growth strategy. This would in turn enhance the Company's position in domestic manufacturing, which would align Morison with the Government's policy in boosting local manufacturing of pharmaceuticals.

HEMAS HOSPITALS

KEY STRENGTHS

Hospitals Business of Hemas Group consists of two multi-specialty hospitals located in Wattala and Thalawathugoda and an extensive network of over 50 laboratories dispersed across the country. Driving the Group's purpose of 'Making Healthful Living Happen', Hospitals Business focuses on fulfilling healthcare needs of the nation by providing high quality healthcare services at an affordable price.



REVIEW OF OPERATIONS



With COVID-19 having an impact for the second consecutive year, Hemas Hospitals focused on providing seamless end-to-end healthcare solutions that present the best clinical outcomes. Leveraging its advanced digital capabilities, Hemas Hospitals was further able to enhance services offered to patients during lockdown periods.

During the year, the Hospitals Business also partnered with several leading hotels to open ICCs for COVID-19 patients. Lab infrastructure at both Hemas Hospitals were upgraded to enable PCR/RAT testing on a commercial scale. In addition to ICCs and COVID-19 testing, the Hospitals treated a significant number of COVID-19 patients in its ICUs, isolation rooms and the COVID-19 ward, saving many lives at a time then the public healthcare system was challenged in coping with the spread of COVID-19.

SECTOR INTEGRATED REVIEW

Healthcare



Risks

- Operational pressure due to supply chain disruptions, currency volatility and foreign exchange availability.
- Uncertainty associated with pharmaceutical buyback arrangements with the Ministry of Health.
- Disruption of the operations of Government institutions such as Customs, Import Control, etc. accompanied by unavailability of essential energy resources with the current economic climate.
- Lower disposable consumer income leading to reduction in demand for elective surgeries and medication.



Opportunities

- Gain from government policy geared to encourage enhanced contribution of local pharmaceutical manufacturers to fulfill consumer demand.
- Possibility of securing contracts for manufacturing and export of pharmaceuticals.
- Benefit from rising demand for “consumer health” product and services, in particular for over the counter medication, nutritional supplements and nutraceuticals.
- Demand for home care/elderly care to increase with Sri Lanka's aging population.
- Capitalise on heightened demand for broader range of laboratory testing procedures.
- Inflationary pressures prompting consumers to opt for generic pharmaceuticals rather than high quality branded alternatives would benefit local manufacturing.

OUTLOOK

Sri Lanka's aging population, high incidence of Noncommunicable Diseases (NCDs), changing lifestyles and increased awareness of healthful living is likely to trigger demand for all types of healthcare solutions. The Pharmaceutical Manufacturing Business will focus on deepening its penetration on the private market and gradually reduce the dependence on buyback arrangements. The Pharmaceutical Distribution Business to grow more consistently in the years ahead with expectation of the implementation of a sustainable pricing mechanism.

Hemas Hospitals will look to further strengthen its capabilities to cater to the demand arising from demographical changes. Meanwhile, further underscoring its commitment to create equal access to healthcare products and services, the Group will also seek to expedite the rollout of IFC's DigiHealth platform over the next two to three years. Hemas will continue to deploy technology to reduce costs and enhance data-driven decision-making to leverage economies of scale and Group synergies that will support earnings growth of this sector while being true to its purpose, 'Making Healthful Living Happen'.



Mobility

MOBILITY SECTOR

- MARITIME
- AVIATION



CONTRIBUTION TO GROUP



2.5%
Revenue



16.5%
EBITDA



2.6%
Workforce



8.5%
Capital Employed



9.3%
Carbon Footprint

OVERVIEW

The Mobility Sector witnessed a year-on-year underlying revenue growth of 20.3%, while the overall Sector profits increased by over 100% compared to the previous year.

The Maritime Business recorded a marginal decline in revenue despite the increased global freight rates and the depreciation of the Rupee in the latter part of the year. Compared to the previous year, annual volumes declined in tandem with the drop in cargo ship arrivals, as vessels began bypassing Port of Colombo (POC) in a bid to recover schedules during the pandemic period. However, following the gradual resumption of normal activity at the POC, shipping lines recommenced transshipment operations. The Maritime operations also benefited from the higher transshipments registered at the POC in 2021.

The overall performance of the Sector excludes the contribution of Spectra Logistics (Private) Limited, which Hemas Transportation (Private) Limited, a subsidiary of Hemas Holdings PLC, divested its 50% stake for a consideration of Rs. 1.3 billion, in October 2021. The exit underscores the Group's strategic growth plan to leverage its existing capabilities and grow independently in the logistics space.

In comparison to last year, a healthy top-line and bottom-line growth was witnessed by the Aviation Business. The Segment experienced a surge in its inbound passenger numbers from the third quarter onwards following the easing of world-wide travel restrictions in mid 2021 with high growth in key destinations gaining momentum. The outbound passenger segment rebounded strongly,

amidst higher number of students and migrant travelers. The resumption of business travel during the second half of 2021 also contributed towards the higher outbound passenger numbers. Meanwhile, strong global connectivity across continents enabled Cargo to report volume growth, especially in the outbound segment, which resulted in a 52% volume growth compared to the previous year.

SECTOR INTEGRATED REVIEW

Mobility

PERFORMANCE HIGHLIGHTS

Financial Highlights



Profitability

1.4

(FY 2020/21: 1.1)

↑ 20.4%

Revenue

(Rs. billion)

1.0

(FY 2020/21: 0.7)

↑ 51.0%

EBITDA

(Rs. billion)



Efficiency

17.8

(FY 2020/21: 17.1)

↑ 0.7%

ROCE

(%)

23.2

(FY 2020/21: 16)

↑ 7.2%

ROA

(%)



Balance Sheet

8.3

(FY 2020/21: 4.5)

↑ 82.1%

Total Assets

(Rs. billion)

4.6

(FY 2020/21: 2.0)

↑ 132.3%

Total Liabilities

(Rs. billion)

Non-Financial Highlights



Carbon Footprint

1,843

(FY 2020/21: 3,638)

↓ 49%

Total Carbon Footprint

(MT)

0.9

(FY 2020/21: 1.7)

↓ 44%

Carbon Intensity

(MT per Rs. million revenue)



Water Usage

45,094

(FY 2020/21: 78,964)

↓ 43%

Total Water Usage

(m³)

40.4

(FY 2020/21: 21)

↑ 92%

Water Intensity

(m³)



Training and Development

367

(FY 2020/21: 263)

↑ 40%

Total Training Hours

2.4

FY 2020/21: 0.6)

↑ 300%

Average Training Hours

(Per Employee)

MARITIME

KEY STRENGTHS

The Maritime Business of the Group represents the Evergreen Line and the Far Shipping Line and offers a range of services including husbandry services, spare parts logistics and offshore support services. The Business is focused on providing end-to-end maritime solutions strengthening Sri Lanka's position as a regional maritime hub.

Access to a wide range of global markets supported by agencies for two renowned shipping lines, namely
- Evergreen and Far Shipping

Ability to utilise the expertise of global principals, resulting in greater adaptability to market dynamics

Strong digitisation drive to continuously improve efficiency and productivity.

KEY STRENGTHS

Knowledge and expertise of the team to support innovation, performance and growth.

Resilient business model to withstand external shocks with a long-term strategic focus.

REVIEW OF OPERATIONS



During the year, the Maritime Business which is a vital link in the supply chain extended its services continuously to ensure essential items were made available in the country and exports were supported with minimum disruptions. The Business facilitated the inflow of essential consumer goods and medical supplies to the country and ensured the continuity of exports despite pandemic-related challenges. To aid in these efforts the Maritime Business invested in commissioning a new Business Intelligence (BI) platform to support real-time decision-making and expedite service delivery timelines.

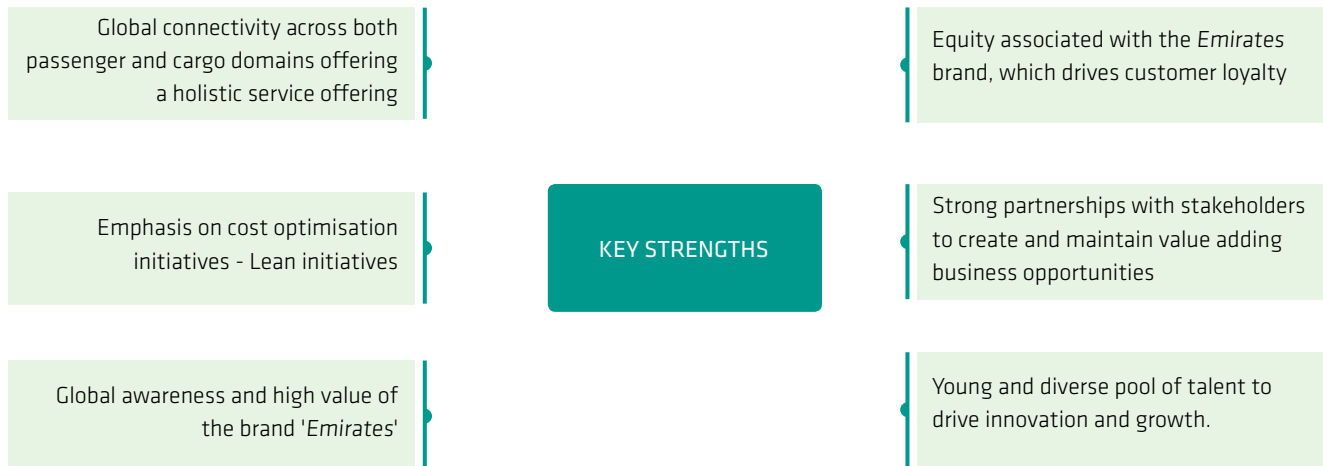
SECTOR INTEGRATED REVIEW

Mobility

AVIATION

KEY STRENGTHS

Group's Aviation Segment is the General Sales Agent for *Emirates*, the largest international airline operating in Sri Lanka. The Business operates in both the cargo and passenger verticals connecting Sri Lanka with key global destinations across the world including Middle East, Europe, Asia and the United States of America.



REVIEW OF OPERATIONS



As the General Sales Agent for *Emirates*, the Passenger Segment functioned towards reviving Sri Lanka's tourism industry, while the Cargo Segment focused to ensure essential imports were accessible in the country and assisted the seamless flow in exporting of goods to secure much needed foreign exchange.

During the year, the Aviation Sector undertook multiple digitisation initiatives to improve efficiency and productivity across its operations. In the Passenger Segment a new B2B channel was implemented in line with the latest New Distribution Capability (NDC) standards issued by IATA (International Air Transport Association). The key digital initiative in the Cargo Segment was the roll out of a dedicated payment platform to enable customer settlements to be seamlessly updated.



Risks

- Ripple effects of COVID-19 related port congestion locally and globally, leading to delays in vessel schedules and turnaround times affecting profitability.
- Declined imports, owing to restrictions imposed by the government added pressure on the revenue.
- Long-term negative impact on reduced tourist arrivals to Sri Lanka due to travel advisories.
- Increase in global crude prices leading to a hike in airfares and freight rates leading impacting demand.



Opportunities

- Improved vessel handling capacity due to the expansion of the East West container terminal.
- Positive impact from currency depreciation.
- Growth in volumes and activity as Sri Lanka gaining traction as a maritime hub in South Asia.
- Gain from the increased pace of recovery with the Government's promotional efforts to boost tourist arrivals.
- Capitalise on the growing popularity of Dubai, as a global travel, leisure, and business destination.
- Volume enhancements with heightened demand for student migration.

OUTLOOK

During the next financial year, the Mobility Sector is set to benefit from the resumption of economic activity within the country. However, the uncertainty surrounding the current foreign exchange crisis and its cascading effect will likely influence the performance of all key sectors of the economy, in turn reorienting the demand for maritime and aviation services in the coming months. At a global level, the geopolitical uncertainty stemming from the Russia / Ukraine war will likely alter the dynamics of the global freight and aviation industries in the short term. However, the long-term outlook for both maritime and aviation industries remain positive with the cyclical revival expected to materialise in due course.

The Group believes the Logistics Sector has immense potential and will continue to actively seek out strategic investments in this space. Hemas will prioritise investing in capacity expansion to drive greater integration across the value chain, thereby positioning the Mobility Sector to complement the Group's long-term growth strategy.

CORPORATE GOVERNANCE

HEMAS HOLDINGS PLC'S APPROACH TO GOOD GOVERNANCE

For over seven decades, good governance has remained the cornerstone of success of Hemas. The Group's approach to governance sets the tone for how businesses across the Group are managed and provides the framework to support accountability, drive a strong risk-aware culture, enhance transparency, while promoting effective leadership and oversight in the pursuit of sustained creation of value for all our stakeholders.

The Board has established a common Group-wide corporate governance framework to ensure its subsidiaries align with the governance practices and processes of the holding Company. Consequently, many governance structures and processes adopted by subsidiaries mirror the requirements of publicly listed entities such as the establishment of Board Sub-Committees in each company including private companies. Group Governance practices are further reinforced by the appointment of Group Directors and/or Key Management Personnel to the Boards of subsidiaries.

GROUP CORPORATE GOVERNANCE STRUCTURE AND FRAMEWORK

Governance Structure

The Board of Directors of Hemas Holdings PLC assumes collective responsibility for the overall governance, performance, strategy and affairs of the Group and provides required direction and leadership to the Group. The Board has appointed four Board Sub-Committees (namely Audit Committee, Human Resources and Remuneration Committee, Related Party Transaction Review Committee and Nomination Committee and Governance Committee) and delegated functions warranting greater attention, in line with its mandate. Within the Group each subsidiary Board has appointed an Audit Committee which reports to the respective subsidiary Board and to the parent Audit Committee.

Implementation of the Company's strategic plan and management of daily operations have been delegated to the CEO. The Board recognises that delegating authority does not reduce the responsibility of Directors to discharge their statutory and commonlaw fiduciary duties.

The Board of Management (BoM) consists of Group CEO, Group CFO, Chief People Officer, Chief Growth Officer and the MDs of each of the businesses of the Group. BoM ensures that the Group works in a collaborative manner to ensure peak performance irrespective of the circumstances and challenges faced by the Group.

Regulatory Requirements

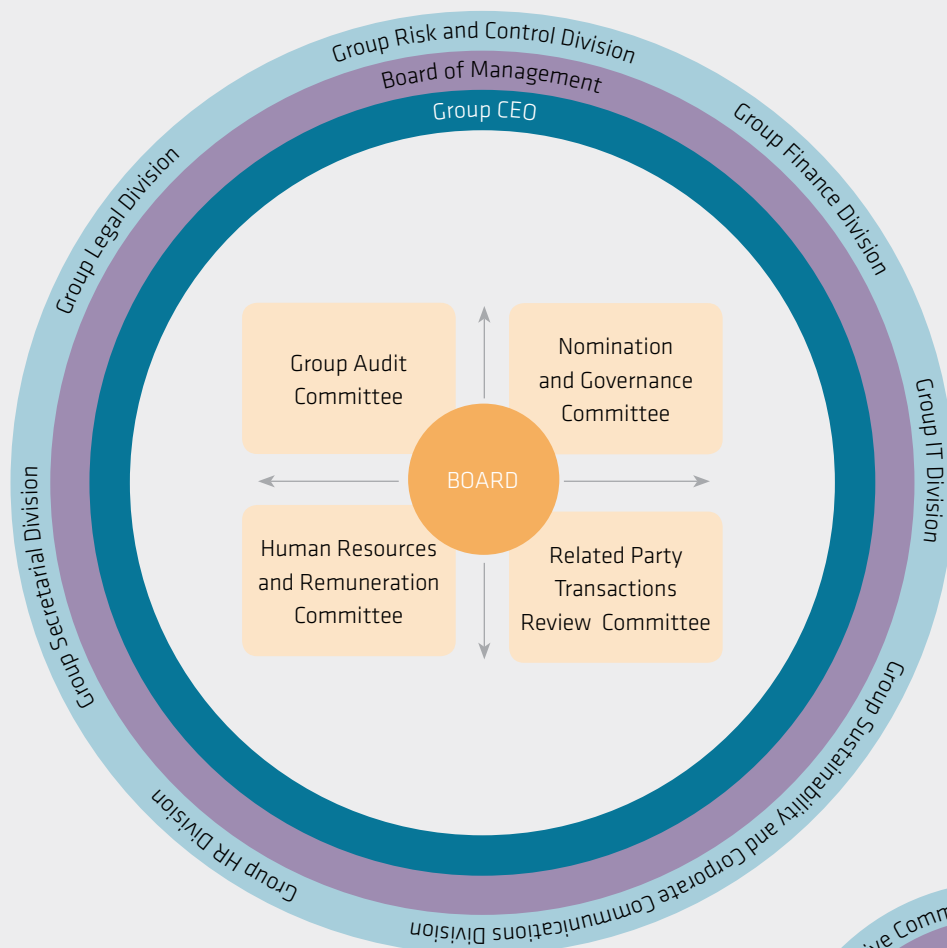
- Companies Act No. 7 of 2007
- Listing Rules of Colombo Stock Exchange
- Securities and Exchange Commission of Sri Lanka Act, No.19 of 2021, including Directives and Circulars
- Shop and Office Employees (Regulation of Employment and Remuneration) Act, No. 19 of 1954
- Factories Ordinance (No. 45 of 1942)

Internal Frameworks

- Articles of Association
- Board Charter
- Terms of Reference of Board Committees
- Board-approved policy frameworks for governance, risk and operational areas

Voluntary Codes and Best Practices

- Code of Best Practice on Corporate Governance 2017
- GRI Standards issued by the Global Reporting Initiative
- IR Framework issued by IIRC
- United Nations Sustainable Development Goals (UNSDG's)



The Board

Takes overall responsibility for the performance and affairs of the Group



Board Sub-Committees

Ensures in-depth focus on delegated matters



Group CEO

Leads the Executive Management team. Responsible for strategy development, implementation and Group performance



BOARD OF MANAGEMENT

Consists of the senior leadership team of 9 members, Group CEO, MDs of our 5 key businesses and 3 leaders from Corporate Office. Responsible for formulation and implementation of Group strategic plan. The Board of Management, ensures that the Group works in a collaborative and high-performance manner notwithstanding the circumstances and challenges the Group faces.

CORPORATE GOVERNANCE

HEMAS HOLDINGS PLC BOARD

The Role of the Board

The Board is the custodian of corporate governance and is the apex body responsible for adherence to sound corporate governance practices and high ethical standards, and for ensuring all businesses across the Group operate in a fair and transparent manner. As the main governing body within the Group, the Board of Hemas Holdings PLC oversees the setting of the Group's vision, mission, values and strategy to meet stakeholder expectations. The Board provides entrepreneurial leadership for the execution of the Group strategy and exercises independent judgment in overseeing the management and performance of businesses to consistently safeguard stakeholder interests.

Board Composition

The composition of the Board is governed by the Company's Articles of Association as well as the Listing rules of the Colombo Stock Exchange. In compliance with these

mandates, the Group has ensured that balance of power within the Board is distributed so that no single Director has unfettered powers of decision making.

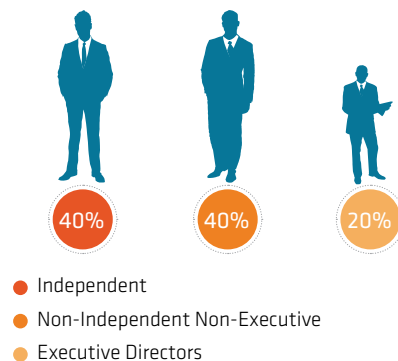
The composition of the Board is subject to change from time to time owing to new appointments, retirements, resignations, and the re-election of Directors.

The Board as at 31st March 2022 comprised 10 Directors, of which 4 function as Independent Non-Executive Directors, while 4 serve the Board in a Non-Independent Non-Executive capacity.

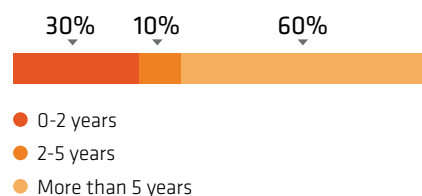
Directors possess financial acumen and knowledge gained through experience from leading large enterprises and professional backgrounds. Four Directors including the Chairman of the Board Audit Committee, are finance professionals ensuring sufficient financial acumen within the Board. The profiles of the Board of Directors are set out on pages 19 to 22 of the Annual Report.

Board Diversity

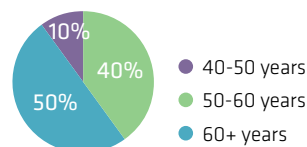
Composition



Tenure



Age



Gender



Directors Independence

All the Independent Non-Executive Directors of the Company met the criteria for independence as defined below.

Procedures for Assuring Directors Independence

The Independence of Non-Executive Directors on the HHL Board is assured by the relevant policies established under Group Corporate Governance Framework. Key highlights include;

DEFINITION

Independence is determined against criteria as set out in the Listing Rules of the Colombo Stock Exchange and in compliance with schedule K of the CA Code 2017.



Independent assessment of Directors is conducted annually by the Board, based on annual declaration and other information submitted by Non Executive Directors.



ASSESSMENT

OUTCOME

The Board is satisfied there are no relationships or circumstances likely to affect or appear to affect, directors' independence during the period under review.

Division of Responsibility between the Chairman and CEO

The role of the Chairman is distinct and separate from that of the Group CEO. The separation of responsibilities is designed to ensure that no single person has unfettered decision-making powers and that the appropriate balance of power and authority exists on the Board.

The Group Chairman - Mr. Husein Esufally serves as a Non-Executive Director. The Chairman is responsible for leading the Board, ensuring the integrity and effectiveness of the Board and for safeguarding high standards of corporate governance and ethical behaviour.

Chairman



The Group CEO - Ms. Kasturi C. Wilson functions as an Executive Director. She is responsible for leading the operations of the Group, creating an organisational culture based on the Group values and maintaining an ethical environment. Her responsibilities include driving the Group's operational performance within the Board approved risk appetite. The Group CEO is further tasked with appointing the executive management team and ensuring appropriate succession planning to drive the Group's future strategy.

CEO



Board Diversity

Working within the framework of mandatory Board composition rules, Hemas strives to enhance the diversity at Board level. Recognising that diversity plays an integral role in the Board's effectiveness in providing leadership, the Group seeks to benefit from the skills and competencies as well as gender and other distinctions among members of the Board. These attributes are considered in determining the composition and balance of the Group Board. The Board and the Nomination and Governance Committee (NAGC) jointly review the composition and balance of the Board on an ongoing basis.

Accordingly, the size and collective composition of the Board as at 31st March 2022 is deemed appropriate to provide the relevant range of skills, knowledge and diverse perspectives to support the Group's strategic objectives in the short, medium and long term.



Appointment / Re-election / Resignation of Directors

Board members are appointed through a formal and transparent process which includes ensuring that Directors meet the requirements of being fit and proper for their role as Board Members. The Nominations and Governance Committee (NAGC) plays a crucial role in this process where candidates are considered on merit against objective criteria and with due regard to the benefits of diversity on the Board. Typically, potential candidates are considered with reference to their skills and expertise and how these complement the current balance of the Board. Integrity and skills capacity are other key considerations. The number of external directorships held by Directors is also assessed to ensure that these do not exceed what is reasonable for them to be able to exercise due care, skill and diligence in their role as a Group Director.

On this basis, the NAGC is tasked with recommending appropriate candidates for appointment to the Board. All new appointments are followed by an immediate market announcement and

public notice. Such appointments are subject to re-appointment by shareholders at the next Annual General Meeting, held immediately after appointment to the Board. New appointments so re-appointed are communicated to the Colombo Stock Exchange (CSE) by way of a market announcement.

As per the Articles of Association, a maximum of 1/3 of the Non- Executive Directors are required to retire from office at each Annual General Meeting (AGM) but may remain eligible to stand for re-election by the shareholders at the Annual General Meeting. In this context as well, the NAGC reviews the relevant Directors' eligibility for re-election with due consideration of his/her past record in terms of participation, engagement and contribution towards Board matters. A Director appointed by the Board to fill a casual vacancy that may have arisen since the previous AGM, is also entitled to offer himself/herself for re-election at the next AGM subject to the confirmation of the NAGC. Resignations of Directors are promptly informed to the CSE.

CORPORATE GOVERNANCE

New Appointments in FY 2021/22	Re-elections in FY 2021/22	Resignations in FY 2021/22
Mr. Prabhath Subasinghe – Independent Non- Executive Director	Mr. Abbas Esufally – Non-Independent Non Executive Director Mr. Murtaza Esufally – Non-Independent Non Executive Director Mr. Shaktha Amaratunga –Independent Non Executive Director	NIL

Directors Interests, Related Party Transactions and Conflicts of Interest

Directors are expected to exercise utmost good faith, honesty and integrity in all their dealings with or on behalf of the Group. They are required to act in the Group's best interests by disclosing real or perceived conflicts to the Board. Direct, indirect, beneficial and non-beneficial interests in any contract or proposed contract are disclosed to the Secretaries in writing who in turn bring such matters to the attention of the Board. An affected Director is expected to recuse himself/herself from participating in any meetings where the item in which he/she has an interest is being discussed.

Name of Director	Directorship Status in HHL	No of Board seats held in Listed Companies		No of Board seats held in unlisted Companies	
		Executive Capacity	Non - Executive Capacity	Executive Capacity	Non - Executive Capacity
Mr. H N Esufally	NED				7
Mr. A N Esufally	NED		2		13
Mr. I A H Esufally	NED				7
Mr. M A H Esufally	NED				7
Ms. K C Wilson	ED				21
Dr. S A B Ekanayake	INED		3		2
Mr. A S Amaratunga	INED		1		
Mr. J M Trivedi	INED				1
Mr. P Subasinghe	INED		1	5	
Mr. S de S Wijeyeratne	ED			6	

Board Meetings

Board meetings are held quarterly, or more often when required. A structured framework is in place for planning of Board meetings. The meeting calendar is prepared annually in advance and communicated to all Board members.

In addition to the quarterly Board Meeting, The Board also met for purposes of strategy sessions, review and approve the Groups' Annual Business Plan and for regular updates on social and macroeconomic conditions of the country.

Supply of Information

Before each scheduled meeting, the Chairman, assisted by the Secretaries, sets the agenda for the meeting in discussion with the CEO to ensure relevant

matters are presented for discussion in order of priority. To enable Directors to make informed decisions, Board Papers are prepared and circulated among all Directors seven (7) days prior to the Board Meeting. The Board Papers typically contain qualitative and quantitative information on matters to be raised at the Board Meeting along with the CEO's review of business operations, financial performance, industry trends and market developments pertaining to each sector and the Group as a whole. Key Management Personnel (KMP) such as the Group Chief Financial Officer, Chief Growth Officer, Group Chief Risk Officer, Director Group IT and Process and the Chief People Officer are also invited to attend Board meetings to discuss relevant areas of

business. Further, the Group Corporate Communication and Sustainability Division presents information to the Board regularly through the CEO and, also make presentations to the Board periodically at Board Meetings. The Board is timely kept informed of any critical concerns in regards to the Group sustainability performance on material topics such as compliance, attrition, carbon footprint, water energy consumption and training hours.

Access to Information

The Board has unrestricted access to Management, as well as quantitative and qualitative information, and resources to facilitate discharge of their duties. Directors are also entitled to seek independent professional advice, co-

ordinated through the Secretaries at Group's expense. Copies of such advice obtained are circulated to Directors upon request.

A total of 10 scheduled Board meetings were held in FY2021/22, of which 9 were held virtually with all Directors connecting via digital technology. With limited exceptions 100% attendance was noted at all Board meetings and the active participation of Directors in Board matters was seen. Immediately following each Board Meeting, the action points arising from Board deliberations are forwarded to the Management to initiate necessary action. Action points are communicated with agreed timelines for implementation and completion. At each Board meeting and update on the action points of the previous meeting is reported to the Board. All proceedings of the meetings are minuted and entered in the Board Minute Book.

Meeting Attendance						
Name of Director	Director Status	Board	Group Audit Committee	Human Resources and Remuneration Committee	Nomination and Governance Committee	Related Party Transaction Review Committee
Mr. H N Esufally	NED	C - 10/10		6/6		
Mr. A N Esufally	NED	8/10			4/4	
Mr. I A H Esufally	NED	10/10	6/6			5/6
Dr. S A B Ekanayake	INED	10/10		C - 6/6	C - 4/4	
Mr. A S Amaratunga	INED	10/10	C-6/6	6/6		C-6/6
Mr. J M Trivedi	INED	9/10	5/6		3/4	
Mr. M A H Esufally	NED	10/10				
Ms. K C Wilson	ED	10/10				6/6
Mr. S de S Wijeyeratne	ED	10/10				
Mr. P Subasinghe (appointed w.e.f. 1st January 2022)	INED	3/4				

INED - Independent Non-Executive Director NED - Non-Executive Director ED - Executive Director C - Chairman

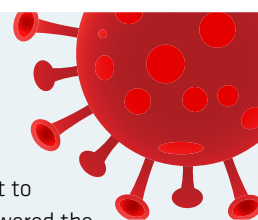
Mr. P Subasinghe was appointed to the Board of Directors w.e.f. 1st January 2022

Board priorities in response to the pandemic

Discussions at a majority of the Board meetings held during the year revolved around addressing the economic and social impact of the COVID-19 pandemic. The Board directed its attention to navigating the economic and social crisis in the current financial year by exercising effective leadership and oversight to support the management's efforts to maintain seamless operations. At the same time, the Board empowered the management to take the necessary action for the safety and wellbeing of employees. The Board supervised the deployment of the Group's business continuity protocols while maintaining strict vigilance over key risk exposures, capital and liquidity levels and realigning the Group's strategy in cognisance with changes in the immediate operating environment.

Under the stewardship of the Board, the Group's digital strategy was also accelerated in FY 2021/22 to assist businesses to adapt to the new normal. As part of the digital strategy, the Board approved a series of IT investments to operationalise remote working arrangements, expedite digitisation and automation of workflow systems and to strengthen Group-wide cyber and information security frameworks.

Meanwhile reflecting its inclusive approach to governance, the Board approved a range of relief measures to support the Group's customers and suppliers and the wider community to tide over the difficult times.



CORPORATE GOVERNANCE

Board and Sub-Committee Evaluation

A performance evaluation and assessment of the Board and Board Sub-committees' effectiveness is conducted annually, which includes a consideration of the balance and mix of skills, experience, independence, knowledge, the gender representation on the Board, how the Board works collectively as a unit and any other factors relevant to its effectiveness. The above is conducted by each of subsidiary board as well. The results are reported to the Nomination and Governance Committee for review, discussion and advice on way forward. The results of the subsidiary Board evaluations are reviewed and discussed by the Nomination and Governance Committee with the respective subsidiary Board Chairman.

During the year under review, the Board Evaluations were re-designed for all SBUs to assess Board effectiveness in light of the growth strategies of each of the SBUs and the Group and also taking into account the unprecedented volatile economic and social conditions of the country. Accordingly, SBU Board Evaluations were re-designed to allow more qualitative feedback to identify the areas of strength and areas for further improvement.

Remuneration Policy

The Human Resources and Remuneration Committee is responsible for making recommendations to the Board regarding the remuneration of Executive Directors within agreed terms of reference and in accordance with the requisite skills and experience. Remuneration is structured based on market reviews conducted periodically.

The remuneration of Executive Directors are compliant with the provisions of Schedule E of the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017. Accordingly, remuneration for Executive Directors is benchmarked to local market rates and is also linked to sustainable value creation objectives in

line with the strategy and is based on clear performance targets that have adequate flexibility. The same principles apply for the remuneration of Key Management Personnel (KMP) as well. Executive Directors' / KMP compensation comprises fixed (base) payments, short term incentives and long-term incentives in the form of employee share options (ESOS) of Hemas Holdings PLC.

Meanwhile remuneration of Non-executive and Independent Directors is based on market norms and reviewed periodically. The Board as a whole, determines the remuneration of the NED's who receive a fee for serving as a Director of the Board and a member of a Sub-Committee. Remuneration is determined with reference to fees paid to other Non-Executive and independent Directors of comparable companies and reviewed periodically. In the event of an early termination of a NED, there are no compensation commitments other than for accrued fees payable, if any, as per the terms of their contract.

Directors Training

All new Directors are subject to a formal induction upon appointment to the Board. The new Directors are provided with relevant external and internal documentation and information to ensure that they are adequately briefed and have the requisite knowledge of the Group and its operations. New Directors are also given the opportunity to meet with the Board, KMPs, Business Heads and Leadership Teams and visit production plants.

Directors have been provided with ESG training, conducted by External Consultants. Further, the Board Members have attended ESG training in their own capacity.

Directors further benefit from regular training interventions throughout their tenure to support ongoing knowledge enhancement and also to inform them of

economic, regulatory and industry trends. They attend sessions conducted by the Sri Lanka Institute of Directors as well as undertake programmes in their personal capacity.

Evaluating the Performance of the Group CEO

The performance of the Group CEO is assessed bi-annually by the Board Chairman based on the agreed goals and objectives for a particular Financial Year, set at the commencement of that particular year. The review outcomes along with the Chairman's observations are shared with the Board.

Following the year end evaluation of the CEO's performance, the Board makes recommendations to the HR and Remuneration Committee (HR and REMCO) regarding revisions to the CEO's compensation.

Board Sub Committees

To assist in performing its oversight role, the Board has appointed several Sub Committees. The responsibilities delegated to these Sub committees are formally documented in each Committee's Terms of Reference (TOR), which have been formally approved by the HHL Board. Committee TOR's are reviewed periodically and updated as needed. After each Committee meeting, the Committee Chairman is required to report back to the Board, which facilitates transparent communication between Directors and ensures that all aspects of the Board's mandate are addressed. Annually each of Board Sub-Committees conduct a self-evaluation of its performance and effectiveness. With the exception of the Related Party Transactions Review Committee, the Sub-Committees comprise a majority of Independent Non-Executive Directors.

Board Sub-Committee	Composition	Main area of oversight
Audit Committee	Mr. Saktha Amaratunga <i>Independent Non-Executive Director</i> Mr. Jyotindra Trivedi <i>Independent Non-Executive Director</i> Mr. Imtiaz Esufally <i>Non-Independent Non-Executive Director</i>	- Financial Reporting - Internal Controls and Risk Management - Internal Audit - External Audit
Related Party Transactions Review Committee	Mr. Saktha Amaratunga <i>Independent Non-Executive Director</i> Mr. Imtiaz Esufally <i>Non-Independent Non-Executive Director</i> Ms. Kasturi C. Wilson <i>Executive Director</i>	Review of related party transactions
Human Resources and Remuneration Committee	Dr. Anura Ekanayake <i>Independent Non-Executive Director</i> Mr. Saktha Amaratunga <i>Independent Non-Executive Director</i> Mr. Husein Esufally <i>Non-Independent Non-Executive Director</i>	- Remuneration policy for Key Management Personnel - Remuneration structure - Performance evaluation - Succession Planning
Nomination and Governance Committee	Dr. Anura Ekanayake <i>Independent Non-Executive Director</i> Mr. Jyotindra Trivedi <i>Independent Non-Executive Director</i> Mr. Abbas Esufally <i>Non-Independent Non-Executive Director</i>	- Appointment of Key Management Personnel/ Directors - Effectiveness of the Board and its Committees

In addition to the above, Board Sub-Committees are appointed for special projects and initiatives, as the need may arise. Such Board Sub-Committees are appointed by the Board considering the matter concerned and the subject expertise of the directors appointed to such sub-Committees.

Meeting of the Non-Executive Directors

All Non-Executive Directors of the Board of Hemas Holdings PLC meet formally at least twice a year without the participation of the Executive Directors. The primary objective of these Non-Executive Directors' meetings is to assess the performance of the Executive Directors. Feedback of the meetings are communicated to the Executive Directors. After these proceedings have been concluded, the Group CEO may be invited to the meeting to provide feedback regarding

the performance of Key Management Personnel under her purview.

Meeting of the Independent Non-Executive Directors

All Independent Non-Executive Directors of the Board of Hemas Holdings PLC meet at least once a year without the participation of Non-independent Non-Executive Directors and Executive Directors. Discussions at these meetings are led by the Senior Independent Director who also serves as the Chairman of the Nomination and Governance Committee. The primary objective of this meeting is to review the performance of the Group Chairman. The meeting also serves as a forum to discuss any other matters pertaining to the Group's governance structures or policy framework or structure. Immediately after the conclusion of the meeting, the Senior

Independent Director provides feedback to the Board Chairman.

Company Secretaries

The role of the Secretaries is to guide the Board collectively, and each Director individually, to assist in discharging their duties and responsibilities and make them aware of all legislation and regulations relevant to the Group. Directors have unrestricted access to the Secretaries.

The Secretaries have been appointed by the Board and their performance is evaluated on an annual basis.

CORPORATE GOVERNANCE

BOARD ACCOUNTABILITY

Board accountability extends to a wide range of areas and reflects the Board commitment to ensure the business activities of the Group are conducted in accordance with the principles of fairness and transparency.

Compliance

The Board is accountable for the Group's compliance with applicable laws, rules, codes and standards. In this regard, the Board provides oversight to ensure all applicable compliance requirements are fulfilled and promotes the early adoption of new regulations.

Compliance Summary

Regulation / Code	Adoption	Adherence	Disclosure Table
The Companies Act No.7 of 2007 (Companies Act)	Mandatory provisions	Compliant	Page 113
Listing Rules of the Colombo Stock Exchange (CSE)	Mandatory provisions	Compliant	Page 114 to 116
Securities and Exchange Commission of Sri Lanka Act, No.19 of 2021, including Directives and Circulars	Mandatory provisions	Compliant	Page 117
Code of Best Practice on Corporate Governance (2017) issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)	Voluntary provisions	Compliant	Page 117

Risk Management and Internal Control

The Board has a sound understanding of HHL's key risks and provides oversight for establishing appropriate risk management systems, internal control and compliance frameworks. The Board, assisted by the Audit and Risk Committee (ARC) has implemented a robust system of risk management and internal control, which is deemed appropriate for the scope and scale of the Group's business activities and to provide reasonable assurance regarding the achievement of Group objectives.

 Further reading - *Risk Management Report* on Page 120

Financial Reporting

The Board maintains a comprehensive reporting suite to communicate to stakeholders the Group's performance and financial position. The main document in the reporting suite is the Integrated Annual Report which is prepared to show a balanced and transparent assessment of the Group's financial position, performance and future outlook. The Annual Report

complies with all statutory requirements and includes - The Directors' Report (Page 134), and The Statement of Directors' Responsibility (Page 146) and Report of the Auditors (Page 147). The Annual Report is reviewed and recommended by the ARC and submitted for Board approval, prior to publication. The Annual Report is submitted to the CSE digitally and in print form. Aside from the Annual Report, the Group also publishes Interim Quarterly Reports and Quarterly press releases on the performance of the Group.

External Auditor

The External Auditor provides reasonable assurance that the Financial Statements are free from material misstatements and prepared according to an accounting framework. The Audit Committee makes recommendations to the Board for the appointment, re-appointment or removal of the External Auditor subject to the provision of the Companies Act and in-line with professional and ethical standards. The Audit Committee monitors and reviews the External

Auditor's independence, objectivity and the effectiveness of the audit process considering relevant professional and regulatory requirements. The Auditors submit a statement annually confirming their independence in relation to the external audit. In assignment of non-audit services to External Auditors, the Audit Committee ensures that the External Auditor has the necessary skills and experience for the assignment and ascertains that independence and objectivity of the External Auditor in carrying out duties and responsibilities will not be impaired.

Culture and Conduct

The Board is responsible for establishing a culture of fair dealing across the Group. Bound by the Code of Conduct and Ethics for Directors, the Board sets the tone from the top to promulgate strong business ethics and with the highest level of integrity at all times. The Board leads by example in setting clear expectations concerning the culture, values and behaviours required by employees. Further

all employees are bound by the Group's Code of Conduct - the 'Hemas Way'. Ethics-specific topics covered under the 'Hemas Way' include;

- Anti-Corruption Policy
The policy articulates the framework for the prevention of bribery and corruption. It explains the prohibitions against bribery, kickbacks and facilitation payments during the course of business and highlights the specific compliance requirements relating to these prohibitions. The Anti-Corruption Policy applies to all Group Directors and employees without exception. Regular training is conducted to reinforce these principles among employees and Directors. Similarly business partners and third parties who act on behalf of the Group are also informed of and required to align with the guidelines set out under the Group's Anti-Corruption policy.
- Gift Policy
The purpose of this policy is to regulate offering and receiving business courtesies and gifts by employees of the Group. This policy aims to establish greater uniformity in the gifting culture by setting standard thresholds for gifts that are gifted or received by Group employees and is applicable to gifts given or received within the Group as well as from third parties. The policy applies to all permanent employees, including Directors of HHL.
- Whistleblowing Policy
The Whistleblowing Policy is designed as a channel for anonymous reporting of possible financial irregularities, inappropriate financial reporting, internal controls or other issues that may require internal investigation. All Whistleblower complaints are reviewed by the Group's Whistle Blowing Committee consisting of one Independent Director and one Non-Executive Director. Throughout the investigation process, the Committee will maintain two-way communication to ensure the whistleblower is kept

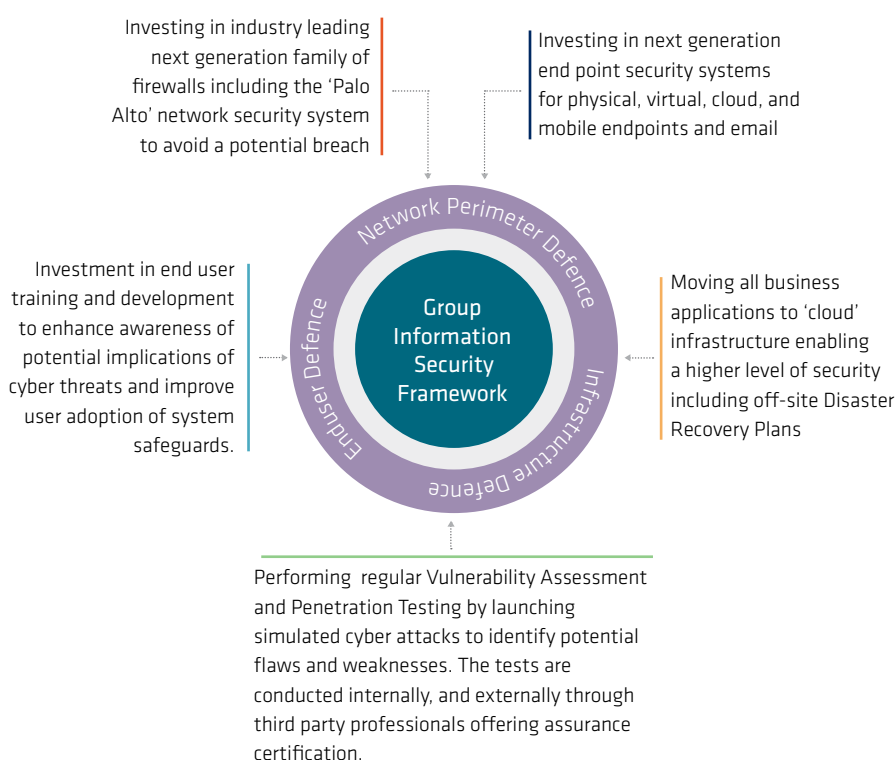
apprised of the progress of the investigation. Employees are made aware of the Whistleblowing process through special awareness sessions conducted regularly. Full details regarding the Whistleblower policy and the modalities of its operation is also made available on the intranet.

- Share Trading Policy
This policy seeks to outline the implications of 'Insider trading' and the Company's recommendations in relation thereto. In this regard, the policy advises all 'individuals' who are 'connected' to the Company and to whom this Policy applies, of the limitations placed in terms of the Securities and Exchange Commission Act of Sri Lanka (SEC Act) and the Listing Rules of the Colombo Stock Exchange (CSE), on such individuals who intend to deal in the Shares of the Company whilst being in possession of unpublished price sensitive information relating to the Company or any other company or business within the Hemas Group.

IT GOVERNANCE

The Board appreciates that information technology can create opportunities to unlock value in the business. On this basis, the Board remains strongly committed to safeguarding the Group's information assets and operational systems and invests extensively in cyber risk management systems.

IT governance is the responsibility of the Board and this function is discharged through the Audit and Risk Committee (ARC). Digital strategy and cyber security are standard agenda items of ARC meetings with key concerns escalated to the Board. The HHL Group IT Department is responsible for implementing the Group's digital strategy including the formulation of IT policies and safeguarding the Group's digital assets against cyber threats. The Director - Group IT and Process functions as the CISO (Chief Information Security Officer) to provide oversight for the safety of the Group's digital assets.



CORPORATE GOVERNANCE

Sustainability Governance and Reporting

The Board is responsible for the integration of sustainability across Group operations, and has delegated to the Board of Management aspects of the Group Management Framework. The Board has also delegated to the Group CEO and the Managing Directors of each business units to work with the Group Sustainability and Corporate Communications team to carry out internal materiality assessment to identify and manage material topics, implementation of the overarching Group policies, the implementation of the Management Approach and SOP's, and the improvement of the sustainability performance and managing of impacts within the business.

Stakeholder Engagement

The Board is of the opinion that engaging openly with external and internal stakeholders helps to build trust and also gain deeper insights regarding their expectations of the Group. The Board has directed Group-wide management teams, under the oversight of the Group CEO, to take a proactive approach to communication with stakeholders.

 Further Reading - *Stakeholder Engagement*
Page 42

Shareholder Relations

Shareholders are engaged through multiple channels of communication, including the Annual General Meeting (AGM), regulatory reports, a dedicated investor relations page on the Hemas' website and through announcements in the CSE. Conscious of their responsibility towards stakeholders, the Board is committed to fair disclosure, with emphasis on the integrity, timeliness and relevance of the information provided. Information is communicated accurately and in such a manner as to avoid the creation of a false market.

The Board's primary contact with institutional shareholders is through the Chief Executive Officer and Group Chief Financial Officer. They lead the Investor Relations and Corporate Communications

teams, who are in regular contact with institutional shareholders and investment analysts.

Shareholders also have the opportunity to ask questions, comment or make suggestions to the Board through the Secretaries. All significant issues and concerns of Shareholders are referred to the Board with the views of the Management

Annual General Meeting

Notice of the AGM, the Annual Report and accounts and any other resolution together with the corresponding information that may be set before the shareholders at the AGM, are circulated to shareholders a minimum 15 working days prior to the AGM allowing all the shareholders to review the documentation and attend the AGM. The digital version of the Annual Report is also made available on the corporate website www.hemas.com under the Investor Relations Tab.

Each time the Group proposes a separate resolution for a specific item of business, shareholders are given the opportunity to vote separately. All Shareholders are encouraged to exercise their voting rights. Voting procedures at the AGM are circulated to the shareholders in advance. The Group has an effective mechanism to record and count all proxy votes lodged for each resolution. In the event there is a significant proportion of the votes cast against a resolution, the Board will take steps to understand the reasons behind the vote results and determine if any actions are required. The outcome of the vote on each resolution is announced by the Chairman at the AGM and informed to the CSE, soon after the conclusion of the AGM.

The Group's next AGM is scheduled to be held on 28th June 2022.

The Board of Directors declare that the Company including the Board of Directors, the Management and employees have complied with the principles of good governance as set out by the regulatory

frameworks applicable to the Company in terms of the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka and the Listing Rules of the Colombo Stock Exchange and all other applicable regulations.

BUSINESS CONTINUITY PLANNING

The pandemic outbreak, other potential disasters and advances in technology have focused greater attention on the need for effective business continuity planning done at business level.

Appendix I: Statement of Compliance pertaining to Companies Act No. 7 of 2007

MANDATORY PROVISIONS - FULLY COMPLIANT

Rule	Requirement	Complied	Reference (within the Report)	Page
168 (1) (a)	The nature of the business together with any change thereof.	Yes	About Us	04
168 (1) (b)	Signed Financial Statements of the Group and the Company.	Yes	Financial Statements	150
168 (1) (c)	Auditors' Report on Financial Statements.	Yes	Independent Auditor's Report	147
168 (1) (d)	Accounting policies and any changes therein.	Yes	Note 1 to 3 the Financial Statements	156
168 (1) (e)	Particulars of the entries made in the Interests Register.	Yes	Annual Report of the Board of Directors	128
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company.	Yes	Note 8 to the Financial Statements	171
168 (1) (g)	Corporate donations made by the Company.	Yes	Note 8 to the Financial Statements	171
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during and at the end of the accounting period.	Yes	Annual Report of the Board of Directors	129
168 (1) (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered.	Yes	Note 8 the Financial Statements	171
168 (1) (j)	Auditors' relationship or any interest with the Company and its Subsidiaries.	Yes	Report of the Group Audit Committee	136
168 (1) (k)	Acknowledgment of the contents of this Report and signatures on behalf of the Board.	Yes	Annual report of the Board of Directors on the Affairs of the Company	129

CORPORATE GOVERNANCE

Appendix II- Statement of Compliance under Section 7.6 of the Listing Rules of the Colombo Stock Exchange (CSE) on Annual Report Disclosures

MANDATORY PROVISIONS - FULLY COMPLIANT

Rule	Requirement	Complied	Reference (within the Report)	Page
(i)	Names of persons who were Directors of the entity.	Yes	Annual report of the Board of Directors on the Affairs of the Company	129
(ii)	Principal activities of the entity and its subsidiaries during the year, and any changes therein.	Yes	Focus Areas	7
(iii)	The names and the number of shares held by the 20 largest holders of voting shares and the percentage of such shares held.	Yes	Shareholder Information	241
(iv)	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the listed entity complies with the Minimum Public Holding requirement.	Yes	Annual report of the Board of Directors on the Affairs of the Company	133
(v)	A statement of each Director's holding in shares of the entity at the beginning and end of each financial year.	Yes	Annual report of the Board of Directors on the Affairs of the Company	131
(vi)	Information pertaining to material foreseeable risk factors of the entity.	Yes	Risk Management	120
(vii)	Details of material issues pertaining to employees and industrial relations of the entity.	Yes	Human Resources (HR) Report	64
(viii)	Extents, locations, valuations and the number of buildings of the entity's land holdings and investment properties.	Yes	Note 12 and 13 to the Financial Statements	178 to 188
(ix)	Number of shares representing the entity's stated capital.	Yes	Note 22 to the Financial Statements	209
(x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Yes	Shareholder Information	241
(xi)	Financial ratios and market price information.	Yes	Ten year summary and Shareholder Information	240 to 241
(xii)	Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year.	Yes	Note 12 - Property plant and Equipment to the Financial Statements	178
(xiii)	Details of funds raised through a public issue, rights issue and a private placement during the year.	Not Applicable		-
(xiv)	Information in respect of Employee Share Ownership or Stock Option Schemes.	Yes	Shareholder Information	241
(xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules.	Yes	Corporate Governance Report	102
(xvi)	Related Party transactions exceeding 10% of the equity or 5% of the total assets of the entity as per audited financial statements, whichever is lower.	Not Applicable	Related Party Transactions Review Committee Report	143

Appendix III- Statement of Compliance under Section 7.10 of the Listing Rules of the Colombo Stock Exchange (CSE) on Corporate Governance

MANDATORY PROVISIONS - FULLY COMPLIANT

Rule No.	Subject	Requirement	Complied	Reference within the Report	Page
7.10.1(a)	Non-Executive Directors (NED)	At least 2 or 1/3 of the total number of Directors on the Board whichever is higher should be NEDs.	Yes	Corporate Governance Report	104
7.10.2(a)	Independent Directors (ID)	2 or 1/3 of NEDs, whichever is higher, should be independent.	Yes	Corporate Governance Report	104
7.10.2(b)	Independent Directors (ID)	Each NED should submit a signed and dated declaration of his/her independence or non-independence.	Yes	Corporate Governance Report	104
7.10.3(a)	Disclosure relating to Directors	The Board shall annually determine the independence or otherwise of the NEDs, and Names of each IDs should be disclosed in the Annual Report (AR).	Yes	Corporate Governance Report Board Profiles	104
7.10.3(b)	Disclosure relating to Directors	The basis for the Board's determination of ID, if criteria specified for independence is not met.	Yes	Not Applicable	-
7.10.3(c)	Disclosure relating to Directors	A brief resume of each Director should be included in the AR including the Director's areas of expertise.	Yes	Board Profiles	19
7.10.3(d)	Disclosure relating to Directors	Provide a brief resume of new Directors appointed to the Board with details specified in 7.10.3(a), (b) and (c) to the CSE.	Yes	Directors Annual Report on the Affairs of the Company	-
7.10.4 (a-h)	Criteria for defining Independence	Requirements for meeting criteria to be an Independent Director.	Yes	Corporate Governance	132
7.10.5	Remuneration Committee (RC)	A listed company shall have a Remuneration Committee.	Yes	Human Resource and Remuneration Committee Report	139
7.10.5(a)	Composition of Remuneration Committee	RC Shall comprise of NEDs, a majority of whom will be independent. One NED shall be appointed as Chairman of the committee by the Board of Directors.	Yes	Human Resource and Remuneration Committee Report	139
7.10.5.(b)	Functions of Remuneration Committee	The RC shall recommend the remuneration of Executive Directors.	Yes	Human Resource and Remuneration Committee Report	140
7.10.5.(c)	Disclosure in the Annual Report relating to Remuneration Committee	Names of Directors comprising the RC Statement of Remuneration Policy Aggregated remuneration paid to Executive and Non-Executive Directors should be included in the Annual Report.	Yes	Human Resource and Remuneration Committee Report Note 8 to the Financial Statements	139 171
7.10.6	Audit Committee (AC)	The Company shall have an AC.	Yes	Group Audit Committee Report	136

CORPORATE GOVERNANCE

Rule No.	Subject	Requirement	Complied	Reference within the Report	Page
7.10.6(a)	Composition of Audit Committee	Shall comprise of Non-Executive Directors, a majority of whom are independent.	Yes	Group Audit Committee Report	136
		Chief Executive Officer and the Chief Financial Officer should attend Audit Committee Meetings.	Yes		
		The Chairman of the Audit Committee or one member should be a member of a professional accounting body.	Yes		
7.10.6(b)	Audit Committee Functions	Should be as outlined in the Section 7.10 of the Listing Rules.	Yes	Group Audit Committee Report	136
7.10.6(c)	Disclosure in Annual Report relating to Audit Committee	a) Names of the Directors comprising the Audit Committee.	Yes	Group Audit Committee Report	136
		b). The Audit Committee shall make a determination of the independence of the Auditors and disclose the basis for such determination.	Yes		
		c) The Annual Report shall contain a Report of the Audit Committee in the prescribed manner.	Yes		

Appendix IV- Statement of Compliance under Section 9.3.2 of the Listing Rules of the Colombo Stock Exchange (CSE) on Related Party Transactions

MANDATORY PROVISIONS - FULLY COMPLIANT

Rule No.	Subject	Requirement	Complied	Reference within the Report
9.3.2	Related Party Transactions Review Committee	a). Details pertaining to Non-Recurrent Related Party Transactions.	Yes	Note 35 to the Financial Statements
		b). Details pertaining to Recurrent Related Party Transactions.	Yes	Note 35 to the Financial Statements
		c). Report of the Related Party Transactions Review Committee.	Yes	Report of the Related Party Transactions Review Committee
		d). Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to Related Party Transactions, or a negative statement otherwise.	Yes	Annual Report of the Board of Directors

Appendix V: Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka in 2017

As requirements of the Code have been discussed in the Corporate Governance Report, we have provided the relevant references to the report.

VOLUNTARY PROVISIONS

Code Ref.	Requirement	Complied	Reference within the Report
A.1	An effective Board should direct, lead and control the company.		
A.1.1	Regular Board meetings, provide information to the Board on a structured and regular basis.	Yes	Meetings Attendance
A.1.2	Role and Responsibilities of the Board.	Yes	Role of the Board
A.1.3	Act in accordance with laws of the Country. Independent professional advice.	Yes	Compliance Informed Decision Making
A.1.4	Access to advice and services of the Company Secretary.	Yes	Clear Roles and Responsibilities - Company Secretary
A.1.5	Independent judgement.	Yes	Access to Information
A.1.6	Dedicate adequate time and effort to matters of the Board and the Company.	Yes	Appointment/ Re-election and Resignation of Directors
A.1.7	Calls for resolutions by at least 1/3rd of Directors.	Yes	Board Meetings
A.1.8	Board induction and Training.	Yes	Directors Training
A.2	Chairman and CEO.	Yes	Division of Responsibility between the Chairman and CEO
A.3	Chairman's role in preserving good corporate governance.	Yes	Division of Responsibility between the Chairman and CEO
A.4	Availability of financial acumen.	Yes	Board Composition
A.5	Board balance.	Yes	Board Composition

CORPORATE GOVERNANCE

Code Ref.	Requirement	Complied	Reference within the Report
A.5.1	The Board should include sufficient number of NEDs.	Yes	Board Composition
A.5.2	If the Board includes only 3 NEDs, they should be independent.	N/A	
A.5.3	Independence of Directors.	Yes	Directors' independence
A.5.4	Annual declaration of independence by Directors.	Yes	Directors' independence
A.5.5	Annual determination of independence of NEDs.	Yes	Directors' independence
A.5.6	Alternate Directors.	Not Applicable	
A.5.7 and A.5.8	Senior Independent Director (SID).	No	
A.5.9	Annual meeting with NEDs.	Yes	Meeting of the Non-Executive Directors
A.5.10	Recording of dissent in minutes.	Yes	Board Meetings
A.6	Supply of Information.	Yes	Supply of Information
A.7	Appointments to the Board and Re-election.	Yes	Appointment/ Re-election and Resignation of Directors
A.7.1	Establishing a Nomination Committee, Chairman and Terms of Reference.	Yes	Nomination and Governance Committee Report
A.7.2	Annual assessment of Board composition.	Yes	Appointment/Re-election and Resignation of Directors
A.7.3	Disclosures on appointment of new directors.	Yes	Appointment/ Re-election and Resignation of Directors
A.8	Directors to submit themselves for re-election.	Yes	Appointment/ Re-election and Resignation of Directors
A.9	Appraisal of Board and Sub-Committee Performances.	Yes	Board and Sub-Committee Evaluation
A.10	Annual Report to disclose specified information regarding Directors.	Yes	Board Profiles Annual Report of the Directors on the Affairs of the Company
A.11	Appraisal of the CEO.	Yes	Evaluating the Performance of the Group CEO
B.	Directors Remuneration		
B.1	Establish process for developing policy on executive and director remuneration.		Remuneration Policy
B.2	Level and Make Up of Remuneration.	Yes	Remuneration Policy
B.3	Disclosures related to remuneration in Annual Report. - Remuneration Policy statement. - Aggregate Board remuneration paid. - HRRC report.	Yes	Human resources and Remuneration Committee Report

Code Ref.	Requirement	Complied	Reference within the Report
C. Relations with Shareholders			
C.1	Constructive use of the AGM and Other General Meetings.	Yes	Annual Report of the Directors on the Affairs of the Company and the Group - Annual General Meeting (AGM)
C.2	Communication with shareholders.	Yes	Annual Report of the Directors on the Affairs of the Company and the Group - Shareholder Relations
C.3	Disclosure of major and material transactions.	Yes	There were no major or material transactions during the year, which materially affected the net asset base of Company.
D. Accountability and Audit			
D.1	Present a balanced and understandable assessment of the Company's financial position, performance, and prospects.	Yes	Financial and Business Reporting
D1.1	Balanced Annual Report.	Yes	Financial and Business Reporting
D.1.2	Balanced and understandable communication .	Yes	Financial and Business Reporting
D.1.3	CEO/CFO declaration.	Yes	Chief Executive Officer's and Chief Financial Officer's Responsibility Statement
D.1.4	Directors Report declarations.	Yes	Annual report of the Board of Directors on the Affairs of the Company
D.1.5	Financial reporting -statement on board responsibilities. Statement on internal control.	Yes	Directors' Responsibility for Financial Reporting Directors' Statement on Internal Control
D.1.6	Management Discussion and Analysis.	Yes	Capital reports
D.1.7	Net Assets < 50%.	Yes	In the unlikely event of the net assets of the company falling below 50% of Shareholders Funds the Board will summon an Extraordinary General Meeting (EGM) to notify the shareholders of the position and to explain the remedial action being taken.
D.1.8	Related Party Transactions	Yes	Other Business Interests
D.2	Process of risk management and a sound system of internal control to safeguard shareholders' investments and the Company's assets.	Yes	Risk Management and Internal control Report of the Audit Committee Directors' Statement of Internal Control Risk Review
D.3	Audit Committee.	Yes	Group Audit Committee Report
D.4	Related Party Transactions Review Committee.	Yes	Related Party Transactions Review Committee report
D.5	Code of Business Conduct and Ethics.	Yes	Code of Conduct and Ethics
D.6	Corporate Governance Disclosures.	Yes	Corporate Governance Report
E/F Institutional and other investors			
	Institutional and other investors.	Yes	Relations with Shareholders
G	Internet of Things and Cybersecurity	Yes	Digital Oversight and Cyber Security
H	Principals of Sustainability Reporting	Yes	Sustainability Governance

RISK MANAGEMENT

INTRODUCTION

Being a diverse conglomerate with focused interest in the Country's healthcare, consumer brands and mobility sectors the Group's risk management strategy supports Hemas' core purpose of 'making healthful living happen'. Sound risk management has always played a crucial role in enabling Hemas Holdings PLC to fulfill this strategic intent. The fact that the Group as a whole was able to grow notwithstanding the pandemic related challenges is a further testament to the soundness of the Group's risk fundamentals in managing the impacts arising from the risk universe.

01

Group Risk Management Approach And Framework

The Hemas Group's approach to risk management stems from the precautionary principle that seeks to avoid any potential negative effects to the core businesses that may result from the exposure to potential risk factors. The Group-wide Enterprise Risk Management Framework (ERM) is framed by solid risk management fundamentals outlined by the ISO 31000 (2018) International Risk Management Standard. The ERM framework, creates a robust ecosystem to minimise the Group's residual risks based on the following principles;

- A structured approach to business planning to identify, assess and treat all key business risks in the Group's risk universe
- Aligning Management decisions to the business risk appetite
- Ensuring adequate and effective controls, based on identified risks
- A clearly defined risk governance structure to provide oversight for the implementation of established risk controls at all levels of the business
- A formal methodology to document and systematically record risk mitigation efforts

- A programme of internal due diligence procedures including compliance checks and risk control self-assessment to monitor the efficacy of risk management efforts
- Routine reporting to the Board on the effectiveness of the Group's management of its material business risks

The ERM framework provides the assurance that risks at all levels of the business are fully understood, proactively identified, analysed and dynamically managed in order to support the achievement of the short, medium and long term strategic objectives.

KEY CONCEPTS OF HHL'S ERM FRAMEWORK

RISK APPETITE STATEMENT (RAS)

The RAS articulates the aggregate level and types of risks that the Group is willing to accept, or avoid, in achieving its business objectives. The RAS summarises the Group's risk tolerance level for all existing and potential business activities.

Risk Appetite limits are set for all key risk categories to provide the foundation for risk taking activities, with risk tolerance levels set within the context of the Risk Appetite Limits. These along with a framework of policies and procedures provide the necessary operational controls to facilitate responsible risk taking in the course of the day-to-day business.

The Group Board along with the Group Risk Management Committee (GRMC) have the shared responsibility of reviewing the RAS, and the associated tolerance limits and policies annually. This is a highly detailed process to determine significant events in both the immediate and broader operating environment and how they may impact the Group's strategic direction over the medium and long term. The RAS review also takes into consideration the scope and scale of various business operations and their sensitivity to externalities in their respective operating environments. The RAS review process

allows the Board to identify and determine the risk capacity and risk profile of each business relative to the Group as a whole.

Risk Governance

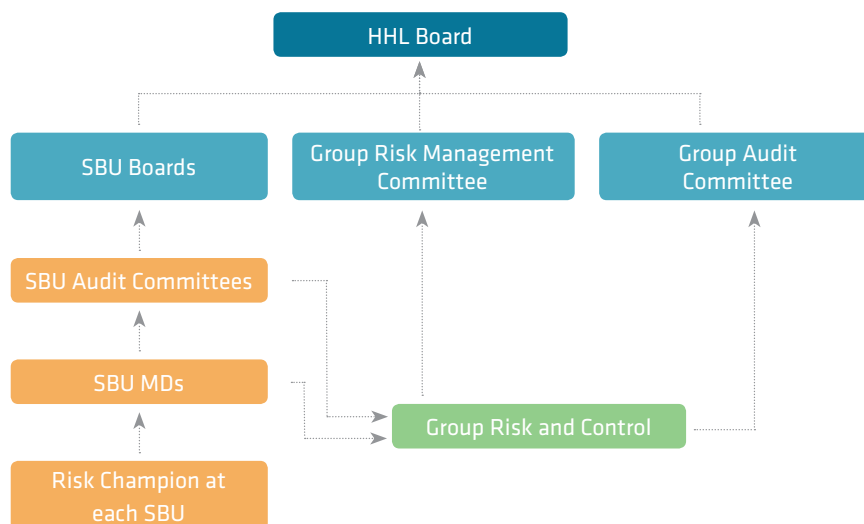
In conformity with the ISO 31000 (2018) International Risk Management Standard, the Group Board holds the ultimate authority in charge of Group-wide risk governance. In their capacity as the apex body in charge of risk, the Group Board is responsible for the development and communication of the Group's risk strategy, for reviewing and approving the risk appetite limits, setting tolerance levels and for updating risk policies in alignment with the strategic objectives of the Group and the changing business context.

While the final responsibility of managing the Group's risk remains with the Board of Directors, the Group Audit Committee and the Group Risk Management Committee (GRMC) assist the Board in carrying out its risk oversight duties. The Group Audit Committee is charged with reviewing the Group risk management process to provide reasonable assurance to the Board regarding the adequacy and appropriateness of the ERM in meeting Group strategic objectives. The GRMC meanwhile assists the Board in developing the Group's risk plan and providing oversight for the risk management activities performed by the Group's various SBU's.

The Group's risk management structure is further supported by Audit Committees at SBU level, who together with GRMC have been tasked with monitoring risk exposures in their respective SBU's on an ongoing basis.

The Board, Group Audit Committee and the GRMC with the help of Audit Committees of the respective SBU's have the collective responsibility for managing risk across the Group to ensure that risks taking activities are managed within the established tolerance limits.

Risk Management Reporting Structure at Hemas



At an SBU-level, the head of each SBU is expected to work closely with their designated risk champions to identify and record significant risks throughout their respective value chains and external environment. A mandatory quarterly review by the SBU-level Audit Committees further strengthens risk governance by seeking to address the risk profile of individual SBU's and assess the efficacy of their internal control system and other risk mitigating action. These reports are subsequently collated into a single document where only the key risks affecting the Group are highlighted and escalated to the GRMC for review on a quarterly basis. The SBU Audit Committee and GRMC are authorised to investigate or seek information relating to any activity where further action is deemed necessary.

A formalised framework of risk management policies ensure that standardised tools and techniques are used across all SBUs for the identification, analysis and mapping, management and reporting and monitoring of risks. The Group Risk and Control Team confirms alignment of the policy framework of the SBUs through ongoing review, assessment and guidance on implementation.

RISK MANAGEMENT PROCESS

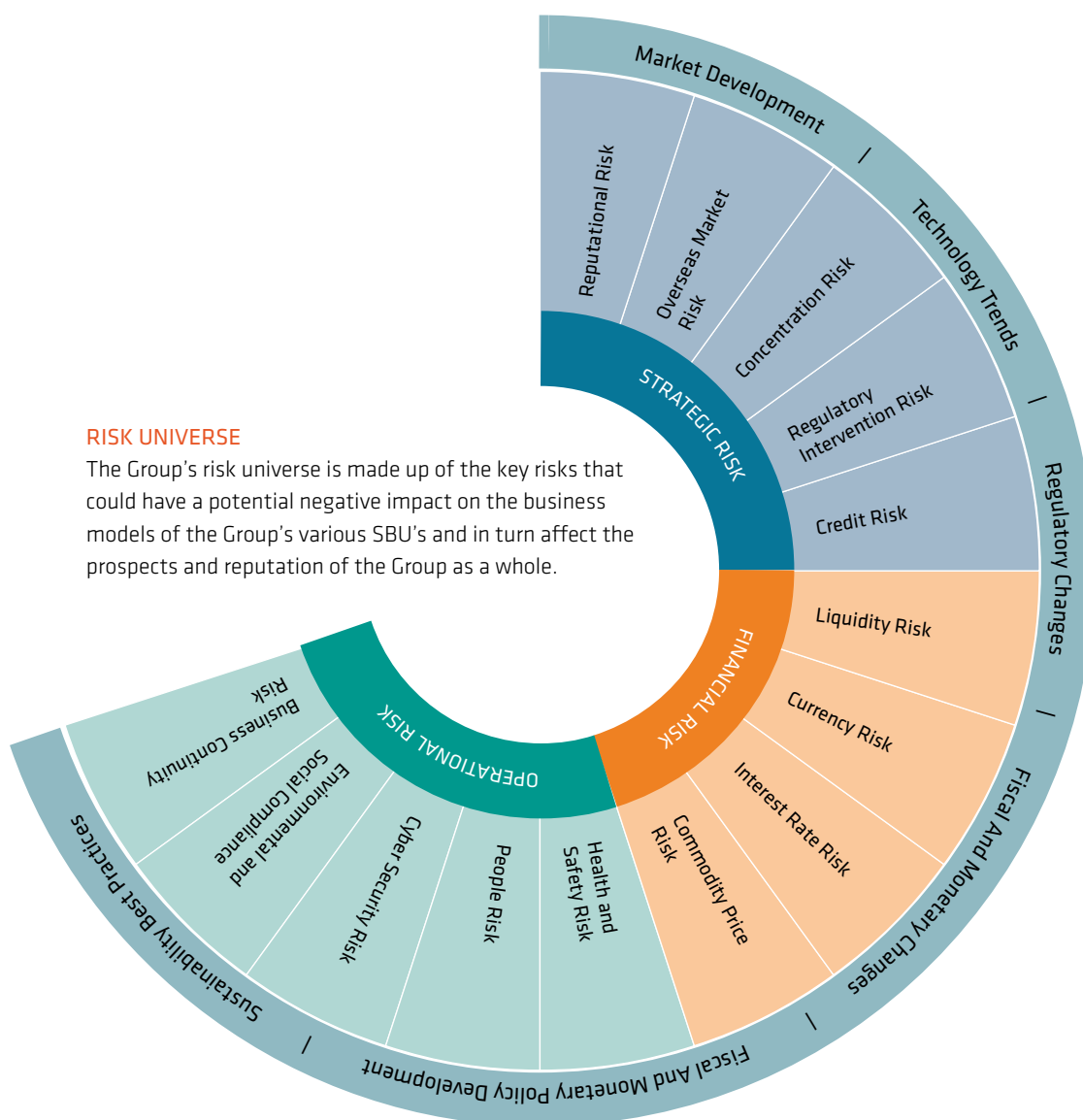
As per the ERM framework, a comprehensive Risk Management Process is in place to ensure key risks within the Group's risk universe are well managed at all times. Covering all aspects from identification and measurement to risk integration and risk reporting, the Risk Management Process underpins Group's efforts to manage enterprise-wide risks and to promote responsible risk taking at all levels of the business.

- 01 > **Determination of Risk Universe**
Understanding of the impact of the external and internal environment in the context of the business activities and objectives of the relevant SBU with due consideration that there may be multiple outcomes which may result in a variety of tangible or intangible outcomes.
- 02 > **Identification and Analysis of Risks**
A range of tools and techniques are used to identify and measure the impact of uncertain events in the risk universe. Risk analysis is undertaken with varying degrees of detail and complexity, depending on the purpose of the analysis and the availability and reliability of information. Analysis techniques can be qualitative, quantitative or a combination of both, depending on the circumstances and intended use.
- 03 > **Risk Evaluation and monitoring**
Risk evaluation involves comparing the results of the risk analysis with the established risk criteria to determine where additional action is required to minimise residual risks. All risks are assessed based on the impact and likelihood using the matrix stipulated in the Hemas risk management framework.
- 04 > **Risk Mitigation and Treatment action**
Risk treatment is an iterative process that involves formulating and selecting risk mitigating options, planning and implementing appropriate treatment actions and assessing the effectiveness of such treatment. It also involves deciding whether the residual risk is acceptable or further treatment action is required. The Group Risk and Control Team is tasked with ensuring all approved risk mitigation strategies and treatment actions are applied consistently throughout the Group.

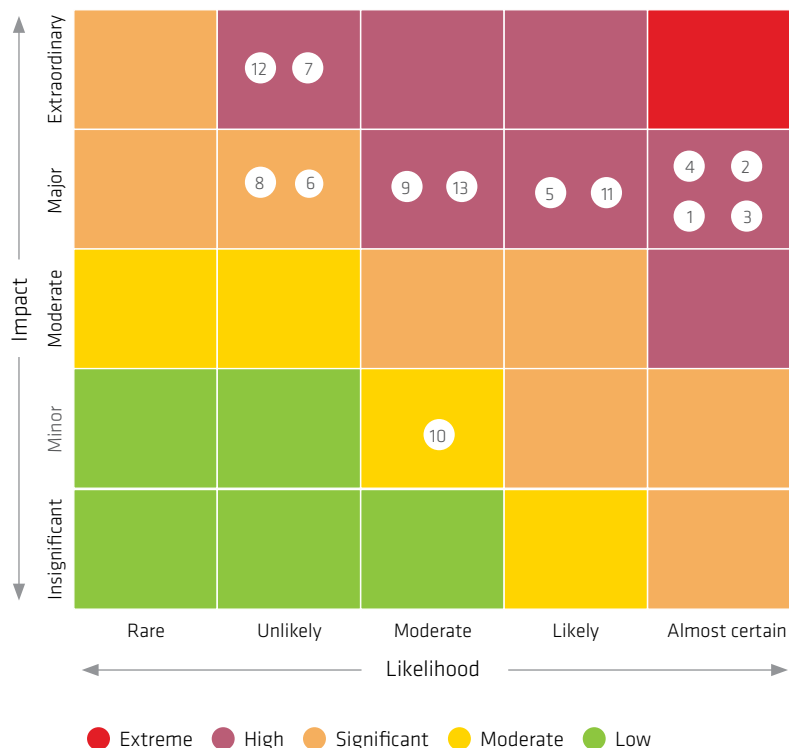
RISK MANAGEMENT

RISK UNIVERSE

The Group's risk universe is made up of the key risks that could have a potential negative impact on the business models of the Group's various SBU's and in turn affect the prospects and reputation of the Group as a whole.



b. Risk Heat map



RISK REGISTER

A comprehensive risk register is used as a basis of documenting the outcomes of the risk process. The risk register which is maintained under the purview of the Group Risk and Control Team, is updated on an ongoing basis and serves as the primary resource for risk related decision making by the Board, the management and SBU heads.

Department-Level risk registers are also maintained at SBU's to ensure that all business specific risks are identified and recorded accurately.

RISK AWARENESS CULTURE

The Group believes that a strong risk awareness culture is central to managing Group-wide risk. The Group advocates a strong risk-awareness culture where employees at all levels understand and take responsibility for the proper management of risks in line with established risk parameters. With Group Board setting the tone from the top, a sound risk culture permeates across all levels of the business, with the Risk Management being embedded as an integral part of the business culture across all SBU's.

In addition, the Group's Code of Business Conduct and Ethics is designed to inculcate the necessary behaviours to build a strong risk awareness culture, while risk-related behaviour has been integrated as part of the Group's pay-for-performance model. Beyond this, the Group Risk and Control Team regularly engages in awareness building activities aimed at reinforcing a strong Group-wide risk culture. In the year under review several sessions were held online specifically to increase employee vigilance on general risk factors associated with the COVID-19 pandemic environment.

Risk rating	What it means
Extreme	Board attention is required
High	Immediate action by senior management with a detailed research and management of risk through appropriate responses
Significant	- Senior management attention required - Management responsibility specified - Risks should be treated using one or more of the risk treatment options
Moderate	- Risks should be treated using one or more of the risk treatment options - Risks should be managed using specific monitoring or treatment procedures
Low	- Risk is accepted with minimal treatment and can normally be managed using existing routine procedures - Low risks need to be monitored and periodically reviewed to ensure they remain acceptable

RISK MANAGEMENT

Risk Focus at a Glance - FY 2021/22			
Risk Governance	Risk Management Priorities		
	Financial Risk	Strategic Risk	Operational Risk
Under the supervision of SBU heads, a series of new measures to identify emerging risks were put in place at a functional level.	Centralised the treasury and forex management activities to minimise interest rate and currency risks.	Began to proactively identify potential risks at SBU-level that could lead to Reputational Risk for the Group.	Introduced monthly reviews to improve the responsiveness of business continuity plans and crisis management plans of SBU's on an ongoing basis.
	Strengthened relationships with banks and financial institutions to support the Group's liquidity management strategy.	Aggressive product diversification strategies to reduce portfolio concentration risk of SBU's.	Expanded the scope of due diligence activities to assess potential fraud risk associated with remote work arrangements.
	Established new tolerance limits for government debtors.	Portfolio rationalisation initiatives were undertaken with a view to optimising profitability and business sustainability continuity.	Evaluated the adequacy of the Group's business interruption policy and established standardised Group-wide guidelines for IT DRP, BCP and crisis management.

02

Managing The Group's Key Risks for FY 2021/22 and Their Impact on the Group

1. Forex Liquidity Crisis							
Key Impact: Currency Risk	Mitigating Action						
Due to the forex liquidity crisis in the country and the heavy depreciation of the Rupee against the USD is likely to adversely affect Group profitability and business continuity. <table> <tr> <th colspan="2">Assessment</th></tr> <tr> <td>Impact</td><td>Major</td></tr> <tr> <td>Likelihood</td><td>Almost certain</td></tr> </table> Ancillary Risks Reputational Risk caused by delays in opening of LC's which might lead to possible stock-out situations and have a negative impact on supplier relations.	Assessment		Impact	Major	Likelihood	Almost certain	- Rescheduling of LC's to source finished goods/ raw materials in priority order/portfolio rationalisation - Strengthening ties with banks - Prioritising the imports on essential basis - Seek out alternative local sourcing alternatives - Explore possible opportunities to negotiate currency SWAP's
Assessment							
Impact	Major						
Likelihood	Almost certain						
2. Risks arising due to rising inflation							
Key Impact: Profitability risk	Mitigating Action						
Lower disposable income may lead to weakening in retail demand for the group's products and unable to pass the full impact of cost increase to customer due to pricing restrictions/market conditions/ competitor pricing which will have a direct impact to profitability. <table> <tr> <th colspan="2">Assessment</th></tr> <tr> <td>Impact</td><td>Major</td></tr> <tr> <td>Likelihood</td><td>Almost certain</td></tr> </table>	Assessment		Impact	Major	Likelihood	Almost certain	- Price increase of products and lobbying with government when necessary - Launching of new products with varieties. - Improve the Mix by investing in higher margin SKU's . - Convert marketing investments to support consumer price promotions and provide value to consumers.
Assessment							
Impact	Major						
Likelihood	Almost certain						

3. Global Supply Chain Disruption

Key Impact: Business Disruption Risk

Frequent interruptions to the regular course of business.

Assessment	
Impact	Major
Likelihood	Almost certain

Ancillary Risks

Reputational Risk due to the lack consistency in the supply of products and services.

Mitigating Action

- In the Consumer Brands Sector, short term operational cover was obtained during times of price volatility. Other alternative specifications were also evaluated to minimise sector-wide impact.
- In the Pharmaceutical Manufacturing Segment supplier networks were further strengthened with the aim of improving access to supplier value chains in order to support pre-booking. At the same time the inventory holding period was also increased.
- To support these efforts, steps were also taken to further strengthen relationships with government authorities including Sri Lanka customs and the NMRA.
- The Pharmaceutical Distribution arm, streamlined the order book consultation with suppliers, while supplier development initiatives were further intensified to increase supplier loyalty.

4. Energy Risk

Key Impact: Business Disruption Risk

Possible disruptions to the business operations and distribution channels due to power outages and insufficient fuel.

Assessment	
Impact	Major
Likelihood	Almost certain

Ancillary Risks

Reputational Risk due to the lack consistency in the supply of products and services.

Mitigating Action

- Maintaining excess fuel stocks at businesses where possible
- Actions are taken to rent and buy generators
- Production planning by considering the planned power outage
- Investing in renewable energy sources (i.e. Planting solar panels at possible business locations to generate electricity)

RISK MANAGEMENT

Financial Risk

The possibility of a loss resulting from customers defaulting in their obligations towards the Group.

Assessment	
Impact	Major
Likelihood	Likely

- Adherence to business specific credit policies.
- Stringent credit screening procedure
- Strengthening relationships with creditworthy customers.
- Proactive recovery and collection practices.
- Identifying a maximum for the Group level exposure for government debtors and taking appropriate actions from SBU level if the state debt level exceeds the threshold.

6. Liquidity Risk

Mitigating Action

The inability of the Group to meet contractual obligations due to insufficient cash and other liquid investments.

Assessment	
Impact	Major
Likelihood	Unlikely

- Centralised treasury management function to monitor Group liquidity as well as the maturity mismatch between asset and liability on an ongoing basis.
- Continuous reviewing of business models and working capital management.
- Strong relationships with banks to negotiate backup funding lines.
- Benchmark current and quick asset ratio.
- Group policy is to maintain gearing ratio below 20%

Strategic Risks

Potential for negative publicity, public perception or uncontrollable events to have an adverse impact on a company's reputation, thereby affecting its revenue.

Possible quality failures in products or healthcare service that impact patient safety could also have a cascading effect on Group reputation.

Assessment	
Impact	Extraordinary
Likelihood	Unlikely

- Adequate business specific quality controls to assure the quality throughout the processes
- Continuous quality governance meetings to enhance product quality.
- Ongoing training, quality management and assurance programs to strengthen the product quality.
- Internal and external quality inspection audits.
- Standardised manufacturing processes.
- Ongoing investment and improvement initiatives in manufacturing facilities and the hospital.
- Obtaining certifications from external governing bodies.
- Hospitals are ACHSI accredited and have industry specific clinical governance policies and procedures in place.

8. Concentration Risk		Mitigating Action						
Majority of the Group’s businesses depend on the Sri Lankan market. Hence, economic and social factors affecting the Country’s consumption patterns impact Group revenue.		Diversification across industries, sectors and geographical territories						
<table><tr><th colspan="2">Assessment</th></tr><tr><td>Impact</td><td>Major</td></tr><tr><td>Likelihood</td><td>Unlikely</td></tr></table>		Assessment		Impact	Major	Likelihood	Unlikely	
Assessment								
Impact	Major							
Likelihood	Unlikely							
9. Regulatory Intervention Risk		Mitigating Action						
Government intervention in the private healthcare industry through the imposition of price ceilings, price controls and other regulations adversely affect both the Pharmaceutical Businesses and Hospitals.		- SLCPI is considering further action under fair trade protection regulations. - Negotiations with NMRA through chamber for reasonable price formula. - Continuous negotiations with existing Principals to pass on the incremental costs to them. - Assess the products that are likely to be subject to the food labelling regulations and prepare for submission of Dossiers.						
<table><tr><th colspan="2">Assessment</th></tr><tr><td>Impact</td><td>Major</td></tr><tr><td>Likelihood</td><td>Moderate</td></tr></table>		Assessment		Impact	Major	Likelihood	Moderate	
Assessment								
Impact	Major							
Likelihood	Moderate							
Operational Risks								
10. Health and Safety Risk		Mitigating Action						
The risk of continuity of operations in the event employees are exposed to COVID-19.		- Operations and plants are designed considering employee health and safety. - Health and Safety related policies and procedures have been implemented across the Group. - Policies and procedures are subject to rigorous review and audits for their implementations. - Operations by adhering to safety protocols. - Work from home guidelines were introduced and continuous awareness sessions were conducted to enhance knowledge of the employees.						
<table><tr><th colspan="2">Assessment</th></tr><tr><td>Impact</td><td>Minor</td></tr><tr><td>Likelihood</td><td>Moderate</td></tr></table>		Assessment		Impact	Minor	Likelihood	Moderate	
Assessment								
Impact	Minor							
Likelihood	Moderate							
11. People Risk		Mitigating Action						
Talent attraction, development and retention is a challenge in an increasingly competitive environment. Workforce diversity and digital talent are a few of the other important aspects that have become relevant in the current business context.		- Restructuring and re-alignment of the workforce to drive the digital transformation. - Continuously train and upskill employees on new technologies, tools and global practices. - Promoting a high performance driven culture to retain employees through better career prospects.						
<table><tr><th colspan="2">Assessment</th></tr><tr><td>Impact</td><td>Major</td></tr><tr><td>Likelihood</td><td>Likely</td></tr></table>		Assessment		Impact	Major	Likelihood	Likely	
Assessment								
Impact	Major							
Likelihood	Likely							

RISK MANAGEMENT

12. Business Interruption Risk	Mitigating Action						
Interruptions to continuous operations due to damages to infrastructure because of fire or flood, or IT service breakdown, which can occur through malicious activities. Thus, there is risk of failure by the Group to fulfil its contractual obligations to the suppliers, customers, and service providers, while maintaining the continuity of business operations. <table border="1" data-bbox="145 622 552 741"> <thead> <tr> <th colspan="2">Assessment</th></tr> </thead> <tbody> <tr> <td>Impact</td><td>Extraordinary</td></tr> <tr> <td>Likelihood</td><td>Unlikely</td></tr> </tbody> </table>	Assessment		Impact	Extraordinary	Likelihood	Unlikely	• Fire risk management practices have been implemented as per the HHL Group fire safety framework. • Adequate insurance covers have been obtained for all businesses to mitigate business interruption risk. IT DRP, BCP and crisis management guidelines are in place to address this risk. • IT DRP is in place. • Business continuity plans to ensure the smooth operation of the business even at the time of disaster.
Assessment							
Impact	Extraordinary						
Likelihood	Unlikely						
13. Cyber Security Risk	Mitigating Action						
A cyber-attack or data centre failure resulting in business disruption or breach of corporate or personal data confidentiality. <table border="1" data-bbox="145 902 552 1021"> <thead> <tr> <th colspan="2">Assessment</th></tr> </thead> <tbody> <tr> <td>Impact</td><td>Major</td></tr> <tr> <td>Likelihood</td><td>Moderate</td></tr> </tbody> </table>	Assessment		Impact	Major	Likelihood	Moderate	• Crisis management plan to be deployed in the event of a cyber- attack. • Safeguard critical IT and operational assets through the implementation of strict IT protocols, firewalls and business continuity plan. • Foster a positive culture of cyber-security by raising awareness among employees regarding the importance of detection, response and recovery from cyber incidents and attacks
Assessment							
Impact	Major						
Likelihood	Moderate						

03

Way Forward

Given that risk is inherent in its operations, the Group will move forward on the premise that risks in the future may present in various permutations. Therefore the Group will seek to adopt a broad based approach to focus on holistically strengthening the Group-wide risk process with special emphasis on improving risk governance at an operational level and also reinforcing the risk awareness culture at a granular level.

ANNUAL REPORT OF THE DIRECTORS ON THE AFFAIRS OF THE COMPANY AND THE GROUP

GENERAL

The Directors have pleasure in presenting their Report and the Audited Financial Statements of the Company and the Group for the year ended 31 March 2022 and the Auditors' Report on the Consolidated Financial Statements.

Hemas Holdings PLC is a public limited liability company incorporated in Sri Lanka on December 10, 1948 under the Companies Ordinance, No. 51 of 1938 and re-registered under the Companies Act, No. 07 of 2007.

The ordinary shares of the Company are quoted on the Main Board of the Colombo Stock Exchange since October 2003.

The Registered Office of the Company is situated at 'Hemas House' No. 75, Braybrooke Place, Colombo 02.

This Report provides the information as required by the Companies Act No. 7 of 2007, the Listing Rules of the Colombo Stock Exchange (Listing Rules) and the Code of Best Practice of Corporate Governance 2017.

This Report was approved by the Board of Directors on 19 May 2022.

1. PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

Hemas Holdings PLC is the holding Company that owns, directly and indirectly, investments in a number of companies constituting the Hemas Group. The Chairman and CEO's Review, Financial Capital and Sector Integrated Review are incorporated into this Directors' Report by reference. They contain details of the development and performance of the Group's businesses during the year, an indication of the key performance indicators and information regarding principal risks and uncertainties, together with information equivalent to that required for a business review.

The measures taken by the Company to manage its risks are detailed in the report titled 'Risk Management' on pages 120 to 128 of the Annual Report.

2. FUTURE DEVELOPMENTS

The Group intends to continue to pursue a strategy of focusing on enhancing the performance of its core businesses of Consumer, Wellness and Healthcare segments.

Further information on future developments is provided in the CEO's Review and Sector Integrated Reviews of the Annual Report.

3. FINANCIAL STATEMENTS OF THE COMPANY AND THE GROUP

The Financial Statements of both the Company and the Group, duly certified by the Chief Financial Officer and approved by two Directors in compliance with Sections 152, 153 and 168 of the Companies Act are given from pages 150 to 239 of the Annual Report.

4. AUDITORS' REPORT

The Group's External Auditors, Messrs. Ernst & Young, performed the audit on the Financial Statements for the year ended 31 March 2022. The Auditors' Report on the Financial Statements is given on pages 150 to 239 of the Annual Report as required by Section 168 (1) (c) of the Companies Act.

5. ACCOUNTING POLICIES

A summary of the significant Accounting Policies adopted in the preparation of the Financial Statements is given from pages 150 to 239 of the Annual Report as required by Section 168 (1) (d) of the Companies Act.

There have been no changes in the accounting policies adopted by the Group during the year under review. Group prepared its financial statements in accordance with Sri Lanka Accounting Standards (SLFRS/ LKAS) which have materially converged with the International Financial Reporting Standard (IFRS) as Issued by the International Accounting Standards Board (IASB).

6. RESULTS AND DIVIDENDS

6.1 Gross Revenue

The Total Revenue of the Group for the year ended 31 March 2022 was Rs. 78.8 billion (2021 - Rs. 64.5 billion). An analysis

of the income is given in Note 05 to the Financial Statements on page 167 of this Annual Report.

6.2 Profit and Appropriations

The Profit Before Tax of the Group for the year ended 31 March 2022 was Rs. 6.6 (2021 - Rs. 5.7 billion) and the Profit After Tax for the year ended 31 March 2022 was Rs. 4.8 billion (2021 - Rs. 4.1 billion). Whilst the Group profit attributable to equity holders of the parent was Rs. 4.2 billion (2021 - Rs. 3.3 billion).

The details of Profit relating to the Group are given on pages 150 to 151 of the Annual Report.

6.3 Dividend on Ordinary Shares

6.3.1 The Directors declared and paid an Interim Dividend of Rs. 2.90 per Ordinary Share on 1st November 2021.

6.3.2 Final Dividend

The Directors recommend a Final Dividend for the year of Rs. 1.95 per Ordinary Share which will be payable on July 20, 2022 to the Shareholders registered as at July 1, 2022. The Total Dividend for the year under review will then amount to Rs. 2.35 per Ordinary Share (2020/21- Rs. 1.85).

Prior to recommending the Final Dividend and in accordance with Section 56 (2) and (3) of the Companies Act, the Board of Directors signed a Certificate stating that, in their opinion and based on available information, the Company will satisfy the Solvency Test immediately after the distribution is made and have obtained a Certificate from the Auditors in terms of Section 57 of the Companies Act. Shareholder approval will be sought on the day of the Annual General Meeting, to declare and pay the Final Dividend.

7. PROVISION FOR TAXATION

Income Tax on taxable income arising from the operations of the Group has been calculated in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and any amendments thereto. The deferred tax on all known temporary

ANNUAL REPORT OF THE DIRECTORS ON THE AFFAIRS OF THE COMPANY AND THE GROUP

differences using the liability method have been calculated and disclosed in accordance with the Sri Lanka Accounting Standard LKAS 12 – Income Taxes.

Disclosures on Income Tax Expenses and Deferred Taxes are given in Note 8 to the Financial Statements on pages 171 to 177 of the Annual Report.

8. RESERVES

The Group's total Reserves as at 31 March 2022 amounted to Rs. 27.8 billion (2021 - Rs. 24.1 billion).

The movement of the Reserves are given on page 153 under Statement of Changes in Equity and in the Notes to the Financial Statements of the Annual Report.

9. PROPERTY, PLANT AND EQUIPMENT, INVESTMENT PROPERTIES, RIGHT OF USE ASSETS/LEASEHOLD PROPERTIES AND INTANGIBLE ASSETS

The details of Property, Plant and Equipment, Investment Properties, Right of Use Assets and Intangible Assets are given in the Notes 12 to 15 to the Financial Statements found on pages 178 to 193 of the Annual Report.

10. MARKET VALUE OF THE PROPERTIES

The Land and Buildings of the Group classified as property, Plant and Equipment and Investment Properties are revalued by professionally qualified independent valuers and carried at revalued amounts as at 31 March 2022. The Directors are of the opinion that the revalued amounts are not in excess of the current market values of such properties. Details of freehold properties owned by the Group are given in Notes 12 and 13 to the Financial Statements from pages 178 to 188 of the Annual Report.

11. INVESTMENTS AND ACQUISITIONS

The Group Investments and Acquisitions are detailed in Note 2.4 to the Financial Statements found on page 157 of the Annual Report.

During the year under review, Hemas Holdings PLC further acquired 11% of the

equity stake in Healthnet International (Pvt) Ltd, through Hemas Pharmaceuticals (Private) Limited. Accordingly, Healthnet International (Pvt) Ltd is now a wholly owned subsidiary of the Hemas Group.

12. DIVESTMENTS AND DISPOSALS

The Group divestments and disposals are detailed in Note 2.4 to the Financial Statements found on page 157 of the Annual Report.

During the year under review, Hemas Holdings PLC divested its entire equity stake in Spectra Logistics (Private) Limited, held through Hemas Transportation (Private) Limited.

Further, Hemas Holdings PLC divested its entire equity stake in Hemas Mandalay Pharmaceutical Limited, held through Kyannmar Pharmaceuticals (Pvt) Ltd.

13. AMALGAMATION OF SUBSIDIARIES

During the year under review, there were no amalgamation of subsidiaries within the Group.

14. CREDITOR PAYMENT

For all trade creditors/suppliers, it is the Group policy to:

- Agree and confirm the terms of payment at the commencement of business with such suppliers;
- Pay in accordance with any contract agreed with the supplier or as required by law
- Continually review payment procedures and liaise with suppliers as a means of eliminating difficulties and maintaining good working relationships.

15. DIRECTORS

15.1 Change in the Directorate

The Board of Directors of the Company as at the date of this Report comprises Ten (10) Directors with extensive financial, governance and commercial knowledge and experience. The profiles of the Directors are set out in the 'Board of Directors' section from pages 19 to 22 of the Annual Report.

The names of the persons who held office as Directors of the Company as at 31 March 2022 are given below:

Non-Executive Directors

Mr. H. N. Esufally – Chairman
Mr. A. N. Esufally
Mr. I. A. H. Esufally
Mr. M. A. H. Esufally

Executive Directors

Ms. K. A. C. Wilson - Chief Executive Officer
Mr. S. J. de Silva Wijeyeratne

Independent Non-Executive Directors

Dr. S. A. B. Ekanayake
Mr. A. S. Amaratunga
Mr. J. M. Trivedi
Mr. P. Subasinghe

During the year under review, Mr. P. Subasinghe was appointed to the Board of Directors as an Independent Non-Executive Director w.e.f. 1st January 2022.

15.2 Independence of the Directors

The Board has made a determination as to the independence of each Non-Executive Independent Director and confirms that four of the eight Non-Executive Directors meet the criteria for independence in terms of Rule 7.10.4 of the Listing Rules. Each of the Independent Directors has submitted a signed and dated declaration of his independence against the specified criteria.

15.3 Re-election of Directors

In accordance with the Articles of Association of the Company and the Corporate Governance Code, one third of the Directors will retire at the Annual General Meeting on 28th June 2022 and being eligible, will offer themselves for re-election.

15.3.1 Recommendation for re-election/re-appointment

In terms of Article 84 of the Articles of Association, Mr. A. N. Esufally, Mr. M. A. H. Esufally and Mr. A.S. Amaratunga retire by rotation and being eligible,

offer themselves for re-election, with the unanimous consent of the Board of Directors.

In terms of Article 72 of the Company's Articles of Association, Mr. P. Subasinghe retires and being eligible, offers himself for re-election, with the unanimous consent of the Board of Directors.

15.3.2 Board Sub-committees and Board of Management (BoM)

Information on Board Sub-committees is given under Corporate Governance and the related Sub-committee reports are given on pages 136 to 144 of this Annual Report.

In addition to the mandatory Board Sub-committees in operation, the BoM has been devolved with the responsibility of reviewing Group performance and providing oversight of Group's affairs.

The profiles of the Members of the BoM are set out on pages 23 to 25 of the Annual Report.

15.4 Disclosures of Directors Dealing in Shares

Directors' Interest in Ordinary Shares of the Company – Direct

Name of Director	No of Shares. as at 31 March 2022	No of Shares as at 31 March 2021
Mr. H. N. Esufally	2,291,640	5,791,640
Mr. A. N. Esufally	2,617,353	117,353
Mr. I. A. H. Esufally	7,086,284	4,586,284
Mr. M. A. H. Esufally	6,164,633	6,164,633
Dr. S. A. B. Ekanayake	Nil	Nil
Mr. A. S. Amaratunga	Nil	Nil
Mr. J. M. Trivedi	Nil	Nil
Mr. P. Subasinghe	Nil	Nil
Ms. K. C. Wilson	Nil	Nil
Mr. S. de Silva Wijeyeratne	Nil	Nil

Directors' Interest in Ordinary Shares of the Company – Indirect

Name of Director	No of Shares. as at 31 March 2022	No of Shares as at 31 March 2021
A Z Holdings (Pvt) Ltd	94,092,305	94,092,305
Saraz Investments (Pvt) Ltd	89,565,277	89,565,277
Blueberry Investments (Pvt) Ltd	88,927,940	88,927,940
Amagroup (Pvt) Ltd	91,427,333	88,927,333
Ms. Sabrina Esufally	259,170	259,170
Mr. Adam Esufally	259,170	259,170
Ms. Sakina Esufally	2,073,365	2,073,365
Ms. Razia Esufally	259,170	259,170
Mrs. Billiquis I Esufally	725	725
Mr. Amaar Esufally	2,000,000	2,000,000
Miss Zara Esufally	250,000	250,000
Miss Saanya Subasinghe	2,300	2,300

15.5 Directors' Remuneration and Other Benefits

The Directors' remuneration and other benefits, in respect of the Company for the financial year ended 31 March 2022 is given in Note 8 to the Financial Statements on page 171 of this Annual Report as required by Section 168 (1) (f) of the Companies Act.

15.6 Directors' Interests in Contracts or Proposed Contracts

The Directors have no direct or indirect interest in any contract or proposed contract with the Company for the year ended 31 March 2022, other than those

disclosed on pages 231 to 234 of the Annual Report.

The Directors have declared all material interests in contracts involving the Company and refrained from voting on matters in which they were materially interested. They have also disclosed their interest in other companies so as to ensure that they refrain from voting on a matter in which they have an interest.

15.7 Interests Register

The Company has maintained an Interest Register as per the Companies Act No. 7 of 2007 and all the Directors have made

ANNUAL REPORT OF THE DIRECTORS ON THE AFFAIRS OF THE COMPANY AND THE GROUP

declarations as provided for in Section 192 (1) and (2) of the Companies Act. This Annual Report contains the particulars entered in the Interest Registers of subsidiaries which are public and private companies which have not dispensed with the requirement to maintain an Interests Register as permitted by Section 30 of the Companies Act No. 7 of 2007.

The Directors have all made a general disclosure relating to share dealings, indemnities and remuneration to the Board as per section 192(2) of the Companies Act No. 7 of 2007 and no other additional interests have been disclosed by any Director. The Interest Register is available for inspection at the Registered Office of the Company as required by Section 119 (1) (d) of the Companies Act.

During the year under review the following entries have been made in the Interest Register of the Company and its subsidiaries.

1. Hemas Holdings PLC

a. Appointment of a Director

Mr. P Subasinghe - appointed w.e.f. 1st January 2022

Resignation of a Director

NIL

b. Share Dealings of Directors

During the year under review, the directors share dealings were as follows.

Mr. H. N. Esufally - purchase of 2,500,000 shares

Mr. A. N. Esufally - purchase of 2,500,000 shares

Mr. I. A. H. Esufally - purchase of 2,500,000 shares

Mr. M. A. H. Esufally - purchase of 2,500,000 shares

c. Change of other Directorships

- Mr. Husein Esufally
Hemas Consumer Brands Pvt Ltd - Resigned with effect from 31st March 2022

- Mr. I A H Esufally
Spectra Logistics (Private) Limited- Resigned with effect from 13th October 2021

Integrated Spectra Logistics (Private) Limited- Resigned with effect from 13th October 2021

- Ms. Kasturi C. Wilson
Spectra Logistics (Private) Limited- Resigned with effect from 13th October 2021

Integrated Spectra Logistics (Private) Limited- Resigned with effect from 13th October 2021

2. Subsidiaries of Hemas Group

The following were the entries made in the Interest Register of the Subsidiaries of Hemas Group

Hemas Consumer Brands Private Limited

Mr. Husein Esufally- Resigned with effect from 31st March 2022

Ms. Sabrina Esufally - appointed w.e.f. 1st April 2022

Morison Limited

Mr. Dinesh Athapaththu - appointed w.e.f. 1st April 2021

Mazu Shipping (Private) Limited

Mr. Kankani Tantri Ramesh Chitrasiri - resigned w.e.f. 20th April 2021

Hemas Transportation (Private) Limited

Mr. Kankani Tantri Ramesh Chitrasiri - resigned w.e.f. 20th April 2021

Mr. Halke Widanelage Amila Priyadarshana - appointed w.e.f. 1st May 2021

Hemas Maritime (Private) Limited

Mr. Kankani Tantri Ramesh Chitrasiri - resigned w.e.f. 20th April 2021

Evergreen Shipping Agency Lanka (Private) Limited

Mr. Yen-I Chang - Appointed w.e.f. 11th January 2022

Healthnet International (Private) Limited

Mr. Deeshana Janaka Basnayake - Resigned with effect from 29th June 2021

Mr. Rangika Wijesinghe - Resigned with effect from 29th June 2021

Hemas Hospitals (Private) Limited

Ms. Sabrina Esufally - appointed w.e.f. 16th August 2021

Forbes Air Services (Private) Limited

Mr. Mushin Kitchilan- Appointed with effect from 1st March 2022

16. RELATED PARTY TRANSACTIONS

Non-recurrent Related Party Transactions

There were no other non-recurrent Related Party Transactions of the Company which in aggregate value exceeds 10% of the equity or 5% of the total assets whichever is lower as per 31 March 2022 Audited Financial Statements, which required additional disclosures in the Annual Report under Colombo Stock Exchange Listing Rule 9.3.2 and the Code of Best Practices on Related Party Transactions published in accordance with the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

Recurrent Related Party Transactions

There were no other recurrent Related Party Transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31 March 2022 Audited Financial Statements, which required additional disclosures in the Annual Report under the Colombo Stock Exchange Listing Rule 9.3.2 and the Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

The Directors declare that they have complied with the provisions of the Code relating to full disclosure of Related Party Transactions entered into during the Financial Year ended 31 March 2022.

The details of all Related Party Transactions carried out during the year are disclosed on page 231 of this Report.

17. REGISTRARS

M/s SSP Corporate Services (Private) Limited of No. 101, Inner Flower Road, Colombo 03 functioned as the Registrars for the Company during the Financial Year ended 31 March 2022.

18. INSURANCE AND THIRD-PARTY INDEMNIFICATION

During the year under review and up to the date of approval of this Annual Report, the Company maintained liability insurance and third-party indemnification provisions for its Directors.

19. STATED CAPITAL

The Stated Capital of the Company as at 31 March 2022 was Rs. 7.78 billion comprising of 596,546,025 ordinary shares (2021 - 596,546,025 Ordinary Shares - Rs. 7.78 Bn). The movement of the Issued Share capital is given below:

Details of the Stated Capital are given in Note 22 to the Financial Statements on page 209 of the Annual Report. The rights and obligations attaching to the ordinary shares are set out in the Articles of Association of the Company, a copy of which can be obtained from the Secretaries upon request.

20. SHARE INFORMATION

Details of share related information are given on pages 241 to 244 of this Annual Report and information relating to Earnings, Dividends and Net Assets per share is given in the Financial Highlights on page 9 of the Annual Report.

The twenty major shareholders of the Company as at 31 March 2022 are indicated on page 242 of this Annual Report.

20.1 Issue of Shares - ESOS

During the year under review, no employees exercised their rights to purchase shares under the Employee Share Option Scheme established in 2015.

The details of the grants/vesting of ESOS since 2015 is given under Shareholder Information found on page 244 of the Annual Report.

20.2 Listed Debentures

The Company did not issue any debentures during the year under review.

20.3 Status of Compliance to Minimum Public Holding requirement of the Listing Rules

The number of ordinary shares held by the Public as at 31 March 2022 was 35.08% of the Issued Capital of the Company.

The minimum public holding requirement as at 31 March 2022 as per section 7.6(iv) of the listing rules is as follows:

Category	Float Adjusted Market Capitalisation	Public Holding Percentage	No of Public Shareholders	Option
Ordinary Shares	9,668,197,565	35.08	9,188	2

21. SHARE-BASED PLANS

The Human Resources and Remuneration Committee is responsible for reviewing recommendations with respect to issues or grants under the Company's share-based plans. Directors approve issues or grants under the plans only after being satisfied that this is in accordance with the terms of Shareholder approval.

22. EMPLOYEE SHARE OPTION SCHEME

The Company has established an Employee Share Option Scheme (ESOS) where shares are issued to Executive Directors and Senior Executives of the Company and its Subsidiaries whom the Board deems to be eligible to be awarded the shares. The Directors confirm that the Company or any of its subsidiaries have not granted any funding to employees directly or indirectly to exercise share options and purchase any shares under this Scheme.

The Employee Share Option Scheme 2015 has been completed and the Board of Directors recommended a new Employee Share Option Scheme for approval of the shareholders, which was approved at the Extraordinary General Meeting held on 30th June 2021.

23. EMPLOYMENT POLICIES

Group employment policies are based on recruiting the best people, providing them training to enhance their skills, recognition of innate skills and competencies of each individual while offering equal career opportunities regardless of gender, race or religion and to retain them with the Group as long as possible. Health and Safety of the employees has always received priority in the HR agenda.

The number of persons employed by the Company and its subsidiaries as at the year-end was 5,494.

24. EMPLOYEE INVOLVEMENT

Hemas is committed to employee involvement throughout the business and is intent on motivating and keeping staff informed on matters that concern them in the context of their employment and involving them through local consultative procedures. Employees are kept well informed on matters of interest and the financial and economic factors affecting the Group's performance through management channels, meetings, publications and intranet sites. More details on employee engagement, together with information on diversity, succession planning and talent development, can be found in the sustainability Report section of this Report.

Hemas continues to support employee share ownership through the provision of employee share plan arrangements which are intended to align the interests of employees with those of Shareholders.

25. FINANCIAL RISK MANAGEMENT, OBJECTIVES AND POLICIES

Hemas' treasury and risk management objectives and policies are set out in the Financial Capital section of this Report and also in Note 30 to the Financial Statements.

26. CORPORATE DONATIONS

During the year, the Group made donations to charity amounting to Rs. 15.7 million (2021- Rs. 33.4 million).

ANNUAL REPORT OF THE DIRECTORS ON THE AFFAIRS OF THE COMPANY AND THE GROUP

The information given above on donations, forms an integral part of the Report of the Board of Directors as required by Section 168 (1) (g) of the Companies Act.

27. STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief are satisfied that all statutory payments due to the Government and in relation to employees have been made up to date.

28. ENVIRONMENTAL PROTECTION

28.1 The Environment

The Directors, to the best of their knowledge and belief, are satisfied that the Company has not engaged in any activities which have caused adverse effects on the environment and that the Company has complied with the relevant environmental regulations.

28.2 SUSTAINABILITY REPORTING

Sustainability practices have been built into every aspect of our businesses and we consider sustainability goals along with our operational and financial goals. Detailed information on our sustainability initiatives can be found on pages 70 to 84 of the Annual Report.

29. EVENTS AFTER THE BALANCE SHEET DATE

There have been no material events occurring after the Balance Sheet Date that would require adjustments to or disclosure in the Financial Statements other than as disclosed in Note 32 to the Financial Statements on page 234 of this Annual Report.

30. GOING CONCERN

The Board of Directors has reviewed the Company's business plans and is satisfied that the Company has adequate resources to continue its operation in the foreseeable future. After considering the financial position, operating conditions, regulatory and other factors and such matters required to be addressed in the Corporate Governance Code, the Directors have a reasonable expectation that the Company possesses adequate resources to continue in operation for the foreseeable

future. For this reason, they continue to adopt a going concern basis in preparing the Financial Statements. Details of the adoption by the Group and the Company of the going concern basis in preparing the Financial Statements are set out in Note 2.3 to the Financial Statement found on page 157 of the Annual Report.

31. RISK MANAGEMENT AND SYSTEM OF INTERNAL CONTROLS

31.1 Risk Management

Specific steps that have been taken by the Company in risk management are detailed on pages 120 to 128 of this Annual Report.

31.2 System of Internal Controls

The Board of Directors has established an effective and comprehensive system of internal controls to ensure that proper controls are in place to safeguard the assets of the Company, to detect and prevent fraud and irregularities, to ensure that proper records are maintained, and the Financial Statements presented are reliable. Monthly Management Accounts are prepared, providing the Management with relevant, reliable and up-to-date Financial Statements and key performance indicators. The Audit Committee reviews on a regular basis, the reports, policies and procedures to ensure that a comprehensive internal control framework is in place. More details in this regard can be seen on pages 120 to 128 of the Annual Report. The Board has conducted a review of the internal controls covering financial, operational and compliance controls and risk management and have obtained reasonable assurance of their effectiveness and successful adherence therewith for the period up to the date of signing the Financial Statements.

31.3 Audit Committee

The composition of the Audit Committee and their Report is given on page 136 of the Annual Report.

32. CORPORATE GOVERNANCE

The Company is committed to high standards of Corporate Governance. The main Corporate Governance practices of the Company are set out on pages 102 to

119 of the Annual Report. The Directors acknowledge their responsibility for the Group's Corporate Governance and the system of internal controls.

33. COMPLIANCE WITH APPLICABLE LAWS AND REGULATIONS

To the best of their knowledge, the Board believes that the Company has not engaged in any activity which contravenes laws and regulations. There have been no irregularities involving Management or employees, that could have any material financial effect or otherwise.

34. OUTSTANDING LITIGATION

In the opinion of the Directors and in consultation with the Company Lawyers, there is no litigation currently pending against the Company, other than disclosed in Note 33 to the Financial Statements, which will have a material impact on the reported financial results or future operations of the Company.

35. COVID - 19 IMPACT

Subsequent to the outbreak of Covid-19, the Company and its subsidiaries have taken appropriate measures to safeguard the health and safety of all our employees and ensure compliance with various guidelines issued by the Health Authorities in Sri Lanka.

The overall impact of the pandemic on the Group Revenues and Profitability during the financial year 2021/22 was negative. The Management has implemented cost reduction and cash conservation measures across the group to protect the businesses and to ensure long term sustainability.

The impact of the pandemic on Sri Lanka's economy has been unprecedentedly severe. There are multiple new risks that have emerged including increased exchange rate volatility, foreign currency availability and import restrictions. Our businesses focus primarily on the Sri Lankan consumer and healthcare sectors providing essential healthcare products and services and day to day fast-moving, mass market consumer goods. As such, we anticipate that demand for our products

and services will recover relatively quickly from current levels. It is not possible at this time to predict the exact timing or extent of recovery.

36. APPOINTMENT OF EXTERNAL AUDITORS

The Financial Statements for the year under review have been audited by Messrs. Ernst & Young, Chartered Accountants, who offer themselves for re-appointment. A resolution to re-appoint them as Auditors to the Company and authorise the Directors to fix their remuneration will be proposed at the Annual General Meeting.

37. AUDITORS' REMUNERATION AND INTEREST IN CONTRACTS WITH THE COMPANY

The Auditors, Messrs. Ernst & Young were paid Rs. 15.4 million (Rs. 14.6 million in 2021) as audit fees by the Company. Apart from the above, the Company has engaged the Auditors to advise on taxation and accounting matters for the year under consideration. As far as the Directors are aware, the Auditors do not have any other relationship or interest in contracts with the Company.

38. RELEVANT AUDIT INFORMATION

As at May 19, 2022, so far as each Director is aware, there is no relevant audit information, being information needed by the Auditors in connection with preparing their report, of which the Auditors are unaware and each Director has taken all steps that he ought to have taken as a Director in order to make himself aware of any relevant audit information and to establish that the Auditors are aware of that information.

39. ANNUAL GENERAL MEETING

The 73rd Annual General Meeting of the Company will be held as a Virtual AGM, emanating from the Registered Office of the Company, 'Hemas House' No. 75

Braybrooke Place, Colombo 2. Shareholders who are unable to attend in person may submit questions before hand via email to peshalaf@hemas.com

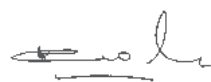
40. ACKNOWLEDGEMENT OF THE CONTENTS OF THE REPORT

As required by Section 168 (1) (k) of the Companies Act, the Board of Directors hereby acknowledge the contents of this Report.

For and behalf of the Board,
HEMAS HOLDINGS PLC



Mr. H. N. Esufally
Chairman



Ms. K. A. C Wilson
Director/Chief Executive Officer



Hemas Corporate Services (Private)
Limited

Secretaries
May 19, 2022

REPORT OF THE AUDIT COMMITTEE

 The role and responsibilities of the Audit Committee continues to evolve to keep pace with emerging trends in the business environment and ensure the Committee's obligations are discharged with due care.

AREAS OF FOCUS IN 2021/22



Financial Reporting



Internal Audit, Risks and Controls



External Audit



Compliance

PURPOSE/OBJECTIVES OF THE COMMITTEE

The Group Audit Committee (AC) was established to assist the Board in fulfilling its oversight responsibility through review of the Group's financial reporting process and integrity of financial statements, process adopted to ensure compliance with legal and regulatory requirements, system of internal controls and risk management process, internal audit function and review of independence and performance of external auditors, with a view to safeguard the interests of shareholders and all other stakeholders.

The role and responsibilities of the AC continues to evolve to keep pace with emerging trends in the business environment and ensure the Committee's obligations are discharged with due care.

The AC's responsibilities pertain to the Group as a whole. However, in discharging its responsibilities, the AC places reliance on the work of other audit committees within the Group, which have reporting obligations to the AC. Without prejudicing their independence, and to the extent and in a manner, it considers appropriate, the AC provides feedback to those committees for their consideration and necessary action. The AC carries out its responsibilities relating to the audit and

financial reporting obligations of the other Group companies by reviewing at scheduled meetings the annual financial statements, interim reports, audit and management reports. To ensure that there is adequate communication between the Audit Committees in the Group, a process has also been established to update the other Audit Committees with the outcomes of Hemas Holdings Audit Committee and vice versa. The activities and views of the Committee are communicated to the Board of Directors each quarter through verbal briefings and by tabling at the Board the minutes of Audit Committee meetings.

ACTIVITIES IN 2021/22

The Audit Committee, inter alia, engaged in the following activities during the financial year under review.

• Financial Reporting

During the year, the Committee reviewed and discussed with Management unaudited quarterly financial statements and final audited financial statements, prior to them being recommended to the Board. Senior management and Finance Heads of the respective companies provided information and confirmations required by the Audit Committee that the said financial statements for the year were prepared in accordance with the Sri Lanka Accounting Standards and requirements

COMPOSITION AND ATTENDANCE

Members	Attendance
Mr. A.S. Amaratunga (Chairman)	 4/4
Mr. I. A. H. Esufally	 4/4
Mr. J. M. Trivedi	 3/4

-  Independent Non-Executive Director
-  Non-Executive Director
-  Executive Director/CEO

The profiles of the members are found on pages 19 to 22 of the Annual Report.

ATTENDEES BY INVITATION

Group Chief Executive Officer (CEO), Group Chief Financial Officer (CFO), Chief Risk and Control Officer (CRCO), Director Finance, Mobility Sector and Group Finance Head, Group Finance, Treasury, Senior Manager Finance.

External Auditors, Internal Auditors who carried out outsourced assignments and other officials of the Group attended meetings on a need basis.

SECRETARY TO THE COMMITTEE

Mr. Jeewantha Sanjeewa – Chief Risk and Control Officer

of the Companies Act No. 07 of 2007 and reflect the Company's performance for the period ended and state of affairs as at that date.

The Committee continued to focus on the effectiveness of the controls and risks related to the information systems that are used to prepare the Financial Statements. This has been an ongoing process as risks related to Information systems remain high both locally and globally.

The Committee also discussed with the Company's External Auditors the results of their audit and their level of comfort over management's significant judgements and estimates and other area of significance, as well as the acceptability of the Company's accounting policies. The External Auditors report to the Committee on the audit for the year, and matters arising from the audit were discussed by the Committee in the presence of both, External Auditors and Management.

The Committee also obtained independent input from External Auditors on the impact of Sri Lanka Accounting Standards that will come into effect in the future and reviewed the necessary preparatory work that is being undertaken to enable the Company and the Group to comply and adopt them.

During the year, the Committee continuously monitored health and safety measures, that were followed by the subsidiaries (SBUs) due to Covid-19 pandemic. Further, the Committee focused on monitoring controls which were implemented to mitigate possible control lapses and fraud risks due to new work arrangements introduced on account of COVID-19.

Regular going concern assessments were carried out by Management after considering the potential financial implications of COVID-19. The Committee regularly reviewed cash flow projections and funding arrangements, and no significant issues which could impact the going concern ability of the Group were identified.

The Committee reviewed the communications on financial reporting received from the Sri Lanka Accounting and Auditing Standards Monitoring Board and the Securities Exchange Commission of Sri Lanka, and the responses provided by the Company.

- **Internal Audit, Risks and Controls**
During the year, the Chief Executive Officer along with the Chief Risk and Control Officer reported to the Committee the key risks and the process adopted by the

Company to identify, evaluate, and mitigate the risks and control lapses. The Committee continues to focus on obtaining the required assurance from the business units that effective strategies are in place to capture and mitigate all significant risks that would impact the Group.

The Chief Risk and Control Officer regularly reported to the Committee on the adequacy and effectiveness of internal controls within the Group. These comprise updates on internal audits conducted, including those performed in the unlisted subsidiaries within the Group. Further, the reporting process includes an update on compliance with the established policies and procedures of the Group and compliance with laws and regulations.

The Committee reviewed the Internal Audit plan for the Group at regular intervals and accommodated changes to suit the operating environment and business needs. Performance of the Internal Auditors and the resourcing requirements were also monitored and discussed.

In order to learn and improve the effectiveness of the Audit Committee process within the Group, an AC forum was held with the participation of all the AC chairpersons. Outcomes from the AC forum have been documented and actioned.

KEY RESPONSIBILITIES

- Exercising oversight responsibilities in relation to compliance of published financial reports with the Companies Act No. 07 of 2007, other legal and regulatory requirements, reporting standards and good governance.
- Monitoring and review of the adequacy and effectiveness of the Group's internal control system and risk management function. Ensuring Group assets are appropriately safeguarded.
- Monitoring the internal audit function including execution of the Audit Committee approved coverage plan.
- Assessing the independence and performance of the external auditors
- Making recommendations to the Board pertaining to appointment, re-appointment and, in appropriate circumstances, removal of the External Auditors
- Defining and considering the non-audit services that may be rendered by the external auditor.
- Approving remuneration and terms of engagement of the External Auditors
- Considering the findings arising from the annual financial statements audit.
- Recommending to the Board the approval of the Integrated Report, Audited Annual Financial Statements and Interim Report.

REPORT OF THE AUDIT COMMITTEE

• External Audit

The Committee met the External Auditors regularly and monitored their independence, objectivity, and performance. The AC had three scheduled meetings with the external auditors - Review of the audit plan at the audit planning and scoping stage, discussion of the interim audit issues and to take proactive actions prior to final reporting, discussion of the audit results report on completion of the audit, and the Audit Completion Report which discussed areas of improvements in internal controls and the other matters which in the opinion of the auditors require attention of management. In addition to the 3 scheduled meetings, the Audit Committee also met the auditors on a needs basis to discuss specific matters.

The Committee also had a private audience with the External Auditors. No matters other than those that have already been discussed with management were raised by the External Auditors.

The Committee is satisfied that the independence of the External Auditors had not been impaired by any event or activity that gives rise to a conflict of interest. Due consideration has been given to the nature of the services provided by the Auditors and the level of audit and non-audit fees received by the Auditors. The External Auditors have also tabled at the Committee the declaration of independence as required by sec 163(3) a and b of the Companies Act No 7 of 2007.

The Audit Committee reviewed the performance of External Auditors including inputs from Senior Management and discussed the performance review outcomes with External Auditors. Based on the performance review, and also considering other factors, the Committee recommended to the Board the re-appointment of Messrs. Ernst & Young, Chartered Accountants as the External Auditors of the Company for the ensuing financial year, subject to the approval of the Shareholders at the Annual General Meeting.

• Compliance

Audit Committee reviewed the regulatory and compliance statements including statutory tax compliance statements submitted by management in order to monitor conformance with regulatory and legal requirements.



Mr. A.S. Amaratunga
Chairman – Audit Committee

Colombo, Sri Lanka
May 19, 2022

REPORT OF THE HUMAN RESOURCES AND REMUNERATION COMMITTEE

 The main focus of the Committee during the year was to strengthen the key talent pipeline and ensure the remuneration policy is fair and is aligned to the company's long-term strategic goals.

PURPOSE/OBJECTIVES OF THE COMMITTEE

The objective of the Committee is to ensure that consistent and robust human resource policies including a remuneration framework are adopted and practiced for Executive Directors as well as all others in the Group.

HEMAS' COMPENSATION POLICY

- Encourage the attraction and retention of high calibre individuals.
- Provide a competitive total compensation package including benefits.
- Ensure that pay is fair and equitable.
- Balance the need to be competitive with the limits of available financial resources.
- Ensure compensation schemes are compliant with the laws and regulations applicable in the country

MEETING GOVERNANCE

- The Human Resources and Remuneration Committee met six times during the year under review and the attendance of the members at these meetings is indicated in this report.
- The meetings are held on a quarterly basis and the Chairman of the Committee convenes special meetings of the Committee if circumstances warrant.
- The quorum required for the meetings of the committee is Two.

- All matters for determination at Committee Meetings is decided by a majority of the members present and voting.

ACTIVITIES IN 2021/22

Policy Review

During the year under review, the Committee;

- reviewed HR performance indicators including health and safety of the employees of the Group on a quarterly basis.
- deliberated on the ESOS proposed to be offered to the employees. Recommended a new ESOS scheme for employees.
- deliberated on the process and guidelines on performance goal setting applied across the Group in driving performance and entrepreneurship
- reviewed the remuneration for Independent Directors and Non-Executive Directors of the Group

Succession Planning and Talent Management

Succession planning, and talent management continued to be a key area of focus in the deliberations of the Committee during the year under review. The Committee conducted in depth talent reviews covering critical roles of the Group, the incumbents in such roles, and the potential successors. Accordingly, the Committee also reviewed the progress of their development plans.

COMPOSITION AND ATTENDANCE

The Committee consists of three Non-Executive Directors majority of whom are independent. During the year under review, there were no changes in the membership of the Human Resources and Remuneration Committee and the composition is in compliance with the Listing Rules of the Colombo Stock Exchange.

Members	Attendance
Dr. S.A.B. Ekanayake {Chairman of the Committee}	 6/6
Mr. A. S. Amaratunga	 6/6
Mr. H.N. Esufally	 6/6

-  Independent Non-Executive Director
-  Non-Executive Director
-  Executive Director

The profiles of the members are found on pages 19 to 22 of the Annual Report.

ATTENDEES BY INVITATION

Non-Executive Director, Chief Executive Officer and Chief People Officer

SECRETARY TO THE COMMITTEE

Hemas Corporate Services (Private) Limited

REPORT OF THE HUMAN RESOURCES AND REMUNERATION COMMITTEE

Rewards and Remuneration

The Committee also dedicated adequate time to ensure that the Remuneration Policy of the Group remains fair, transparent and competitive, and that remuneration is linked to business strategy and drives sustainable performance and entrepreneurship.

During the year under review, the Committee;

- considered the performance of the Chief Executive Officer and the Executive Directors bi-annually against the set goals and target and determined the basis of revising their increments, bonuses and other performance-based incentives during the year under review.

Directors Emoluments are disclosed in Note 8 to the Financial Statements for the year ended 31 March 2022 found on page 171 of the Annual Report.

Organisation Transformation

The Committee also reviewed progress on culture change within the organisation in alignment with the organisational strategy and transformation plan. The Committee reviewed and discussed with the management the key outcomes of the brainstorming sessions conducted and the work carried out with external experts in view of the above.

EVALUATION OF THE COMMITTEE

The Committee carried out a self-evaluation of the performance and effectiveness of the Committee and was satisfied that it had carried out its responsibilities in an effective manner during the year under review.

Conclusion

The Committee will continue to assist the Board of Directors by strengthening and introducing policies, practices and systems in the development of Human Capital and provide opportunities to the employees to enhance and acquire new skills and knowledge within the group for their career development.



Dr. A. Ekanayake
Chairman of the Committee

Colombo, Sri Lanka
May 17, 2022

KEY RESPONSIBILITIES

- Review and approve the overall remuneration philosophy, strategy, policies and practices of the Company and the Group.
- Set and review all components of the remuneration of the Chief Executive Officer, Executive Directors and such other Senior Executives as the Board may determine.
- Review and approve the performance appraisal for the Chief Executive Officer, Executive Directors and Senior Executives.
- Review and approve as appropriate the terms of the employment contracts of the Chief Executive Officer, Executive Directors and Senior Executives.
- Review and approve the terms of the Company's short-term/ long-term incentive schemes including any share option schemes for employees and/or Directors.
- Review and approve all components of the remuneration and all other benefits of the executive directors.
- Consider such other matters relating to remuneration as may be referred to it by the Board.
- Succession Planning for Key positions of the Company and the Group.
- Reviewing and monitoring C-Suite development programs
- Career Progression planning for managerial level and above

REPORT OF THE NOMINATION AND GOVERNANCE COMMITTEE

 The main focus of the Committee during the year was to assist the Board in ensuring the required balance of expertise for the Board to meet the strategic demands of the Company and the Group, and also strengthen the overall Governance standards of the Group.

OBJECTIVE OF THE COMMITTEE

The Objective of the Nomination and Governance Committee (the Committee) is to review the structure and the composition of the Board annually and ensure that the combined knowledge and experience complement the corporate strategy, and also to review, evaluate and recommend changes to the Company's Corporate Governance Guidelines in line with the Code of Best Practice ("Code").

ACTIVITIES IN 2021/22

Improve Board effectiveness

During the year the Committee reviewed the Governance Roadmap of the Group and ways to improve Board effectiveness within the Group. In light of the above, the Committee reviewed the role of the Board and the Board Sub Committees and the action plans to be followed in terms of improving effectiveness.

Review the structure and the composition of the Board

The Committee reviewed the structure and composition of the company and its subsidiaries, and new candidates were evaluated by the Committee. Accordingly, recommendations were made to the Board for new appointments to the Board. During the year under review, the Board appointed Mr. Prabhask Subasinghe w.e.f. 1st January 2022.

Board Evaluation

The Committee reviewed the results of the Board Evaluation of the Company and discussed the governing structure of the Company.

The committee also reviewed the results of the Board Evaluation of the subsidiaries with the participation of the Chairman of the respective subsidiary companies and advised on the action plans to be followed in terms of strengthening the governance structure within the subsidiaries of the Group.

Board Succession

During the year under review, the Committee discussed the progress and performance of the new Chief Executive Officer, appointed w.e.f. October 1, 2020.

Re-election of Directors

The Committee decided to recommend Mr. A.N. Esufally, Mr. M.A.H. Esufally and Mr. A. S. Amaratunga, who retire in terms of Article 84 of the Company's Articles of Association, to be re-elected to the Board at the Annual General Meeting to be held on 28th June 2022.

The Committee also decided to recommend the re-appointment of Mr. Prabhask Subasinghe, who retires in terms of Article 72 of the Company's Articles of Association, to the Board at the forthcoming Annual General Meeting.

COMPOSITION AND ATTENDANCE

The Committee comprises three Non-Executive Directors majority of whom are independent. The Board Chairman attends the meetings by invitation.

Dr. S.A.B Ekanayake was appointed the Chairman of the Committee W.e.f. 1st April 2021, and Mr. J.M. Trivedi was appointed a member of the Committee w.e.f. 1st April 2021

The profiles of the Directors are found on pages 19 to 22 of the Annual Report

The Committee met four times during the year and the committee members' attendance at these meetings is as follows.

Members	Attendance
Dr. S.A.B. Ekanayake	 4/4
Mr. A.N. Esufally	 4/4
Mr. J. M. Trivedi	 3/4

-  Independent Non-Executive Director
-  Non-Executive Director
-  Executive Director

SECRETARY TO THE COMMITTEE

Hemas Corporate Services (Private) Limited

REPORT OF THE NOMINATION AND GOVERNANCE COMMITTEE

EVALUATION OF THE COMMITTEE

The Committee carried out a self-evaluation of the performance and effectiveness of the Committee and was satisfied that it had carried out its responsibilities in an effective manner during the year under review.

CONCLUSION

The Committee will continue to assist the Board in selecting the right candidates with the necessary skills, knowledge and experience, ensuring the desired diversity of the Board to meet the strategic demands of the Company and Group. In addition, the Committee ensures uniform Governance mechanisms exist to enhance transparency and accountability



Dr. A. Ekanayake
Chairman of the Committee

Colombo, Sri Lanka
May 18, 2022

KEY RESPONSIBILITIES

- Propose suitable Guidelines for the appointment and re- appointment of Directors to the Board.
- Review the results of the Performance Evaluation of the Board of Directors of the Company and its Subsidiaries
- The Chairman of the Committee shall discuss with the independent members and provide feedback to the Chairman of the Holdings Board on board effectiveness.
- To monitor compliance with the Corporate Governance Guidelines.
- Ratification of Subsidiary Board appointments carried out by the Chief Executive Officer, in consultation with the relevant Subsidiary Board Chairman.
- Monitor compliance with the Corporate Governance Statutory Guidelines.
- Establish the process for conducting the review of the Chief Executive Officer's performance annually.

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

During the year under review, the main focus of the Related Party Transactions Review Committee was to have oversight of all related party transactions of the company, ensure regulatory compliance, good governance and accurate reporting, and protect the interests of the shareholders and other stakeholders.

The Related Party Transactions Review Committee (the Committee) was formally appointed by the Board of Directors in 2016. The Committee is governed by the 'Terms of Reference', approved by the Board of Directors.

PURPOSE/OBJECTIVES OF THE COMMITTEE

The main objective of the Committee is to exercise on behalf of the Board, oversight of all Related Party Transactions of Hemas Holdings PLC (the Company) and its listed subsidiary companies, and to ensure compliance with respect to the Code of Best Practice on Related Party Transactions (RPT), issued by the Securities and Exchange Commission of Sri Lanka and Section 9 of the Listing Rules of the Colombo Stock Exchange (CSE).

The Committee meetings are held on a quarterly basis. In addition to the above, special meetings are convened to review any non-recurrent transactions, as required.

ACTIVITIES IN 2021/22

During the year under review, the Committee discharged its duties in compliance with the Terms of Reference. Accordingly, all RPTs of the company have been reviewed by the Committee. The Committee has exercised oversight on behalf of the Board, on all RPTs of the company to ensure that these transactions are in compliance with the Code of Best Practice on Related Party transactions, issued by the Securities and Exchange Commission of Sri Lanka and with Section 9 of the Listing Rules of the Colombo Stock Exchange.

During the financial year 2021/22, the Committee has met six times in total. The minutes of all Related Party Transactions Review Committee meetings were tabled at the Board Meetings thereby providing the Board members with access to the deliberations of the Committee. The Committee Chairman also provides a verbal update to the Board on the key outcomes from the Committee meetings.

The Committee further exercised oversight on all RPTs of the company to ensure adherence to the established practices and processes within the company in terms of the RPT manual of the company.

The Transfer Pricing methodology adopted by the Company and its subsidiaries were also reviewed by the Committee to ensure that the transactions are in compliance with the regulatory requirements and are carried out at arms' length.

The Committee reviewed the Annual RPT Declarations of the Key Management Personnel and the Heads of Finance of the subsidiary companies and has communicated the comments/ observations to the Board of Directors.

During the year under review, the Committee obtained independent legal, financial and technical advice as required in the Committee's deliberations.

All recurrent Related Party Transactions of the company during the financial year 2021/22 were reviewed and approved by the Committee. The aggregate value of the recurrent related party transactions did not exceed 10% of the gross revenue/ income of the Company during the year.

COMPOSITION AND ATTENDANCE

During the year under review, the Committee comprised the following members.

Mr. A. S. Amaratunga (Chairman of the Committee)

Mr. I. A. H. Esufally (Member)

Ms. K. A. C. Wilson (Member)

The composition of the Committee is in compliance with the Listing Rules of the Colombo Stock Exchange.

The profiles of the committee members are found on pages 19 to 22 of the Annual Report.

Members	Attendance
Mr. A. S. Amaratunga {Chairman of the Committee}	6/6
Mr. I. A. H. Esufally	5/6
Ms. K. A. C. Wilson	6/6

-  Independent Non-Executive Director
-  Non-Executive Director
-  Executive Director

ATTENDEES BY INVITATION

Group Chief Financial Officer, General Manager – Finance and Head of Group Finance and Treasury

SECRETARY TO THE COMMITTEE

Hemas Corporate Services (Private) Limited

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Therefore, a requirement to make a disclosure in terms of Section 9.3.2(b) of the Listing Rules of the CSE has not arisen. The comments and observations of the RPTRC have been communicated to the Board.

The Committee also reviewed and approved the non-recurrent Related Party Transactions of the company during financial year 2021/22. The aggregate value of non-recurrent related party transactions did not exceed 10% of the equity or 5% of the total assets of the Company during the year. Therefore, a requirement to make a disclosure in terms of Section 9.3.2(a) of the Listing Rules of the CSE did not arise. The comments and observations of the RPTRC have been communicated to the Board.

The Board of Directors confirm that the company is in compliance with the rules pertaining to Related Party Transactions as set out in the Listing rules of CSE.

EVALUATION OF THE COMMITTEE

The Committee carried out a self-evaluation of the performance and effectiveness of the Committee during the year and was satisfied that it had carried out its responsibilities in an effective manner during the year.

CONCLUSION

The Committee will continue to assist the Board of Directors by reviewing all Related Party Transactions and ensuring that they are:

- In compliance with Section 9 of the Listing Rules of Colombo Stock Exchange
- The Shareholder Interest are safeguarded
- Fair and transparent and on commercial terms



Mr. A.S. Amaratunga
*Chairman – Related Party Transactions
Review Committee*

Colombo, Sri Lanka
May 17, 2022

KEY RESPONSIBILITIES

- Definition and establishing threshold values for each of the listed companies as per the Code which require discussion in detail; RPTs which have to be pre-approved by the Board, those that require immediate market disclosure, those that require Shareholder approval and RPTs which require disclosure in the Annual Report.
- Establishing the principles that guide RPTs which require pre-approval of the Board and those transactions that do not require prior Board approval and therefore, can be reviewed retrospectively.
- Establishing a process to identify the recurrent RPTs from the total RPTs and to review the economic and commercial substance of the RPTs.
- Providing guidelines that the Senior Management must follow in dealing with Related Parties, including conformance with the Transfer Pricing regulations and the Code.
- Obtaining 'competent independent advice' from independent professional experts with regard to acquisition or disposal of substantial assets between related parties.
- Identifying instances where an immediate market disclosure of a Related Party Transaction is required in line with the definitions of the Code.
- Introducing standardised documentation that should be used by the companies in the Group when presenting the RPT information to the Committee.

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STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Board of Directors (Board) of the Company is responsible for the adequacy of the Company's system of internal controls and for reviewing its design and effectiveness regularly. However, such a system is designed to manage, rather than eliminate the risk of failure to achieve business objectives of the Group. Accordingly, the system of internal controls can only provide reasonable and not absolute assurance against material misstatements of losses or frauds.

The Board is of the view that the prevalent internal control systems instituted, by them, and which comprise internal checks, internal audits, risk management policies and financial and other controls are so designed that, there is reasonable assurance that all assets are safeguarded and transactions properly authorised and recorded, so that material misstatements and irregularities are either prevented or detected within a reasonable period of time.

The BoM assists the Board in the implementation of the Board's policies and procedures on Risk and Control by identifying potential risks and its implications; and in the design, operation and monitoring of the suitable internal controls to mitigate and control such risks identified.

Further, the Board has established various committees, such as the Audit Committee, Human Resources and the Remuneration Committee and Related Party Transactions Review Committee to strengthen the process of identifying and reviewing the adequacy and integrity of the system of internal controls and risk management.

The Directors are of the view that the Company and its Group have adequate resources to continue operations in the foreseeable future and have continued to use the going concern basis in the preparation of these Financial Statements.

The Directors have provided the Auditors M/s. Ernst & Young, Chartered Accountants, with every opportunity to carry out reviews and tests that they consider appropriate and necessary for the performance of their responsibilities. The Auditors have examined the Financial Statements together with all financial records and related data and expressed their opinion, which appears as reported by them on pages 147 to 149 of this Report.

The Directors are responsible for:

- preparing the Annual Report and the Group and Parent Company Financial Statements in accordance with applicable laws and regulations;
- preparing Financial Statements which give a true and fair view of the state of affairs as at the Balance Sheet date and the profit or loss for the period then ended of the Company and the Group in accordance with SLFRSs and LKASs;

- keeping proper accounting records which disclose, with reasonable accuracy, the financial position of the Group and the Company enabling them to ensure that the Group Financial Statements comply with applicable laws and regulations;
- establishing an ongoing process for identifying, evaluating and managing the significant risks faced by the Group, and regularly reviewing the effectiveness of such process;
- taking such steps as are reasonably open to them to safeguard the assets of the Company and the Group and to prevent and detect fraud and other irregularities; and maintaining the integrity of the statutory and audited information available to the public.
- In addition, the Directors consider that, in preparing the Financial Statements:
 - suitable accounting policies have been selected and applied consistently;
 - judgments and estimates made have been reasonable and prudent;
 - the Financial Statements comply with IFRS as adopted for use in Sri Lanka (SLFRSs/LKASs);
 - all Accounting Standards which they consider applicable have been followed in preparing the Parent Company Financial Statements; and
 - it is appropriate that the Group and Parent Company Financial Statements have been prepared on a "Going Concern" basis.

The Directors also confirm that to the best of their knowledge, the Financial Statements are prepared in accordance with the applicable accounting standards and give a true and fair view of the assets, liabilities, financial position and profit of the Company and the Group taken as a whole; and this Directors' Report contains a fair review of the development and performance of the business and the position of the Company and the Group taken as a whole, together with a description of the principal risks and uncertainties that they face.



Hemas Corporate Services (Private) Limited
Secretaries

19 May 2022

INDEPENDENT AUDITORS' REPORT



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TO THE SHAREHOLDERS OF HEMAS HOLDINGS PLC

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Hemas Holdings PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2022, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2022, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics

issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key audit matters

Key Audit Matter	How our Audit Addressed the Key Audit Matter
Assessment of Impairment of Goodwill and Brands Intangible assets include an amount of LKR. 3.1 Bn relating to goodwill and brands as further detailed in Note 15 to the financial statements. Assessment of impairment of goodwill and brands was a key audit matter due to; The degree of assumptions, judgements and estimates associated with deriving the estimated future cashflows used for value-in-use calculations. Key areas of significant judgments, estimates and assumptions included key inputs and assumptions related to the value-in-use calculations and estimated cash flows, long term growth rates and discount rate including the potential impact of the current economic conditions.	Our audit procedures included the following: - We gained an understanding of how management has developed its estimation of future cash flows which included the consideration of the impacts of current economic conditions. - Based on the best available information up to the date of our report, we assessed the reasonableness of significant assumptions including long term growth rates and discount rate. We tested the completeness and accuracy of the underlying data used and performed sensitivity analysis of significant assumptions to evaluate the effect on the value-in-use calculations. - We have assessed the adequacy of the disclosures made in Note 15 in the financial statements

INDEPENDENT AUDITORS' REPORT

Key Audit Matter	How our Audit Addressed the Key Audit Matter
Valuation of Land and Building As disclosed in note 12 and 13 to the financial statements, Property, plant and equipment and Investment property include land and buildings carried at fair value. The fair values of land and buildings were determined by an external valuer engaged by the Group This was a key audit matter due to: - Materiality of the reported land and buildings balances which amounted to LKR 14.6Bn and represent 19% of the total asset - The degree of assumptions, judgements and estimation uncertainties associated with fair valuation of land and buildings such as reliance on comparable market transactions, and current market conditions Key areas of significant judgments, estimates and assumptions used in the valuation of the land and buildings included the following: - Estimate of per perch value of the land - Estimate of the per square foot value of the buildings	Our audit procedures focused on the valuations performed by the external valuer engaged by the Group, and included the following: - We assessed the competency, capability and objectivity of the external valuer engaged by the Group - We read the external valuer's report and understood the key estimates made and the approach taken by the valuer in determining the valuation of each land and building. - We assessed the reasonableness of the significant judgements made by the valuer and valuation techniques, per perch price, value per square foot used by the valuer in the valuation of land and buildings based on the best available information up to the date of our report - We have also assessed the adequacy of the disclosures made in notes 12 and 13 to the financial statements relating to the significant judgements, valuation techniques and estimates used by the external valuer
Provision for Impairment on Trade Receivables As detailed in Note 21 to the financial statements, Trade receivables as of 31st March 2022 amounted to LKR.13.7 Bn net of a provision for impairment of LKR.570 Mn representing 18% of the total assets of the Group This was a key audit matter due to: - Materiality of the trade receivable balance - The degree of assumptions and judgements associated with evaluating the probability of recoverability including the impact of current economic conditions.	Our audit procedures included the following: - We obtained an understanding of and evaluated the process used by the management to assess impairment of trade receivables. - We assessed the reasonableness of the age analysis of trade receivables by referring to the source documents and the assumptions and judgements used by the management including the impact of current economic conditions - We have also assessed the adequacy of the disclosures made in Note 19 and 21 to the financial statements
Recognition and Measurement of Revenue Revenue of the Group is derived from the Group operating segments as further disclosed in note 4 Revenue was a key audit matter due to: - the significance of the amount of LKR. 78.8 Bn generated from sales arrangements from different products and services. - Reliance of Information Technology (IT) to capture transactions in the operating segments. - Management's use of estimates in relation to discounts, right of return and considerations payable to customers in determining the transaction price in relation to consumer operating segment	Our audit procedures amongst others included the following; - We identified the operating segments that generated significant revenues and performed the following key procedures: - Performed inquiries of management and appropriate analytical procedures to understand and assess the reasonableness of the reported revenues - Evaluated the design of internal controls and tested the operating effectiveness of relevant controls relating to sale of goods and service arrangements - We tested the general IT control environment and the key IT application controls relating to the most significant IT systems relevant to revenue recognition - Tested the appropriateness of revenue recognised by reviewing the relevant sales contracts and other supporting documents; and - We also assessed the adequacy of the disclosures in respect of revenue in Notes 4 and 5 to the financial statements.

Other Information included in the 2022 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard

Responsibilities of the management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a

going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

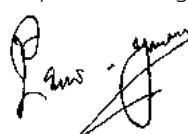
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2097.



Colombo
19 May 2022

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA, ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA, ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, D K Hulangamuwa FCA FCMA LLB (London), Ms. A A Ludowyke FCA FCMA, Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeewani FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: G B Goudian ACA, Ms. P S Paranavitane ACA LLB (Colombo), T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

STATEMENT OF PROFIT OR LOSS

Year ended 31 March	Notes	Group		Company	
		2022	2021	2022	2021
		LKR '000	LKR '000	LKR '000	LKR '000
Continuing Operations					
Revenue from Contracts with Customers	5	78,830,849	64,500,748	885,849	860,176
Cost of Sales		(56,981,187)	(45,084,041)	-	-
Gross Profit		21,849,662	19,416,707	885,849	860,176
Other Operating Income	6	1,098,803	681,481	2,419,939	312,994
Selling and Distribution Expenses		(6,434,673)	(5,672,365)	-	-
Administrative Expenses		(9,206,084)	(8,031,822)	(1,061,211)	(1,138,279)
Share of Results of Equity Accounted Investees (Net of Tax)	17	(525,064)	(333,340)	-	-
Operating Profit		6,782,644	6,060,661	2,244,577	34,891
Finance Cost	7	(486,251)	(639,450)	(56,822)	(54,557)
Finance Income	7	351,787	248,699	12,820	30,005
Profit Before Tax from Continuing Operations	8	6,648,180	5,669,910	2,200,575	10,339
Income Tax Expenses	9	(1,813,714)	(1,523,051)	(345,333)	(14,430)
Profit/ (Loss) for the Year from Continuing Operations		4,834,466	4,146,859	1,855,242	(4,091)
Discontinued Operations					
Loss After Tax from Discontinued Operations		-	(804,833)	-	-
Profit/ (Loss) for the Year		4,834,466	3,342,026	1,855,242	(4,091)
Attributable to:					
Equity Holders of the Parent		4,248,553	3,253,350		
Non-Controlling Interests		585,913	88,676		
		4,834,466	3,342,026		
		LKR	LKR		
Earnings Per Share					
Basic Earnings Per Share	10.1	7.12	5.46		
Diluted Earnings Per Share	10.2	7.12	5.46		
Earnings Per Share (Continuing Operations)					
Basic Earnings Per Share	10.1	7.12	6.47		
Diluted Earnings Per Share	10.2	7.12	6.46		
Dividend Per Share					
	11.2	4.35	0.40		

The Accounting Policies and Notes on the Pages 156 to 239 form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March	Notes	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Profit/ (Loss) for the Year		4,834,466	3,342,026	1,855,242	(4,091)
Other Comprehensive Income					
Other Comprehensive Income to be Reclassified to Profit or Loss in Subsequent Periods (Net of Tax)					
Net Movement on Hedges		82,384	(13,286)	-	-
Exchange Differences on Translation of Foreign Operations		536,307	61,216	-	-
Share of Other Comprehensive Loss of Equity Accounted Investees	17	(44,247)	(41,145)	-	-
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods (Net of Tax)					
Net Gain/(Loss) on Financial Assets at FVOCI		11,419	(194,842)	2,103	(146,750)
Actuarial Gain/(Loss) on Defined Benefit Plans		53,847	(4,759)	1,214	(17,265)
Revaluation of Land and Buildings		1,640,242	1,069,247	-	-
Share of Other Comprehensive Income of Equity Accounted Investees	17	170,001	142,624	-	-
Other Comprehensive Income for the Year, Net of Tax		2,449,953	1,019,055	3,317	(164,015)
Total Comprehensive Income for the Year, Net of Tax		7,284,419	4,361,081	1,858,559	(168,106)
Attributable to:					
Equity Holders of the Parent		6,657,104	4,218,980		
Non-Controlling Interests		627,315	142,101		
		7,284,419	4,361,081		

The Accounting Policies and Notes on the Pages 156 to 239 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

As at 31 March	Notes	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
ASSETS					
Non-Current Assets					
Property, Plant and Equipment	12	18,006,908	17,539,695	62,434	74,919
Investment Properties	13	2,100,161	1,942,099	851,300	728,800
Right-of-Use Assets	14	1,177,653	1,878,697	56,223	-
Intangible Assets	15	3,295,464	3,289,618	50,282	81,564
Investment in Subsidiaries	16	-	-	17,592,558	16,569,869
Investment in Equity Accounted Investees	17	85,088	556,526	-	-
Lease Receivables	18	125,306	139,939	-	-
Other Non-Current Financial Assets	19	210,100	208,979	14,023	12,987
Deferred Tax Assets	9	85,621	144,281	-	-
		25,086,301	25,699,834	18,626,820	17,468,139
Current Assets					
Inventories	20	16,807,120	15,450,580	-	-
Trade and Other Receivables	21	19,771,795	13,654,581	291,958	241,464
Tax Recoverable		328,811	156,553	6,288	1,291
Lease Receivables	18	59,520	65,053	-	-
Other Current Financial Assets	19	359,197	109,678	1,132	372,453
Cash and Short Term Deposits	28	13,894,926	8,458,109	90,348	213,340
		51,221,369	37,894,554	389,726	828,548
TOTAL ASSETS		76,307,670	63,594,388	19,016,546	18,296,687
EQUITY AND LIABILITIES					
Equity					
Stated Capital	22	7,776,111	7,776,111	7,776,111	7,776,111
Other Capital and Revenue Reserves	23	159,834	180,806	381,185	402,157
Other Components of Equity	23	4,446,109	2,160,926	(293,619)	(295,722)
Retained Earnings		23,205,732	21,777,539	8,856,168	9,532,727
Equity Attributable to Equity Holders of the Parent		35,587,786	31,895,382	16,719,845	17,415,273
Non-Controlling Interests		919,517	1,542,904	-	-
Total Equity		36,507,303	33,438,286	16,719,845	17,415,273
Non-Current Liabilities					
Interest Bearing Loans and Borrowings	24	3,092,910	3,195,867	-	-
Other Financial Liabilities	25	276,538	277,518	-	-
Deferred Tax Liability	9	1,723,527	1,363,032	147,963	119,426
Employee Benefit Liability	26	991,714	1,032,978	66,507	78,004
		6,084,689	5,869,395	214,470	197,430
Current Liabilities					
Trade and Other Payables	27	27,165,394	17,947,195	795,540	408,984
Income Tax Liabilities		803,617	602,547	96,925	-
Other Financial Liabilities	25	2,272,299	1,973,244	-	-
Interest Bearing Loans and Borrowings	24	2,678,177	3,259,651	1,188,944	275,000
Bank Overdraft	28	796,191	504,070	822	-
		33,715,678	24,286,707	2,082,231	683,984
TOTAL EQUITY & LIABILITIES		76,307,670	63,594,388	19,016,546	18,296,687

These financial statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



Zalmi Fazeel

Chief Financial Officer

The Board of Directors is responsible for these financial statements.

Signed for and on behalf of the Board by,



Husein Esufally

Chairman



Kasturi C. Wilson

Chief Executive Officer

The Accounting Policies and Notes on the Pages 156 to 239 form an integral part of these financial statements.

19 May 2022

Colombo

STATEMENT OF CHANGES IN EQUITY - (GROUP)

(Group)	Attributable to Equity Holders of the Parent									
	Stated Capital	Other Capital and Revenue Reserves	Other Components of Equity				Retained Earnings	Total	Non-Controlling Interests	Total Equity
			Revaluation Reserve	Foreign Currency Translation Reserve	Fair Value Reserve	Hedge Reserve				
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
As at 1 April 2020	7,734,054	216,800	1,781,625	121,847	(259,597)	(254,670)	18,574,233	27,914,292	3,560,170	31,474,462
Profit for the Year	-	-	-	-	-	-	3,253,350	3,253,350	88,676	3,342,026
Other Comprehensive Income	-	-	1,166,055	51,556	(194,154)	(53,234)	(4,593)	965,630	53,425	1,019,055
Total Comprehensive Income	-	-	1,166,055	51,556	(194,154)	(53,234)	3,248,757	4,218,980	142,101	4,361,081
Exercise of Share Options	34,679	-	-	-	-	-	-	34,679	-	34,679
Share Based Payments	7,378	11,922	-	-	-	-	-	19,300	-	19,300
Transfer Due to the Expiry of Employee Share Option Scheme (ESOS)	-	(47,916)	-	-	-	-	47,916	-	-	-
Interim Dividend Paid - 2020/21	-	-	-	-	-	-	(238,417)	(238,417)	-	(238,417)
Subsidiary Dividend Paid to Non-Controlling Interest	-	-	-	-	-	-	-	-	(160,043)	(160,043)
Reclassification of Non-Controlling Interest to be Acquired	-	-	-	-	-	-	-	-	(176,638)	(176,638)
Fair Value Changes in Non-Controlling Interest to be Acquired	-	-	-	-	-	-	-	-	-	-
Adjustment in Respect of Changes in Group Holding	-	-	41,572	-	-	-	(226,724)	(185,152)	(100,395)	(285,547)
Disposal of Subsidiaries	-	-	(351,660)	-	111,586	-	240,074	-	(1,722,291)	(1,722,291)
As at 31 March 2021	7,776,111	180,806	2,637,592	173,403	(342,165)	(307,904)	21,777,539	31,895,382	1,542,904	33,438,286
Profit for the Year	-	-	-	-	-	-	4,248,553	4,248,553	585,913	4,834,466
Other Comprehensive Income	-	-	1,738,320	564,953	11,419	43,714	50,146	2,408,551	41,402	2,449,953
Total Comprehensive Income	-	-	1,738,320	564,953	11,419	43,714	4,298,699	6,657,104	627,315	7,284,419
Share Based Payments	-	40,988	-	-	-	-	-	40,988	-	40,988
Transfer Due to the Expiry of Employee Share Option Scheme (ESOS)	-	(61,960)	-	-	-	-	61,960	-	-	-
Final Dividend Paid - 2020/21	-	-	-	-	-	-	(864,992)	(864,992)	-	(864,992)
Interim Dividend Paid - 2021/22	-	-	-	-	-	-	(1,729,983)	(1,729,983)	-	(1,729,983)
Subsidiary Dividend Paid to Non-Controlling Interest	-	-	-	-	-	-	-	-	(413,314)	(413,314)
Reclassification of Non-Controlling Interest to be Acquired	-	-	-	-	-	-	-	-	(19,482)	(19,482)
Fair Value Changes in Non-Controlling Interest to be Acquired	-	-	-	-	-	-	(279,543)	(279,543)	-	(279,543)
Adjustment in Respect of Changes in Group Holding	-	-	-	-	-	-	(34,989)	(34,989)	15,485	(19,504)
Disposal of Subsidiaries	-	-	(2,249)	(96,182)	-	25,208	(22,959)	(96,182)	(833,391)	(929,573)
As at 31 March 2022	7,776,111	159,834	4,373,663	642,174	(330,746)	(238,982)	23,205,732	35,587,786	919,517	36,507,303

The Accounting Policies and Notes on the Pages 156 to 239 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY - (COMPANY)

	Stated Capital	Other Capital Reserves	Other Component of Equity Fair Value Reserve	Retained Earnings	Total Equity
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
As at 1 April 2020	7,734,054	438,151	(148,972)	9,744,584	17,767,817
Loss for the Year	-	-	-	(4,091)	(4,091)
Other Comprehensive Income	-	-	(146,750)	(17,265)	(164,015)
Total Comprehensive Income	-	-	(146,750)	(21,356)	(168,106)
Exercise of Share Options	34,679	-	-	-	34,679
Share Based Payments	7,378	11,922	-	-	19,300
Transfer due to the Expiry of ESOS	-	(47,916)	-	47,916	-
Interim Dividend Paid - 2020/21	-	-	-	(238,417)	(238,417)
As at 31 March 2021	7,776,111	402,157	(295,722)	9,532,727	17,415,273
Profit for the Year	-	-	-	1,855,242	1,855,242
Other Comprehensive Income	-	-	2,103	1,214	3,317
Total Comprehensive Income	-	-	2,103	1,856,456	1,858,559
Exercise of Share Options	-	-	-	-	-
Share Based Payments	-	40,988	-	-	40,988
Transfer due to the Expiry of ESOS	-	(61,960)	-	61,960	-
Final Dividend - 2020/21	-	-	-	(864,992)	(864,992)
Interim Dividend Paid - 2021/22	-	-	-	(1,729,983)	(1,729,983)
As at 31 March 2022	7,776,111	381,185	(293,619)	8,856,168	16,719,845

The Accounting Policies and Notes on the Pages 156 to 239 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

Year ended 31 March	Notes	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Profit Before Taxation from continuing operation		6,648,180	5,669,910	2,200,575	10,339
(Loss) before tax from Discontinued operations		-	(842,199)	-	-
Adjustments for,					
Depreciation	12	1,091,858	1,218,744	21,672	22,941
Amortisation of Right-of-Use Assets	14	292,945	293,869	56,223	51,920
Gain on Disposal of Property, Plant and Equipment/ Investment Properties/Intangible Assets	6	(29,049)	(59,284)	(14,885)	(8,626)
Gain on Fair Value Adjustment of Investment Properties	13	(158,062)	(62,908)	(122,500)	(29,500)
Amortisation and Impairment of Intangible Assets	15	76,543	83,935	31,657	33,827
Provision for Obsolete Stocks	20	(34,574)	138,645	-	-
Provision/ (Reversal) for Impairment of Trade and Other Receivables	21	46,470	27,303	(4,829)	(50,850)
Impairment of Investment in Subsidiaries/Joint Ventures/ Other Financial Assets		-	-	-	39,500
Net (Gain)/ Loss on Disposal of Non-Current Investments		(272,496)	367,838	-	262,602
Exchange (Gain)/ Loss on Foreign Currency Borrowings	24	719	80,723	-	-
Share Based Payment Expense	22	40,988	19,300	8,956	2,718
Finance Cost	7	486,251	739,746	56,822	54,557
Finance Income	7	(351,787)	(254,228)	(12,820)	(30,005)
Investment Income	6	-	-	(2,251,470)	(217,881)
Share of Results of Equity Accounted Investees (Net of Tax)	17	525,064	333,340	-	-
Provision for Employee Benefit Liability	26	186,059	208,495	11,666	9,737
Operating Cash Flows before Working Capital Changes		8,549,109	7,963,229	(18,934)	151,278
Working Capital Adjustments					
(Increase)/Decrease in Inventories		(1,492,722)	(2,065,137)	-	-
(Increase)/Decrease in Trade and Other Receivables		(6,732,003)	1,919,332	(11,520)	15,516
Increase/(Decrease) in Trade and Other Payables		9,622,749	504,910	262,528	(55,038)
Increase/(Decrease) in Other Non-Current Financial Liabilities		(790)	(858)	-	-
Cash Generated from Operations		9,946,343	8,321,476	232,074	111,756
Finance Cost Paid	7	(320,834)	(566,124)	(52,396)	(51,101)
Finance Income Received	7	348,388	249,365	12,450	29,673
Income Tax Paid		(1,788,714)	(1,351,705)	(228,776)	(10)
Employee Retirement Benefit Paid	26	(132,847)	(113,556)	(21,804)	(16,849)
Net Cash flows from/(used in) Operating Activities		8,052,336	6,539,456	(58,452)	73,469
Investing Activities					
Purchase of Property, Plant and Equipment	12	(1,531,239)	(1,820,200)	(12,054)	(26,155)
Purchase of Intangible Assets	15	(102,033)	(73,498)	(375)	-
Acquisition of/Investment in Subsidiaries		-	-	(894,900)	(404,390)
Proceeds from Disposal of Subsidiaries		1,646,759	419,372	-	891,660
Net Change in Financial Assets		68,284	58,644	370,648	(172,648)
Dividend Received from Equity Accounted Investees		72,000	45,000	-	-
Proceeds from Disposal of Property, Plant and Equipment/ Investment Properties/Intangible Assets		114,113	260,007	17,752	55,757
Investment Income Received	6	-	-	2,251,470	217,881
Net Cash flows from/(used in) Investing Activities		267,884	(1,110,675)	1,732,541	562,105
Financing Activities					
Interest Bearing Loans and Borrowings (Net)	24	(508,131)	(1,121,825)	797,071	(562,981)
Proceed from Exercise of Employee Share Option		-	34,679	-	34,679
Proceeds from/ (to) Non-Controlling Interest		(19,503)	(286,745)	-	-
Dividends Paid to Equity Holders of the Parent	11	(2,594,975)	(238,417)	(2,594,975)	(238,417)
Dividends Paid to Non-Controlling Interest		(413,314)	(160,043)	-	-
Net Cash flows from/(used in) Financing Activities		(3,535,923)	(1,772,351)	(1,797,904)	(766,719)
Net Increase/(Decrease) in Cash and Cash Equivalents		4,784,297	3,656,430	(123,815)	(131,145)
Net Foreign Exchange Difference		360,399	76,674	-	-
Cash and Cash Equivalents at the Beginning of the Year	28	7,954,039	4,220,935	213,340	344,485
Cash and Cash Equivalents at the End of the Year	28	13,098,735	7,954,039	89,525	213,340

The Accounting Policies and Notes on the Pages 156 to 239 form an integral part of these financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. CORPORATE AND GROUP INFORMATION

1.1 Reporting Entity

Hemas Holdings PLC is a public limited liability Company listed on the Colombo Stock Exchange (CSE) incorporated and domiciled in Sri Lanka. The registered office and the principal place of business is situated at No. 75, Braybrooke Place, Colombo 02. Hemas Holdings PLC does not have an identifiable parent of its own.

Corporate information is presented in the inner back cover of this Annual Report.

1.2 Principal Activities and Nature of Operations

The Company directs investment activities and provides advisory services to other companies in the Group. The principal activities of the Subsidiaries, Joint Ventures and Associates with their business activities are disclosed in Note 34 to the Financial Statements.

There were no significant changes in the nature of the principal activities of the Company and the Group during the financial year under review.

1.3 Consolidated Financial Statements

The Consolidated Financial Statements of the Company for the year ended 31 March 2022 comprises of Hemas Holdings PLC ('the Company') and all its Subsidiaries (Collectively referred to as the "Group" and individually as "Subsidiaries") whose Financial Statements have been consolidated therein.

1.4 Components of Financial Statements

The Financial Statements include the following components:

- Statement of Profit or Loss and Statement of Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review.
- Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end.
- Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company.
- Statement of Cash Flows providing the information to the users, the amount of cash and cash equivalents, inflows to and outflows from the Group and the Company.

- Notes to the Financial Statements comprising Significant Accounting Policies and other explanatory information.

1.5 Responsibility for Financial Statements

The responsibility of the Directors in relation to these Financial Statements is set out in the Statement of Directors' Responsibility Report in the Annual Report.

1.6 Date of Authorisation for Issue

The Consolidated Financial Statements of Hemas Holdings PLC for the year ended 31 March 2022 were authorised for issue, in accordance with a resolution of the Board of Directors on 19 May 2022.

2. SIGNIFICANT ACCOUNTING POLICIES

Summary of significant accounting policies have been disclosed together with the relevant individual notes in the subsequent pages. The Group has consistently applied the accounting policies outlined with each note.

2.1 Statement of Compliance

The Financial Statements which comprises the Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and the Statement of Cash Flows, together with the Accounting Policies and Notes (the "Financial Statements") have been prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the Companies Act No. 7 of 2007.

2.2 Basis of Preparation & Measurement

The Consolidated Financial Statements of the Group and Separate Financial Statements of the Company have been prepared on an accrual basis and under the historical cost convention except for land and building included under Property, Plant and Equipment and Investment Properties, Derivative Financial Instruments and Financial Assets at Fair Value through Other Comprehensive Income that have been measured at fair value. The carrying values of recognised assets and liabilities that are designated as hedged items in fair value hedges that would otherwise be carried at amortised cost are adjusted to recognise changes in the fair values attributable to the risks that are being hedged in effective hedge relationships.

Items	Basis of Measurement	Note No./s	Page/s
Land and buildings recognised as Property, Plant and Equipment	Measured at cost at the time of acquisition and subsequently carried at fair value at the date of revaluation	Note 12	178
Land and building recognised as Investment Property	Measured at cost at the time of acquisition and subsequently carried at fair value	Note 13	186
Financial Instruments reflected as Fair value through Profit or Loss (FVPL) / Fair value through Other Comprehensive Income (FVOCI)	Measured at Fair Value	Note 19	199
Employee Benefit Liability	Measured at the present value	Note 26	219

2.3 Going Concern

The Management has made an assessment on the Group's ability to continue as a going concern based on the most recent information available and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements of the Group continue to be prepared on a going concern basis.

Given the current economic crisis and the circumstances surrounding volatility of the external environment, the Group will be able to maintain operations.

Considering a wide range of factors including history of profitable operations, strong liquidity position, availability of stable external funding sources, defensive cashflows and the initiatives taken to strengthen risk monitoring, the Management is satisfied that the going concern basis is appropriate. Group has strictly adhered to the guidelines and directions issued by the Governments and Central Banks in which the Group operates.

The Group's national long-term rating of 'AAA (Ika)' Stable Outlook has been affirmed for the third consecutive year by Fitch Ratings, indicating the Groups' strength in navigating the current economic headwinds.

2.4 Business Combinations

Basis of Consolidation

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration

transferred, measured at the acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets.

Acquisition related costs are expensed as incurred and included in administrative expenses.

If the business combination is achieved in stages, the previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in Statement of Profit or Loss or Other Comprehensive Income as applicable.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration which is deemed to be an asset or liability that is a financial instrument and within the scope of SLFRS 9 - Financial Instruments: is measured at fair value with the changes in fair value recognised either in Statement of Profit or Loss. If the contingent consideration is not within the scope of SLFRS 9, it is measured in accordance with the appropriate SLFRS contingent consideration that is classified as equity is not re-measured and subsequent settlement is measured at fair value with changes in fair value either in the Statement of Profit or Loss or as a change to the Other Comprehensive Income (OCI).

The Consolidated Financial Statements comprise the Financial Statements of the Parent and its Subsidiaries for the year ended 31 March 2022.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Control Over an Investee

Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure or rights to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

The Group re-assesses whether it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a Subsidiary begins when the Group obtains control over the Subsidiary and ceases when the Group loses control of the Subsidiary. Assets, Liabilities, Income and Expenses of a Subsidiary acquired or disposed during the year are included in the Consolidated Financial Statements from the date the Group gains control until the date the Group ceases to control the Subsidiary.

Profit or Loss and each component of Other Comprehensive Income (OCI) are attributed to the Equity Holders of the Parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the Financial Statements of Subsidiaries to bring their accounting policies in line with the Group's accounting policies.

A change in the ownership interest of a Subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a Subsidiary, it derecognises the related assets (including goodwill), liabilities, non-controlling interest, and other components of equity while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

The Financial Statements of the Subsidiaries are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

Transactions Eliminated on Consolidation

All intra-group assets and liabilities, equity, income, expenses, and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

Non-Controlling Interests

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non-Controlling Interests" in the Consolidated Income Statement. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

Put Option Over Non-Controlling Interest

Accounting policies relating to recognition of non-controlling interest to be acquired set out in Note 25 to these financial statements.

Common Control Transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory.

No entries are recognised in Profit and Loss on the Consolidated Financial Statements arising from common control transactions.

Disposal of Subsidiaries

- Hemas Transportation (Pvt) Ltd., a subsidiary of Hemas Holdings PLC, divested its entire shareholding in Spectra Logistics (Pvt) Ltd., at a total consideration of LKR 1,275Mn on 13th October 2021.
- Kyannmar Pharmaceuticals (Pvt) Ltd., a subsidiary of Hemas Holdings PLC, divested its entire shareholding in Hemas Mandalay Pharmaceutical Limited at a total consideration of LKR 223Mn (USD 1.1Mn) on 27 January 2022.

The amount of derecognised assets and liabilities of disposed subsidiaries and resulting gain/ (losses) are as follows,

Entity	Spectra Logistics (Pvt) Ltd Group LKR '000	Hemas Mandalay Pharmaceutical Limited LKR '000
Assets		
Cash and Cash Equivalents	51,250	3,980
Trade and Other Receivables	477,282	91,947
Financial Assets	11,483	-
Inventories	45,842	124,910
Tax Recoverable	6,502	-
Intangible Assets	15,309	544
Deferred Tax Asset	72,510	-
Right-of-Use Assets	609,128	-
Property, Plant And Equipment	2,030,201	3,632
	3,319,507	225,014
Liabilities		
Bank Overdraft	(203,688)	-
Trade and Other Payables	(359,889)	(44,671)
Financial Liabilities	(190)	-
Employee Benefit Liability	(25,898)	-
Interest Bearing Loans and Borrowing	(754,806)	-
	(1,344,471)	(44,671)
Total Identifiable Net Assets	1,975,036	180,343
Non-Controlling Interests	(987,518)	154,126
Reclassification of Foreign Translation Reserve	-	(96,182)
(Loss) / Gain on Disposal	287,483	(14,987)
Sales Consideration - Cash	1,275,001	223,300
Cash and Cash Equivalent Disposed	152,438	(3,980)
Net Cash Flow on Disposal of Subsidiary	1,427,439	219,320

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

2.5 Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Group's functional and presentation currency.

For each entity, the Group determines the functional currency and items included in the Financial Statements of each entity are measured using that functional currency.

There was no change in the Group's presentation and functional currency during the year under review.

Functional currency of all the Group companies is Sri Lankan Rupees other than the following companies whose functional currency is given below.

Name of the Entity	Relationship	Country of Incorporation	Functional Currency
Hemas Consumer Brands (Pvt) Ltd.	Subsidiary	Bangladesh	Bangladesh Taka (BDT)
Hemas Consumer Products (Pvt) Ltd.	Subsidiary	Pakistan	Pakistani Rupee (PKR)
Hemas Consumer Brands India (Pvt) Ltd.	Subsidiary	India	Indian Rupee (INR)
Kyannmar Pharmaceutical Limited.	Subsidiary	Singapore	US Dollar (USD)
Hemas Mandalay Pharmaceutical Limited*	Subsidiary	Myanmar	Kyat (MMK)

**Disposed during the year*

2.6 Materiality, Aggregation, Offsetting and Rounding

Materiality and Aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard - LKAS 1 on 'Presentation of Financial Statements'.

Offsetting

Assets and liabilities or income and expenses are not set off unless required or permitted by a Sri Lanka Accounting Standards.

Rounding

Financial information presented in Sri Lankan Rupees has been rounded to the nearest thousand, unless indicated otherwise.

2.8.1 Current versus Non-Current Classification

The Group presents assets and liabilities in the Statement of Financial Position based on current/non-current classification.

An asset is current when it is:

- Expected to be realised or intended to sell or consumed in the normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

2.7 Comparative Information

The presentations and classification of the Consolidated Financial Statements of the Group and Separate Financial Statements of the Company of the previous years have been amended for better presentation and to be comparable with those of the current year.

2.8 Other Significant Accounting Policies

The following accounting policies, which the Group has continuously applied, are regarded important yet are not covered in any other sections.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

2.8.2 Statement of Cash Flows

The Statement of Cash Flows is prepared using the "Indirect Method" in accordance with the Sri Lanka Accounting Standard – LKAS 7 on "Statement of Cash Flows" (LKAS 7). Cash and short-term deposits in the Statement of Financial Position comprise cash at banks and on hand and short-term deposits and money market investments with a maturity of three months or less. For the purpose of the Statement of Cash Flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts. Cash and cash equivalents as referred to in the Statement of Cash Flows are comprised of those items as explained in Note 30.

2.8.3 Foreign currency translation, foreign currency transactions and balances

Transactions in foreign currencies are initially recorded by the Group entities at the functional currency rates prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date.

All differences are taken to the Statement of Profit or Loss with the exception of all monetary items that form a part of a net investment in a foreign operation. These are recognised in Other Comprehensive Income until the disposal of the net investment, upon which time they are reclassified to the Statement of Profit or Loss. Tax charges and credits attributable to exchange differences on those monetary items are also recorded in Other Comprehensive Income.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

The gain or loss arising on translation of non-monetary items is recognised in line with the gain or loss of the item that gave rise to the translation difference (Translation differences on items whose gain, or loss is recognised in Other Comprehensive Income or Statement of Profit or Loss is also recognised in Other Comprehensive Income or Profit or Loss respectively).

2.8.4 Foreign Operations

The assets and liabilities of foreign operations are translated into Sri Lankan Rupees at the rate of exchange prevailed at the reporting date and their Statement of Profit or Loss is translated at exchange rates prevailed at the dates of the transactions. The exchange differences arising on the translation are recognised in Other Comprehensive Income. On disposal of a foreign operation, the component of Other Comprehensive Income relating to that particular foreign operation is recognised in the Statement of Profit or Loss.

2.9 Significant Accounting Judgments, Estimates and Assumptions

The preparation of the Consolidated Financial Statements require management to make judgments, estimates and assumptions that affect the reported amounts of Revenues, Expenses, Assets and Liabilities, and the disclosure of Contingent Liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

Other disclosures relating to the Group's exposure to risks and uncertainties includes:

- Note 30 - Financial instruments risk management and policies
- Note 30 - Sensitivity analysis disclosures

Judgements

In the process of applying the Group's accounting policies, management has made various judgments. Those which management has assessed to have the most significant effect on the amounts recognised in the Consolidated Financial Statements have been discussed in the individual notes of the related financial statement line items.

Estimates and Assumptions

Information about assumptions and estimation uncertainties at 31 March 2022 that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities in the next financial year have been discussed in the individual notes of the related financial statement line items.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The line items which have most significant effect on accounting judgements, estimate and assumptions are as follows:

Note No	Description	Page No.
2.4	• Business Combination: whether the Group has de facto control over an investee.	157
5	• Recognition – estimate of expected returns	167
	• Revenue Recognition: whether revenue is recognised over time or at a point in time.	
9	• Deferred Taxes: availability of future taxable profit against which deductible temporary differences and tax losses carried forward can be utilised	172
12 & 13	• Valuation of land and buildings under property, plant & equipment and investment property	178-188
14	• Right-of-Use Assets and Lease Liabilities – estimating the incremental borrowing rate	188
15 & 19	• Impairment of non-financial assets including intangible assets: key assumptions underlying recoverable amounts	191, 199
17	• Equity Accounted Investees: whether the Group has significant influence over an investee.	195
19	• Fair value measurement of financial instruments	199
22	• Share based payments	209
25	• Valuation of Non-Controlling Interest Put Option	218
26	• Employee benefit liability: key actuarial assumptions	219
32	• Recognition and Measurement of Provisions and Contingencies: key assumptions about the likelihood and magnitude of an outflow of resources	234

3 STANDARDS ISSUED BUT NOT YET EFFECTIVE

The new and amended standards and interpretations that are issued, but not yet effective, to the date of issuance of the financial statements are disclosed below. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective. The Group has not early adopted any standards, interpretations or amendments that have been issued but are not yet effective.

The Group has not early adopted any standards, interpretations or amendments that have been issued but are not yet effective.

These amendments to various standards are effective for the annual reporting periods beginning on or after 01 January 2022.

Amendments to LKAS 16 Property, Plant & Equipment : Proceeds before Intended Use

In 25 March 2021, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued LKAS 16 Property, Plant and Equipment - Proceeds before Intended Use, which prohibits entities deducting from the cost of an item of

Property, Plant and Equipment, any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognizes the proceeds from selling such items, and the costs of producing those items, in profit or loss

The amendment is effective for annual reporting periods beginning on or after 1 January 2022 and must be applied retrospectively to items of Property, Plant and Equipment made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment

Amendments to LKAS 37 Provisions, Contingent Liabilities and Contingent Assets : Onerous Contracts – Costs of Fulfilling a Contract

In 25 March 2021, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued amendments to LKAS 37 Provisions, Contingent Liabilities and Contingent Assets (LKAS 37) to specify which costs an entity needs to include when assessing whether a contract is onerous or loss-making

The amendments apply a “directly related cost approach”. The costs that relate directly to a contract to provide goods or services include both incremental costs and an allocation of costs directly related to contract activities. General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract

The amendments are effective for annual reporting periods beginning on or after 1 January 2022. Earlier application is permitted.

Amendments to SLFRS 3 Business Combinations :
Updating a reference to conceptual framework

In 23 March 2021, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued amendments to SLFRS 3 Business Combinations - Updating a Reference to the Conceptual Framework. The amendments are intended to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements

An exception was also added to the recognition principle of SLFRS 3 to avoid the issue of potential ‘day 2’ gains or losses arising for liabilities and contingent liabilities that would be within the scope of LKAS 37 or IFRIC 21 Levies, if incurred separately

At the same time, it was decided to clarify existing guidance in SLFRS 3 for contingent assets that would not be affected by replacing the reference to the Framework for the Preparation and Presentation of Financial Statements

The amendments are effective for annual reporting periods beginning on or after 1 January 2022 and apply prospectively

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

4 SEGMENTAL INFORMATION
Accounting Policy

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. The Group has now organised its business units into four reportable operating segments based on their products and services. The activities of each of the operating business segments of the Group are detailed in the Note number 35 in the Annual report.

All operating segments' operating results are reviewed regularly by the Group's Chief Executive Officer (CEO) to make decisions about resources to be allocated to the segment and to assess its performance, and for which discrete financial information is available. Segment results that are reported to the CEO include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Information based on the primary segments (Business Segment)

For the year ended 31 March	Consumer Brands		Healthcare		Mobility		Others		Group	
	2022	2021	2022	2021	2022	2021	2022	2021	2022	2021
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Continuing Operations										
Revenue from Contract with Customers										
Segmental Revenue - Gross	31,097,394	25,639,918	50,206,888	39,609,507	2,101,922	2,497,486	1,210,288	1,178,123	84,616,492	68,925,034
Intra Segmental Revenue	(336,073)	(583,929)	(4,036,830)	(2,372,429)	(29,662)	(69,721)	(143,904)	(134,403)	(4,546,469)	(3,160,482)
Segment Revenue	30,761,321	25,055,989	46,170,058	37,237,078	2,072,260	2,427,765	1,066,384	1,043,720	80,070,023	65,764,552
Inter Segmental Revenue	-	-	(80,911)	-	(117,717)	(277,022)	(1,040,545)	(986,782)	(1,239,174)	(1,263,804)
Total Revenue	30,761,321	25,055,989	46,089,147	37,237,078	1,954,543	2,150,743	25,839	56,938	78,830,849	64,500,748
Results										
Segmental Results	3,017,224	3,347,590	3,602,122	2,890,546	1,278,419	612,943	(748,119)	(519,987)	7,149,646	6,331,093
Finance Cost	(242,624)	(93,128)	(375,607)	(438,003)	161,341	(77,837)	(29,361)	(30,482)	(486,251)	(639,450)
Finance Income	137,488	123,142	97,836	40,090	98,328	40,878	18,135	44,589	351,787	248,699
Change in Fair Value of Investment Properties	-	-	-	-	-	-	158,062	62,908	158,062	62,908
Share of Results of Equity Accounted Investees (Net of Tax)	-	-	-	-	29,288	41,104	(554,352)	(374,444)	(525,064)	(333,340)
Profit/(Loss) Before Tax from Continuing Operations	2,912,088	3,377,604	3,324,351	2,492,633	1,567,375	617,088	(1,155,635)	(817,416)	6,648,180	5,669,910
Income Tax	(450,660)	(683,794)	(617,675)	(598,965)	(305,458)	(160,561)	(439,921)	(79,730)	(1,813,714)	(1,523,051)
Profit / (Loss) for the Year from Continuing Operations	2,461,428	2,693,810	2,706,676	1,893,668	1,261,917	456,527	(1,595,556)	(897,146)	4,834,466	4,146,859
Loss after Tax from Discontinued Operations	-	-	-	-	-	-	-	(804,833)	-	(804,833)
Profit / (Loss) for the Year	2,461,428	2,693,810	2,706,676	1,893,668	1,261,917	456,527	(1,595,556)	(1,701,979)	4,834,466	3,342,026
Attributable to:										
Equity Holders of the Parent	2,225,579	2,507,484	2,647,593	1,962,785	970,937	281,357	(1,595,556)	(1,498,278)	4,248,553	3,253,350
Non-Controlling Interests	235,849	186,325	59,083	(69,117)	290,980	175,170	-	(203,701)	585,913	88,676
	2,461,428	2,693,810	2,706,676	1,893,668	1,261,917	456,527	(1,595,556)	(1,701,979)	4,834,466	3,342,026

Adjusted Earnings Before Interest, Tax, Depreciation and Amortisation (adjusted EBITDA)

Management has presented the performance measure adjusted EBITDA because it monitors this performance measure at a consolidated level and it believes that this measure is relevant to an understanding of the Group's financial performance. Adjusted EBITDA is calculated by adjusting profit from continuing operations to exclude the impact of taxation, net finance costs, depreciation, amortisation, change in fair value of investment properties, impairment adjustments related to goodwill, intangible assets, Property, Plant and Equipment and the remeasurement of disposal groups, and share of profit of equity-accounted investees.

Adjusted EBITDA is not a defined performance measure in SLFRS Standards. The Group's definition of adjusted EBITDA may not be comparable with similarly titled performance measures and disclosures by other entities.

Reconciliation of adjusted EBITDA to profit from continuing operations

For the year ended 31 March	Consumer Brands		Healthcare		Mobility		Others		Group	
	2022	2021	2022	2021	2022	2021	2022	2021	2022	2021
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Profit / (Loss) for the Year from Continuing Operations	2,461,428	2,693,810	2,706,676	1,893,668	1,261,917	456,527	(1,595,556)	(897,146)	4,834,466	4,146,859
Income Tax	450,660	683,794	617,675	598,965	305,458	160,561	439,921	79,730	1,813,714	1,523,050
Profit/(Loss) Before Tax from Continuing Operations	2,912,087	3,377,604	3,324,351	2,492,633	1,567,375	617,088	(1,155,636)	(817,416)	6,648,180	5,669,910
Adjustments for:										
Net Finance Costs	105,137	(30,014)	277,771	397,913	(259,669)	36,959	11,227	(14,107)	134,464	390,751
Depreciation	361,173	337,766	563,813	501,597	85,984	153,164	80,888	226,217	1,091,858	1,218,744
Amortisation	82,654	77,331	204,312	69,051	40,883	39,690	39,985	79,958	367,834	266,030
Change in Fair Value of Investment Properties	-	-	-	-	-	-	(158,062)	(62,908)	(158,062)	(62,908)
Impairment on Goodwill	-	-	-	96,311	-	15,463	-	-	-	111,774
Share of Results of Equity Accounted Investees (Net of Tax)	-	-	-	-	(29,288)	(41,104)	554,352	374,444	525,064	333,340
Adjusted EBITDA from Continuing Operation	3,461,052	3,762,687	4,370,247	3,557,505	1,405,285	821,260	(627,246)	(213,812)	8,609,338	7,927,641

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

4 SEGMENTAL INFORMATION CONTD.

Information based on the primary segments (Business Segment)

For the year ended 31 March		Consumer Brands		Healthcare		Mobility		Others		Group	
		2022	2021	2022	2021	2022	2021	2022	2021	2022	2021
		LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Assets and Liabilities											
Non-Current Assets											
Property, Plant and Equipment		4,754,402	4,175,136	10,191,775	8,601,091	25,240	2,089,421	120,618	132,487	15,092,035	14,998,135
Right-of-Use Assets		206,882	178,376	905,345	934,971	82,986	730,503	82,211	34,170	1,277,424	1,878,020
Investment Properties		-	-	-	-	-	-	4,878,462	4,484,900	4,878,462	4,484,900
Other Non-Current Financial Assets		24,552	32,192	216,058	268,603	-	-	116,311	394,129	356,921	694,923
Other Non-Current Assets		3,092,696	3,148,353	1,470,550	1,544,096	60,758	3,047,565	24,399,717	23,830,950	29,023,721	31,570,965
Segmental Non-Current Assets		8,078,532	7,534,057	12,783,728	11,348,761	168,984	5,867,490	29,597,319	28,876,636	50,628,563	53,626,943
Deferred Tax Assets		-	-	-	-	-	-	-	-	85,621	144,281
Eliminations/Adjustments		-	-	-	-	-	-	-	-	(25,627,883)	(28,071,390)
Total Non-Current Assets										25,086,301	25,699,834
Segmental Current Assets											
Other Current Financial Assets		21,470	45,011	1,078,275	673,871	1,768,669	684,089	1,340,158	1,400,699	4,208,572	2,803,670
Segmental Current Assets		16,977,985	12,831,104	28,344,685	22,493,956	6,306,967	3,291,253	1,587,577	688,962	53,217,214	39,305,275
Tax Recoverable		-	-	-	-	-	-	-	-	328,782	156,553
Eliminations/Adjustments		-	-	-	-	-	-	-	-	(6,533,199)	(4,370,943)
Total Current Assets										51,221,369	37,894,554
Total Assets										76,307,670	63,594,388
Non-Current Liabilities											
Segmental Non-Current Liabilities		539,076	471,330	3,601,560	2,951,599	100,806	729,063	110,822	130,374	4,352,263	4,282,366
Other Non-Current Financial Liabilities		145	145	928	1,748	465	625	275,000	275,000	276,538	277,518
Deferred Tax Liability		-	-	-	-	-	-	-	-	1,723,527	1,363,032
Eliminations/Adjustments		-	-	-	-	-	-	-	-	(267,639)	(53,520)
Total Non-Current Liabilities										6,084,689	5,869,395
Current Liabilities											
Segmental Current Liabilities		9,582,928	5,207,209	21,368,672	17,457,465	4,402,046	2,711,898	1,990,976	761,602	37,344,622	26,138,174
Income Tax Liability		-	-	-	-	-	-	-	-	805,053	602,547
Eliminations/Adjustments		-	-	-	-	-	-	-	-	(4,433,997)	(2,454,015)
Total Current Liabilities										33,715,678	24,286,707
Total Liabilities										39,800,367	30,156,102
Other Segmental Information											
Total Segment Assets		25,077,987	20,410,172	42,206,688	34,516,588	8,244,620	9,842,831	32,525,054	30,966,297	108,054,349	95,735,888
Total Segment Liabilities		10,122,149	5,678,684	24,971,160	20,410,812	4,503,317	3,441,586	2,376,798	1,171,976	41,973,424	30,703,058
Other Segmental Information											
Acquisition Cost of Property Plant and Equipment		403,908	284,336	1,046,183	1,412,669	52,167	54,472	28,981	68,723	1,531,239	1,820,200
Depreciation of Segmental Assets		361,173	337,766	563,813	501,597	85,984	153,164	80,888	226,217	1,091,858	1,218,744
Provision for Retirement Benefit		69,190	74,222	94,123	98,123	7,822	14,392	14,925	21,758	186,059	208,495
Impairment and Amortisation of Intangible Assets		5,264	4,752	36,983	25,913	2,494	3,641	31,803	49,629	76,543	83,935
Amortisation of Right-of-Use Assets		77,390	72,579	168,983	139,449	38,389	51,511	8,182	30,329	292,945	293,869

5 REVENUE FROM CONTRACTS WITH CUSTOMERS**Accounting Policy**

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and value added tax.

Goods Transferred at a Point in Time

Under SLFRS 15, revenue is recognised upon satisfaction of a performance obligation. The revenue recognition occurs at

a point in time when control of the asset is transferred to the customer, generally on delivery of the goods.

Services Transferred Over Time

Under SLFRS 15, the Group determines at contract inception whether it satisfies the performance obligation over time or at a point in time. For each performance obligation satisfied overtime, the Group recognises the revenue over time by measuring the progress towards complete satisfaction of that performance obligation.

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Goods Transferred at a Point in Time	70,154,744	58,048,189	-	-
Services Transferred Over Time	8,676,105	6,452,559	885,849	860,176
	78,830,849	64,500,748	885,849	860,176

The different business segments of the Group are in the course of providing a variety of goods and services to its customers. Each segment of the Group uses following criteria in recognising the revenue.

Segment	Revenue Recognition Policies
Consumer Brands	Revenue is recognised when the goods are delivered and have been accepted by customers. In relation to the contracts with the distributors, international suppliers and modern traders for the sale of FMCG products, the Group considered the upfront discounts, rights of return and other consideration payable to the customer in determining the transaction price. Revenue is recognised by reducing the above component from the transaction price.
Healthcare	Revenue is recognised over time as the services are provided. Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be measured, regardless of when the payment is being made after considering discounts, offers given to the customers, consultations, and services provided under packages.
Mobility & Other	Revenue from contracts with customers is recognised when control of the goods or services is transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those services.

Accounting Judgement, Estimate and Assumption

SLFRS 15 requires entities to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract.

In determining the transaction price for the revenue contracts, the Group considers the effects of variable consideration, the existence of significant financing components, non-cash consideration, and consideration payable to the customer (if any).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

5 REVENUE FROM CONTRACTS WITH CUSTOMERS

Variable Consideration

Some revenue contracts in the Consumer and Healthcare sector in the Group provide customers with a right to return, rebates, discounts and consideration payable to the customers. These give rise to variable consideration. If the consideration in a contract includes a variable amount, the Group estimates the amount of consideration to which it will be entitled in exchange for transferring the goods to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognised will not occur when the associated uncertainty with the variable consideration is subsequently resolved.

The Group applied the following judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers:

Principal versus Agent Considerations

In determining whether the Group is the principal or the agent pertaining to revenue contracts in the Group has evaluated who has control over the goods before transferring it to the customer;

The following factors were also considered;

- The primary responsibility for fulfilling the promise to provide the specified goods or the services.
- Inventory risk before or after the specified goods has been transferred to the customer
- The discretion in establishing the price for the specified goods or the services.

Based on the above factors if the Group concludes that it has control over the goods or services, Group acts as the principal in which case revenue will be recognised at gross and if the Group does not have the control over the goods or services, it will recognise revenue on the contract on net basis as an agent.

Determining Method to Estimate Variable Consideration and Assessing the Constraint

Certain revenue contracts especially in Consumer and Healthcare sector include a right of return, rebates and customer incentives that rise to variable consideration. In estimating the variable consideration, the Group is required to use either the expected value method or the

most likely amount method based on which method better predicts the amount of consideration to which it will be entitled.

The Group determined that using a combination of the most likely amount method and expected value method is appropriate. The selected method that better predicts the amount of variable consideration was primarily driven by the number of volume thresholds contained in the contract.

The most likely amount method is used for those contracts with single volume threshold, while the expected value method is used for contracts with more than one volume threshold.

Before including any amount of variable consideration in the transaction price, the Group considers whether the amount of variable consideration is constrained. The Group determined that the estimates of variable consideration are not constrained based on its historical experience, business forecast and the current economic conditions. In addition, the uncertainty on the variable consideration will be resolved within a short time frame.

Evaluation of Point of Transfer of Control of Goods or Services to the Customer under Revenue Recognition

The following factors were considered in determining the point of transfer of control to the customer.

- The entity has a present right to payment for goods or the services.
- The customer has legal title to goods or the services.
- The entity has transferred physical possession of goods or the services.
- The customer has the significant risks and rewards of ownership of goods or the services.
- The customer has accepted goods or the services.

Whilst the above indicators assist in the determination of transfer of control, none of the indicators above are meant to individually establish or conclude whether control has been transferred. Further all criteria need not be present. Hence, the above evaluation requires significant judgement.

Geographical Segmentation of Revenue from Contracts with Customers

The geographic information analysis the Group's revenue by the business units country of domicile. In presenting the geographic information, segment revenue has been based on the geographic location of the Strategic Business Units (SBUs).

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Sri Lanka	75,682,142	61,774,680	885,849	860,176
Asia (Excluding Sri Lanka)	3,148,707	2,726,068	-	-
	78,830,849	64,500,748	885,849	860,176

The disaggregation of the Group's revenue from contracts with customers is set out in Note 4 to these financial statements.

6 OTHER OPERATING INCOME

Accounting Policy

Dividends

Dividend income is recognised when the Group's/ Company's right to receive the payment is established.

and Equipment and other non-current assets, including investments in subsidiaries, joint ventures and associates, are accounted in the Statement of Profit or Loss, after deducting the carrying amount of such assets and the related selling expenses from the proceeds on disposal.

Other Income and Gains

Other Income and gains are recognised on an accrual basis. Net gains from the disposal of Property, Plant

Year ended 31 March	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Gain on Disposal/De-recognition of Non-Current Investments	287,483	98,150	-	54,806
Gain on Disposal of Property Plant & Equipment/Intangible Assets	29,049	59,284	14,885	8,626
Change in Fair Value of Investment Properties	158,062	62,908	122,500	29,500
Rental Income	6,906	8,221	-	-
Commission Income	4,034	1,745	-	-
Foreign Exchange Gain	464,093	304,895	27,400	2,127
Dividend Income from Investments in; - Related Parties	-	-	2,251,466	217,877
- Other	9	4	4	4
Sundry Income	149,167	146,274	3,684	54
	1,098,803	681,481	2,419,939	312,994

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

7 FINANCE COST AND INCOME

Accounting Policy

Finance income comprises of interest income and unwinding of fair value differences on financial assets measured at amortised cost.

Interest income is recorded as it accrues using the effective interest rate (EIR), which is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset. Interest income is included in finance income in the Statement of Profit or Loss.

Finance costs comprise of interest expense on borrowings, Interest expense on other financial liabilities, Finance Charges on Lease Liabilities and Unwinding of Fair Value Differences on Financial Assets Measured at Amortised Cost.

Foreign currency gains and losses are reported on a net basis as either finance income or finance costs, depending on whether foreign currency movements are in a net gain or net loss position.

7.1 Finance Cost

Year ended 31 March	Group		Company	
	2022	2021	2022	2021
	LKR '000	LKR '000	LKR '000	LKR '000
Interest Expense on Overdrafts	29,366	95,297	714	749
Interest Expense on Loans and Borrowings				
- Related Parties	-	-	50,128	47,505
- Others	412,899	362,064	1,554	2,847
Foreign Exchange Gain/Loss	(148,931)	(2,466)	-	-
Interest Expense on Other Financial Liabilities	27,500	27,500	-	-
Finance Charges on Lease Liabilities	163,635	155,273	4,426	3,456
Total Interest Expense	484,469	637,668	56,822	54,557
Unwinding of Fair Value Differences on Financial Assets Measured at Amortised Cost	1,782	1,782	-	-
Total Finance Cost	486,251	639,450	56,822	54,557

7.2 Finance Income

Year ended 31 March	Group		Company	
	2022	2021	2022	2021
	LKR '000	LKR '000	LKR '000	LKR '000
Interest Income on Loans and Receivables				
- Related Parties	-	-	5,788	16,918
- Others	348,388	243,836	6,662	12,755
Total Interest Income	348,388	243,836	12,450	29,673
Unwinding of Fair Value Differences on Financial Assets Measured at Amortised Cost	3,399	4,863	370	332
Total Finance Income	351,787	248,699	12,820	30,005
Net Finance Cost	(134,464)	(390,751)	(44,002)	(24,552)

8 PROFIT BEFORE TAX

Accounting Policy

Expenditure Recognition

Expenses are recognised in the Statement of Profit or Loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant and Equipment in

a state of efficiency has been charged to the Statement of Profit or Loss.

For the purpose of presentation of the Statement of Profit or Loss, the “function of expenses” method has been adopted, on the basis that it presents fairly the elements of the Company’s and Group’s performance.

Profit before tax is stated after Charging/(Crediting) all expenses including the following :

Year ended 31 March	Group		Company	
	2022 LKR ‘000	2021 LKR ‘000	2022 LKR ‘000	2021 LKR ‘000
Staff Expenses	7,040,007	6,439,276	332,925	184,692
Directors’ Emoluments	417,016	374,716	95,885	145,531
Costs of Defined Employees Benefits,				
- Defined Benefit Plan Cost - Gratuity	186,059	208,495	11,666	9,737
- Defined Contribution Plan Cost - MSPS/EPF/ETF	503,162	470,820	30,451	26,621
Depreciation	1,091,858	1,218,744	21,671	22,941
Amortisation of Right-of-Use Assets	292,945	293,869	56,223	51,920
Amortisation of Intangible Assets	76,543	83,935	31,657	33,827
Auditors’ Remuneration				
- Audit	15,410	14,590	2,318	2,160
- Non Audit	6,321	11,694	1,529	5,755
Legal Fees	12,008	43,030	-	-
Donations	15,729	33,819	11,864	11,115
Provision/(Reversal) for Obsolete Stocks	(34,574)	138,645	-	-
Provision/ (Reversal) for Impairment of Trade Receivables	46,470	27,303	(4,829)	(50,850)
Impairment of Investment Subsidiaries	-	-	-	39,500
Net Loss/ (Gain) on Disposal of Subsidiaries	(272,496)	465,989	-	262,602
Transport Cost	489,578	280,649	-	-
Advertising Cost	1,245,920	1,366,767	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

9 TAXES

Accounting Policy

Tax expense comprises of current and deferred tax. Current tax and deferred tax are recognised in the Statement of Profit or Loss except to the extent that it relates to a business combination, or items recognised directly in Equity or in Other Comprehensive Income.

Current Tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date in the country where the Company operates and generates taxable income. Current income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

Provision for taxation is made on the basis of the accounting profit for the year, as adjusted for taxation purposes, in accordance with the provisions of the Inland Revenue Act No. 24 of 2017, effective from April 1, 2018. This Note also includes the major components of tax expense and a reconciliation between the Profit Before Tax and Tax Expense, as required by the Sri Lanka Accounting Standard – LKAS 12- Income Taxes.

Deferred Taxation

Deferred tax is provided, using the liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except;

- (i) Where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- (ii) In respect of taxable temporary differences associated with investments in Subsidiaries, Associates and interests in Joint Ventures, except where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- (i) Where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- (ii) In respect of deductible temporary differences associated with investments in Subsidiaries, Associates and interests in Joint Ventures, deferred tax assets are only recognised to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted as at the reporting date.

Deferred tax relating to items recognised outside the Statement of Profit or Loss is recognised outside the Statement of Profit or Loss. Deferred tax relating to items recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and when the deferred taxes relate to the same taxable entity and the same taxation authority.

Sales Tax

Expenses and assets are recognised net of the amount of sales tax, except:

- When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable
- When receivables and payables are stated with the amount of sales tax included.
- The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the Statement of Financial Position.

Surcharge Tax

As per the Surcharge Tax Act No. 14 of 2022 which was certified on 8 April 2022, each company of a group of companies, of which the aggregate of the taxable income of all subsidiaries and the holding company in that Group of companies that have earned a taxable income in excess of LK Rs. 2,000 million for the year of assessment 2020/2021 is liable for a surcharge tax at the rate of 25% on the taxable income of each entity within that group. The surcharge tax was enacted after the end of the reporting period and therefore the financial statements do not reflect any surcharge tax liability for the year ended 31 March 2022. This is recommended by the statement of Alternative Treatments (SoAT) on Accounting for Surcharge Tax issued by the Institute of Chartered Accountants of Sri Lanka, in April 2022.

IFRIC Interpretation 23 Uncertainty over Income Tax Treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments. The Interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit/(tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

Upon adoption of the Interpretation, the Group considered whether it has any uncertain tax positions, particularly those relating to transfer pricing. The Company's and the subsidiaries' tax filings in different jurisdictions include deductions related to transfer pricing and the taxation authorities may challenge those tax treatments. The Group determined, based on its tax compliance and transfer pricing study, that it is probable that its tax treatments (including those for the subsidiaries) will be accepted by the taxation authorities. The Interpretation did not have an impact on the consolidated financial statements of the Group.

	Note	Group		Company	
Year ended 31 March		2022	2021	2022	2021
		LKR '000	LKR '000	LKR '000	LKR '000
Current Income Tax					
Current Income Tax Charge	9.1	1,788,481	1,482,229	320,704	28,080
Adjustment in Respect of Income Tax of Prior Years		23,188	(2,446)	(3,525)	-
Tax on Dividends		-	9,233	-	-
ESC Written off		1,750	10,483	-	-
Deferred Tax Charge/(Reversal)					
Relating Origination and Reversal of Temporary Differences	9.2	295	23,552	28,154	(13,650)
		1,813,714	1,523,051	345,333	14,430

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

9 TAXES CONTD.

9.1 Reconciliation Between Income Tax Expenses and Accounting Profit

	Group		Company	
	2022	2021	2022	2021
	LKR '000	LKR '000	LKR '000	LKR '000
Accounting Profit Before Tax	6,648,180	5,669,910	2,200,575	10,339
Intra Group Adjustments/Share of Results of Joint Ventures/Associates	525,064	333,340	-	-
Liabe Dividend Income	2,587,094	-	-	-
Income not Subject to Income Tax	-	(4)	(52,249)	(100,000)
Exempt Profit	(458,154)	(169,031)	-	-
Aggregate Disallowed Expenses	4,260,845	3,289,317	373,732	533,757
Aggregate Allowable Expenses	(4,606,979)	(2,362,865)	(269,450)	(194,388)
Adjustment for Tax Losses	18,699	(81,930)	-	(72,910)
Taxable Profit	8,974,719	6,678,737	2,252,607	176,798
Current Income Tax Charge				
Standard Rates	1,342,981	903,285	12,813	28,080
Concessionary Rates	445,500	578,944	307,891	-
	1,788,481	1,482,229	320,704	28,080

9.2 Deferred Tax Charge/(Reversal) Relate to the Following;

	Group		Company	
	2022	2021	2022	2021
	LKR '000	LKR '000	LKR '000	LKR '000
Revaluation of Investment Properties to Fair Value	19,998	1,895	25,620	(17,081)
Accelerated Depreciation for Tax Purposes	(6,761)	(90,279)	(6,715)	(11,932)
Employee Benefit Liability	(3,259)	22,220	2,759	(451)
Losses Available for offset against Future Taxable Income	(81,598)	(13,085)	-	-
Net Impact from Right-of-Use Asset and Lease Liability	(5,751)	(9,467)	(700)	687
Others	77,666	112,268	7,190	15,127
	295	23,552	28,154	(13,650)

9.3 Deferred Tax Assets and Liabilities

Group	Deferred Tax Assets		Deferred Tax Liabilities	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Balance at the Beginning of the Year	144,281	164,426	1,363,032	1,733,238
Recognised through Profit or Loss	48,135	(13,005)	48,430	(35,647)
Income/(Expense) arising from Discontinued Operation	-	(7,962)	-	-
Recognised through Other Comprehensive Income	(42,714)	1,512	312,498	(20,339)
Transfer	(1,494)	1,006	(1,494)	1,512
Recognised through Changes in Equity	9,923	(1,696)	1,061	-
Disposal of Subsidiaries	(72,510)	-	-	(315,732)
Balance at the End of the Year	85,621	144,281	1,723,527	1,363,032

9.3 Deferred Tax Assets and Liabilities

Company	Deferred Tax Liabilities	
	2022 LKR '000	2021 LKR '000
Balance as at Beginning of the Year	119,426	138,528
Recognised through Profit or Loss	28,154	(13,650)
Recognised through Other Comprehensive Income	383	(5,452)
Balance at the End of the Year	147,963	119,426

9.3.1 The Closing Deferred Tax Liability/(Asset) Balances Relate to the Following:

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Revaluation of Land and Buildings to Fair Value	1,466,129	1,140,943	-	-
Revaluation of Investment Properties to Fair Value	81,787	47,142	167,342	141,722
Accelerated Depreciation for Tax Purposes	505,245	420,118	(1,528)	5,186
Employee Benefit Liability	(217,215)	(215,258)	(15,961)	(18,721)
Losses Available for offset against Future Taxable Income	(81,594)	(16,327)	-	-
Net Impact from Right-of-Use Asset and Lease Liability	(11,302)	(13,756)	(317)	-
Others	(105,144)	(144,111)	(1,573)	(8,761)
	1,637,906	1,218,751	147,963	119,426

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

9 TAXES CONTD.

9.4 Tax Losses Carried Forward

Unutilised carry forward Group tax losses as at 31 March 2022 is LKR 386Mn. (Provisional) (2021 - LKR 639Mn).

9.5 Applicable Tax Rates

As per the Inland Revenue Act No.24 of 2017 and amendments thereto, all Group companies which are resident in Sri Lanka are liable to Income Tax at 24% (2020/21- 24%) on taxable profit during the period with the exception of the Companies stated below.

Management has used its judgement in the application of tax laws including transfer pricing regulations involving identification of associated undertakings, estimation of the respective arm's length prices and selection of appropriate pricing mechanism.

9.5.1 Exemptions / Concessions Granted Under the Board of Investment Law

Company/ Sector	Nature	Exemption or Concession	Period
Hemas Hospitals (Pvt) Ltd.	Profit of the company is exempt from income tax for a period of 5 years, at 10% for next 2 years and 20% thereafter	20%	Open-ended
Hemas COE (Pvt) Ltd.	Exempt from income tax for a period of 3 years, at 10% for the next 2 years and 20% thereafter	20%	Open-ended
Hemas Manufacturing (Pvt) Ltd.	For manufacturing and/or marketing of soap, personal care items and other fast moving consumer goods at its relocated factory in Dankotuwa under "300 Enterprises Programme", Inland Revenue Act shall not apply for a period of 5 years. After the exemption, the profits are taxed at 10% for a period of 2 years and 20% thereafter	20%	Open-ended

9.5.2 Exemptions/Concessions Granted Under the Inland Revenue Act

Company/ Sector	Nature	Exemption or Concession	Period
Hemas Capital Hospital (Pvt) Ltd.	Entitled for a tax exemption period of 9 years	Exempt	9 years ending 2023/2024
Manufacturing Sector	On gains and profits from manufacturing	18%	Open-ended
Healthcare Sector	Healthcare services	14%	Open-ended

9.5.3 Applicable Tax Rates of Foreign Subsidiaries

Company	Applicable Tax Law	Tax Rate
Hemas Consumer Brands (Pvt) Ltd.	Income Tax Ordinance of 1984	30.0%
Hemas Consumer Products (Pvt) Ltd.	Income Tax ordinance 2001 (IT-2)	30.0%
Hemas Consumer Brands India (Pvt) Ltd.	Income Tax Act India	25.0%
Kyannmar Pharmaceuticals (Pvt) Ltd.	Income Tax Act Singapore	17.0%
Hemas Mandalay Pharmaceuticals Limited*	Myanmar Income Tax Law	25.0%

*Disposed during the year

10 EARNINGS PER SHARE (EPS)

Accounting Policy

Basic Earnings Per Share is calculated by dividing the profit for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is calculated by dividing the profit attributable to ordinary shareholders of the parent by the weighted

average number of ordinary shares outstanding during the year plus weighted average number of ordinary shares that would be issued on conversion of all the diluted potential ordinary shares.

The following reflect the income and share data used in the Earnings Per Share computation

10.1 Basic Earnings Per Share

Year ended 31 March	Group	
	2022 LKR '000	2021 LKR '000
Amount Used as the Numerator:		
Profit for the Year Attributable to Ordinary Shareholders for Basic Earnings Per Share	4,248,553	3,253,350
Profit from Continuing Operations for the Year Attributable to Ordinary Shareholders for Basic Earnings Per Share	4,248,553	3,854,482
Number of Ordinary Shares Used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue Applicable to Basic Earnings Per Share	596,546	596,102
Basic Earnings Per Share - LKR	7.12	5.46
Earnings Per Share for Continuing Operations - LKR	7.12	6.47

10.2 Diluted Earnings Per Share

Year ended 31 March	Group	
	2022 LKR '000	2021 LKR '000
Amount Used as the Numerator:		
Profit for the Year Attributable to Ordinary Shareholders for Diluted Earnings Per Share	4,248,553	3,253,350
Profit from Continuing Operations for the Year Attributable to Ordinary Shareholders for Diluted Earnings Per Share	4,248,553	3,854,482
Number of Ordinary Shares Used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue Applicable to Diluted Earnings Per Share	596,890	596,671
Diluted Earnings Per Share - LKR	7.12	5.46
Earnings Per Share for Continuing Operations - LKR	7.12	6.46

The difference between weighted average number of shares used for basic EPS and diluted EPS is due to the potential number of shares from the Employee Share Ownership Scheme.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

11 DIVIDEND PER SHARE (DPS)

11.1 Dividends Paid

Year ended 31 March	Group / Company	
	2022 LKR '000	2021 LKR '000
Declared and Paid During the Year		
Dividends on Ordinary Shares;		
Final Dividend - 2020/2021 (2021-2019/2020)	864,992	-
Interim Dividend - 2021/2022(2021-2020/2021)	1,729,983	238,417
Total Dividend	2,594,975	238,417

11.2 Dividend Per Share

Year ended 31 March	Group / Company	
	2022 LKR	2021 LKR
Final Dividend - 2020/2021 (2021-2019/2020)	1.45	-
Interim Dividend - 2021/2022(2021-2020/2021)	2.90	0.40
	4.35	0.40

12 PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

Basis of Recognition

Property, Plant and Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Basis of Measurement

Property, Plant and Equipment is stated at cost except for land and building and building on leasehold land, net of accumulated depreciation and/or accumulated impairment losses, if any. Construction in progress is stated at cost net of impairment losses, if any. Such cost includes the cost of replacing component parts of the Property, Plant and Equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of Property, Plant and Equipment are required to be replaced at intervals, the Group/ Company derecognises the net book value of replaced part, and recognises the new part with its own associated useful life and depreciation. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All

other repair and maintenance costs are recognised in the Statement of Profit or Loss as incurred.

Revaluation

When items of Property, Plant and Equipment are subsequently revalued, the entire class of such assets is revalued. Any revaluation surplus is recognised in Other Comprehensive Income and accumulated in equity in the asset revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the Statement of Profit or Loss, in which case the increase is recognised in the Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

The Group has adopted a policy of revaluing land and building by professional valuers at each reporting date.

The valuation methodology adopted and the key assumptions used to determine the fair value of the properties and sensitivity analysis are provided in Note 12.1.3.

Capital expenditure incurred in relation to fixed assets which are not completed as at the Reporting date are shown as capital work-in-progress and is stated at cost. On completion, the related assets are transferred to Property, Plant and Equipment. Depreciation on such assets commences when the assets are ready for their intended use.

Accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

Depreciation

Depreciation is calculated on a straight line basis over the estimated useful lives of all Property, Plant and Equipment.

The principal annual rates used by the Group/Company are as follows:

Freehold Buildings	1.5% - 10%
Plant and Machinery	6% - 25%
Furniture and Fittings	7% - 25%
Office and Factory Equipment	10% - 33.3%
Computer Hardware	25% - 33.3%
Motor Vehicles	16.7% - 25%

Buildings on Leasehold Land are depreciated over the remaining useful life or lease period which ever is lower.

Derecognition

An item of Property, Plant and Equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss when the asset is derecognised.

Impairment of Property, Plant & Equipment

At each reporting date, the Group evaluates whether there is indications that an asset may be impaired. If there is any such indication, or if annual impairment testing is required for an asset, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Estimated future cash flows are discounted to present value using an appropriate discount rate that incorporates current market assessments of the time value of money and the risks specific to the asset when determining value in use. Impairment losses are recorded in the income statement, with the exception that impairment losses in respect of previously revalued property, plant, and equipment are recorded against the revaluation reserve through the Statement of Other Comprehensive Income to the extent that they reverse a previous revaluation surplus.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such an indication exists, the recoverable amount is estimated. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the income statement unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase. After such a reversal, the depreciation charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

12 PROPERTY, PLANT AND EQUIPMENT CONTD.

Borrowing Costs

Borrowing costs are recognised as an expense in the year in which they are incurred, except to the extent where borrowing costs that are directly attributable to the acquisition, construction, or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale, are capitalised as part of the respective asset. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

The interest capitalised is calculated using Company's weighted average cost of borrowing after adjusting for borrowings associated with specific developments. Where borrowings are associated with specific developments, the amounts capitalised is the gross interest incurred on those borrowings less any investment income arising on their temporary investments. Interest is capitalised from the commencement of the development work until the date of practical completion. The capitalisation of finance costs is suspended if there are prolonged periods when development activity is interrupted.

Revaluation of land and buildings

Accounting Judgement, Estimate and Assumption

Fair value of the Land Buildings are ascertained by independent valuations carried out by Chartered valuation surveyors, who have recent experience in valuing properties of similar location and category. Land Buildings are appraised in accordance with LKAS 16,

SLFRS 13 and the Valuation Standards published by the Institute of Valuers of Sri Lanka and by the RICS, UK. In determining the fair value, the current condition of the properties, future usability and associated re-development requirements have been considered. Further valuers have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are rounded within the range of values. A sensitivity analysis on these assumptions is included in Note 12.1.1

12 PROPERTY, PLANT AND EQUIPMENT

12.1 Group

	Freehold Land	Freehold Buildings	Buildings on Leasehold Land	Plant and Machinery	Furniture, Fittings & Other Equipment	Motor Vehicles	Capital Work-in-Progress	Total 2022	Total 2021
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Cost or Valuation									
Balance at the Beginning of the Year	3,656,531	3,356,462	3,210,249	3,263,929	4,964,835	1,505,118	3,656,408	23,613,532	26,896,964
Additions	-	27,806	38,511	428,203	437,672	47,218	551,829	1,531,239	1,820,200
Disposal of Subsidiaries	-	-	(1,651,443)	(26,949)	(306,470)	(558,148)	(11,058)	(2,554,068)	(4,889,975)
Increase due to Revaluations	448,200	458,081	1,052,958	-	-	-	-	1,959,239	1,058,193
Transfers due to Revaluations	-	(143,275)	(56,527)	-	-	-	-	(199,802)	(683,708)
Disposals	-	-	-	(5,097)	(137,283)	(141,452)	-	(283,832)	(374,115)
Foreign Currency Translation Difference	177,206	3,712	-	15,009	8,368	7,558	-	211,853	23,852
Transfers and Reclassifications	-	-	2,011,492	1,592,871	244,556	200	(3,851,670)	(2,551)	(237,879)
Balance at the End of the Year	4,281,937	3,702,786	4,605,240	5,267,966	5,211,678	860,494	345,509	24,275,610	23,613,532
Accumulated Depreciation/Impairment									
Balance at the Beginning of the Year	-	-	-	1,930,795	3,228,354	914,688	-	6,073,837	6,864,238
Charge for the Year	-	175,747	55,425	290,830	452,939	116,917	-	1,091,858	1,218,744
Disposal of Subsidiaries	-	(33,668)	1,102	(8,544)	(125,810)	(353,315)	-	(520,235)	(1,129,200)
Transfers due to Revaluations	-	(143,275)	(56,527)	-	-	-	-	(199,802)	(683,708)
Disposals	-	-	-	(5,232)	(121,936)	(74,785)	-	(201,953)	(192,286)
Foreign Currency Translation Difference	-	1,196	-	9,313	7,803	9,234	-	27,546	2,327
Transfers and Reclassifications	-	-	-	-	(2,549)	-	-	(2,549)	(6,278)
Balance at the End of the Year	-	-	-	2,217,162	3,438,801	612,739	-	6,268,702	6,073,837
Carrying Value									
At the End of the Year	4,281,937	3,702,786	4,605,240	3,050,804	1,772,877	247,755	345,509	18,006,908	
At the Beginning of the Year	3,656,531	3,356,462	3,210,249	1,333,134	1,736,481	590,430	3,656,408	17,539,695	

Borrowing Cost

Construction of the New Pharmaceutical Manufacturing & Research Facility is financed through Bank Loans and Borrowing cost amounting to LKR 52 Mn (2021 - 109Mn) was capitalised during the year ended 31 March 2022.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

12 PROPERTY, PLANT AND EQUIPMENT CONTD.

12.1.1 Following Companies have stated their properties at revalued amounts. The surplus arising from the revaluation was transferred to Revaluation Reserve.

Professional Valuer : Perera Sivaskantha & Co

Name of Company / Location	No of Buildings	Extent	Method of Valuation and Significant Unobservable Inputs	Range of Estimates for Unobservable Inputs Estimated price per perch/ Estimated price per square foot/ Estimated discount rate	Valuation LKR '000	Date
Hemas Manufacturing (Pvt) Ltd						
Land at Dankotuwa		16A-0R-12.8P	Market Comparable	LKR. 90,000 to 93,750	229,000	3/31/22
Buildings at Dankotuwa - Factory Premises	13	202,585 Sq.ft.	Method	LKR. 2,750 to 7,500	850,500	
			Depreciation rate	20%		
Land at Welisara - Industrial Property		1A-0R-33.12P	Market Comparable	LKR. 975,000	188,250	
Buildings at Welisara - Industrial Property	3	55,094 Sq.ft.	Method	LKR. 2,750 to 7,000	202,000	
			Depreciation rate	42.50%		
Hemas Pharmaceuticals (Pvt) Ltd.						
Land at Hendala, Wattala		1A-0R-17.80P	Market Comparable	LKR. 1,000,000	160,000	3/31/22
Warehouse Building at Hendala, Wattala	2	37,863 Sq. ft.	Method	LKR.4,000 - 7,500	185,300	
			Depreciation rate	35%		
Hemas Hospitals (Pvt) Ltd.						
Leasehold Building at Wattala	2	120,133 Sq.ft.	Investment Method	7%	1,007,897	3/31/22
Hemas Capital Hospital (Pvt) Ltd.						
Leasehold Building at Thalawathugoda	2	60,512 Sq.ft.	Investment Method		605,592	3/31/22

Name of Company / Location	No of Buildings	Extent	Method of Valuation and Significant Unobservable Inputs	Range of Estimates for Unobservable Inputs Estimated price per perch/ Estimated price per square foot/ Estimated discount rate	Valuation LKR '000	Date
Morison Limited						
Land at Aluthmawatha		27.78 P	Investment Method	7%	140,625	3/31/22
Building at Aluthmawatha	1	21,930 Sq.ft.	Depreciation rate	40%	112,600	
Land at Pethiyagoda, Kelaniya		7A 3R 7P	Market Comparable Method	LKR. 100,000 - 800,000	835,500	
Building at Pethiyagoda, Kelaniya	13	83,685 Sq.ft.	Depreciation rate	55%	285,000	
Land at Aluthmawatha		1R - 19.15 P	Investment Method	6.5%	286,000	
Building at Aluthmawatha	1	21,901 Sq.ft.			105,000	
Building on Leasehold land at Pitipana, Homagama		113,310 Sq.ft.	Investment Method	8.5%	2,980,000	
Atlas Axillia Co. (Pvt) Ltd.						
Land at Peliyagoda		28.94 P	Market Comparable Method	LKR 1,400,000	40,500	3/31/22
Land at Peliyagoda		1A 3R 19.5 P		LKR 2,400,000	704,000	
Building at Peliyagoda	3	92,291 Sq.ft.	Depreciation rate	60%	299,000	
Land at Balangoda		1R - 30.70P	Market Comparable Method	LKR 25,000 - 28,000	1,900	
Building at Kandy	2	8,577 Sq. ft.	Market Comparable Method	LKR 450-1,350	8,600	
Building at Kerawalapitiya	1	11,364 Sq. ft.	Market Comparable Method	LKR 200 - 8,300	17,478	
Sanctuary Resorts Wilpattu Lanka (Pvt) Ltd						
Land at Wanathawilluwa		42A 3R 25.17P	Market Comparable Method	LKR 800,000 (Price per Acre)	34,000	3/31/22
Hemas Consumer Brands (Pvt) Ltd.						
Professional Valuer: Ahsan Manzur & Company						
Land at Bhadurpur, Bangladesh		466.63 Decimals	Market Comparable Method	LKR 700,000- LKR 800,000	554,146	3/31/22

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

12 PROPERTY, PLANT AND EQUIPMENT CONTD.

12.1.2 Details of the Investment Properties used by the Group companies are as follows:

Name of Company / Location	No of Buildings	Extent	Method of Valuation and Significant Unobservable Inputs	Range of Estimates for Unobservable Inputs Estimated price per perch/ Estimated price per square foot/ Estimated discount rate	Valuation LKR '000	Date
Professional Valuer : Perera Sivaskantha & Co						
Hemas Holdings PLC						
Freehold Property at Welisara						3/31/22
Land		1A-3R-8P	Market Comparable	LKR 1,100,000 - 1,150,000	275,600	
Building	4	67,300 sq.ft.	Method	LKR 3,750 - 7,500	288,200	
			Sensitivity	+5% - 302 Mn		
				-5% - 274 Mn		
			Depreciation rate	40%		
Freehold Property at Hendala						
Land		2R-4.13P	Market Comparable	LKR 1,500,000	120,000	
Building	1	2,960 sq.ft.	Method	LKR 5,000	7,500	
			Sensitivity	+5% - 7.9 Mn		
				-5% - 7.1 Mn		
			Depreciation rate	50%		
Hemas Developments (Pvt) Ltd.						
Freehold Property at Braybrooke Place						3/31/22
Land		1R-10P	Investment Method			
Building	1	99,372 Sq.ft.	- Gross monthly rental	LKR. 275	720,000	
			- Rate of return	6%	1,367,000	
			Sensitivity	+10% - 2,295 Mn		
				-10% - 1,879 Mn		
			Depreciation rate	30%		

12.1.3 Significant Unobservable Inputs

Description of the above valuation techniques together with narrative descriptions on sensitivity of the fair value measurement to changes in significant unobservable inputs are tabulated below;

Valuation Technique	Significant Unobservable Valuation Inputs	Sensitivity of the Fair Value Measurement to Inputs
Market Comparable Method		
This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent market prices of similar assets, making appropriate adjustments for differences in size, nature, location, condition of specific property. In this process outlier transactions, indicative of particular motivated buyers or sellers are too compensated for since the price may not adequately reflect the fair market value.	Price per perch for Land Price per square foot for building	Estimated fair value would increase (decrease) if; • Price per perch increases/(decreases) • Price per square foot increases/(decreases)
Investment Method		
The investment method is used to value properties which are let to produce an income for the investor. Conventionally, investment value is a product of rent and yield. Each of these elements is derived using comparison techniques.	Gross monthly rental Years from purchase (Present value of 1 unit per period) Void Period	Estimated fair value would increase (decrease) if; • Gross Annual Rental increases/(decreases) • Years from Purchase increases/(decreases) • Void Period increases /(decreases)

12.1.4 During the financial year, the Group acquired Property, Plant and Equipment to the aggregate value of LKR 1,531 Mn (2021-LKR 1,820 Mn) by means of cash.

12.1.5 Carrying Value

Year ended 31 March	Group	
	2022 LKR '000	2021 LKR '000
At Cost	5,416,946	7,307,320
At Valuation	12,589,963	10,223,242
On Finance Lease	-	9,133
	18,006,909	17,539,695

12.1.6 The carrying amount of revalued Freehold Land, Freehold Buildings & Buildings on Leasehold Land if they were carried at cost less depreciation would be as follows,

Year ended 31 March	Cost	Accumulated Depreciation	Net Carrying Amount	
	LKR '000	LKR '000	2022 LKR '000	2021 LKR '000
Freehold Land	869,063	-	869,063	869,063
Building on Freehold Land	5,126,863	1,043,555	4,083,307	2,161,448
Building on Leasehold Land	4,463	3,607	856	1,307,982
	6,000,389	1,047,163	4,953,226	4,338,493

12.1.7 Property, Plant and Equipment includes fully depreciated assets having a gross carrying value of LKR 2,231 Mn (2021-LKR 2,365Mn).

12.2 Company

	Furniture and Fittings LKR '000	Office Equipment LKR '000	Computer Hardware LKR '000	Motor Vehicles LKR '000	Total 2022 LKR '000	Total 2021 LKR '000
Cost or Valuation						
Balance at the Beginning of the Year	80,036	33,905	97,708	107,205	318,854	356,008
Additions	296	-	11,758	-	12,054	26,155
Disposals	-	-	(842)	(12,373)	(13,215)	(63,309)
Balance at the End of the Year	80,332	33,905	108,624	94,832	317,693	318,854
Accumulated Depreciation						
Balance at the Beginning of the Year	66,288	22,925	90,347	64,375	243,934	237,172
Charge for the Year	4,199	2,689	4,855	9,929	21,672	22,941
Disposals	-	-	(842)	(9,505)	(10,347)	(16,178)
Balance at the End of the Year	70,487	25,613	94,360	64,799	255,259	243,935
Carrying value						
At the End of the Year	9,845	8,292	14,264	30,033	62,434	
At the Beginning of the Year	13,748	10,980	7,361	42,830	74,919	

12.2.1 During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of LKR 12 Mn (2021-LKR 26 Mn) by means of cash.

12.2.2 Property, Plant and Equipment includes fully depreciated assets having a gross carrying value of LKR 171 Mn (2021-LKR 148 Mn).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

13 INVESTMENT PROPERTIES

Accounting Policy

Investment property is a property held either to earn rental income or for capital appreciation or both, rather than sale in the ordinary course of business and use in the production or supply of goods or services or for administrative purposes.

Basis of Recognition

Investment Properties are recognised only if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the investment property can be reliably measured.

Basis of Measurement

Investment Properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, Investment Properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of Investment Properties are included in the Statement of Profit or Loss in the period in which they arise.

Investment Properties are derecognised when either they have been disposed of or when the Investment Property is permanently withdrawn from use and no future economic benefit is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised in the Statement of Profit or Loss in the period of de-recognition.

Reclassification to or from Investment Property

Transfers are made to or from Investment Property only when there is a change in use. For a transfer from Investment Property to owner occupied property, the value for subsequent accounting is the fair value at the date of change. If owner occupied property becomes an Investment Property, Group/Company accounts for such property in accordance with the policy stated under Property, Plant and Equipment up to the date of change.

Group companies occupy a significant portion of the Investment Property of a subsidiary, such Investment Properties are treated as Property, Plant and Equipment in the consolidated financial statements, and accounted using Group Accounting Policy for Property, Plant and Equipment.

Accounting Judgement, Estimate and Assumption

Fair value of the Investment Property is ascertained by independent valuations carried out by Chartered valuation surveyors, who have recent experience in valuing properties of similar location and category. Investment Property is appraised in accordance with LKAS 40, SLFRS 13 and the Valuation Standards published by the Institute of Valuers of Sri Lanka and by the RICS, UK. In determining the fair value, the current condition of the properties, future usability and associated re-development requirements have been considered. Further valuers have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are rounded within the range of values.

A sensitivity analysis on these assumptions is included in Note 12.1.

13.1 Group

Year ended 31 March	2022 LKR '000	2021 LKR '000
At the Beginning of the Year	1,942,099	1,647,591
Transfers	-	231,600
Change in Fair Value	158,062	62,908
At the End of the Year	2,100,161	1,942,099
Direct Operating Expenses that did not Generate Rental Income (Including Repair and Maintenance)	(282)	(250)
Net Loss arising from Investment Properties Carried at Fair Value	(282)	(250)

13.1.1 Details of Investment Properties Professional Valuer : Perera Sivaskantha & Co

Name of Company / Location	No of Buildings	Extent	Method of Valuation	Range of Estimates for Unobservable Inputs Estimated price per perch / Estimated price per square foot/ Estimated discount rate	Sensitivity	Valuation LKR '000	Date
Hemas Holdings PLC							
Freehold Land at Tangalle		1A-2R-26.06P	Market Comparable Method	LKR 600,000	+10% - LKR 176 Mn -10% - LKR 144 Mn	160,000	3/31/22
Peace Haven Resorts Limited							
Freehold Land at Tangalle		19A-2R-34.16P	Market Comparable Method	LKR 500,000 - 600,000	+ 10% - LKR 1,865 Mn - 10% - LKR 1,526 Mn	1,695,361	3/31/22
Mowbray Hotels Limited							
Land at Kandy		32A-1R-29P	Market	LKR 45,000	-	233,500	3/31/22
Buildings at Kandy	3	11,134 Sq.ft.	Comparable Method	LKR 3,000 - 4,000	+ 5% - LKR 245.4 - 5% - LKR 244.3 Mn	11,300	

Description of the above valuation techniques together with narrative descriptions on sensitivity of the fair value measurement to changes in significant unobservable inputs are the same as disclosed in Note 13.1.1 and 13.2.1.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

13 INVESTMENT PROPERTIES CONTD.

13.2 Company

Year ended 31 March	2022 LKR '000	2021 LKR '000
At the Beginning of the Year	728,800	699,300
Change in Fair Value	122,500	29,500
At the End of the Year	851,300	728,800
Rental Income Derived from Investment Properties	26,264	25,013
Direct Operating Expenses Generating Rental Income (Including Repair and Maintenance)	(2,400)	(1,043)
Direct Operating Expenses that did not Generate Rental Income (Including Repair and Maintenance)	(10)	(7)
Net Profit arising from Investment Properties Carried at Fair Value	23,854	23,963

13.2.1 Details of Investment Properties

Professional Valuer : Perera Sivaskantha & Co

Name of Company / Location	No of Buildings	Extent	Method of Valuation	Range of Estimates for Unobservable Inputs		Valuation	Date
				Estimated price per perch/	Sensitivity		
				Estimated price per square foot/ Estimated discount rate			
LKR '000							
Freehold Property at Welisara							
Land		1A-3R-8P	Market	LKR 1,100,000 - 1,150,000	+5% - LKR 303 Mn	275,600	3/31/22
Building	4	67,300 sq.ft.	Comparable Method	LKR 3,750 - 7,500	-5% - LKR 274 Mn	288,200	
Freehold Property at Hendala							
Land		2R-4.13P	Market	LKR 1,500,000	+5% - LKR 7.88 Mn	120,000	
Building	1	2,960 sq.ft.	Comparable Method	LKR 5,000	-5% - LKR 7.13 Mn	7,500	
Freehold Property at Tangalle							
Land		1A-2R-26.06P	Market	LKR 600,000	+10% - LKR 176 Mn	160,000	
			Comparable Method		-10% - LKR 144 Mn		

14 RIGHT-OF-USE ASSETS & LEASE LIABILITIES

Accounting Policy

The Group/ Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a Lessee

The Group/ Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low value assets. The Group

recognises lease liabilities to make lease payments and Right-of-Use Assets representing the right to use the underlying assets.

The Group/ Company only reassesses whether a contract is, or contains, a lease subsequent to initial recognition if the terms and conditions of the contract are changed.

Right-of-Use Assets

The Group/ Company recognises Right-of-Use Assets when the underlying asset is available for use. Right-of-Use Assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of Right-of-Use Assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group/ Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised Right-of-Use Assets are depreciated on a straight line basis over the shorter of its estimated useful life or the lease term. If ownership of the leased asset transfers to the Group/ Company at the end of the lease term or the cost reflects the exercise of a purchase option, amortisation is calculated using the estimated useful life of the asset (Land and Building 2-30 years). Right-of-Use Assets are subject to impairment.

Lease Liabilities

At the commencement date of the lease, the Group/ Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate.

In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset. The Group's lease liabilities are included in Interest-bearing loans and borrowings.

Short-term Leases and Leases of Low-value Assets

The Group applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight line basis over the lease term.

Group does not anticipate discontinuation of any Right-of-Use Assets as at the reporting date and the lease liability is not reassessed as there are no known moratoriums received for the lease payments so far.

Group as a Lessor

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the statement of profit or loss due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

Set out below, are the carrying amounts of the Group's Right-of-Use Assets and lease liabilities (Included under Interest Bearing Borrowings) and the movements for the period ended 31 March 2022.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

14 RIGHT-OF-USE ASSETS CONTD.

14.1 Right-of-Use Assets

Carrying Value	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
At the Beginning of the Year	1,878,697	2,028,296	-	51,920
Additions	187,004	286,188	112,446	-
Amortisation	(292,945)	(293,869)	(56,223)	(51,920)
Disposal of Subsidiaries	(609,128)	(143,409)	-	-
Transfers	14,025	1,491	-	-
At the End of the Year	1,177,653	1,878,697	56,223	-

Right-of-Use Assets represent the land and buildings.

14.2 Lease Liabilities

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
At the Beginning of the Year	1,366,446	1,416,675	-	54,373
Additions	174,080	283,501	112,446	-
Disposal of Subsidiaries	(3,924)	(173,097)	-	-
Interest Expense	163,635	171,840	4,426	3,456
Payments	(419,554)	(334,242)	(59,328)	(57,829)
Exchange Difference	22,425	1,769	-	-
At the End of the Year	1,303,108	1,366,446	57,544	-
Current	210,198	245,976	57,544	-
Non-Current	1,092,910	1,120,470	-	-
Total	1,303,108	1,366,446	57,544	-

The following are the amounts recognised in the Statement of Profit or Loss from Continuing Operation:

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Amortisation Expense of Right-of-Use Assets	292,945	293,869	56,223	51,920
Interest Expense on Lease Liabilities	163,635	155,273	4,426	3,456
Expense Relating to Short-Term Leases and Low Value Assets	128,796	114,425	-	-

15 INTANGIBLE ASSETS

Accounting Policy

Basis of Recognition

Intangible Assets are recognised if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Basis of Measurement

Intangible Assets acquired separately are measured on initial recognition at cost. The cost of Intangible Assets acquired in a business combination is recognised at their fair value as at the date of acquisition. Following initial recognition, Intangible Assets are carried at cost less accumulated amortisation and accumulated impairment losses, if any. Internally generated Intangible Assets (excluding capitalised development costs) are not capitalised and expenditure is reflected in the Statement of Profit or Loss in the year in which the expenditure is incurred.

Purchased Software

Purchased software is recognised as an Intangible Asset and is amortised on a straight line basis over its useful life.

Research and Development Costs

Research costs are expensed as incurred. Intangible Assets arising from development expenditure on an individual project is recognised only when the Group can demonstrate, the technical feasibility of completing the Intangible Assets so that it will be available for use or sale, its intention to complete and its ability to use or sell the assets, how the assets will generate future economic benefits, the availability of resources to complete the assets and the ability to measure reliably the expenditure during the development.

During the period of development, the assets are tested for impairment annually. Following the initial recognition of the development expenditure, the cost model is applied requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses. Amortisation of the assets begins when development is completed and the asset is available for use. It is amortised over the period of expected future benefit. During the period where the asset is not yet in use it is tested for impairment annually.

Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in Intangible Assets. Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for Non-Controlling Interests over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the gain is recognised in Statement of Profit or Loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses.

Where goodwill has been allocated to a cash generating unit (CGU) and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the CGU retained.

In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and an impairment loss on such an investment is allocated to the carrying amount of the equity accounted investee.

Useful economic lives, Amortisation / Impairment

The useful lives of Intangible Assets are assessed as either finite or indefinite.

Intangible Assets with finite lives are amortised over their useful economic lives and assessed for impairment whenever there is an indication that the Intangible Asset may be impaired. The amortisation period and the amortisation method for an Intangible Asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on Intangible Assets with finite lives is recognised in the Statement of Profit or Loss in the expense category consistent with the function of the Intangible Assets.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

15 INTANGIBLE ASSETS CONTD.

Intangible Assets with infinite useful lives are not amortised, but are tested for impairment annually, either individually or at the Cash Generating Unit (CGU) level. The assessment of infinite life is reviewed annually to determine whether the infinite life continues to be supportable. If not, the change in useful life from infinite to finite is made on a prospective basis. Impairment is

determined for goodwill by assessing the recoverable amount of each CGU (or Group of CGUs) to which the goodwill relates. Where the recoverable amount of the CGU is less than their carrying amount, an impairment loss is recognised.

Impairment losses relating to goodwill cannot be reversed in future periods.

A summary of the policies applied to the Group's Intangible assets, is as follows;

Intangible Assets	Useful Life	Type	Subsequent Measurement	Rate
Software	Finite	Acquired	Amortisation	10% - 33.3%
Brands	Finite / Indefinite	Acquired	Amortisation/ Tested for Impairment	6.7% - 10%
Goodwill	Indefinite	Acquired	Tested for Impairment	-

Derecognition

Gains or Losses arising from derecognition of an Intangible Asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss when the asset is derecognised.

Accounting Judgement, Estimate and Assumption

Recoverable amounts of the CGU have been ascertained based on value in use calculations and the assumptions used are as follows.

Goodwill The business acquisition to which the goodwill is attributable is valued based on the earnings growth method. Assumptions applied in such computations are reviewed each year.

Brands Brands are valued based on the earnings growth method, and assumptions applied are reviewed each year.

The key assumptions used to determine the recoverable amount for the different CGUs, are as follows;

Variable	Assumptions Used	Sensitivity		
		Change	Impact on Value In Use	Impact on Goodwill
Discount Rate	The discount rate used is the risk free rate, adjusted by the addition of an appropriate risk premium. 14% - 18% (2021 - 10% - 14%).	Increases By 1%	-10.2%	No Impact
		Decreases By 1%	12.2%	No Impact
Long-Term Growth Rate for Cash Flows for Subsequent Years	Based on historical growth rate and business plan. (2%- 4%) (2021 - 2% - 4%)	Increases By 1%	17.5%	No Impact
		Decreases By 1%	2.2%	No Impact
Inflation Rate	Based on the current inflation rate and the percentage of the total cost subject to the inflation.			

Above assumptions are affected by expected future market and future economic conditions

15.1 Group

	Software LKR '000	Brands LKR '000	Goodwill on Consolidation LKR '000	Total 2022 LKR '000	Total 2021 LKR '000
Cost					
Balance at the Beginning of the Year	607,889	1,150,721	2,107,436	3,866,046	4,193,697
Additions	102,033	-	-	102,033	73,498
Transfers	(4,589)	-	-	(4,589)	16,664
Foreign Currency Translation Difference	11,730	-	-	11,730	-
Disposal of Subsidiaries	(32,394)	-	-	(32,394)	(139,084)
Disposals	-	-	-	-	(74,947)
Balance at the End of the Year	684,669	1,150,721	2,107,436	3,942,826	4,069,828
Accumulated Amortisation/Impairment					
Balance at the Beginning of the Year	409,718	166,710	-	576,428	754,572
Amortisation	76,543	-	-	76,543	83,935
Transfers	-	-	-	-	1,152
Disposal of Subsidiaries	(16,541)	-	-	(16,541)	(3,396)
Foreign Currency Translation Difference	10,932	-	-	10,932	-
Disposals	-	-	-	-	(56,053)
Balance at the End of the Year	480,652	166,710	-	647,362	780,210
Carrying Value					
At the End of the Year	204,017	984,011	2,107,436	3,295,464	
At the Beginning of the Year	198,171	984,011	2,107,436	3,289,618	

The aggregate carrying amount of goodwill allocated to each CGU is as follows ;

	2022 LKR '000	2021 LKR '000
Morison Limited	259,288	259,288
Atlas Axillia Company (Pvt) Ltd.	1,848,148	1,848,148
	2,107,436	2,107,436

15.2 Company

	Software 2022 LKR '000	2021 LKR '000
Cost		
Balance at the Beginning of the Year	254,093	238,599
Additions	375	-
Transfers	-	15,494
Balance at the End of the Year	254,468	254,093
Accumulated Amortisation		
Balance at the Beginning of the Year	172,529	138,702
Amortisation	31,657	33,827
Balance at the End of the Year	204,186	172,529
Carrying Value	50,282	81,564

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

16 INVESTMENT IN SUBSIDIARIES

Accounting Policy

Investment in Subsidiaries are initially recognised at cost in the Financial Statements of the Company. Any transaction cost relating to acquisition of subsidiaries

are immediately recognised in the Statement of Profit or Loss. Following initial recognition, investment in subsidiaries are carried at cost less any accumulated impairment losses.

	Direct Holding		Direct Investment	
	2022	2021	2022 LKR '000	2021 LKR '000
Non-Quoted Investments				
Hemas Corporate Services (Pvt) Ltd.	100%	100%	39,891	39,891
Hemas Developments (Pvt) Ltd.	100%	100%	909,869	909,869
Hemas Manufacturing (Pvt) Ltd.	100%	100%	914,295	914,295
Hemas Pharmaceuticals (Pvt) Ltd.	100%	100%	213,331	213,331
Hemas Surgicals and Diagnostics (Pvt) Ltd.	100%	100%	23,957	23,957
Exchange & Finance Investments (Pvt) Ltd.	100%	100%	9,412	9,412
Leisure Asia Investments Ltd.	100%	100%	5,533,371	5,533,371
Hemas Transportation (Pvt) Ltd.	100%	100%	723,029	723,029
Far Shipping Lanka (Pvt) Ltd.	100%	100%	3,000	3,000
Hemas Hospitals (Pvt) Ltd.	85%	85%	2,547,122	2,547,122
Hemas COE (Pvt) Ltd.	100%	100%	6,172	6,172
Concept Ventures (Pvt) Ltd.	100%	100%	292,024	292,024
Atlas Axillia Co. (Pvt) Ltd.	75%	75%	5,658,706	5,658,706
Morison Limited	0%	0%	126	126
Morlan (Pvt) Ltd.	100%	-	894,850	-
Magnicare (Pvt) Ltd.	100%	-	50	-
Kyannmar Pharmaceuticals (Pvt) Ltd.	100%	-	127,789	-
			17,896,994	16,874,305
Impairment of Investment in;				
FAR Shipping Lanka (Pvt) Ltd.			(3,000)	(3,000)
Exchange & Finance Investments (Pvt) Ltd.			(9,412)	(9,412)
Concept Ventures (Pvt) Ltd.			(292,024)	(292,024)
			(304,436)	(304,436)
Total			17,592,558	16,569,869

17 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

Accounting Policy

An Associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies

A Joint Venture is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the Joint Venture. Joint Control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The considerations made in determining significant influence or joint control are similar to those necessary to determine control over subsidiaries.

The Group's investments in its Associates and Joint Ventures are accounted for using the equity method.

Under the equity method, the investment in an Associate or Joint Venture is initially recognised at cost. The carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of the Associate or Joint Venture since the acquisition date.

Goodwill relating to the Associate or Joint Venture is included in the carrying amount of the investment and is not tested for impairment individually.

The Statement of Profit or Loss reflects the Group's share of the results of operations of the Associate or Joint Venture (Net of Tax). Any change in Other Comprehensive Income of those investees is presented as a part of the Group's Other Comprehensive Income. In addition, when there has been a change recognised directly in the equity of the Associate or Joint Venture, the Group recognises its share of any changes, when applicable, in the Statement of Changes in Equity. Unrealised gains and losses resulting from transactions between the Group and the Associate or Joint Venture are eliminated to the extent of the interest in the Associate or Joint Venture.

The aggregate of the Group's share of profit or loss of an Associate and a Joint Venture is shown on the face of the Statement of Profit or Loss and represents profit or loss after tax.

Share of losses are recognized only to the extent that the investment becomes zero.

The Financial Statements of Associates and Joint Ventures are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in Associate or Joint Venture. At each reporting date, the Group determines whether there is objective evidence that the investment in the Associate or Joint Venture is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the Associate or Joint Venture and its carrying value, and then recognises the loss in the 'Share of results of Associates and Joint Ventures' in the Statement of Profit or Loss.

Upon loss of significant influence over the Associate or Joint Control over the Joint Venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the Associate or Joint Venture upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognised in Statement of Profit or Loss.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

17 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES CONTD.

	Note	2022 LKR '000	2021 LKR '000
Investment in Joint Ventures	17.1	-	428,598
Investment in Associates	17.2	85,088	127,928
		85,088	556,526

	Share of Profit or Loss		Share of Other Comprehensive Income	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Investment in Joint Ventures	(554,352)	(374,444)	125,754	101,581
Investment in Associates	29,288	41,104	(229)	(102)
	(525,064)	(333,340)	125,525	101,479

17.1 Investment in Joint Ventures

	Holding		2022 LKR '000	2021 LKR '000
	2022	2021		
Unquoted				
Cost				
PH Resorts (Pvt) Ltd.	50%	50%	1,411,398	1,411,398
			1,411,398	1,411,398
Cumulative Loss Accruing to the Group Net of Dividend			(1,479,300)	(924,948)
Cumulative Other Comprehensive Income Accruing to the Group			67,902	(57,852)
Share of Net Assets Disposed/ Transferred During the Year			-	
			(1,411,398)	(982,800)
Carrying Amount of the Investment			-	428,598

	2022 LKR '000	2021 LKR '000
Group Share of Joint Venture's Statement of Profit or Loss;		
Share of the Joint Venture Revenue	685,887	90,728
Share of the Joint Venture Losses Before Tax	(550,323)	(371,848)
Share of the Joint Venture Losses After Tax	(554,352)	(374,444)
Share of the Joint Venture Other Comprehensive Income		
To be Reclassified to Profit or Loss in Subsequent Periods (Net of Tax)	(44,247)	(41,145)
To be Reclassified to Profit or Loss in Subsequent Periods (Net of Tax)	170,230	142,726

Details of the Commitments and Contingencies are given in Note 33 to these financial statements.

17.2 Investment in Associates

	Holding		2022 LKR '000	2021 LKR '000
	2022	2021		
Unquoted				
Pulz Solutions (Pvt) Ltd.	30%	30%	6,500	6,500
Hire 1 Technologies (Pvt) Ltd.	20%	20%	29,500	29,500
VulcanD (Pvt) Ltd.	20%	20%	10,000	10,000
FAR Shipping Agency (Pvt) Ltd.	36%	36%	132,028	132,028
			178,028	178,028
Cumulative Loss Accruing to the Group Net of Dividend			(53,025)	(10,414)
Cumulative Other Comprehensive Income Accruing to the Group			(331)	(102)
Impairment of Investment in Associate			(39,584)	(39,584)
Carrying Amount of the Investment			85,088	127,928

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

17 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES CONTD.

Summarised Financial Information of Associate

	2022 LKR '000	2021 LKR '000
Group Share of Associates' Statement of Financial Position;		
Current Assets	251,730	153,304
Non-Current Assets	1,710	2,230
Current Liabilities	(165,613)	(25,065)
Non-Current Liabilities	(2,739)	(2,541)
Carrying Amount of Associates	85,088	127,928
Group Share of Associates' Statement of Profit or Loss;		
Share of the Associate Revenue	40,346	88,348
Share of the Associate Losses Before Tax	33,878	41,301
Share of the Associate Losses After Tax	29,288	41,104
Share of the Associate Other Comprehensive Income		
To be Reclassified to Profit or Loss in Subsequent Periods (Net of Tax)	(229)	(102)

Details of the Commitments and Contingencies are given in Note 34 to these financial statements.

18 LEASE RECEIVABLES

The assets are reported as receivables at an amount equal to the net investment in the lease. Lease income from finance leases is recognised over the term of the lease based on the effective interest rate method.

	2022 LKR '000		2021 LKR '000	
	Gross Investment in Lease	Present Value of Minimum Lease Receipts	Gross Investment in Lease	Present Value of Minimum Lease Receipts
Non-Current - Between One to Five Years	129,960	125,306	144,678	139,939
Current	66,400	59,520	72,515	65,053
	196,360	184,826	217,193	204,992

19 FINANCIAL INSTRUMENT

Accounting Policy

Recognition and Initial Measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

Classification and Subsequent Measurement

Financial Assets

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (FVOCI) and fair value through profit or loss (FVPL).

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at FVOCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

19 FINANCIAL INSTRUMENT CONTD.

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss. The Group did not classify any instrument under this category as of 31 March 2022
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss. The Group's financial assets at amortised cost includes trade receivables, loans to an employees, loans to related parties and other investments included under other financial assets.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss. The Group elected to classify irrevocably its listed and non-listed equity investments under this category.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Financial Liabilities

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in Statement of Profit or Loss.

Derecognition

Financial Assets

The Group derecognises a financial asset when:

- the contractual rights to the cash flows from the financial asset expire; or
- it transfers the rights to receive the contractual cash flows in a transaction in which either:
- substantially all of the risks and rewards of ownership of the financial asset are transferred; or

The Group enters into transactions whereby it transfers assets recognised in its Statement of Financial Position, but

retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

Financial Liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expired. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the Consolidated Statement of Financial Position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

Derivative Financial Instruments and Hedge Accounting

Initial Recognition and Subsequent Measurement

The Group uses derivative financial instruments, such as forward currency contracts, interest rate swaps to hedge its foreign currency risks and interest rate risks respectively. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

At the inception of a hedge relationship, the Group formally designates and documents the hedge relationship to which it wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

The documentation includes identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Group will assess whether the hedging relationship meets the hedge effectiveness requirements (including the analysis of sources of hedge ineffectiveness and how the hedge ratio is determined). A hedging relationship qualifies for hedge accounting if it meets all of the following effectiveness requirements:

- There is 'an economic relationship' between the hedged item and the hedging instrument.
- The effect of credit risk does not 'dominate the value changes' that result from that economic relationship.
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged

The item that the Group actually hedges and the quantity of the hedging instrument that the Group actually uses to hedge that quantity of hedged item.

Hedges that meet all the qualifying criteria for hedge accounting are accounted for, as described below:

Cash Flow Hedges

When a derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognised in OCI and accumulated in the hedging reserve. The effective portion of changes in the fair value of the derivative that is recognised in OCI is limited to the cumulative change

in fair value of the hedged item, determined on a present value basis, from inception of the hedge. Any ineffective portion of changes in the fair value of the derivative is recognised immediately in Statement of Profit or Loss.

The Group designates only the change in fair value of the spot element of forward exchange contracts as the hedging instrument in cash flow hedging relationships. The change in fair value of the forward element of forward exchange contracts ('forward points') is separately accounted for as a cost of hedging and recognised in a costs of hedging reserve within equity.

Cross Currency SWAP

The Group uses cross currency swaps (CCS) to hedge the interest rate risk and exchange rate risk arising from a floating rate borrowing denominated in foreign currencies. The hedge type is designated as cash flow hedge since the Group is expecting to hedge the variability arise by the interest rate risk and exchange rate risk, where the US Dollar borrowing can be identified as the hedged item, the CCS can be identified as the hedge instrument and interest rate risk and exchange rate risk can be identified as the hedged risk.

The economic relationship between the hedged item (currency outflows for repayments of foreign currency loan) and the hedging instrument (inflows from cross currency SWAP) is such that it moves in an opposite direction as a result of the common underlying or hedged risk.

The Group has established a hedge ratio of 1:1 between the quantity of the hedging instrument and the quantity of the hedged item in terms of their relative weighting. Moreover, the hedge effectiveness is set at 100% as per the contractual terms where the fair value change in the hedge instrument is 100% efficient in offsetting the fair value change of the liability.

The fair value is calculated as the present value of the estimated future cash flows. Estimates of future floating rate cash flows are based on quoted swap rates, futures prices and interbank borrowing rates. Estimated cash flows are discounted using a yield curve constructed from similar sources and which reflects the relevant benchmark interbank rate used by market participants for this purpose when pricing interest rate swaps.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

19 FINANCIAL INSTRUMENT CONTD.

Impairment of Financial Assets

The Company recognises an allowance for Expected Credit Losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for

credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables and contract assets, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward looking factors to the economic environment.

19.1 Financial Assets

	Note	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Quoted Equity Shares	19.1.1.1	64,319	52,948	11,652	9,549
Unquoted Equity Shares	19.1.1.1	49,750	49,750	-	-
		114,069	102,698	11,652	9,549
Loans to Company Employees		85,443	107,276	3,503	5,245
Loans Due from Related Parties	19.1.2.1	-	-	-	370,648
Advances/Refundable Deposits		70,837	72,557	-	-
Derivative Assets		298,848	36,026	-	-
Other Investments		100	100	-	-
		455,228	215,959	3,503	375,893
Total Financial Assets		569,297	318,657	15,155	385,442
Total Non-Current	19.1.1	210,100	208,979	14,023	12,987
Total Current	19.1.2	359,197	109,678	1,132	372,453

19.1.1 Other Financial Assets - Non Current

	Note	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Investment In Equity Securities	19.1.1.1	114,069	102,698	11,652	9,549
Loans to Company Employees		25,194	33,724	2,371	3,438
Refundable Deposits		70,837	72,557	-	-
		210,100	208,979	14,023	12,987

19.1.2 Other Financial Assets - Current

	Note	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Loans to Company Employees		60,249	73,552	1,132	1,805
Loans Due From Related Parties	19.1.2.1	-	-	-	370,648
Derivative Assets		298,848	36,026	-	-
Other Investments		100	100	-	-
		359,197	109,678	1,132	372,453

19.1.1.1 Investment In Equity Securities - Non Current (a) Quoted

	No. of Shares		Carrying Value		Fair Value	
	2022	2021	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Group						
Overseas Realty (Ceylon) PLC	1,000	1,000	16	14	16	14
Eden Hotels Lanka PLC	127	127	2	1	2	1
Galadari Hotels PLC	1,500	1,500	22	12	22	12
CT Holdings PLC	10,934	10,934	1,657	1,859	1,657	1,859
CIC Holdings PLC	296	296	11	15	11	15
Royal Palm Beach Hotels PLC	85	85	1	1	1	1
Hayleys PLC	13	13	1	1	1	1
Lankem Ceylon PLC	50	50	1	1	1	1
John Keells Holdings PLC	2,377	2,377	345	330	345	330
Merchantile Shipping Company PLC	484,334	484,334	-	-	-	-
Dolphin Hotel PLC	2,069,955	2,069,955	62,264	50,714	62,264	50,714
			64,319	52,948	64,319	52,948
Company						
Overseas Realty (Ceylon) PLC	500	500	8	8	8	8
John Keells Holdings PLC	2,081	2,081	302	309	302	309
Merchantile Shipping Company PLC	484,334	484,334	-	-	-	-
Dolphin Hotel PLC	376,808	376,808	11,342	9,232	11,342	9,232
			11,652	9,549	11,652	9,549

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

19 FINANCIAL INSTRUMENT CONTD.

19.1.1.1 Investment In Equity Securities - Non Current

(b) Unquoted

	No. of Shares		Carrying Value	
	2022	2021	2022 LKR '000	2021 LKR '000
Group				
Jada Resorts and Spa (Pvt) Ltd.	29,086,200	29,086,200	-	-
Digital Healthcare Solutions (Pvt) Ltd. - Preference Shares	3,950,000	3,950,000	-	-
Acorn Ventures (Pvt) Ltd.	4,975,000	4,975,000	49,750	49,750
			49,750	49,750
Company				
Jada Resorts and Spa (Pvt) Ltd.	29,086,200	29,086,200	-	-
			-	-
Total				
Group			114,069	102,698
Company			11,652	9,549

19.1.2.1 Loans Due From Related Parties

	Relationship	Company	
		2022 LKR '000	2021 LKR '000
Hemas Pharmaceuticals (Pvt) Ltd.	Subsidiary	-	155,648
Morision Limited	Subsidiary	-	200,000
Hemas Surgical and Diagnostics (Pvt) Ltd.	Subsidiary	-	15,000
		-	370,648
Current		-	370,648
Non-current		-	-

Terms and Conditions

- Security - Unsecured
- Repayment -To be Repaid on Demand
- Interest - Based on Market Rates (AWPLR + Margin)

19.2 Financial Assets and Liabilities by Categories

	Note	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Financial Assets					
Financial Assets at Amortised Cost					
Trade and Other Receivables (Excluding Advance and Prepayments)	21	17,289,425	12,701,835	251,613	225,509
Other Financial Assets					
Loans to Company Employees	19	85,443	107,276	3,503	5,245
Loans Due from Related Parties	19	-	-	-	370,648
Refundable Deposits	19	70,837	72,557	-	-
Other Investments	19	100	100	-	-
Cash and Short-Term Deposits	28	13,894,926	8,458,109	90,348	213,340
Financial Assets at FVOCI					
Equity Share Investments	19	114,069	102,698	11,652	9,547
Derivative Assets	19	298,848	36,026	-	-
Financial Liabilities					
Loans & Borrowings					
Interest Bearing Loans and Borrowings	24	4,467,979	5,089,072	-	-
Loans Due to Related Parties	24	-	-	1,131,400	275,000
Lease Liability	14	1,303,109	1,366,446	57,544	-
Trade and Other Payables	27	27,165,394	17,947,195	795,540	408,984
Bank Overdraft	28	796,181	504,070	822	-
Other Financial Liabilities					
Preference Shares	25	275,000	275,000	-	-
Rent Deposits/Advances	25	1,538	2,518	-	-
Put Option over Non-Controlling Interest	25	2,272,299	1,973,244	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

20 INVENTORIES

Accounting Policy

Inventories are valued at the lower of cost and net realisable value.

Costs incurred in bringing each product to its present location and condition is accounted for as follows:

- Raw Materials - Weighted Average basis.
- Finished Goods and Work In Progress - at cost of direct materials, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity.

- Consumables and Spares - at actual cost on First In First Out basis.
- Goods In Transit and Other Stocks - at Actual Cost.
- Medical Supplies - at actual cost on First In First Out basis.

Net realisable value (NRV) is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs to sell.

	2022 LKR '000	2021 LKR '000
Raw Materials	2,868,650	2,826,454
Work In Progress	266,452	213,383
Finished Goods & Other Stocks	12,823,017	12,175,165
Goods In Transit	1,176,198	597,348
Less: Provision for Obsolete Stocks	(327,197)	(361,770)
	16,807,120	15,450,580

21 TRADE AND OTHER RECEIVABLES

	Note	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Trade Receivables					
-Related Parties	21.1	-	-	156,240	187,196
-Others		14,329,370	10,940,655	11,038	15,030
		14,329,370	10,940,655	167,278	202,226
Less: Allowance for Impairment					
-Related Parties		-	-	(32,104)	(36,849)
-Others		(570,233)	(806,891)	(1,849)	(1,934)
		(570,233)	(806,891)	(33,953)	(38,783)
		13,759,137	10,133,764	133,325	163,443
Other Receivables					
-Related Parties	21.2	-	-	75,694	49,973
-Others		3,530,288	2,568,071	42,594	12,093
Advances and Prepayments		2,482,370	952,746	40,345	15,955
		19,771,795	13,654,581	291,958	241,464

The Age Analysis of Trade Receivables as at 31 March, is as follows:

Group	Past due but not impaired						
	Total	Neither due nor impaired	< 30 days	31-60 days	61-90 days	91-120 days	> 120 days
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
2022	14,329,370	8,102,756	3,805,615	822,549	435,274	470,883	692,293
2021	10,940,655	6,992,358	2,175,502	707,935	110,332	113,995	840,533

Company	Past due but not impaired						
	Total	Neither due nor impaired	< 30 days	31-60 days	61-90 days	91-120 days	> 120 days
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
2022	167,278	72,215	9,113	23,977	10,670	2,162	49,142
2021	202,226	46,185	24,713	26,863	24,135	30,826	49,505

Movements in the allowance for impairment of Trade Receivables;

Group	Group			Company		
	Individually Impaired	Collectively Impaired	Total	Individually Impaired	Collectively Impaired	Total
	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
As at 1 April 2020	140	824,334	824,474	-	89,633	89,633
Charge for the Year	-	27,303	27,303	-	(50,850)	(50,850)
Disposal of Subsidiary	(140)	(26,280)	(26,420)	-	-	-
Transfers	163,025	(163,025)	-	-	-	-
Write off	-	(18,466)	(18,466)	-	-	-
As at 31 March 2021	163,025	643,866	806,891	-	38,783	38,783
Charge/ (Reversal) for the Year	-	88,071	88,071	-	(4,829)	(4,829)
Disposal of Subsidiary	(163,025)	(119,963)	(282,988)	-	-	-
Write off	-	(41,601)	(41,601)	-	-	-
As at 31 March 2022	-	570,233	570,233	-	33,953	33,953

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

21 TRADE AND OTHER RECEIVABLES CONTD.

21.1 Trade Dues From Related Parties

	Relationship	Company	
		2022 LKR '000	2021 LKR '000
Hemas Pharmaceuticals (Pvt) Ltd.	Subsidiary	3,098	4,412
Hemas Corporate Services (Pvt) Ltd.	Subsidiary	145	142
Hemas COE (Pvt) Ltd.	Subsidiary	1,870	1,604
Hemas Hospitals (Pvt) Ltd.	Subsidiary	7,464	3,840
Hemas Capital Hospital (Pvt) Ltd.	Subsidiary	2,286	607
Hemas Surgicals & Diagnostics (Pvt) Ltd.	Subsidiary	9	43
Hemas Manufacturing (Pvt) Ltd.	Subsidiary	55,341	102,592
Forbes Air Services (Pvt) Ltd.	Subsidiary	253	231
Hemas Developments (Pvt) Ltd.	Subsidiary	62	52
Far Shipping Agency Lanka (Pvt) Ltd.	Associate	129	-
Hemas Transportation (Pvt) Ltd.	Subsidiary	581	70
PH Resorts (Pvt) Ltd.	Joint Venture	5,690	29,683
Morison Limited	Subsidiary	536	3,497
Spectra Integrated Logistics (Pvt) Ltd.*	Subsidiary	-	204
Spectra Logistics (Pvt) Ltd.*	Subsidiary	-	4,286
Hemas Maritime (Pvt) Ltd.	Subsidiary	99	158
Hemas Consumer Brands (Pvt) Ltd.	Subsidiary	77,989	35,307
Hemas Mandalar Pharmaceutical Limited.*	Subsidiary	-	305
Evergreen Shipping Agency Lanka (Pvt) Ltd.	Subsidiary	21	73
Atlas Axillia Company (Pvt) Ltd.	Subsidiary	509	88
Mazu Shipping (Pvt) Ltd.	Subsidiary	145	-
Life Connect Solutions (Pvt) Ltd.	Subsidiary	10	-
Healthnet International (Pvt) Ltd.	Subsidiary	1	-
		156,240	187,196

21.2 Other Dues From Related Parties

	Relationship	Company	
		2022 LKR '000	2021 LKR '000
Hemas Manufacturing (Pvt) Ltd.	Subsidiary	41,545	18,694
Hemas Development (Pvt) Ltd.	Subsidiary	30	-
Hemas Corporate Services (Pvt) Ltd.	Subsidiary	420	940
Forbes Air Services (Pvt) Ltd.	Subsidiary	6	287
Hemas COE (Pvt) Ltd.	Subsidiary	419	309
Hemas Surgicals and Diagnostics (Pvt) Ltd.	Subsidiary	33	31
Hemas Hospitals (Pvt) Ltd.	Subsidiary	13,760	1,258
Far Shipping Agency Lanka (Pvt) Ltd.	Associate	5	22
Hemas Pharmaceuticals (Pvt) Ltd.	Subsidiary	2,415	17,864
Leisure Asia Investments Ltd.	Subsidiary	18	
Hemas Transportation (Pvt) Ltd.	Subsidiary	1,223	152
Evergreen Shipping Agency Lanka (Pvt) Ltd	Subsidiary	9	
Hemas Maritime (Pvt) Ltd.	Subsidiary	1	85
Morison Limited	Subsidiary	6,345	2,290
Spectra Logistics (Pvt) Ltd.*	Subsidiary	-	410
Hemas Consumer Brands (Pvt)Ltd.	Subsidiary	4,199	4,199
Mazu Shipping (Pvt) Ltd.	Subsidiary	-	6
Atlas Axillia Company (Pvt) Ltd.	Subsidiary	5,265	3,416
Hemas Mandalar Pharmaceutical Limited*	Subsidiary	-	10
		75,694	49,973

* Pursuant to the disposal of subsidiaries, receivable balances as at 31 March 2022 from these entities (Note 21) are reclassified to "Receivables - Others".

22 STATED CAPITAL

22.1 Fully Paid Ordinary Shares

	2022		2021	
	Number	LKR '000	Number	LKR '000
Balance at the Beginning of the Year	596,546,025	7,776,111	596,043,425	7,734,054
Exercise of Share Options	-	-	502,600	42,057
Balance at the End of the Year	596,546,025	7,776,111	596,546,025	7,776,111

22.2 Rights, Preferences and Restrictions of Classes of Capital

The holders of Ordinary Shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at a meeting of the Company.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

22 STATED CAPITAL CONTD.

22.3 Share Based Payment Scheme

Accounting Policy

Employees of the Group receive remuneration in the form of share-based payment transactions, whereby employees render services as consideration for equity instruments (equity settled transactions).

In situations where equity instruments are issued and some or all of the goods or services received by the entity as consideration cannot be specifically identified, the unidentified goods or services received (or to be received) are measured as the difference between the fair value of the share-based payment transaction and the fair value of any identifiable goods or services received at the grant date.

The Group applies SLFRS 2, Share based payments in accounting for employee remuneration in the form of shares.

Equity-Settled Transactions

The cost of Equity-Settled Transactions is recognised, together with a corresponding increase in other Capital Reserves in equity, over the period in which the performance and/or service conditions are fulfilled. The cumulative expense recognised for equity settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Company's best estimate of the number of equity instruments that will ultimately vest. The expense or credit in the Statement of Profit or Loss for a period represents the movement in cumulative expense

recognised as at the beginning and end of that period and is recognised in employee benefits expense.

No expense is recognised for awards that do not ultimately vest, except for equity-settled transactions for which vesting is conditional upon a market or non-vesting condition. These are treated as vesting irrespective of whether or not the market or non-vesting condition is satisfied, provided that all other performance and/or service conditions are satisfied.

When the terms of an equity-settled award are modified, the minimum expense recognised is the expense had the terms had not been modified, if the original terms of the award are met. An additional expense is recognised for any modification that increases the total fair value of the share-based payment transaction, or is otherwise beneficial to the employee as measured at the date of modification.

The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share.

Employee Share Option Scheme (ESOS) - 2015

The Board of Directors, with the approval in principal of the Colombo Stock Exchange, and authorised by the shareholders at an Extraordinary General Meeting dated 10 April 2015, to create a Employee Share Option Scheme (ESOS) to offer 13,900,000 ordinary shares being 2.4% of the total number of shares in issue to Executive Directors and Senior Executives of the Company and its Subsidiaries whom the Board deems to be eligible to be awarded the shares.

Accordingly the options were granted to the Executive Directors and Senior Executives of the Company and its subsidiaries as follows,

Group	Date of Grant	No of Shares Granted	Grant Price (LKR)	Vesting Period	Exercise Period	Date of Expiry
Grant 1	27.07.2015	3,053,750	82.00	1 Year	3 Years	27.07.2019
Grant 2	27.07.2016	3,008,750	87.50	1 Year	3 Years	27.07.2020
Grant 3	27.07.2017	3,420,000	149.50	1 Year	3 Years	27.07.2021
Grant 4	27.07.2018	3,491,250	108.81	1 Year	3 Years	27.07.2022
Grant 5	27.07.2019	4,115,000	69.00	1 Year	3 Years	27.07.2023
Grant 6	27.07.2020	2,630,758	60.00	1 Year	3 Years	27.07.2024

Under the Group's Employee Share Option Scheme (ESOS), share options of the parent are granted to executives of the Group/ Company generally with more than 12 months of service. The exercise price of the share options is equal to the 30 day volume weighted average market price of the underlying shares on the date of grant. The share options vested after period of one year from the date of grant and it depends on the performance criteria and time criteria. The fair value of the share options is estimated at the grant date using the Black Scholes option pricing model taking into account the terms and conditions upon which the share options were granted.

The exercise period for each option granted is three years. There are no cash settlement alternatives. The

Group does not have a past practice of cash settlement for these share options.

Employee Share Option Scheme (ESOS) - 2021

The Board of Directors, with the approval in principal of the Colombo Stock Exchange, and authorised by the shareholders at an Extraordinary General Meeting dated 30 June 2021, to create a Employee Share Option Scheme (ESOS) to offer 13,500,000 ordinary shares being 2.26% of the total issued and fully paid ordinary voting shares of the Company. The ESOS 2021 is applicable to eligible employees, who are employees of a company in the Hemas Group (i.e. the Company and subsidiaries of the Company as identified by the Board whose employees are eligible to participate in the Scheme)

	Date of Grant	No of Shares Granted	Grant Price (LKR)	Vesting Period	Exercise Period	Date of Expiry
Grant 1	20.07.2021	3,538,112	82.46	1 Year	5 Years	20.07.2027
		Group		Company		
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000	
For the Year Ended 31 March						
Total expense arising from Share-Based Payment Transactions		40,988	19,300	8,956	2,718	

Movement During the Year

As at 31 March	Group			
	2022		2021	
	No of Shares	WAEP*	No of Shares	WAEP*
Outstanding at the Beginning of the Year	8,323,488	95.64	9,907,332	97.05
Granted During the Year	3,538,112	82.46	2,630,758	60.00
Expired During the Year	-	-	(1,794,714)	-
Exercised During the Year	(2,034,796)	149.50	(502,600)	69.00
Cancelled during the Year	(678,211)	-	(1,917,288)	-
Outstanding at the End of the Year	9,148,593	81.09	8,323,488	95.64
Exercisable at the End of the Year	5,658,499	80.24	5,769,230	111.42

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

22 STATED CAPITAL CONTD.

22.3 Share Based Payment Scheme

Movement During the Year

As at 31 March	Group			
	2022		2021	
	No of Shares	WAEP*	No of Shares	WAEP*
Outstanding at the Beginning of the Year	1,468,674	103.48	2,603,984	94.45
Granted During the Year	782,596	82.46	316,500	60.00
Transfers during the year	371,875	60.00		
Expired During the Year	(482,458)	149.50	(691,010)	-
Exercised During the Year	-	-	(163,000)	69.00
Cancelled during the Year	(292,954)	-	(597,800)	-
Outstanding at the End of the Year	1,847,733	80.12	1,468,674	103.48
Exercisable at the End of the Year	1,113,155	78.58	1,315,174	109.67

*WAEP - Weighted Average Exercise Price (LKR)

The following information were used and results were generated using Black Scholes Option Pricing Model for ESOS granted and indicate only relating to active Grants.

	2021	2015		
	Grant 1	Grant 6	Grant 5	Grant 4
Dividend Yield (%)	2.82	2.47	2.47	1.48
Expected Volatility (%)	1.85	1.77	1.73	1.13
Risk Free Interest Rate (%)	8.04	6.57	9.83	10.51
Expected Life of Share Options (Years)	6	4	4	4
Weighted Average Share Price at the Date of Exercise of these Options (LKR)	82.46	60.00	69.00	108.81
Weighted Average Remaining Contractual Life for the Share Options Outstanding (Years)	5.3	3.3	2.3	1.3
Weighted Average Fair Value of Options Granted During the Year (LKR)	27.12	14.47	20.97	33.34
Exercise Price for Options Outstanding at the End of the Year (LKR)	82.46	60.00	69.00	108.81

23 RESERVES

23.1 Other Capital and Revenue Reserves

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Balance at the Beginning of the Year	180,806	216,800	402,157	438,151
Provision for Share-Based Payment	40,988	19,300	8,956	2,718
Exercise of Share Option	-	(7,378)	-	(7,378)
Charge from Group Companies	-	-	32,032	16,582
Transfer to Retained Earnings	(61,960)	(47,916)	(61,960)	(47,916)
Balance at the End of the Year	159,834	180,806	381,185	402,157

Group

Other Capital Reserve of Group is used to recognise the value of equity settled share-based payments provided to employees, including key management personnel, as part of their remuneration.

Company

Other Capital Reserves of the company represents the value of equity settled share-based payment provided to employees and the share of subsidiaries Capital Reserves accounted for using equity method until 31 March 2006. With effect from 1 April 2006 the investments in subsidiaries are accounted at carrying value as at that date and any investment made after 1 April 2006 are carried at cost, net of any provision for impairment.

23.2 Other Component of Equity

Revaluation Reserve

The Revaluation Reserve relates to the net surplus on revaluation of Property, Plant and Equipment.

Foreign Currency Translation Reserve

The Foreign Currency Translation Reserve comprise all foreign currency differences arising from the translation of the financial statements of foreign operations and equity accounted investees.

Fair Value Reserve

Fair Value Reserve comprises the cumulative net change in the fair value of Financial Assets at FVOCI.

Hedge Reserve

Cash Flow Hedge Reserve

The Group designates its identified foreign currency loans as a hedging instrument in order to hedge the variation in highly probable specifically identified future foreign currency revenue attributable to changes in foreign exchange rates.

The effective portion of the gain or loss on the hedging instrument is recognised in the Cash Flow Hedge Reserve, through Other Comprehensive Income while any ineffective portion is recognised immediately in the Statement of Profit or Loss.

Cross Currency Swap Hedge Reserve

The Group uses Cross Currency Swaps (CCS) to hedge the interest rate risk and exchange rate risk arising from a floating rate borrowing denominated in foreign currencies.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

23 RESERVES CONTD.

Group	Revaluation Reserve LKR '000	Foreign Currency Translation Reserve LKR '000	Fair Value Reserve LKR '000	Hedge Reserve		Total LKR '000
				Cash Flow Hedge LKR '000	Cross Currency Swap LKR '000	
As at 1 April 2020	1,781,625	121,847	(259,597)	(177,133)	(77,537)	1,389,205
Other Comprehensive Income	1,166,055	51,556	(194,154)	(42,343)	(10,891)	970,223
Adjustment in Respect of						
Changes in Group Holding	41,572	-	-	-	-	41,572
Disposal of Subsidiary	(351,660)	-	111,586	-	-	(240,074)
As at 31 March 2021	2,637,592	173,403	(342,165)	(219,476)	(88,428)	2,160,926
Other Comprehensive Income	1,738,320	564,953	11,419	(49,823)	93,537	2,358,406
Disposal of Subsidiary	(2,249)	(96,182)	-	25,208	-	(73,223)
As at 31 March 2022	4,373,663	642,174	(330,746)	(244,091)	5,109	4,446,109

Company	Fair Value Reserve LKR '000
As at 1 April 2020	(148,972)
Other Comprehensive Income	(146,750)
As at 31 March 2021	(295,722)
Other Comprehensive Income	2,103
As at 31 March 2022	(293,619)

24 INTEREST BEARING LOANS AND BORROWINGS

	Note	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Term Loans	24.1	4,467,979	5,089,072	1,131,380	275,000
Lease Liability	14	1,303,108	1,366,446	57,544	-
		5,771,087	6,455,518	1,188,924	275,000

Movement of Interest Bearing Loans and Borrowings

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Balance at the Beginning of the Year	6,455,518	8,101,313	275,000	834,525
Cash Movement				
Obtained During the Year	8,651,153	13,696,178	1,343,400	1,157,000
Repayments	(8,739,730)	(14,483,761)	(487,000)	(1,662,152)
Lease Payment	(419,554)	(334,242)	(59,328)	(57,828)
Non Cash Movement				
Leases Obtained	174,080	283,501	112,446	-
Interest on Leases	163,635	171,840	4,426	3,455
Disposal of Subsidiaries	(754,806)	(1,075,089)	-	-
Exchange Differences through Statement of Profit or Loss	719	80,723	-	-
Exchange Differences through Other Comprehensive Income	240,072	15,055	-	-
Balance at the End of the Year	5,771,087	6,455,518	1,188,943	275,000
Non-Current	3,092,910	3,195,867	-	-
Current	2,678,177	3,259,651	1,188,943	275,000
	5,771,087	6,455,518	1,188,943	275,000

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

24 INTEREST BEARING LOANS AND BORROWINGS CONTD.

24.1 Details of Interest Bearing Loans and Borrowings

Company	Lending Institution	Nature of Facility	Interest Rate	Repayment Terms	2022 LKR '000	2021 LKR '000
Hemas Pharmaceuticals (Pvt) Ltd.	Standard Chartered Bank	Short Term Loan	Money Market Rates	Repayable in Dec 2021	-	1,000,000
	The Hongkong & Shanghai Banking Corporation	Term Loan	3 Months LIBOR plus Margin	Repayable in Dec 2022	747,490	1,160,833
Morison Limited	The Hongkong & Shanghai Banking Corporation	Term Loan	COF plus Margin	Repayable in 36 installments	27,778	61,111
	Commercial Bank	Short term loan	Fixed	Repayable in 48 Instalments starting from June 2023	2,000,000	-
	Standard Chartered Bank	Short Term Loan	Money Market Rates	Repayable in Dec 2021	-	600,000
	Standard Chartered Bank	Short Term Loan	AWPLR Based Rate	Repayable in 16 installments starting from December 2021	-	1,296,420
Atlas Axillia Co (Pvt) Ltd.	The Hongkong & Shanghai Banking Corporation	Short Term Loan	COF plus Margin	Repayable in September 2022	1,692,649	-
Spectra Logistics (Pvt) Ltd.*	Nations Trust Bank	Term Loan	4.00%	Repayable in 17 Instalments starting from April 2021	-	25,000
Spectra Integrated Logistics (Pvt) Ltd.*	Commercial Bank	Term Loan	AWPLR plus Margin	Repayable in 45 Instalments starting from January 2018	-	531,720
	Standard Chartered Bank	Term Loan	3 Month LIBOR plus Margin	Repayable in 16 Quarterly Instalments starting from September 2018	-	261,928
Hemas Mandalar Pharmaceutical (Pvt) Ltd.*	Commercial Bank	Short Term Loan	1 Month LIBOR plus Margin	-	-	152,061

*Disposed During the year

24.2 Company

	Note	2022 LKR '000	2021 LKR '000
Interest Bearing Loans & Borrowings-Current			
Loans due to Related Parties	24.2.1	1,131,400	275,000
Lease Liability	14.2	57,544	-
		1,188,944	275,000

24.2.1 Loans due to Related Parties

	As at 01.04.2021 LKR '000	Obtained During the Year LKR '000	Repayments LKR '000	As at 31.03.2022 LKR '000	Non-Current LKR '000	Current LKR '000
Hemas Developments (Pvt) Ltd.	275,000	530,400	(44,000)	761,400	-	761,400
Hemas COE (Pvt) Ltd.	-	485,000	(320,000)	165,000	-	165,000
Hemas Corporate Services (Pvt) Ltd.	-	38,000	(13,000)	25,000	-	25,000
Hemtours (Pvt) Ltd.	-	290,000	(110,000)	180,000	-	180,000
	275,000	1,343,400	(487,000)	1,131,400	-	1,131,400

	As at 01.04.2020 LKR '000	Obtained During the Year LKR '000	Repayments LKR '000	As at 31.03.2021 LKR '000	Non-Current LKR '000	Current LKR '000
Total Loans due to Related Parties	780,152	67,000	(572,152)	275,000	-	275,000

Terms and Conditions

- Treasury Loans
- Security - Unsecured
- Repayment - To be Repaid on Demand
- Interest - Based on Market Rates (AWPLR + Margin)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

25 OTHER FINANCIAL LIABILITIES

Accounting Policies

Put Option over Non-Controlling Interest

The option value related to the put options issued by the Group over the equity of subsidiary companies are accounted using the method below when the Group doesn't have a present ownership to such shares.

- At each period end, the Group determines the amount that would have been recognised for the non-controlling interest, including an allocations of profit or loss, allocations of changes in other comprehensive income and dividends declared for the reporting period, as required by SLFRS 10.
- The entity derecognises the non-controlling interest as if it was acquired at each reporting date.
- The value of the option on exercise is initially recognised at fair value within non-financial liabilities with a corresponding charge directly to equity. Such options are subsequently measured at fair value, in order to remeasure the liability. The difference between fair value and the carrying value is recognised in equity.
- In the event the option is not exercised, the non-controlling interest is recognised at the amount it would have been, as if the put option had never been granted. The financial liability is derecognised, with a corresponding credit to the equity.

25.1 Other Financial Liabilities - Non Current

	Group	
	2022 LKR '000	2021 LKR '000
Preference Share*	275,000	275,000
Rent Deposits/Advances	1,538	2,518
	276,538	277,518

* In 2019 Hemas Development (Pvt) Ltd, a fully own subsidiary of Hemas Holdings PLC issued LKR 275 Mn Redeemable, Cumulative and Non - Convertible Preference Shares at LKR 10 each carrying a yield of 10%.

25.2 Other Financial Liabilities - Current

	Group	
	2022 LKR '000	2021 LKR '000
Put Option over Non-Controlling Interests	2,272,299	1,973,244
	2,272,299	1,973,244

26 EMPLOYEE BENEFIT LIABILITY

Accounting Policy

Defined Contribution Plans - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective statutes and regulations. The Group contributes 12% and 3% of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

Some employees of the Group are eligible for Mercantile Services Provident Society Fund, for which the Company contributes 12% of gross emoluments of such employees.

Defined Benefit Plans - Gratuity

The Group measures the present value of the promised retirement benefits of gratuity which is a defined benefit plan with the advice of an actuary using the Projected Unit Credit method (PUC). Actuarial gains and losses for defined benefit plans are recognised in full in the period in which they occur in Other Comprehensive Income.

However, as per the payment of Gratuity Act No. 12 of 1983 this liability only arises upon completion of 5 years of continued service based on half a month salary.

The gratuity liability is not externally funded.

	Note	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Balance at the Beginning of the Year		1,032,978	1,018,623	78,004	45,776
Acquisition/ (Disposal) through Subsidiaries		(25,898)	(87,947)	-	-
Charge for the Year	26.1	186,059	208,495	11,666	9,737
Actuarial (Gain)/Loss	26.2	(68,578)	7,363	(1,597)	22,717
Benefits Paid		(132,847)	(113,556)	(21,804)	(16,849)
Transfers During the Year		-	-	238	16,623
Balance at the End of the Year		991,714	1,032,978	66,507	78,004

26.1 Post Employee Benefit Expenses

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Current Service Cost	114,431	112,595	5,591	5,159
Past Service Cost	(9,477)	-	(165)	-
Interest Cost	81,105	95,900	6,240	4,578
	186,059	208,495	11,666	9,737

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

26 EMPLOYEE BENEFIT LIABILITY CONTD.

26.2 Actuarial (Gain)/Loss

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Actuarial (Gains)/Losses on Obligations;				
Due to Change in Demographic Assumptions	(22,940)	-	(1,016)	-
Due to Change in Financial Assumptions	(179,004)	99,768	(10,711)	4,804
Due to Experience Adjustment	133,366	(92,405)	10,130	17,913
	(68,578)	7,363	(1,597)	22,717

Messrs. K.A. Pandit Consultants and Actuaries, carried out an actuarial valuation of the defined benefit plan on 31 March 2022. Appropriate and compatible assumptions were used in determining the cost of retirement benefits. The principle assumptions used are as follows:

	2022	2021
Demographic Assumptions		
Retirement Age	60 Years	55 Years
Financial Assumptions		
Discount Rate Assumed (%)	12.0	8.0
Future Salary Increase (%)	8.5	8.5

26.3 Sensitivity of Assumptions Used in the Actuarial Valuation

The sensitivity analysis have been determined based on a method that extrapolates the impact on the defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period.

The sensitivity analysis are based on a change in a significant assumption, keeping all other assumptions constant. The sensitivity analysis may not be representative of an actual change in the defined benefit obligation as it is unlikely that changes in assumptions would occur in isolation from one another.

Assumed Changes in Financial Assumptions

31 March 2022	Group		Company	
	Effect on Profit or Loss	Post Employment Benefit Liability	Effect on Profit or Loss	Post Employment Benefit Liability
	LKR '000	LKR '000	LKR '000	LKR '000
If Discount Rate Increases By 1%	(35,672)	35,672	(2,213)	2,213
If Discount Rate Decreases By 1%	38,869	(38,869)	2,379	(2,379)
If Salary Increment Rate Increases By 1%	39,797	(39,797)	2,435	(2,435)
If Salary Increment Rate Decreases By 1%	(37,102)	37,102	(2,302)	2,302

Due to the prevailing economic conditions, the management has considered different scenarios for the possible changes in the assumptions used in valuing the retirement benefit obligation and concluded that the impact to the groups liability on retirement benefit obligation from those possible changes is not material.

31 March 2021	Group		Company	
	Effect on Profit or Loss	Post Employment Benefit Liability	Effect on Profit or Loss	Post Employment Benefit Liability
	LKR '000	LKR '000	LKR '000	LKR '000
If Discount Rate Increases By 1%	(53,021)	53,021	(2,505)	2,505
If Discount Rate Decreases By 1%	59,373	(59,373)	2,740	(2,740)
If Salary Increment Rate Increases By 1%	58,512	(58,512)	2,700	(2,700)
If Salary Increment Rate Decreases By 1%	(53,254)	53,254	(2,516)	2,516

26.4 Following payments are the expected payments to the define benefit plan for the future years:

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Years From the Current Period				
1st Following Year	172,221	171,871	10,937	21,763
2nd Following Year	155,057	103,000	10,586	6,342
3rd Following Year	165,837	116,074	10,097	6,022
4th Following Year	147,377	123,682	9,073	29,542
5th Following Year	141,089	99,679	10,179	4,824
Sum of Years 6 to 10	496,985	468,098	41,512	18,588
Sum of Years 11 and above	587,390	739,340	21,907	23,933

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

27 TRADE AND OTHER PAYABLES

	Note	Group		Company	
		2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Trade Payables					
- Others		20,008,381	12,641,882	-	-
Other Payables					
- Related Parties	28.1	-	-	163,526	22,552
- Others		3,651,628	2,380,732	178,209	140,953
Sundry Creditors including Accrued Expenses		3,478,829	2,901,221	437,438	232,335
Dividend Payable-Unclaimed		26,583	23,360	16,367	13,144
		27,165,384	17,947,195	795,540	408,984

27.1 Non Trade Dues to Related Parties

	Relationship	Company	
		2022 LKR '000	2021 LKR '000
Hemas Corporate Services (Pvt) Ltd.	Subsidiary	2,446	2,586
Hemas Pharmaceuticals (Pvt) Ltd.	Subsidiary	127,873	-
Hemas Manufacturing (Pvt) Ltd.	Subsidiary	274	32
Hemtours (Pvt) Ltd.	Subsidiary	1,261	-
Hemas COE (Pvt) Ltd.	Subsidiary	1,156	-
Hemas Developments (Pvt) Ltd.	Subsidiary	15,876	14,190
Hemas Hospitals (Pvt) Ltd.	Subsidiary	10,814	-
Hemas Capital Hospital (Pvt) Ltd.	Subsidiary	5	-
Hemas Transportation (Pvt) Ltd.	Subsidiary	2,646	-
Spectra Logistics (Pvt) Ltd.*	Subsidiary	-	5,377
Morison Limited	Subsidiary	1,137	-
Atlas Axillia Company (Pvt) Ltd.	Subsidiary	38	-
Hemas Transportation (Pvt) Ltd.	Subsidiary	-	367
		163,526	22,552

* Pursuant to the disposal of subsidiaries, payable balances as at 31 March 2022 from these entities (Note 35) are reclassified to "Other Payable - Others".

28 CASH AND CASH EQUIVALENTS IN STATEMENT OF CASH FLOWS

Accounting Policy

Cash and short term deposits in the Statement of Financial Position comprise cash at banks and on hand and short-term deposits and money market investments with a maturity of three months or less.

For the purpose of the Statement of Cash Flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts

28.1 Favourable Balances

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Cash and Bank Balance	9,229,743	5,562,213	48,502	202,978
Fixed Deposits, Commercial Papers, Treasury Bills and REPO Investments	4,665,183	2,895,896	41,846	10,362
	13,894,926	8,458,109	90,348	213,340

28.2 Unfavourable Balances

Bank Overdraft	(796,191)	(504,070)	(822)	-
Total Cash and Cash Equivalents for the Purpose of Statement of Cash Flows	13,098,735	7,954,039	89,526	213,340

29 FAIR VALUE

Accounting Policy

The Group measures financial instruments such as derivatives, and non-financial assets such as investment properties at fair value at each reporting date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the Consolidated Financial Statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

29 FAIR VALUE CONTD.

Level 1	Quoted (unadjusted) prices in active markets for identical assets or liabilities.
Level 2	Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
Level 3	Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

For assets and liabilities that are recognised in the Consolidated Financial Statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by reassessing categorisation at the end of each reporting period.

External valuers are involved for valuation of significant assets, such as properties and significant liabilities, such as defined benefit obligations. Involvement of external valuers is decided upon annually after discussion with and approval by the Group's Board Audit Committee wherever necessary. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained. The Board Audit Committee whenever necessary after discussions with the Group's external valuers decide which valuation techniques and inputs to use for each case.

At each reporting date the Management analyses the movements in the values of assets and liabilities which are required to be remeasured or reassessed as per the Group's accounting policies. For this analysis, the Management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents. The Management in conjunction with the Group's external valuers, also compares the change in the fair value of each asset and liability with relevant external sources to determine whether the change is reasonable. This includes a discussion of the major assumptions used in the valuations.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

The Following Methods and Assumptions were Used to Estimate the Fair Values:

- Cash and short term deposits and trade receivables approximate their carrying amounts largely due to the short term maturities of these instruments.
- Variable rate and long term fixed rate receivables/ borrowings are evaluated by the Group/Company based on parameters such as interest rates, specific country risk factors, individual credit worthiness of the customer and the risk characteristics of the financed project. Based on this evaluation, allowances are taken to account for the expected losses of these receivables. As at 31 March 2022, the carrying amounts of such receivables, net of allowances, are not materially different from their calculated fair values.
- The fair value of the quoted equity shares recorded under FVOCI assets are determined by reference to published price quotations in an active market. The fair value of the unquoted equity shares are estimated using appropriate valuation techniques and if it's impracticable in assessing the fair value of the investment, primarily as a result of the unavailability of adequate and comparable market information are carried at cost.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 22 - Share-based Payment Arrangement
- Note 12 - Property, Plant and Equipment
- Note 13 - Investment Properties
- Note 19 - Financial Instruments
- Note 2.4 - Business Combination

29.1 Fair Value Hierarchy

The Group/Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques

Group	Note	Total	Level 1	Level 2	Level 3
31 March 2022		LKR '000	LKR '000	LKR '000	LKR '000

Financial Assets Measured at Fair Value

Financial Assets at FVOCI

- Quoted Equity Shares	19	64,319	64,319	-	-
- Un-Quoted Equity Shares	19	49,750	-	-	49,750
Derivative Assets	19	298,848	-	298,848	-

Non-Financial Assets Measured at Fair Value

Land and Building	12	12,589,963	-	-	12,589,963
Investment Properties	13	2,100,161	-	-	2,100,161

Group	Note	Total	Level 1	Level 2	Level 3
31 March 2021		LKR '000	LKR '000	LKR '000	LKR '000

Financial Assets Measured at Fair Value

Financial Assets at FVOCI

- Quoted Equity Shares	19	52,948	-	52,948	-
- Un-Quoted Equity Shares	19	49,750	-	-	49,750
Derivative Assets	19	36,026	-	36,026	-

Non-Financial Assets Measured at Fair Value

Land and Building	12	10,223,242	-	-	10,223,242
Investment Properties	13	1,942,099	-	-	1,942,099

Company	Note	Total	Level 1	Level 2	Level 3
31 March 2022		LKR '000	LKR '000	LKR '000	LKR '000

Financial Assets Measured at Fair Value

Financial Assets at FVOCI

- Quoted Equity Shares	19	11,652	11,652	-	-
- Un-Quoted Equity Shares	19	-	-	-	-

Non-Financial Assets Measured at Fair Value

Investment Properties	13	851,300	-	-	851,300
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Company	Note	Total	Level 1	Level 2	Level 3
31 March 2021		LKR '000	LKR '000	LKR '000	LKR '000

Financial Assets Measured at Fair Value

Financial Assets at FVOCI

- Quoted Equity Shares	19	9,547	-	9,547	-
- Un-Quoted Equity Shares	19	145,300	-	-	145,300

Non-Financial Assets Measured at Fair Value

Investment Properties	13	728,800	-	-	728,800
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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

29 FAIR VALUE CONTD.

29.2 Reconciliation of Fair Value Measurement under Level 3 Hierarchy

Financial Assets Measured at Fair Value	Group Financial Assets at FVOCI - Equity Shares LKR '000	Company Financial Assets at FVOCI - Equity Shares LKR '000
As at 1 April 2020	324,637	145,300
Recognised in Other Comprehensive Income	(184,800)	(145,300)
Disposal of Subsidiaries	(129,587)	-
Additions	39,500	-
As at 31 March 2021	49,750	-
As at 31 March 2022	49,750	-

29.3 Non-Financial Assets Measured at Fair Value

Financial Assets Measured at Fair Value	Group		Company
	Land and Building LKR '000	Investment Properties LKR '000	Investment Properties LKR '000
As at 1 April 2020	10,808,528	1,647,591	699,300
Recognised in Profit or Loss	(280,174)	62,908	29,500
Recognised in Other Comprehensive Income	1,077,500	-	-
Purchased / Acquisition	94,421	-	-
Transfers	1,974,176	231,600	-
Disposal of Subsidiaries	(3,424,659)	-	-
Disposals	(26,550)	-	-
As at 31 March 2021	10,223,242	1,942,099	728,800
Recognised in Profit or Loss	(231,172)	158,062	122,500
Recognised in Other Comprehensive Income	2,138,961	-	-
Purchased / Acquisition	66,317	-	-
Transfers	2,011,492	-	-
Disposal of Subsidiaries	(1,618,877)	-	-
As at 31 March 2022	12,589,963	2,100,161	851,300

30 FINANCIAL RISK MANAGEMENT

The Group's principal financial liabilities comprise loans and borrowings, and trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations. The Group's principal financial assets include trade receivables, and cash and short-term deposits. The Group also holds investments in equity instruments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management oversees the management of these risks and reassesses those frequently. The Group's senior management is supported by the Group Risk Management Committee and Group Treasury that advises on financial risks and the appropriate financial risk governance framework for the Group.

Group Risk Management Committee and Group Treasury provide the assurance to the Group's senior management and the Board of Directors that the Group's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Group's policies and risk objectives. All derivative activities for risk management purposes are carried out by specialist teams that have the appropriate skills, experience and supervision and external consultants advice is taken when ever its required according to the Group's Policy. The Board of Directors reviews and agrees policies for managing each of these risks, which are summarised below.

30.1 Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise various

types of risks interest rate risk, currency risk, commodity price risk and other price risk, such as equity price risk. Financial instruments affected by market risk include loans and borrowings, deposits, financial assets at FVOCI and derivative financial Instruments.

The sensitivity analysis in the following sections relate to the position as at 31 March 2022 and 2021.

The overall risk management strategy focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the entity's financial performance.

Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long term debt obligations with floating interest rates. The Group manages its interest rate risk by having a balanced portfolio of fixed and variable rate loans and borrowings. Further, the Group has entered in to Cross Currency SWAPs, in which it has agreed to exchange the variable rate with fixed.

Sensitivity Analysis

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of loans and borrowings affected. With all other variables held constant, the Group's/ Company's profit before tax affected through the impact on floating rate borrowings as follows:

Financial Assets Measured at Fair Value	Increase / (Decrease) in basis points	Effect on Profit Before Tax (LKR '000)	
		Group	Company
2022	+150	(25,806)	(16,971)
	-150	25,806	16,971
2021	+150	58,549	(155)
	-150	(58,549)	155

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

30 FINANCIAL RISK MANAGEMENT CONTD.

Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate with the changes in foreign exchange rates in current volatile economic environment. The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when revenue or expense is denominated in a foreign currency). There are no unhedged foreign currency borrowings at the Group.

Group treasury continuously monitors the market condition of foreign exchange and provides market updates to the Group Senior Management, with the use of external consultants' advice when required. Based on the suggestions made by Group treasury, Group Senior Management takes decisions on whether to hold, sell, or enter in to derivative contracts.

In March 2022, the Central Bank of Sri Lanka allowed the currency to free float due to which there was a significant

depreciation of Sri Lankan Rupee against United States Dollar by 31 March 2022 and there was considerable volatility in the Foreign exchange market.

Simultaneously with the depletion of the foreign currency reserves in the country, foreign exchange liquidity challenges were experienced. Group treasury proactively executes necessary measures to manage the Groups foreign currency requirements for its operations. This has been assisted by the fact that the Group operates in defensive industries with the majority of the product portfolio categorised as "essential" and "near essential".

Sensitivity Analysis

The following tables demonstrate the sensitivity to a reasonably possible change in USD, EURO, GBP and TKA exchange rates against LKR with all other variables held constant. The impact on the Group's profit before tax is due to changes in the fair value of monetary assets and liabilities. The Group's exposure to foreign currency changes for all other currencies is not material.

As at 31 March 2022	Group			
	25% Movement		30% Movement	
	Strengthening LKR '000	Weakening LKR '000	Strengthening LKR '000	Weakening LKR '000
USD	810,301	(810,301)	972,361	(972,361)
EURO	(14,181)	14,181	(17,017)	17,017
GBP	12,607	(12,607)	15,129	(15,129)
TAKA	320,234	(320,234)	384,281	(384,281)

Equity Price Risk

The Group's listed equity securities are susceptible to market price risk arising from uncertainties about future values of the investment securities. The Group's Board of Directors reviews and approves all equity investment decisions.

At the reporting date, the exposure to quoted and unquoted equity securities at fair value is disclosed in Note 19.

Credit Risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily for trade receivables) and from its financing activities, including deposits with banks, and loans given to subsidiaries.

Trade Receivables

Customer credit risk is managed by each Company subject to the Group's established policy, procedures and

control relating to customer credit risk management. Credit quality of the customer is assessed based on the credit risk evaluation model and individual credit limits are defined in accordance with this assessment. The Group companies also obtain bank guarantees to mitigate the credit risks as required by the Group policy.

Outstanding customer receivables are regularly monitored and any shipments to major customers are generally covered by letters of credit or other forms of credit insurance.

Large number of minor receivables are grouped into homogenous groups and assessed for Impairment collectively. The calculation is based on expected loss approach with forward looking Expected Credit Loss (ECL) approach. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets disclosed in Note 21.

The Group is monitoring the economic environment in response to the uncertainties prevailing in the country and is taking actions to limit its exposure from customers. Further, the risk management committee has also been performing more frequent reviews of the impact of the current volatile economic environment on the creditworthiness of the customer and each customer that was granted an extension is closely monitored for credit deterioration.

Cash and Cash Equivalents

Credit risk from balances with banks is managed by the Group's treasury department in accordance with the Group's Treasury Policy. Investments of surplus funds are made only with approved counterparties as per this policy and within credit limits assigned to each counterparty. Counterparty credit limits are reviewed by the Board of Directors on an annual basis, and updated throughout the year. The limits are set to minimise the concentration of risks and therefore mitigate financial loss through potential counterparty's failure. The

Company's maximum exposure to credit risk for the components of the Statement of Financial Position is the carrying amounts as illustrated in Note 29 except for financial guarantees.

Liquidity Risk

The Group monitors its risk to a shortage of funds by setting up a minimum liquidity level. The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, bank loans, and intercompany borrowings. The Group assessed the concentration of risk with respect to refinancing its debt and concluded it to be low. Access to sources of funding is sufficiently available and debt maturing within 12 months can be rolled over with existing lenders.

The table below summarises the maturity profile of the Group's financial liabilities based on contractual undiscounted payments.

Group	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 Years	> 5 Years	Total
As at 31 March 2022	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Interest Bearing Loans and Borrowings	-	-	1,862,979	2,604,999	-	4,467,978
Lease Liability	-	51,120	237,073	962,580	379,061	1,629,835
Other Financial Liabilities	2,272,299	-	-	276,538	-	2,548,837
Trade and Other Payable	-	27,032,722	-	-	-	27,032,722
Bank Overdraft	796,191	-	-	-	-	796,191
	3,068,490	27,099,179	2,123,622	3,859,371	425,833	36,576,495

Group	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 Years	> 5 Years	Total
As at 31 March 2021	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Interest Bearing Loans and Borrowings	-	-	3,013,675	2,075,397	-	5,089,072
Lease Liability	-	62,413	254,938	1,110,511	1,137,633	2,565,495
Other Financial Liabilities	1,973,244	-	-	277,518	-	2,250,762
Trade and Other Payable	-	17,738,947	-	-	-	17,738,947
Bank Overdraft	504,070	-	-	-	-	504,070
	2,477,314	17,801,360	3,268,613	3,463,426	1,137,633	28,148,346

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

30 FINANCIAL RISK MANAGEMENT CONTD.

Liquidity Risk Contd.

Company	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 Years	> 5 Years	Total
As at 31 March 2022	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Interest Bearing Loans and Borrowings	1,131,400	-	-	-	-	1,131,400
Lease Liability	-	13,617	40,851	-	-	54,468
Trade and Other Payable	-	789,448	-	-	-	789,448
Bank Overdraft	822	-	-	-	-	822
	1,132,222	803,065	40,851	-	-	1,976,138

Company	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 Years	> 5 Years	Total
As at 31 March 2021	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Interest Bearing Loans and Borrowings	275,000	-	-	-	-	275,000
Trade and Other Payable	-	373,124	-	-	-	373,124
	275,000	373,124	-	-	-	648,124

Capital Management

Capital includes ordinary shares and preference shares. The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximise shareholder value.

The Group manages its capital structure and makes adjustments to it in light of changes in economic

conditions. To maintain or adjust the capital structure, the company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Group monitors capital using a gearing ratio, which is debt divided by total capital plus debt. The Group's policy is to keep the gearing ratio below 40%.

	Note	Group	
		2022 LKR '000	2021 LKR '000
Interest Bearing Borrowings	24	5,771,087	6,455,518
Bank Over Draft	28	796,191	504,070
Debt		6,567,278	6,959,588
Equity Attributable to Equity Holder of the Parent		35,587,786	31,895,382
Non-Controlling Interests		919,517	1,542,904
Total Equity		36,507,303	33,438,286
Equity and Debt		43,074,581	40,397,874
Gearing Ratio		15%	17%

In order to achieve this overall objective, the Group's capital management, among other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings. There have been

no breaches of the financial covenants of any interest-bearing loans and borrowing in the current period.

No changes were made in the objectives, policies or processes managing capital during the years ended 31 March 2022 and 31 March 2021.

31 RELATED PARTY DISCLOSURES

Refer Note 36 for effective equity holding percentages and other key information's of Group entities.

Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business. Outstanding current account balances at year end are unsecured, interest free and settlement occurs in cash. Interest bearing borrowings are at pre-determined interest rates and terms.

Non-recurrent Related Party Transactions

There were no other non-recurrent Related Party Transactions of the Company which in aggregate value exceeds 10% of the equity or 5% of the total assets whichever is lower as per March 31, 2022. Audited Financial Statements, which required additional disclosures in the Annual Report under Colombo Stock Exchange Listing Rule 9.3.2 and the Code of Best Practices on Related Party Transactions published in accordance with the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

Recurrent Related Party Transactions

There were no other recurrent Related Party Transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31 March 2022

Audited Financial Statements, which required additional disclosures in the Annual Report under the Colombo Stock Exchange Listing Rule 9.3.2 and the Transactions under the Securities and Exchange Commission Directive issued The Directors declare that they have complied with the provisions of the Code relating to full disclosure of Related Party Transactions entered into during the Financial Year ended March 31, 2022.

Terms and conditions and other related information on loans obtained from related parties and loans granted to related parties are disclosed in Note 24.2.1 & 21.1.3 to these financial statements respectively.

31.1 Transactions with Related Entities

Details of significant related party disclosures are as follows:

Guarantees

Guarantees given by the Company to banks on behalf of related parties are disclosed in the Note 35 to these financial statements.

Terms and Conditions:

The sales to and purchases from related parties are made at terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year end are unsecured and interest free.

31.1.1 Company

Nature of Transaction	Subsidiaries		Joint Ventures/ Associates		Other		Total	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Services Rendered	731,847	688,494	-	-	148	137	731,994	688,521
Bank Guarantee Fees	-	-	14,678	16,294	-	-	14,678	16,294
IT Charges	174,837	169,795	1,716	1,737	1,770	1,844	178,323	173,375
Rent	26,559	30,894	-	-	-	-	26,559	30,894
Loan Interest Income	5,788	16,879	-	-	-	-	5,788	16,879
Loans Granted to Subsidiaries	396,900	(495,550)	-	-	-	-	396,900	(495,550)
Loans Repaid by Subsidiaries	(767,548)	322,902	-	-	-	-	(767,548)	322,902
Loan Interest Expense	(50,128)	(47,505)	-	-	-	-	(50,128)	(47,505)
Receipt of Services	(136,308)	(86,549)	-	-	-	-	(136,308)	(86,549)
Shared Service Fee	(12,557)	(11,548)	-	-	-	-	(12,557)	(11,548)
Purchase of Goods	(722)	(6,896)	-	-	-	-	(722)	(6,896)
Loans Obtained from Subsidiaries	1,343,400	67,000	-	-	-	-	1,343,400	67,000
Loans Repaid to Subsidiaries	(487,000)	(572,152)	-	-	-	-	(487,000)	(572,152)

The provision made for on accounts of related party receivables is disclosed in Note 21 to these financial statements

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 RELATED PARTY DISCLOSURES CONTD.

31.1 Details of Transactions

Entity	Nature of Transaction	2022 LKR '000	2021 LKR '000
Hemas Manufacturing (Pvt) Ltd.	Services Rendered	190,735	172,071
	IT Charges	66,855	65,544
	Rental Income	25,994	25,994
	Purchases	(508)	(105)
Hemas Pharmaceuticals (Pvt) Ltd.	Services Rendered	481,587	439,917
	IT Charges	40,783	31,299
	Interest Expense		-
	Interest Income	2,420	3,066
	Treasury Loans Obtained	2,420	
	Repayment of Treasury Loan	2,420	
	Treasury Loans Granted	(341,000)	(258,550)
	Repayment of Treasury Loan	496,648	102,902
Hemas Hospitals (Pvt) Ltd.	Services Rendered	2,688	5,292
	IT Charges	11,578	11,000
	Receipt of Services	(52,180)	-
Hemas Capital Hospital (Pvt) Ltd.	IT Charges	7,651	6,669
	Services Rendered	871	854
	Receipt of Services	-	(6,581)
Forbes Air Services (Pvt) Ltd.	Services Rendered	168	193
	IT Charges	2,941	2,916
Hemttours (Pvt) Ltd.	Interest Expense	5,274	-
	Treasury Loans Obtained	290,000	-
	Treasury Loans Repaid	(110,000)	-
Far Shipping Agency Lanka (Pvt) Ltd.	IT Charges	1,274	2,264
	Services Rendered	288	202
Hemas Transportation (Pvt) Ltd.	IT Charges	808	788
	Receipt of Services	(2,278)	(4,041)
	Services Rendered	33	25
Spectra Logistics (Pvt) Ltd.	IT Charges	3,523	6,752
	Services Rendered	264	554
	Rental Income	565	1,026
Hemas Developments (Pvt) Ltd.	Services Rendered	359	521
	IT Charges	28	27
	Interest Expense	(39,516)	(32,565)
	Rental Expense and Service Charges	(63,507)	(59,154)
	Receipt of Services	(16,175)	-
	Treasury Loans Obtained	530,400	57,000
	Repayment of Treasury Loan	(44,000)	(244,250)
Hemas COE (Pvt) Ltd.	Services Rendered	2,932	799
	IT Charges	19,954	19,255
	Interest Expense	(4,233)	(14,843)
	Shared Services Expenses	(12,557)	(11,548)
	Treasury Loans Obtained	485,000	-
	Repayment of Treasury Loan	(320,000)	(317,902)

Entity	Nature of Transaction	2022 LKR '000	2021 LKR '000
Hemas Corporate Services (Pvt) Ltd.	IT Charges	1,235	1,160
	Interest Expense	(1,105)	(96)
	Interest Income	8	-
	Services Rendered	502	366
	Services Obtained	(2,168)	(18,491)
	Treasury Loans Obtained	38,000	10,000
	Repayment of Treasury Loan	(13,000)	(10,000)
	Treasury Loans Granted	(1,900)	-
	Repayment of Treasury Loan	1,900	-
Morison Limited	Services Rendered	919	20,067
	Interest Income	2,668	9,408
	Purchase of Goods	-	(16)
	Treasury Loans Granted	(200,000)	(200,000)
	IT Charges	3,516	3,300
PH Resorts (Pvt) Ltd.	IT Charges	1,716	1,737
	Corporate Guarantee Fees	14,678	16,294
Hemas Maritime (Pvt) Ltd.	IT Charges	89	51
	Services Rendered	56	3
Mazu Shipping (Pvt) Ltd.	IT Charges	332	337
	Services Rendered	10	13
Atlas Axillia Company (Pvt) Ltd.	IT Charges	4,006	717
	Services Rendered	158	61
	Purchases	(213)	(193)
Spectra Integrated Logistics (Pvt) Ltd.*	IT Charges	786	1,976
	Services Rendered	119	230
Hemas Consumer Brands Pvt Ltd.	IT Charges	9,152	9,484
Evergreen Shipping Agency Lanka (Pvt) Ltd.	IT Charges	24	163
	Services Rendered	124	128
Hemas Mandalay Pharmaceuticals Limited*	IT Charges	248	216
Peace Haven Resorts (Pvt) Ltd	Services Rendered	2	-
Hemas Surgical & Diagnostics (Pvt) Ltd.	Services Rendered	49,984	45,802
	Interest Income	692	4,317
	Treasury Loans Granted	(54,000)	(37,000)
	Repayment of Treasury Loan	69,000	217,000
Healthnet International (Pvt) Ltd	IT Charges	4	-
Life Connect Solutions (Pvt) Ltd	IT Charges	49	-
	Services Rendered	47	-
Serendib Hotels PLC*	IT Charges	-	726
	Services Rendered	-	17
Serendib Leisure Management Ltd.*	IT Charges	-	2,684
	Rental Income	-	3,874
	Services Rendered	-	558
Dolphin Hotels PLC*	IT Charges	-	745
	Services Rendered	-	25
Hotel Sigiriya PLC*	IT Charges	-	531
	Services Rendered	-	11
Digital Healthcare Solutions (Pvt) Ltd.*	Services Rendered	-	783
	IT Charges	-	1,191
	Interest Income	-	87
	Repayment of Treasury Loan	-	3,000

*Disposed entities

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31 RELATED PARTY DISCLOSURES CONTD.

31.1.2 Group

Company	Relationship	Name of Director	Nature of Transaction	2,022 LKR '000	2,021 LKR '000
PH Resorts (Pvt) Ltd.	Joint Venture	A.N. Esufally	Services Rendered	1,971	5,459
			Corporate Guarantee Charges	14,678	10,700
ET Properties (Pvt) Ltd.	Key Management Personnel	A.N. Esufally	Services Rendered	257	243
			Sale of Goods	302	-
			Rent & Utilities	(25,103)	(12,875)
Printcare PLC	Key Management Personnel	A.N. Esufally	Services obtained	(17,876)	(8,421)
Chemane PLC	Key Management Personnel	S. A. B. Ekanayake	Purchase of Goods	(8,334)	-
			Sale of Goods	133	-
Jada Resort & Spa (Pvt) Ltd.	Key Management Personnel	A.N. Esufally	Services obtained	-	(1,561)

31.2 Transactions with Key Management Personnel

The key Management Personnel are the all Executive and Non Executive Directors of Hemas Holdings PLC and its subsidiaries.

(a) Key Management Personnel Compensation

	Group		Company	
	2022 LKR '000	2021 LKR '000	2022 LKR '000	2021 LKR '000
Short Term Benefits	417,016	374,716	96,852	145,531
Post Employment Benefit	27,744	79,286	6,336	36,373
Share Based Payment	-	11,911	-	4,309

(b) Transactions, Arrangements and Agreements Involving Key Management Personnel

There were no significant transactions had taken place involving Key Management Personnel & their close family members.

Surcharge Tax

As per the Surcharge Tax Act No. 14 of 2022 which was certified on 8 April 2022, each company of a group of companies, of which the aggregate of the taxable income of all subsidiaries and the holding company in that Group of companies that have earned a taxable income in excess of LK Rs. 2,000 million for the year of assessment 2020/2021 is liable for a surcharge tax at the rate of 25% on the taxable income of each entity within that group. Accordingly, the Group and the Company is liable for the surcharge tax of LKR 1,669.6 million and LKR 11.6Mn respectively. However, the surcharge tax was enacted after the end of the reporting period and therefore the financial statements do not reflect any surcharge tax liability for the year ended 31 March 2022. This is recommended by the statement of Alternative Treatments (SoAT) on Accounting for Surcharge Tax issued by the Institute of Chartered Accountants of Sri Lanka, in April 2022.

Other than those mention above, no circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the financial statements.

32 EVENTS AFTER THE REPORTING DATE

The Board of Directors of the Company has declared a final dividend of LKR 1.95 per share for the financial year ended 31 March 2022 as required by section 56(2) of the companies Act No 07 of 2007, the Board of Directors has confirmed that the Company satisfies the solvency test in accordance with section 57 of the companies Act No. 07 of 2007, and has obtained a certificate from the Auditors, prior to declaring the final dividend which is to be paid on 20 July 2022

In accordance with the Sri Lanka Accounting Standard (LKAS 10) - Events after the reporting date, the final dividend has not been recognised as a liability in the Financial Statements as at 31 March 2022.

33 COMMITMENTS AND CONTINGENCIES

Accounting Policy

Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past

event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

33.1 Capital Commitments

	2022 LKR '000	2021 LKR '000
Hemas Hospitals (Pvt) Ltd.	246,605	89,849
Hemas Manufacturing (Pvt) Ltd.	100	10,821

33.2 Other Commitments/ Contingencies

(a) Hemas Holdings PLC

The Company has provided a Corporate Guarantee to PH Resorts (Pvt) Limited for USD 10.6Mn (Equivalent to LKR 3,169.4Mn) in favour of The Hongkong and Shanghai Banking Corporation Limited.

(b) Hemas Manufacturing (Pvt) Ltd.

Income Tax Assessments relating to years of assessments 2008/09 and 2009/10

The Department of Inland Revenue has issued Income Tax assessments for the years of assessment 2008/2009 and 2009/2010 disputing the qualifying payment relief claimed on factory relocation under the 300 enterprise programme.

The Tax Appeals Commission and Court of Appeal provided determinations against company for the year of assessment 2008/09 and the company filed a case against such determinations at the Supreme Court which is ongoing. Appeal lodged for the year of assessment 2009/2010 is due for hearing at the Tax Appeals Commission. Having discussed with independent legal and tax experts and based on information available, the Directors are of the view that the company has followed due process and acted in accordance with the prevailing laws in its tax submissions, and no provisions have been made in the financial statements for the year ended 31 March 2022 in this regard.

The Company has provided a Standby Documentary Credit Facility to Hemas Consumer Brands India Private Limited for USD 160,000 in favour of The Hongkong and Shanghai Banking Corporation Limited.

(c) Hemas Pharmaceutical (Pvt) Ltd.

The Company has provided corporate guarantee to Hemas Surgical & Diagnostics (Pvt) Ltd (Subsidiary) for LKR 250 Mn in favour of The Hongkong and Shanghai Banking Corporation Limited.

(d) Morison Limited

The Department of Inland Revenue has issued VAT assessments for the years of assessment 2014 and 2015 disputing the application of exemption for sale of pharmaceutical product under the provision of section 3 (1) of the inland revenue act no 14 of 2002 (As amended)

The Commissioner General of Inland Revenue provided a determination confirming such assessment and the Company filed cases against such determinations at the Tax Appeal Commission which are ongoing. Appeal lodged for the year of assessments 2014 and 2015 is due for hearing at the Tax Appeals Commission. Having discussed with independent legal and tax experts and based on information available, the Directors are of the view that the company has followed due process and acted in accordance with the prevailing laws in its tax submissions, and no provisions has been made in the financial statements for the year ended 31 March 2022 in this regard.

The Company has given a bank guarantee of Rs. 30.09 Mn to Tax Appeals Commission with respect to the above tax appeal.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

33 COMMITMENTS AND CONTINGENCIES CONTD.

(e) Atlas Axillia Company (Pvt) Ltd.

The Department of Inland Revenue has issued Income Tax assessments for the years of assessment 2015/2016 and 2016/2017 for which the company has duly appealed. Currently the appeal is pending hearing by the Commissioner General. The Directors are of the view that the company has followed due process and acted in accordance with the prevailing laws in its tax submissions, hence above assessments will not have any material adverse impact on the financial statements and no provisions have been made in the financial statements for the year ended 31st March 2022 in this regard.

(f) Evergreen Shipping Agency Lanka (Private) Limited

The Company has obtained a guarantee from Standard Chartered Bank favouring The Chairman, Sri Lanka Ports Authority for the credit facility amounting to LKR 500,000.

The Company has obtained a guarantee from Standard Chartered Bank favouring Director General of Merchant Shipping amounting to LKR 500,000 Shipping license.

The Company has obtained a guarantee from Standard Chartered Bank favouring The Chairman, Sri Lanka Ports Authority for the credit facility amounting to LKR 160 Mn.

(g) Hemas Maritime (Pvt) Ltd.

The Company has obtained a guarantee from Standard Chartered Bank in favour of Lanka Ports Authority for the port facilities obtained amounting to LKR 500,000.

The Company has obtained a guarantee from Standard Chartered Bank in favour of Director of Merchant Shipping to obtain Shipping license amounting LKR 500,000.

The Company has obtained a guarantee from Standard Chartered Bank in favour of Lanka Ports Authority for the Credits facility obtained amounting to LKR 1 Mn.

The Company has obtained a guarantee from Standard Chartered Bank in favour of Director General of Customs for the Credits facility obtained amounting to LKR 384,557.

Other than stated above there were no material contingent liabilities pertaining to employees and industrial relations.

34 ASSETS PLEDGED

There were no assets have been pledged as security for liabilities as at the reporting date.

35 GROUP COMPANIES

For the period under review Hemas Holdings PLC operates in three industry segments; Consumer Brands, Healthcare, and Mobility. More information of the Group brands and the market served can be found on page 37.

The holding company is located at No. 75, Braybrooke Place, Colombo 02. The Group has considered all its subsidiary and associate companies numbering 37 in capturing its financial performance. For the purpose of reporting on its sustainability performance, the Group has considered 19 companies which are the legal entities and for which the Group is accountable and has management control. The 17 companies not included for reporting on Sustainability Performance are companies that do not carry out any operations that significantly interact with the environment or society at large. These are either non-operational entities, investment entities, companies only holding lands, companies that are office based or overseas operations that have been excluded this year for sustainability reporting. The companies included in the financial reporting boundary are listed below, with the companies that are not included in the sustainability reporting boundary marked clearly with an identifier against such entities. Any company that are merged or acquired are considered within the sustainability reporting boundary, unless they fall within the exclusions noted above. Information from all companies within the sustainability reporting boundary use Group-wide materiality assessment methodology, Group level policies, Management Approaches, a common data collection and analysis IT platform, and similar SOPs for sustainability data gathering. The sustainability information is consolidated by the central Group Sustainability and Corporate Communications Division of the Group to ensure consistency of approach.

Name /Principle Place of Business	Relationship	Effective Holding		Principal Activities	Board Members
		2022	2021		
CONSUMER BRANDS					
Hemas Manufacturing (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Manufacturing and Trading of Consumer Products	Husein Esufally, Kasturi Chellaraja Wilson, V. S. Sitaram, Asanga Ranasinghe, Sriyan de Silva Wijeyeratne, Suresh Shah
Hemas Marketing (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Trading & Distribution of Consumer Products	Sriyan de Silva Wijeyeratne, Zalmi Fazeel
Hemas Trading (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Import and sale of Food Products	Sriyan de Silva Wijeyeratne, Zalmi Fazeel
Hemas Consumer Brands (Pvt) Ltd. Rupayan Centre, 6th Floor, 72, Mohakhali C-A,Dhaka-1212	Subsidiary	100%	100%	Manufacturing and Trading of Consumer Products	Subir Chowdhury, Naveedul I. Khan, Reazul Chowdhury, Muallem Choudhury, Sriyan de Silva Wijeyeratne, Kasturi Chellaraja Wilson, Sabrina Esufally
Hemas Consumer Products (Pvt) Ltd.* No 1418, BRR Tower, I.I Chundrigar Road, Karachi, Pakistan.	Subsidiary	100%	100%	Trading of Consumer Products	Husein Esufally, Sriyan de Silva Wijeyeratne, Kasturi Chellaraja Wilson
Hemas Consumer Brands India (Pvt) Ltd.* No 1865, Rajdanga Main Road, The Chambers,6th Floor, Room No-605, Kolkata-700107	Subsidiary	100%	100%	Trading of Consumer Products	Asaratharaman Kannan, Sriyan de Silva Wijeyeratne
Unicorn Investments (Pvt) Ltd. 'Hemas House' No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Research and Development Services	Sriyan de Silva Wijeyeratne, Kasturi Challaraja Wilson, Dimuthu Jayasinghe
Morison Limited 'Hemas House' No. 75, Braybrooke Place, Colombo 2	Subsidiary	96%	96%	Importing and Distribution of Consumer Products	Murtaza Esufally, Dinesh Athapaththu, Zalmi Fazeel, Kasturi Chellaraja Wilson, Arundathi Rajakarier, Ranjan Chakravarti, Dr. Sanjit Singh Lamba
Atlas Axillia Co.(Pvt) Ltd. 96, Parakrama Road, Peliyagoda.	Subsidiary	75%	75%	Manufacturing and trading of all kinds of school and office stationery.	Husein Esufally, Kasturi Challaraja Wilson, Asitha Samaraweera, Nirmal Madanayake (Alt. Director-A.R Rasiah)
HEALTHCARE					
Hemas Pharmaceuticals (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Distribution of Pharmaceutical Products	Murtaza Esufally, Jude Fernando, Zalmi Fazeel, Kasturi Chellaraja Wilson, Stuart Chapman, Coralie Pietersz
Hemas Surgicals & Diagnostics (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Distribution of Healthcare Products	Kasturi Chellaraja Wilson, Zalmi Fazeel, Jude Fernando
Kyannmar Pharmaceuticals (Pvt) Limited* 531A Upper Cross Street, #04-98, Hong Lim Complex, Singapore	Subsidiary	100%	100%	Distribution of Pharmaceutical Products	Teo Chong Yeow, Kasturi Chellaraja Wilson, Steven Enderby, Asitha Nissanka
Hemas Hospitals (Pvt) Ltd. No 389, Negombo Road, Wattala	Subsidiary	85%	85%	Hospital Services	Murtaza Esufally, Dr. Lakith Peiris, Zalmi Fazeel, Dr. Uma Kadamboor, Dr. Gershu Paul, Kasturi Chellaraja Wilson
Hemas Capital Hospital (Pvt) Ltd. No. 647, Pannipitiya Road, Thalwathugoda.	Subsidiary	85%	85%	Hospital Services	Murtaza Esufally , Dr. Lakith Peiris, Kasturi Chellaraja Wilson
Morison Limited No:620, Biyagama Road, Pethiyagoda, Kelaniya.	Subsidiary	96%	96%	Manufacturing, Importing and Distribution of Pharmaceuticals and Medical Aid	Murtaza Esufally, Dinesh Athapaththu, Zalmi Fazeel, Kasturi Chellaraja Wilson, Arundathi Rajakarier, Ranjan Chakravarti, Dr. Sanjit Singh Lamba
Healthnet International (Pvt) Ltd.* No. 25, Elibank Road, Colombo 05.	Subsidiary	100%	89%	Online Pharmacy Services	Jude Fernando, Ruwani Hettiarachchi, Kasturi Chellaraja Wilson, Asitha Nissanka

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

35 GROUP COMPANIES CONTD.

Name /Principle Place of Business	Relationship	Effective Holding		Principal Activities	Board Members
		2022	2021		
MOBILITY					
Far Shipping Lanka (Pvt) Ltd. Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Shipping Agents	Imtiaz Esufally, Kasturi Chellaraja Wilson
Far Shipping Agency Lanka (Pvt) Ltd. Hemas House', No. 75, Braybrooke Place, Colombo 02.	Associate	36%	36%	Shipping Agents	Zalmi Fazeel, Kasturi Chellaraja Wilson, Yu Yongjun, Mushin Kitchilan, Samitha Perera, Namal Perera
Hemas Transportation (Pvt) Ltd. Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Investment Holding Company	Imtiaz Esufally, Zalmi Fazeel, Kasturi Chellaraja Wilson, Amila Priyadarshana, Mushin Kitchilan
Hemas Maritime (Pvt) Ltd. Hemas House', No. 75, Braybrooke Place, Colombo 02	Subsidiary	100%	100%	Cargo Handling and Shipping Agent	Imtiaz Esufally, Mushin Kitchilan
Evergreen Shipping Agency Lanka (Pvt) Ltd. Level 9, "Parkland", No:33, Park Street, Colombo 02.	Subsidiary	60%	60%	Shipping Agent	Imtiaz Esufally, Zalmi Fazeel, Kasturi Chellaraja Wilson, Huey Chuan Hseih, Yen-I-Chang
Mazu Shipping (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02	Subsidiary	100%	100%	Shipping Agents	Imtiaz Esufally, Kasturi Chellaraja Wilson, Mushin Kitchilan
Forbes Air Services (Pvt) Ltd. "Emirates Office", 9th Floor, 'Hemas House', No. 75, Braybrooke Place, Colombo 02	Subsidiary	100%	100%	Airline Representation	Imtiaz Esufally, Murtaza Esufally, Abbas Esufally, Husein Esufally, Kasturi Chellaraja Wilson, Gyan Amerasinghe, Mushin Kitchilan
OTHER					
Hemas Corporate Services (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Corporate Secretaries	Zalmi Fazeel, Kasturi Chellaraja Wilson, Peshala Fernando
Hemas Developments (Pvt) Ltd. Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Property Development	Abbas Esufally, Zalmi Fazeel
Hemas COE (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Financial & Accounting BPO	Kasturi Chellaraja Wilson, Zalmi Fazeel
Concept Ventures (Pvt) Ltd.* 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Investment Holding	Ruwani Hettiarachchi, Amila Priyadarshana
Hemtours (Pvt) Ltd.* 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Destination Management Services	Kasturi Chellaraja Wilson, Abbas Esufally, Zalmi Fazeel
Leisure Asia Investments Ltd.* 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	Subsidiary	100%	100%	Investment Holding Company	Abbas Esufally, Husein Esufally, Imtiaz Esufally
Mowbray Hotels Ltd.* 'Hemas House' 6th Floor, No. 75, Braybrooke Place, Colombo 02	Subsidiary	100%	100%	Hotel Property	Abbas Esufally, Zalmi Fazeel, Jayantha Panabokke, Shantha Kurumbalapitiya
PH Resorts (Pvt) Ltd.* 'Hemas House', No. 75, Braybrooke Place, Colombo 02	Joint Venture	50%	50%	Operating a Tourist Hotel	Abbas Esufally, Dillipraj Rajakarier, Stephen Chojnacki, Micah Tamthai, Steven Enderby, Shantha Kurumbalapitiya
Sanctuary Resorts Wilpattu Lanka (Private) Limited* 'Hemas House', No. 75, Braybrooke Place, Colombo 02	Subsidiary	100%	100%	Hotel Property	Abbas Esufally, Shantha Kurumbalapitiya
Peace Haven Resorts Ltd.* 'Hemas House', No. 75, Braybrooke Place, Colombo 02	Subsidiary	100%	100%	Hotel Property	Abbas Esufally, Shantha Kurumbalapitiya
Morlan (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02	Subsidiary	100%	-	Warehousing	Kasturi Chellaraja Wilson, Zalmi Fazeel

Name /Principle Place of Business	Relationship	Effective Holding		Principal Activities	Board Members
		2022	2021		
Magnicare (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02	Subsidiary	100%	-	Investment Holding Company	Kasturi Chellaraja Wilson, Murtaza Esufally
Pulz Solutions (Pvt) Ltd.* 8th Floor, Concept Nursery, SLIIT, New Kandy Road, Malabe.	Associate	30%	30%	Research & Development, Manufacturing and Sales & Distribution of Invention.	Pramadhi Atapattu, Mithra Mayadunna
Hire 1 Technologies (Pvt) Ltd.* No.199/29, Obeysekara Crescent, Rajagiriya.	Associate	20%	20%	Providing digital Logistics Services	Yesanth Gunewardena
VulcanD (Pvt) Ltd.* 570, Gothatuwa Watta, Baddegama, Galle.	Associate	20%	20%	Development of Health related technology based products.	Dimuthu Lakmal, Ayesha Rathnayake

* These companies have been excluded for sustainability reporting purposes

35.1 Subsidiaries Disposed/ Derecognized from Consolidation During the Year (Note 2.4)

Name /Principle Place of Business	Effective Holding		Principal Activities
	2022	2021	
HEALTHCARE			
Hemas Mandalar Pharmaceutical Limited* No.1001, Pyay Road, 10 Mile, Insein Township, Yangon, Myanmar	-	35%	Distribution of Pharmaceutical Products
MOBILITY			
Spectra Logistics (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	-	50%	General Carries & Warehousing
Spectra Integrated Logistics (Pvt) Ltd. 'Hemas House', No. 75, Braybrooke Place, Colombo 02.	-	50%	General Carries & Warehousing

* These companies have been excluded for sustainability reporting purposes

TEN YEAR SUMMARY

Year Ended 31st March LKR '000	2022	2021	2020	2019	2018 Restated	2017	2016	2015 Restated	2014 Restated	2013
Operating Results										
Group Revenue	78,830,850	64,500,748	60,043,490	64,082,154	49,874,384	43,404,452	37,976,564	32,496,953	27,259,281	26,974,910
Gross Profits	21,849,662	19,416,707	19,147,684	21,477,549	17,706,958	16,741,841	14,128,153	11,388,000	9,391,232	8,023,271
Operating Profits	6,782,644	6,060,661	3,531,779	5,661,325	4,245,095	4,783,801	3,943,929	3,371,176	3,284,215	2,436,994
Profit Before Taxation	6,648,180	5,669,910	2,840,724	5,093,140	4,392,336	5,086,894	4,074,369	3,094,939	3,192,344	2,406,155
Taxation	1,813,714	1,523,051	1,356,706	1,413,904	1,441,523	1,333,044	1,148,399	704,200	469,673	472,422
Profit After Taxation	4,834,466	3,342,026	1,362,707	3,679,236	2,950,813	3,753,850	2,925,970	2,390,739	2,722,671	1,933,733
Profit Attributable to the Parent	4,248,553	3,253,350	1,235,717	3,369,279	2,687,457	3,491,478	2,653,208	1,927,051	2,409,276	1,657,655
Equity & Liabilities										
Stated Capital	7,776,111	7,776,111	7,734,054	7,734,054	5,960,450	5,741,038	5,722,837	1,600,603	1,600,603	1,600,603
Other Reserves	4,605,943	2,341,732	1,606,005	1,867,941	2,097,672	2,262,995	2,081,186	1,327,720	1,492,495	1,724,228
Retained Earnings	23,205,732	21,777,539	18,574,233	18,496,649	17,420,761	16,907,218	14,187,670	12,730,653	11,207,426	8,828,511
Non-Controlling Interests	919,517	1,542,904	3,560,170	3,771,078	3,590,445	3,217,800	2,661,619	2,263,623	3,329,111	2,259,037
Non-Current Liabilities	6,084,689	5,869,395	9,696,699	6,105,593	6,817,837	3,195,557	4,236,430	4,244,615	4,322,629	2,613,184
Current Liabilities	33,715,678	24,286,707	23,209,256	24,774,085	21,811,416	15,993,943	13,437,433	12,271,106	10,174,363	6,757,388
	76,307,670	63,594,388	64,380,417	62,749,400	57,698,581	47,318,551	42,327,175	34,438,320	32,126,627	23,782,951
Assets										
Property, Plant and Equipment	18,006,908	17,539,695	20,032,726	18,685,435	18,069,039	13,525,589	12,764,329	11,465,089	12,563,655	10,038,723
Investment Property	2,100,161	1,942,099	1,647,591	1,647,591	1,507,474	1,472,928	1,735,779	1,763,665	1,683,130	578,453
Right-of-Use Assets	1,177,653	1,878,697	2,028,296	-	-	-	-	-	-	-
Leasehold Property	-	-	-	731,276	766,809	828,405	115,751	109,545	145,847	90,592
Intangible Assets	3,295,464	3,289,618	3,439,125	3,468,946	3,493,982	954,060	852,339	755,953	1,333,219	436,670
Investment in Equity Accounted Investees and Others	295,188	765,505	1,242,131	1,600,873	1,765,584	2,011,322	2,102,962	2,091,425	2,854,479	2,033,993
Lease Receivables	125,306	139,939	172,486	-	-	-	-	-	-	-
Deferred Tax Assets	85,621	144,281	164,426	107,862	61,510	57,400	47,829	72,731	58,580	39,596
Current Assets	51,221,369	37,894,554	35,653,636	36,507,416	32,034,183	28,468,847	24,708,186	18,179,912	13,487,717	10,564,924
	76,307,670	63,594,388	64,380,417	62,749,400	57,698,581	47,318,551	42,327,175	34,438,320	32,126,627	23,782,951
Cash Flows										
Net cash flows from operating activities	8,052,336	6,539,456	1,589,246	1,813,421	5,782,146	3,005,374	4,250,945	3,329,052	2,686,659	1,863,616
Net cash flows from / (used in) investing activities	267,884	(1,110,675)	(2,499,723)	(2,197,332)	(7,357,605)	(2,209,008)	(952,068)	173,714	(4,761,053)	(1,361,483)
Net cash flows from / (used in) financing activities	(3,535,923)	(1,772,351)	833,566	(1,135,168)	(3,291,577)	(1,087,290)	2,693,583	(164,953)	1,668,232	131,349
Net increase / (decrease) in cash and cash equivalents	4,784,297	3,656,430	(76,911)	(1,519,079)	(4,867,036)	(290,924)	5,992,460	3,337,813	(406,162)	633,482
Key Indicators										
Earnings Per Share (LKR)	7.12	5.46	2.07	5.65	4.52	6.10	4.71	3.74	4.68	3.22
Dividends Per Share (LKR)	4.35	0.40	1.45	4.93	1.85	1.40	1.10	1.10	0.75	0.55
Dividend Cover (No. of Times)	1.62	13.64	1.43	1.15	2.44	4.36	4.28	3.40	6.05	5.82
Interest Cover (No. of Times)	7.26	9.87	3.68	5.41	6.87	9.21	7.70	7.33	7.15	7.50
Net Asset Per Share (LKR)	59.23	53.47	46.83	47.14	44.32	43.50	38.41	30.39	27.75	46.15
Current Ratio (No. of Times)	1.7	1.6	1.5	1.5	1.5	1.8	1.8	1.5	1.3	1.6
Gearing (%)	15.2	17.2	23.2	18.2	19.7	16.0	18.5	26.9	25.9	25.5
ROE (%)	12.3	10.3	4.4	12.1	10.3	14.2	13.7	12.9	18.2	14.5

SHAREHOLDER INFORMATION

1. ANALYSIS OF SHAREHOLDERS AS AT 31-MAR-2022

Shareholdings	Resident			Non-Resident			Total		
	No. of Shareholders	No. of Shares	Percentage (%) Shareholders	No. of Shareholders	No. of Shares	Percentage (%) Shareholders	No. of Shares	No. of Shares	Percentage (%)
1 to 1000 Shares	5,446	1,968,769	0.33	23	7,694	0.00	5,469	1,976,463	0.33
1001 to 10,000 Shares	2,788	10,008,662	1.68	34	114,000	0.02	2,822	10,122,662	1.70
10,001 to 100,000 Shares	719	20,689,037	3.47	25	919,105	0.15	744	21,608,142	3.62
100,001 to 1,000,000 Shares	118	33,220,791	5.57	10	4,294,123	0.72	128	37,514,914	6.29
Over 1,000,000 Shares	28	448,782,951	75.23	13	76,540,893	12.83	41	525,323,844	88.06
TOTAL	9,099	514,670,210	86.28	105	81,875,815	13.72	9,204	596,546,025	100

2. CATEGORIES OF SHAREHOLDERS

	No. of Shareholders	No. of Shares
Individual	8,695	85,834,363
Institutional	509	510,711,662
	9,204	596,546,025

3. SHARE TRADING

	2022	2021
Market Price		
Highest Price	87.00	107.00
Lowest Price	45.40	54.00
As at year end (Rs.)	46.20	83.40
No. of Trades	50,317	44,048
No of Shares Traded	114,525,195	170,784,176
Value of Shares Traded (Rs. Mn)	8,262,379,479	13,086,794,701
Market Capitalisation (Rs. Mn)	27,560	49,752

4. COMPUTATION OF PUBLIC SHAREHOLDING

	2022 No of shares
Issued Share Capital as at 31 March	596,546,025
Less	
Parent Company	-
Subsidiaries of Parent	-
Directors' Shareholding (a)	18,159,910
Spouses of Directors and Chief Executive Officer	-
Key Management Personnel	-
Close Family Members (b)	5,103,900
Controlling Interest (c)	364,012,855
Over 10% Holding	-
Public Holding	209,269,360
Public Holding as a % of Issued Share Capital	35.08%
Total Number of Shareholders	9,204
Number of Persons Holding Shares Excluded when Computing Public Holding %	16
Number of Shareholders representing the Public Holding	9,188

SHAREHOLDER INFORMATION

TOP 20 SHAREHOLDERS

List of 20 Major Shareholders as at 31 March		2022		2021	
		No. of shares	%	No. of shares	%
1	A Z Holdings (Private) Limited	94,092,305	15.77	94,092,305	15.77
2	Amagroup (Pvt) Ltd	91,427,333	15.33	88,927,333	14.91
3	Saraz Investments (Private) Limited	89,565,277	15.01	89,565,277	15.01
4	Blueberry Investments (Pvt) Ltd	88,927,940	14.91	88,927,940	14.91
5	BBH-Kopernik Global All Cap Fund	16,019,905	02.69	16,019,905	02.69
6	HSBC Intl Nominees Ltd-JPLU-Franklin Templeton Investment Funds	12,862,845	02.16	12,862,845	02.16
7	BBH-Kopernik Global All Cap Equity Fund	12,263,194	02.06	12,263,194	02.06
8	Phoenix Ventures (Private) Limited	9,796,683	01.64	9,796,683	01.64
9	Rubber Investment Trust Ltd A/C No. 01	7,543,333	01.26	6,791,308	01.14
10	Citi Bank New York S/A Norges Bank Account 2	7,146,662	01.20	-	-
11	Mr. I.A.H. Esufally	7,086,284	01.19	4,586,284	0.77
12	Ceylon Investment PLC A/C # 02	6,450,208	01.08	-	-
13	Mr. M.A.H. Esufally	6,164,633	01.03	6,164,633	1.03
14	Ceylon Guardian Investment Trust PLC A/C #02	5,863,483	00.98	-	-
15	Mr. H. H. Abdulhusein	5,500,000	00.92	-	-
16	Mellon Bank N.A United Technologies Corp. Master	5,488,757	00.92	-	-
17	Mr. M.J. Fernando	5,448,160	00.91	5,448,160	00.91
18	CB London s/a Verdipapirfondet Holberg Rurik	5,289,130	00.89	5,520,000	00.93
19	BBH-TUNDRA SUSTAINABLE FRONTIER FUND	4,001,928	00.67	4,001,928	00.67
20	BBH-Kopernik Global All Cap Mast Fund, LP	3,252,575	00.55	-	-

a) Directors' Shareholding

	31 March 2022	31 March 2021
A.N. Esufally	2,617,353	117,353
H.N. Esufally	2,291,640	5,791,640
I.A.H. Esufally	7,086,284	4,586,284
M.A.H. Esufally	6,164,633	6,164,633
J.M. Trivedi	-	-
A.S. Amaratunga	-	-
Dr. S.A.B. Ekanayake	-	-
K.A.C. Wilson	-	-
P. Subasinghe	-	-
S. J. de Silva Wijeyeratne	-	-
Total	18,159,910	16,659,910

b) Close Family Members

	31 March 2022	31 March 2021
Sabrina Esufally	259,170	259,170
Adam Esufally	259,170	259,170
R.H. Esufally	259,170	259,170
Sakina Imtiaz Esufally	2,073,365	2,073,365
Billiquis I Esufally	725	725
Amaar Esufally	2,000,000	2,000,000
Zara Esufally	250,000	250,000
S. Subasinghe	2,300	2,300
Total	5,103,900	5,101,600

c) Controlling Interest

	31 March 2022	31 March 2021
Saraz Investments (Private) Limited	89,565,277	89,565,277
A Z Holdings (Private) Limited	94,092,305	94,092,305
Blueberry Investments (Pvt) Ltd	88,927,940	88,927,940
Amagroup (Pvt) Ltd	91,427,333	88,927,333
Total	364,012,855	361,512,855

INDEPENDENT ASSURANCE REPORT



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Independent Assurance Report to the Board of Directors of Hemas Holdings PLC on the Sustainability Reporting Criteria Presented in the Integrated Annual Report- 2021/22

SCOPE

We have been engaged by the management of Hemas Holdings PLC ("the Company") to perform an independent assurance engagement, as defined by the Sri Lankan Standard on Assurance Engagements, on the sustainability reporting criteria presented in the Integrated Annual Report for the year ended 31 December 2022 (the "Report").

- Reasonable assurance on the information on financial performance as specified on page 53 of the Report.
- Limited assurance on other information presented in the Report, prepared in accordance with the GRI Standards.

CRITERIA APPLIED BY HEMAS HOLDINGS PLC

The sustainability reporting criteria presented in the Report has been prepared in accordance with The Global Reporting Initiative's (GRI) Sustainability Reporting Guidelines, publicly available at GRI's global website www.globalreporting.org.

This Report has been prepared in accordance with the GRI Standards.

HEMAS HOLDINGS PLC'S RESPONSIBILITIES

Hemas Holdings PLC's management is responsible for selecting the criteria, and for presenting the Report in accordance with the said criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to support the sustainability reporting process of the Report, such that it is free from material misstatement, whether due to fraud or error.

ERNST & YOUNG'S RESPONSIBILITIES

Our responsibility is to express a conclusion on the presentation of the Report in accordance with the GRI Standards based on the evidence we have obtained.

We conducted our engagement in accordance with the Sri Lanka Standard on Assurance Engagements SLSAE 3000: Assurance Engagements other than Audits or Reviews of Historical Financial Information (SLSAE 3000) issued by the Institute of Chartered Accountants of Sri Lanka and the terms of reference for this engagement as agreed with Hemas Holdings PLC in the engagement letter dated 01 February 2022.

The standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Report in order for it to be in accordance with the criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our independent assurance conclusion.

OUR INDEPENDENCE AND QUALITY CONTROL

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka and have the required competencies and experience to conduct this assurance engagement.

EY also applies Sri Lanka Standard on Quality Control (SLSQC 1), Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements, and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

DESCRIPTION OF PROCEDURES PERFORMED

We performed our procedures to provide an independent assurance engagement in accordance with SLSAE 3000.

INDEPENDENT ASSURANCE REPORT

Procedures performed in the reasonable assurance engagement depend on our judgement, including the assessment of the risks of material misstatement whether due to fraud or error. In making those risk assessments, we have considered internal control relevant to the preparation and presentation of the reasonable assurance Indicators in order to design the assurance procedures that are appropriate in the circumstances. Our procedures also included assessing the appropriateness of the reasonable assurance indicators, the suitability of the criteria in preparing and presenting the reasonable assurance indicators within the Report and obtaining an understanding of the compilation of the financial information to the sources from which it was obtained.

Procedures performed in the limited assurance engagement consisted of making inquiries, primarily of persons responsible for preparing the Report and related information and applying analytical and other appropriate procedures. These procedures vary in nature and timing from and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Although we considered the effectiveness of management's internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

We also performed the below procedures as we considered necessary in the circumstances:

- Perform a comparison of the content of the Report against the Global Reporting Initiative (GRI) - GRI Standards guideline.
- Interviewing relevant organization's personnel to understand the process for collection, analysis, aggregation and presentation of data.
- Review and validation of the information contained in the Report.
- Check the calculations performed by the organization on a sample basis through recalculation.

- Advice, make recommendations and suggestions on the Sustainability Reporting indicators to improve the presentation standard.
- Independently review the content of the Report and request changes if required.
- Express an independent assurance conclusion on the performance indicators presented in the Sustainability Reporting criteria.

EMPHASIS OF MATTER

Social, natural and intellectual capital management data/information are subjected to inherent limitations given their nature and the methods used for determining, calculating and estimating such data.

We also do not provide any assurance on the assumptions and achievability of prospective information presented in the Report.

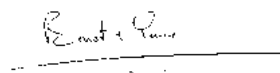
RESTRICTED USE

This report is intended solely for the information and use of Hemas Holdings PLC and is not intended to be and should not be used by anyone other than the specified party.

CONCLUSION

Based on our procedures and the evidence obtained, we conclude that:

- The information on financial performance as specified on page 53 of the Report is properly derived from the audited financial statements of the Company for the year ended 31 March 2022.
- Nothing has come to our attention that causes us to believe that other information presented in the Report are not fairly presented, in all material respects, in accordance with the Company's sustainability practices and policies some of which are derived from the GRI Standards.



Chartered Accountant

Colombo

19 May 2022

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R M De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, D K Hulangamuwa FCA FCMA LLB (London), Ms. A A Ludomnye FCA FCMA, Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeewani FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: G B Goudan ACA, Ms. P S Paranavilane ACA LLB (Colombo), T P M Ruberu FCA FCMA

A member firm of Ernst & Young Global Limited

GLOSSARY

ACCRUAL BASIS

Recording revenues and expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

ASSET/CAPITAL EMPLOYED

Average total assets divided by average capital employed

ASSET TURNOVER

Total revenue divided by average total assets.

CAPITAL EMPLOYED

Total Shareholders' funds plus debt and non controlling interests.

CAPITAL RESERVES

Reserves identified for specific purposes and considered not available for distribution.

CURRENT RATIO

Current assets divided by current liabilities.

CONTINGENT LIABILITIES

Conditions or situations existing at the reporting date, the financial effect of which are to be determined by future events which may or may not occur.

DEBT

The sum of interest-bearing long-term and short-term loans and overdrafts.

DEBT/EQUITY RATIO

Debt as a percentage of shareholders' funds and non-controlling interests.

DEFERRED INCOME TAX

The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

DILUTED EARNINGS PER SHARE

Diluted EPS is calculated by dividing the profit attributable to ordinary equity holders of the parent by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

DIVIDEND COVER

Net profit attributable to the Ordinary Shareholders divided by the total dividend paid and proposed.

DIVIDEND PAYOUT RATIO

Dividend paid as a percentage of Company profits adjusted for non-cash gains items.

EARNINGS

Profit after tax less Non Controlling Interests.

EARNINGS PER SHARE (EPS)

Profit attributable to Ordinary Shareholders divided by the weighted average number of Ordinary Shares in issue during the Year.

EBIT

Earnings Before Interest and Tax.

EBITDA

Earnings before interest expense, tax, depreciation, amortisation, fair value gains and losses on investment property and share of results of equity accounted investees.

EFFECTIVE RATE OF TAXATION

Income tax over Profit Before tax.

EQUITY

Equity attributable to Equity Holders of the Parent.

GEARING

Debt divided by the sum of equity, non controlling interests and debt.

INTEREST COVER

Consolidated operating profits over finance cost

MARKET CAPITALISATION

Number of shares in issue at the end of the period multiplied by the market price at the end of the period.

NON-CONTROLLING INTERESTS

Part of the net results of operations and net assets of a subsidiary attributable to interests which are not owned, directly or indirectly, through Subsidiaries, by the Parent.

NET ASSETS

Total assets minus current liabilities, long-term liabilities, and non-controlling interests.

NET ASSETS PER SHARE

Shareholders' funds divided by the number of Ordinary Shares in issue as at the end of the Year.

NET DEBT (CASH)

Total debt minus cash and short-term deposits.

OPERATING PROFIT

Profit Before Interest and Tax.

PRICE EARNINGS RATIO

Market price per share divided by the earnings per share.

QUICK RATIO

Current assets minus inventory, divided by current liabilities.

RETURN ON EQUITY (ROE)

Profit attributable to shareholders as a percentage of average shareholders' funds.

RETURN ON CAPITAL EMPLOYED (ROCE)

Earnings Before Interest expense and Tax divided by average of capital employed at the beginning and end of the Year.

REVENUE RESERVES

Reserves set aside for future distributions and investments.

SEGMENT

Constituent business units grouped in terms of similarity of operations and strategy.

SHAREHOLDERS' FUNDS

Total of stated capital, other components of equity and revenue reserves.

UNDERLYING

Represent results excluding entities that have been disposed during the financial year.

GRI CONTENT INDEX

Statement of use	Hemas Holdings PLC has reported in accordance with the GRI Standards for the period April 1, 2021 to March 31, 2022.
GRI 1 used	GRI 1: Foundation 2021

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION			UNSDG	UNGC 10
			REQUIREMENT(S) OMITTED	REASON	EXPLANATION	Goals	Principals
General Disclosures							
GRI 2: General Disclosures 2021	2-1 Organisational details	IBC					
	2-2 Entities included in the organisation's sustainability reporting	5, 236-239					
	2-3 Reporting period, frequency and contact point	5, 6					
	2-4 Restatements of information	5					
	2-5 External assurance	5, 39					
	2-6 Activities, value chain and other business relationships	7, 77-78					
	2-7 Employees	65				Goal 1 Goal 5 Goal 8 Goal 10	
	2-8 Workers who are not employees	65					
	2-9 Governance structure and composition	102-103				Goal 8 Goal 16	
	2-10 Nomination and selection of the highest governance body	105, 141-142					
	2-11 Chair of the highest governance body	105					
	2-12 Role of the highest governance body in overseeing the management of impacts	112					
	2-13 Delegation of responsibility for managing impacts	40-41, 112					
	2-14 Role of the highest governance body in sustainability reporting	6, 40-41					
	2-15 Conflicts of interest	106					
	2-16 Communication of critical concerns	41, 106					
	2-17 Collective knowledge of the highest governance body	108					
	2-18 Evaluation of the performance of the highest governance body	108					
	2-19 Remuneration policies	108					
	2-20 Process to determine remuneration	139-140					
	2-21 Annual total compensation ratio	69					
	2-22 Statement on sustainable development strategy	12-18					
	2-23 Policy commitments	39				Goal 8 Goal 16	
	2-24 Embedding policy commitments	39					
	2-25 Processes to remediate negative impacts	39, 65					
	2-26 Mechanisms for seeking advice and raising concerns	42					
	2-27 Compliance with laws and regulations	70					

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION		UNSDG Goals	UNGC 10 Principals
			REQUIREMENT(S) OMITTED	REASON	EXPLANATION	
GRI 2: General Disclosures 2021 Contd.	2-28 Membership associations	78			Goal 17	
	2-29 Approach to stakeholder engagement	42-43				
	2-30 Collective bargaining agreements	67			Goal 8	1, 3
Material Topics						
GRI 3: Material Topics 2021	3-1 Process to determine material topics	44				
	3-2 List of material topics	44-46				
Economic Performance						
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40				
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	53			Goal 1 Goal 8 Goal 10	
	201-3 Defined benefit plan obligations and other retirement plans	69				
Anti-Corruption						
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40			Goal 16	10
GRI 205: Anti-corruption 2016	205-1 Operations assessed for risks related to corruption	65				
Energy						
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40			Goal 7	8
GRI 302: Energy 2016	302-1 Energy consumption within the organization	72			Goal 12 Goal 13	
Water and Effluents						
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40			Goal 6 Goal 12	8
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	73				
	303-2 Management of water discharge-related impacts	73				
	303-3 Water withdrawal	73				
	303-4 Water discharge	73				
Emissions						
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40			Goal 7 Goal 12 Goal 13	8
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	72				
	305-2 Energy indirect (Scope 2) GHG emissions	72				
Waste						
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40			Goal 12 Goal 14 Goal 15	8
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	74				
	306-2 Management of significant waste-related impacts	74				
	306-3 Waste generated	74				

GRI CONTENT INDEX

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION			UNSDG	UNGC 10
			REQUIREMENT(S) OMITTED	REASON	EXPLANATION	Goals	Principals
Environmental Compliance							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40				Goal 12	8
GRI 307: Environmental Compliance 2016	307 -1 Non-compliance with environmental laws and regulations	70				Goal 13	
Employment							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40					3,6
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	65				Goal 10	
Occupational Health and Safety							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40					
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	68				Goal 3 Goal 8	3,6
	403-2 Hazard identification, risk assessment, and incident investigation	68					
	403-3 Occupational health services	68					
	403-4 Worker participation, consultation, and communication on occupational health and safety	68					
	403-5 Worker training on occupational health and safety	68					
	403-6 Promotion of worker health	68					
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	68					
	403-9 Work-related injuries	68				Goal 3 Goal 8	
Training and Education							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40				Goal 5 Goal 8	
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	69					6
	404-3 Percentage of employees receiving regular performance and career development reviews	69					
Freedom of Association and Collective Bargaining							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40				Goal 8	
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	67					
Child Labour							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40				Goal 8 Goal 16	
GRI 408: Child Labor 2016	408-1 Operations and suppliers at significant risk for incidents of child labor	65					5

GRI STANDARD/ OTHER SOURCE	DISCLOSURE	LOCATION	OMISSION			UNSDG	UNGC 10
			REQUIREMENT(S) OMITTED	REASON	EXPLANATION	Goals	Principals
Forced or Compulsory Labour							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40				Goal 8	
GRI 409: Forced or Compulsory Labor 2016	409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labor	65					4
Local Communities							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40				Goal 11	
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	79				Goal 1 Goal 2 Goal 6 Goal 10 Goal 11 Goal 17	
Customer Health and Safety							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40					
GRI 416: Customer Health and Safety 2016	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	77					
Marketing and Labeling							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40					
GRI 417: Marketing and Labeling 2016	417-2 Incidents of non-compliance concerning product and service information and labeling	77					
Customer Privacy							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40					
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	77					
Socio Economic Compliance							
GRI 3: Material Topics 2021	3-3 Management of material topics	39-40				Goal 16	
GRI 419 : Social Economic Compliance 2016	419-1 Non-compliance with laws and regulations in the social and economic area	10, 79					

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN THAT the Seventy Third Annual General Meeting (AGM) of Hemas Holdings PLC will be held as a Virtual AGM, emanating from the Registered Office, 'Hemas House' No. 75, Braybrooke Place, Colombo 2, on Tuesday, 28th day of June 2022 at 3.00 p.m. for the following purposes;

AGENDA

1. To receive and consider the Statements of Accounts of the Company and of the Group for the Year ended 31st March 2022 together with the Reports of the Directors and Auditors thereon.
2. To re-elect, Mr. A. N. Esufally who retires by rotation in terms of Article 84 of the Articles of Association, as a Director.
3. To re-elect, Mr. M. A. H. Esufally who retires by rotation in terms of Article 84 of the Articles of Association, as a Director.
4. To re-elect, Mr. A. S. Amaratunga who retires by rotation in terms of Article 84 of the Articles of Association, as a Director.
5. To re-elect, Mr. P. Subasinghe who retires in terms of Article 72 of the Articles of Association, as a Director.
6. To declare a final dividend of Rs. 1.95 per Ordinary Share as recommended by the Board.
7. To re-appoint M/s Ernst & Young, Chartered Accountants, as Auditors of the Company and to authorise the Directors to determine their remuneration.
8. To authorise the Directors to determine and make donations to Charity.

By order of the Board of,
HEMAS HOLDINGS PLC



Hemas Corporate Services (Private) Limited
Secretaries

May 19, 2022

Notes:

- A Member entitled to attend, and vote is entitled to appoint a Proxy to attend and vote online in his/her place.
- A Proxy need not be a Member of the Company.
- A Form of Proxy is enclosed for this purpose.
- The Board of Directors, having taken note of the health and safety guidelines issued by health authorities in view of the COVID-19 pandemic and the Colombo Stock Exchange issuing guidelines to listed entities to hold virtual Shareholder Meetings, has decided to hold the Annual General Meeting (AGM) through Audio or Audio/Visual means in conformity with the regulatory provisions of the Company.

- Shareholders who wish to participate in the Annual General Meeting through the Online Platform are kindly requested to complete and forward the Annexure 1 information attached to the Annual Report to the email address peshalaf@hemas.com with the email subject titled "Hemas Holdings PLC AGM 2022" or post it to the registered address mentioned below not less than 3 days before holding of the meeting. Shareholders are requested to provide their email address in the space provided in the annexure in order to forward the web link if they wish to view the proceedings through an online platform.
- The Chairman and certain members of the Board, the Company Secretary and key officials essential for the administration of formalities and conduct the meeting will be physically present at the Registered Office.
- Voting on the items listed in the Agenda will be registered by using an online platform or a designated ancillary online application. All of such procedures will be explained to the shareholders prior to the commencement of the meeting.
- Shareholders who wish to appoint a member of the Board of Directors as his/her proxy to represent them at the AGM may do so by completing the Form of Proxy, in such event the email address of the proxyholder will not be required.
- Shareholders may send their questions/comments on the items listed in the Agenda of the Notice convening the AGM by email to peshalaf@hemas.com or by post to Company Secretarial Division, 9th Floor 'Hemas House', No. 75, Braybrooke Place, Colombo 2 not less than 3 days before holding of the meeting
- The instrument appointing a proxy should be deposited at the Registered Office at 'Hemas House' No. 75, Braybrooke Place, Colombo 2 not less than 48 hours before holding of the meeting or scanned and emailed to peshalaf@hemas.com.
- Only registered shareholders and registered proxy holders will be permitted to log in and participate in the virtual AGM.
- The Annual Report, Form of Proxy and the Shareholder Information Form will be hosted in the Company's Website www.hemas.com
- The date fixed for the AGM will not be affected even if a public holiday is declared on such date since arrangements will be in place to proceed via the online platform.

FORM OF PROXY

I/We.....
.....of.....
..... being a Member/s of Hemas Holdings PLC do
hereby appoint Mr/Mrs/Miss.....
.....of.....
..... whom failing

Mr. Husein Nuruddin Esufally of Colombo 7	whom failing
Ms. Kasturi C. Wilson of Colombo 6	whom failing
Mr. Abbasally Nuruddin Esufally of Colombo 7	whom failing
Mr. Imtiaz Abidhusein Hassanally Esufally of Colombo 7	whom failing
Mr. Murtaza Abidhusein Hassanally Esufally of Colombo 7	whom failing
Dr. Sumitha Anura Bandara Ekanayake of Nugegoda	whom failing
Mr. Amitha Saktha Amaratunga of Colombo 7	whom failing
Mr. Jyotindra Manibhai Trivedi of Colombo 2	whom failing
Mr. Prabhask Subasinghe of Colombo 4	whom failing
Mr. Sriyan de Silva Wijeyeratne of Dehiwela	

as *my/our Proxy to *speak and /to vote for *me/us on *my/our behalf at the Seventy Third Annual General Meeting (AGM) of Hemas Holdings PLC to be held as a virtual AGM on Tuesday, 28th day of 2022 at 3.00 p.m. emanating from the Registered Office at 'Hemas House' No. 75 Braybrooke Place, Colombo 2 and at any adjournment thereof.

I/We hereby authorise my/our proxy to vote for me/us and on my/our behalf in accordance with the preferences indicated below:

	For	Against
1. To receive and consider the Statements of Accounts of the Company and of the Group for the Year ended 31st March 2022 together with the Reports of the Directors and Auditors thereon.	☐	☐
2. To re-elect, Mr. A. N. Esufally who retires by rotation in terms of Article 84 of the Articles of Association, as a Director.	☐	☐
3. To re-elect, Mr. M. A. H. Esufally who retires by rotation in terms of Article 84 of the Articles of Association, as a Director.	☐	☐
4. To re-elect, Mr. A. S. Amaratunga who retires by rotation in terms of Article 84 of the Articles of Association, as a Director.	☐	☐
5. To re-elect, Mr. P. Subasinghe who retires in terms of Article 72 of the Articles of Association, as a Director.	☐	☐
6. To declare a final dividend of Rs. 1.95 per Ordinary Share as recommended by the Board.	☐	☐
7. To re-appoint M/s Ernst & Young, Chartered Accountants, as Auditors of the Company and to authorise the Directors to determine their remuneration.	☐	☐
8. To authorise the Directors to determine and make donations to Charity.	☐	☐

*The Proxy may vote as he/she thinks fit on any other resolution brought before this Meeting

.....
Signature/s and Date

.....
NIC No./PP No.

Note:

Please delete the inappropriate words.

INSTRUCTIONS AS TO COMPLETION OF THE PROXY IS ON THE REVERSE

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY

1. Kindly perfect the Form of Proxy after filling in legibly your full name and address and by signing in the space provided. Please fill in the date of signature.
2. A Member entitled to attend and vote at the Meeting is entitled to appoint a Proxy to attend and vote instead of him/her.
3. In the case of Corporate Members, the Form of Proxy must be completed under the Common Seal, which should be affixed and attested in the manner prescribed by the Articles of Association/Statutes.
4. If the Form of Proxy is signed by an Attorney, the relevant Power of Attorney should also accompany the completed Form of Proxy.
5. The completed Form of Proxy should either be:
 - (i) addressed to the 'Company Secretary' and posted or hand delivered to the registered office of the Company at 'Hemas House' No. 75, Braybrooke Place, Colombo 2;
 - or
 - (ii) Scanned and emailed to the email address: peshalaf@hemas.com with the email subject titled "HEMAS HOLDINGS PROXY" not less than 48 hours before the time appointed for the holding of the AGM together with the following information.

CDS Account Number of the Shareholder (s)	
Shareholder's contact number/s	
Land line (residence/work):	
Mobile:	
Email address to which the on-line link should be forwarded to for the proxy holder's participation at the AGM	
Proxy holder's NIC number	

ANNEXURE 1

Folio/CDS Account Number

Hemas Holdings PLC
73rd Annual General Meeting - 2022

Registration of Shareholder Information

1. Full Name of the Shareholder:
2. Address of the Shareholder:
3. Shareholder's NIC/Passport/Co. Reg. No.:
4. Shareholder's Contact No.

Residence		Mobile	
-----------	--	--------	--
5. Name of the Proxyholder:
6. Proxyholder's NIC/Passport No.:
7. Shareholder's/Proxyholder's E-mail Address:
8. Participation at AGM via Online Platform Yes/No
9. Name of Joint holders if any
 - a.
 - b.
10. NIC/Passport Nos. of Joint holder
 - a..... b.....

.....
Principal Shareholder
Signature and Date

.....
1st Joint holder
Signature and Date

.....
2nd Joint Holder
Signature and Date

CORPORATE INFORMATION

LEGAL FORM

A Limited Liability Company incorporated in Sri Lanka and listed on the Colombo Stock Exchange on 15th October 2003

DATE OF INCORPORATION

10th December 1948

DATE OF RE-REGISTRATION

30th May 2007

COMPANY RE-REGISTRATION NUMBER

P Q 6

ACCOUNTING YEAR END

31 March

REGISTERED OFFICE

'Hemas House' No. 75,
Braybrooke Place,
Colombo 2.
Telephone: +94 11 4731731
Website: www.hemas.com

DIRECTORS

H. N. Esufally (Chairman)
K.C. Wilson (CEO)
A. N. Esufally
I. A. H. Esufally
M. A. H. Esufally
Dr. S. A. B. Ekanayake
A. S. Amaratunga
J. M. Trivedi
P. Subasinghe
S. J. de Silva Wijeyeratne

AUDIT COMMITTEE

A. S. Amaratunga – Chairman
I. A. H. Esufally
J. M. Trivedi

HUMAN RESOURCES AND REMUNERATION COMMITTEE

Dr S. A. B. Ekanayake – Chairman
A. S. Amaratunga
H. N. Esufally

NOMINATION AND GOVERNANCE COMMITTEE

Dr S. A. B. Ekanayake – Chairman
J. M. Trivedi
A. N. Esufally

RELATED PARTY TRANSACTION REVIEW COMMITTEE

A. S. Amaratunga – Chairman
I. A. H. Esufally
K.C. Wilson

SECRETARIES

Hemas Corporate Services (Private) Limited
'Hemas House' No. 75, Braybrooke Place,
Colombo 2
Telephone: +94 11 4731731 (hunting)
Facsimile: +94 11 4731777

REGISTRARS

SSP Corporate Services (Pvt) Ltd
No. 101, Inner Flower Road,
Colombo 3
Tel.: +94 11 2573894, +94 11 2576871
Fax: +94 11 2573609
Email: sspsec@sltnet.lk

INVESTOR RELATIONS

Hemas Holdings PLC
'Hemas House' No. 75, Braybrooke Place,
Colombo 2
Telephone: +94 11 4731731
Email: ir@hemas.com

AUDITORS

Ernst & Young
Chartered Accountants
No. 201, De Saram Place,
Colombo 10.

LAWYERS TO THE COMPANY

Group Legal
Hemas Holdings PLC
'Hemas House' No. 75, Braybrooke Place,
Colombo 2
Telephone: +94 11 4731731

BANKERS

Commercial Bank of Ceylon PLC
Deutsche Bank AG
The Hong Kong & Shanghai Banking Corp.
Ltd
Hatton National Bank PLC
Standard Chartered Bank
Nations Trust Bank PLC
Seylan Bank PLC
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